

Axiscades Tech (AXISCADES)

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Call: Jun 2023

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The Manager The Manager

Listing Department Listing Department

BSE Limited The National Stock Exchange of India Limited

Phirozee Jeejeebhoy Tower, Exchange Plaza, 5 Floor, Plot C/1, G Block

Dalal Street Bandra – Kurla Complex, Bandra(E),

Mumbai 400 001 Mumbai 400 051

BSE Scrip Code: 532395 NSE Symbol: AXISCADES

Dear Sir/Madam,

Sub: Transcript of the Earnings Call with the Investor(s)/Analyst(s)

Further to our intimation dated 27th May 2023, please find enclosed the transcript of the Earnings Call with the Investor(s)/Analyst(s) which is hosted on the website of the Company at www.axiscades.com

We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Thanking You,

Yours faithfully,

For AXISCADES Technologies Limited

Sonal Dudani

Company Secretary & Compliance Officer

Encl: A/a

AXISCADES Technologies Limited

(Formerly AXISCADES Engineering Technologies Limited)

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“AXISCADES Technologies Limited Q4 & FY23
Earnings Conference Call”

May 26, 2023

MANAGEMENT : MR. ARUN KRISHNAMURTHI – CHIEF EXECUTIVE
OFFICER AND MANAGING DIRECTOR –

AXISCADES TECHNOLOGIES LIMITED

MR. SHASHIDHAR SK – GROUP CHIEF FINANCIAL

OFFICER – AXISCADES TECHNOLOGIES LIMITED

MR. SHISHIR GAHOI – HEAD, INVESTOR

RELATIONS – AXISCADES TECHNOLOGIES

LIMITED

MODERATORS : MR. NACHIKET KALE – ORIENT CAPITAL

MR. RAJESH AGARWAL – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the AXISCADES Technologies Limited Q4 FY23 results conference call.

As a reminder, all participants' lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shishir Gahoi – Investor Relations Head from

AXISCADES Technologies. Thank you and over to you, sir.

Shishir Gahoi: Good evening, everyone. I am delighted to welcome you all to this earnings call for the 4th quarter and year ended March 2023. I hope you all had an opportunity to review our press release and the investor presentation which are available under the Investors section of our website and

the same are accessible in the BSE and NSE websites.

To discuss our results, we have with us our CEO & Managing Director – Mr. Arun Krishnamurthi and our Group CFO – Mr. Shashidhar S K. They will take you through our results and business performance after which we will proceed for the question & answer session.

Before we begin the conference call, I would like to mention that this conference call may contain some forward-looking statements about the Company which are based on the beliefs, opinions, and expectations of the Company as on date of this call. The actual results may differ materially. These statements are not guarantees of the future performance of the Company and involve risks and uncertainties that are difficult to predict.

I now hand over the call to our CEO & MD, Mr. Arun Krishnamurthi. Over to you, Arun.

Arun Krishnamurthi: Good evening everybody and good morning to those of you who are calling in from North America. Welcome to our Q4 and FY23 Earnings Call.

I also have Shashi who is our CFO and I will hand it over to him after I finish my introductory comments.

To begin with, I am happy to report that our performance in FY23 closed on a high note with the highest ever revenue and profitability recorded in the history of the Company. This is my first full financial year in AXISCADES, and it has been around strengthening the core of the organization. Since the new team took over the Company, we have been able to strengthen this by creating a new organizational structure with emphasis on positive culture, profitable growth, cash flow generation, and diversification of our customer base.

The incentive structure of the top management revolves around the same principles. The Company in FY23 posted consolidated revenue of Rs. 813.6 crores, growing by 33.7% from Rs. 608.4 crores in FY22. In USD terms, the Company recorded revenues of \$101.8 million, growing by

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24.3% from \$81.9 million recorded last year. The Company has grown sequentially in every single quarter from Q1 FY23.

AXISCADES scaled new heights on the back of several operational and financial performance milestones achieved this year. I draw your attention to a few strategic updates:

As has been elaborated in our previous earnings calls, the Company has made considerable progress this year in derisking the business with a three-pronged approach of vertical diversification, customer diversification, and embedded and digital first.

During the quarter under review, we signed a strategic partnership with Mangal Industries Limited, a part of the Amara Raja Group who are most famously known for the Amaron batteries. This strategic collaboration with Mangal Industries will leverage AXISCADES' proven capabilities in engineering services and take it to the next level with cutting-edge product design, manufacturing engineering, and industry 4.0 solutions for our clientele

One of our major clients in the automotive sector, which is Bosch, recently held their maiden Enrico Partner Day, an exclusive event held for Bosch's strategic partners. AXISCADES was conferred as the Rising Star Award in the embedded electronics category, a testament to our quick scale up and credible progress made in this segment.

Our integration with Mistral is progressing as per plan and we continue to synergize our offerings to our current and potential customer base across the group. I'm happy to report that Mistral continues to expand its business and has recorded excellent performance this year. With revenues growing by 40.2% from Rs. 196.4 crores to Rs. 275.3 crores with improved profitability. It's heartening to report that our recent foray in the automotive and energy segment is scaling up well. Both segments have delivered robust growth north of 50% in this fiscal year. Going forward, both these segments will grow substantially and will form a significant portion of our revenues. Our growth in the aerospace business, which is an area that we are very strong in, gathered pace in FY23 and has grown by 44.3% over the previous year. We are working towards gaining more wallet share from our existing clients in aerospace by leveraging our competencies from Mistral.

As mentioned in our previous call, we have now begun to execute on our enhanced long-term contract with Airbus and have recently established a new delivery center in Broughton in the United Kingdom.

While our heavy engineering business remained flat during the year due to macroeconomic factors, we are hopeful that FY24 will be a growth year for the Company in this vertical considering the many new initiatives that are planned in this segment. Our product and engineering services business under Mistral grew by 33.5%, and we are focused on maintaining this growth trajectory with the opportunities available in this sector. We have cross leveraging competencies available across the Group and are deploying them with our combined customer base of group companies.

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Our products and solutions business which is the defense business representing our defense vertical grew by more than 50% over the previous year and we are bullish on the opportunities and order pipeline that we have built.

In our previous earnings call, I was happy to report that Q3 was a historic quarter for us, recording our highest ever quarterly revenue in the history of the Company. It gives me even more satisfaction to inform you that in Q4, we have surpassed the Q3 numbers and have recorded consolidated revenues of Rs. 223.2 crores, clocking a growth of 4.6 % quarter on quarter and 16.3% year on year.

While pursuing revenue growth, we have also maintained our profitability with our reported operating profits for Q4 FY23 and for the full year FY23 significantly higher than the previous periods with our margin profile continuing its upward trajectory.

To conclude, in FY23, we embarked on a journey of business transformation and we have made considerable progress in derisking the business. In FY24, our focus will be to further consolidate our business to make it more sustainable and profitable. We are constantly raising the bar with our diversification and digital-first strategy and continue to engage deeply with our customers. We continue to build on our order book and long-term contracts with the aim and objective of delivering better than industry growth rates. Let me take this opportunity to congratulate each and every member in the AXISCADES Group for their contribution in achieving this path-breaking year for the Company. We also thank our promoters, investors, bankers, partners and all stakeholders for their support in the year gone by and continue to seek your blessings in this journey.

I would now like to invite Shashi to take over and give a brief overview

of the financials.

Shashidhar S K: Good evening to everyone. And I once again welcome you all to this Earnings Call. I'm indeed delighted to report that in Q4 and FY23, we have registered the best ever quarter and fiscal year in the history of the Company.

As reported by Arun, the Company has grown sequentially in every single quarter from Q1 of FY23. And in Q4 of FY23, the Company recorded consolidated revenue of Rs. 223.2 crores and grew sequentially by 4.6% and year on year by 16.3%. The full year FY23 consolidated revenue is Rs. 813.6 crores, growing by 33.7% in INR terms and 24.3% in dollar terms. As elaborated by Arun, all verticals saved except for heavy engineering, which was kind of flattish, recorded robust growth with positive visibility in FY24. So, the reported EBITDA and revenue, mind you, excludes other income for Q4 of FY23 is at Rs. 44 crores at an EBITDA margin of 19.7% as compared to Rs. 29.6 crores at an EBITDA margin of 13.9% recorded in Q3 of FY23. The EBITDA for Q4 same period last year was at Rs. 28.1 crores at 14.6%. The reported EBITDA and revenue, which again excludes other income for the full year FY23, doubled at Rs. 137.5 crores at an EBITDA margin of 16.9% as compared to Rs. 68.7 crores at an EBITDA margin of 11.3% recorded in FY22.

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During Q4 FY23, I want to draw the attention of the forum that the Company received Rs. 21.1 crores, almost about \$2.5 million, in our US entity from the US government as a payroll subsidy for COVID, which was a long time in waiting. And the Company also took an additional charge into P&L of Rs 5.6 crores on share warrants to be issued by Mistral Solutions and an amount of Rs. 2.1 crores as an additional ESOP charge resulting in a net one-time benefit of Rs. 13.3 crores, which forms part of the reported EBITDA. Adjusting for the net benefit of Rs. 13.3 crores in the P&L, the normalized EBITDA for Q4 FY23 stands at Rs. 30.7 crores at an EBITDA margin of 13.7%, similar to that of Q3 of FY23 where it was at Rs. 29.6 crores at 13.9%. Same period last year Q4 of FY22, the EBITDA was at Rs. 28.1 crores at 14.6%. The normalized EBITDA for the full year FY23 stands at Rs. 124.2 crores at an EBITDA margin of 15.3 % as against FY22 of Rs. 68.7 crores at 11.3%. As such, the normalized EBITDA for the year FY23 has improved, in absolute terms, by about 80% and by 397 basis points by way of EBITDA margin. Please note that the EBITDA margin does not include other income of Rs. 3.8 crores in Q4 of FY23 and Rs. 14 crores in the full year of FY23.

The PBT in FY23 before exceptional item stands at Rs. 89.1 crores as compared to Rs. 38.5 crores in FY22. As we have reported in the previous earnings call, the Company has taken an exceptional charge of Rs. 68 crores in the consolidated financial results which is solely related to Mistral acquisition and pertains to the additional consideration and interest due to Mistral under interest accrued on optionally convertible debentures which is not part of the original consideration of Mistral. With the closure of Mistral acquisition in FY23, all of this is behind us and no other exceptional charges are expected in FY24.

The Company's provision for tax for FY23 is Rs. 25.8 crores while the reported PAT loss for FY23 is at a negative Rs. 4.7 crores and adjusted for this exceptional charge, the PAT for FY23 stands at Rs. 63.2 crores as against Rs. 24.4 crores recorded in FY22.

I would like to draw your attention to our previous earnings call where the Company apprised the investors that it took an incremental debt of around Rs. 215 crores at very high rates of interest due to the tight timelines imposed by the arbitration tribunal for the acquisition of Mistral Solutions. We are happy to inform you that the Company has now refinanced this entire debt which will result in reducing the interest cost si

gnificantly. You will see this impact of the lesser interest cost kicking in from FY24. The drawdown with respect to the said refinancing is expected in the next couple of weeks. The said facility comes with a balloon repayment schedule extending to 4 years and the Company also in March 2023 fully repaid the foreign currency term loan which it had taken from HDFC Bank. All of these actions will free up additional cash flow for the Company and also the incremental EBITDA as what would come in from the growth as what is expected in FY24, which will go about to fund the Company's growth and expansion. Taking this into consideration, the Company has consciously delayed its plan for primary capital raise.

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To conclude, in FY23, the Company has been largely successful in setting upon the path of sustainable growth and profitability and strengthening the balance sheet and we are confident of building on this momentum in FY24 and beyond.

We'll now open the floor for questions.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Jyoti Singh from Arihant Capital Markets. Please go ahead.

Jyoti Singh: Sir, my question is on the segments side. As the HEG (Heavy Engineering) this time was flat, what kind of new strategy that we are following to make it grow? And second, if you can guide us on the margin front for going forward FY '24-25. And apart from that, if you can throw some light on the growth guidance on the top line.

Arun Krishnamurthi: As far as heavy engineering is concerned; the slowdown was primarily because some of our customers felt the impact of the macroeconomic crisis. We are now seeing some of that ease off. So, we are hopeful that FY24 will be better. In addition to that, as you know, as a Company, we have been primarily in the mechanical engineering space. But some of our customers in this space are increasing their investment in both embedded and digital. And I'm glad to say that we have made some small inroads in digital where we are starting some projects in data analytics and other areas of digital. And we are also putting together a campaign where we are taking the embedded capabilities of Mistral into some of these customers. Our two-pronged approach, one is of course, the economic climate will hopefully improve and that will give us a fillip. But more importantly, we will be increasing the exposure of our revenues in the embedded and the digital space and we have already made inroads. We have also hired a salesperson in the US who comes from one of our competitor companies who's got many years of experience selling into embedded. And of course, now that Mistral has been completed as an acquisition and is a 100% owned subsidiary, we will be looking at leveraging them to take our capabilities there. With this, we are looking at changing the profile of our revenues and therefore looking at some growth coming in FY24. The second and third part, Shashi, maybe you can talk about the margin profile as well as the growth for FY 24.

Shashidhar S K: Basically talking about the growth, as Arun was explaining, all of the new verticals that we have gotten into, whether it is energy or automotive or the payment solutions, we are expecting that it will gather pace. While we do not want to give specific guidance, we are wanting to improve upon what we have achieved in FY23. Not of course the 33% what I was talking about, I'm talking about the industry growth rate which is in the region of around 11% to 15%. We are hopeful that we will be growing in terms of revenue anywhere between say 18% to 20% in FY24.

Arun Krishnamurthi: Just to add is that of course, like Shashi said, we don't want to give specific guidance. But what I can tell you is that the plan

that we have taken for FY24 is quite aggressive and like Shashi
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said, we will be looking at growing beyond industry growth rates. If we are able to achieve that, it will be a good outcome.

Shashidhar S K: Talking about the margin profile, as you would have seen, we are at a normalized EBITDA of

15.3%. Of course, in FY23, the COVID revenues came back and quite a lot of, I would say, positive developments were there in terms of each of the verticals which we service, especially the aerospace business came back.

Our objective is to kind of reach the metrics as what the industry best metrics which is in the range of 18% to 19% in the next couple of years. We will continue to look at the margin profile at each vertical level and at each customer level, and our objective is to, as I said, bridge this gap between the industry best EBITDA margin around 18% to 19% from where we are at 15.3% in the next couple of years.

Moderator: The next question is from the line of Pradyumna Choudhary from J M Financial. Please go ahead.

Pradyumna Choudhary: I have the following question. First one, we are seeing very good traction in the auto space.

Could you provide some more details on which country particularly, which geography we are serving in, and what kind of services? Where I'm coming from is because earlier we were hoping to grow very well in Europe through our acquisition, which failed through, and you explained the reasons last time. I'm just trying to understand the kind of traction we are seeing, where it is coming from. Second is regarding the degrowth. A sharp Q-on-Q degrowth we've seen in Europe and the US. If you could explain that further and also the fact that we've grown very sharply in APAC. Which geographies within APAC would be contributing to that kind of growth? And thirdly, the product engineering and product solution space, I think these are mainly defense related verticals. Are these the kind of verticals where there might be some bulkiness in revenues and so it's better to look at year on year rather than Q-on-Q? And just my last question would be on the digital capability side. I think you've been trying to develop digital capabilities on your own organically. Could you provide further details regarding how that's coming up and what exactly you are doing working towards there? These are my questions.

Arun Krishnamurthi: Pradyumna, thanks for your questions. Firstly, the automotive space is a big focus area for us, and we have been consciously investing in this, and this year has been a good success, I would say, from a hunting perspective where we have added 3-4 very prominent logos. The areas that we are looking at predominantly, of course, we have a lot of mechanical heritage, so we will do some amount of mechanical work. But we are predominantly looking at areas like software development, software testing, ADAS, AUTOSAR, bootloader software, and infotainment. These are the areas that we are looking at. And some of the big clients or rather the big logos that we have signed up, this is the area in which our services are coming in. I would say that we have good traction in Europe. As far as our current automotive base is concerned, we have a couple of big brand names from Europe. That is definitely working well. But having said that, this year we are looking at expanding the automotive landscape in the US as well because clearly there are a lot of opportunities there and there are some big names out there. So, this year we will hope to make some good sales and hunting traction into the US. I would say current status

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so far it's been predominantly Europe based and some in India. But a lot of the work has been in the software testing, software development, AUTOSAR, etc.

And as far as inorganic growth is concerned, we are

still looking for a partner and that is

something we are serious about. We are looking for somebody in Europe or in North America who can give us some good capabilities in the automotive space. As and when we are able to find a good target and do the due diligence, we will look at completing that.

In terms of APAC, your third question, and the degrowth part, I'll first answer the rest of it and hand it to Shashi on the second part which is degrowth in Europe and the US. It's really more growth which is happening in other areas. That's really the way I represent it. But as far as APAC is concerned, it's predominantly India for us. Most of the business that we are seeing.... and what's happening in engineering services is that a lot of global clients are ramping up their captive centers. Whilst on one hand we have established relationships in Europe and North America, the captive centers in India are also becoming quite prominent and quite sizable. It is not a market that we want to ignore, and we have made some very good progress with some captives of global companies in India. I would say most of the APAC growth has come from that category of customers. There are a few Indian customers with whom we have started a relationship as well. But I would predominantly say large engineering centers and captives of global companies are the focus. There are some small opportunities in the Middle East that we are looking at, and of course, with the focus that we have on the energy business, you will see that there will be more business coming in from the Middle East because clearly if you want to be prominent in energy, it has to be Middle East, it has to be Houston, and to some extent it has to be Aberdeen in Scotland. So, we will look at some growth happening from the Middle East with energy as well.

The third question was on the product solutions. Clearly, for us, the defense business is critical and it's on a growth path as well. One is because the opportunities are expanding, there's more

Make in India. The Defense Minister has said that they will look at more in digitization. That's clearly an opportunity for us. But we, as you know and we have spoken in the past, have very strong differentiation when it comes to the electronics part of the defense. So if you look at radars, if you look at sonars, if you look at telemetry devices, if you look at drones as well as anti-drones, these are the areas in which we are very strong. We will continue to push into these electronic components in defense and that's why we are seeing significant growth, and I would say that we already have a big design-win pipeline over the next 10 years. And in the last financial year, we have been able to add on another 4 or 5 projects to the design-win pipeline, which means that the production will happen over the next 10 years. So, we will see very good growth and very good quality of revenues coming in from the defense business. We are very well differentiated here. We have extremely strong relationships with the labs, the likes of DRDO, LRDE, NPOL, etc., and also with production partners like BEL and HAL. This is something that will grow for us.

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Digital has been a super focus area for us for 2 reasons. One is, of course, the market facing the use cases that the industry provides, whether it is automotive, aerospace, or heavy engineering. Like I said, we have started some relationships with clients, some small projects have started, so we will look at expanding this. But the second aspect of this is what we are doing to ourselves in terms of bringing in automation initiatives in terms of being smarter and some of the profitability growth that you have seen. The EBITDA improvement that we have seen is because of the fact that we have put in a lot of intelligence automation. We implemented some AI and ML and we will be doing more

of this going into FY24 because a lot of the engineering work

that we do is actually amenable to some of the new AI and technologies that are available. We feel that there is a significant opportunity for us to change the business model by which we deliver. Of course, there will still be a lot of people element, but we hope to increase the use of tools, the use of platforms, and the use of digital in order to deliver services to our clients.

Shashidhar S K: Basically, I think Arun has answered all of the questions. In terms of the growth in APAC as what we have reported, we have grown by 56%, and most of it is defined by our products and solutions business which defines our defense vertical, which has grown from Rs. 157 crores in FY22 to Rs. 238 crores. That's what defines our growth in the APAC region.

Pradyumna Choudhary: Regarding the Q-o-Q degrowth in the US and Europe?

Shashidhar S K: That is mainly coming from our heavy engineering business as what we explained where in Canada our business de-grew. That's mainly because of the Bombardier business which went into a bit of a lull and on the US business, it's mainly because of the Caterpillar business which represents our heavy engineering business. All of this, we hope, is going to come into shape from FY24 onwards.

Pradyumna Choudhary: Just a follow-up, the heavy engineering degrowth was 3.7% Q-on-Q. Europe declined by 13% Q-on-Q and the US declined by 10% Q-on-Q. That's where I'm coming from. Why are we seeing such sharp numbers in Europe and the US.

Shashidhar S K: Europe actually year on year has grown by 43% and the US has grown by 17.1%. Canada, of course, as I told you, has de-grown by 1% as a result of the Bombardier business. And APAC has grown by 56%. Where are you seeing this degrowth in Q4? Let me just go back to the numbers. Even in Q4, APAC grew by 38.5%.

Pradyumna Choudhary: APAC and Canada grew Q-on-Q whereas Europe and the US declined; on the slide #10 of your presentation.

Shashidhar S K: Europe is essentially from our products and solutions business. It de-grew by 30.4% as a result of the revenues which came from our defense business in our defense subsidiary. It was more in Q1 and Q2 as a result of which the Europe business came down. And the US 10.3% de-growth mainly because of the Caterpillar business.

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Arun Krishnamurthi: For our defense business, I think in the past also we have said that it's difficult to measure defense business on a quarter-on-quarter basis. It is probably a better yardstick to look at it as year on year because there is some lumpiness which happens. So, we look at defense more as a long-term business. And the quarter-on-quarter fluctuation that you see is something that is a part of the course as far as defense is concerned. But I can tell you that and of course, in Q4 also, you have a slow start because of the New Year. A lot of the western world, especially Europe and North America, the first 2 weeks is practically closed for most manufacturing companies. Because of that also, there is a bit of that and most of our billing happens on the number of days that we work. But from the core of the business and from the health of the business, there is

nothing to be concerned about. We are actually seeing quarter-on-quarter demand growing.
Moderator: The next question is from the line of Inder Soni from Ruane Cunniff. Please go ahead.
Inder Soni: Now that Mistral is 100% part of your Company, what are your long-term plans for Mistral? And then separately, you talked about anti-drones. What are you doing in that area in the drones & anti-drones? Can you talk about that as well?

Arun Krishnamurthi: Yes, Mistral is now completely a 100% subsidiary of AXISCADES. The plans that we have are as you know that we have defense both as a subsidiary within AXISCADES and obviously it's a significant

part of Mistral. So, the short-term initiative that we have is that we are looking at synergizing the defense business between the 2 subsidiaries because we actually have complementary strengths. If you look at Mistral, they do a lot of work with the labs and they do a lot of product development in the sonar, in the radar as well as the telemetry space whereas with the AXISCADES subsidiary, we work with the offset partners. We work with companies like Thales and MBDA and we also work with the Ministry of Defense. The good part is that both of these could come together and they could be complementary and we will be looking at how we can cross leverage this and given that defense is on such a role, we are confident that with the combined capabilities, we can do much more.

The second part is that Mistral is very strong in the PES (product engineering space) which is the semiconductor industry and this we are seeing as a very strategic differentiator because if you look at it, every single industry vertical that we are present in, there is growth of embedded, there is growth of digital. And the capability in silicon is something that most of our customers, both existing and new customers are looking for from these verticals. So, we will be looking at taking the PES capabilities to all our customers. And in an earlier question I had said that we are looking at how we can synergize Mistral embedded capabilities. This is exactly what I meant. The semiconductor capabilities that we have with the silicon companies, we can take it to Airbus, we can take it to Caterpillar, we can take it to Bosch, because all of these guys need a lot of embedded skills. That's the second part that we will be looking at with Mistral. And we are, I would say, in a very unique position. If you look at it, most companies in the defense space are purely defense. We are in the unique position where we have a good mix of defense as well as commercial, which I think is a great spread for us because we can also cross leverage defense capabilities into commercial.

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As far as drones and anti-drones are concerned, we have developed an anti-drone system for the Indian Army, which is a portable carryable anti-drone system. We had an order for 100 units out of which forty have been delivered. Sixty more are being delivered in the next couple of months or so. And there are some repeat orders which will come in for anti-drone. That is very good capability that we have. These are basically electronic systems which can jam communications of hostile drones. That's where we are focusing on from anti-drone perspective. From a drone's perspective, there are a couple of areas that is a focus area for us and this again comes from, the anti-drone comes from AXISCADES and the drone comes from Mistral. We are looking at something called a tethered drone and we are also looking at something called a heavy payload drones. These are basically drones wherein the tethered drone is connected through a cable. It can be quickly used in a disaster. For example, if there is an earthquake or there is a situation which escalates from the border area, you could have a tethered drone which could go up and which could provide surveillance, it could provide video footage, it could provide information about either hostile territories or about any situations which are developing. This is because of the fact that it's connected, it has unlimited power storage, it can work for hours on end and it can be valuable. It's like a lighthouse in the sky, I would call it. This is one area where we are focusing on developing our capability.

The second thing is what are called heavy payload drones, where we have drones which can take up to 30 to 40 kgs of load. Because if you look at India, the unique thing is most of our borders are along the mountains and even now a

lot of goods and lot of ammunition, etc., is carried through on the road or on animals. There is a huge use case for actually carrying 30 to 40 kgs and there are not many of these drones available which can ferry equipment and all of that. That's the other area that we are looking at. And there are very good discussions we are having with the armed forces for some of those. This is the combined focus area that we have on drones as well as anti-drones.

Moderator: The next question is from the line of Sumere Choksy from Indus Equity. Please go ahead.

Sumere Choksy: Just to understand a few things; with regards to the planned equity raise, I think last time in the analyst meet, you had given guidance that you are looking to raise Rs. 130 crores as I understand. Is this deferred as of today or what are our plans for it?

Arun Krishnamurthi: Sumere, the primary reason for equity raise was that we had a body of debt on our books. We have had very good discussions and we are in the final stages, like Shashi said, of refinancing this and we are able to do this at much better interest rates. So, that burning platform for raising equity is not there. Secondly, now that we have a business where the EBITDA is increasing, we are generating more cash, and the profitability is going up, we feel that we are self-sustainable and we are on the path of that. We would want to wait for better valuations before we go and issue fresh shares and raise primary. The reason that we were in the market was that obviously at that point there was a need for it. But now that we have made some progress in terms of refinancing and in terms of improving the health of our business, which actually is the best thing to do. We are becoming more self-sustaining, more cash generative, and more profitable. The
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urgent need is not there anymore. We will wait for a better valuation and then we will do it at that point in time.

Sumere Choksy: As a follow-up to this, in the last interaction, you had mentioned that our foray into Europe, particularly on the automotive side, given we needed to potentially tap into, say, the German market where you have got the big boys like Daimler and BMW as well as you were mentioning a few more planned acquisitions, say, in the energy space like the deal with the ex-Aramco, all of these, do we have sufficient ammunition? Are we still planning to go ahead with these planned acquisitions or how we are looking at this strategically? Because I think at least on the auto side, consolidating and further expanding in the European market seemed like a focus. Is that still the priority?

Arun Krishnamurthi: Absolutely it is. Like I answered in one of the previous questions, we are still in the market for an acquisition in automotive in Europe. That is a focus area for us. Of course, having said that, we want to make sure we do the due diligence because as you are aware, when you acquire an entity in Europe, depending on which country it is, the labor laws are very strict. So, you got to be 100% sure that it is not going to be margin diluted, it is not going to be a drag on the business, and that truly there is synergy and there is a fillip to the business. But having said that, there are many good companies out there, and this is something which is a strategic priority for us. And for sure, this year we will look at whatever we talked about so far was about organic growth, but inorganic growth, especially in sectors like automotive, is a huge focus for us. We are definitely on that road. Hopefully, if things go well, we will come back to you and announce that we have been able to go ahead with somebody.

Moderator: The next question is from the line of Pankit Shah from Dinero Wealth. Please go ahead.

Pankit Shah: Actually, if I go back to last quarter where we guided some \$30 million to \$35 million of executive

on this quarter and we probably are some short of it, and if I exclude one-time income, there was a degrowth quarter on quarter. Is it the right way to look at it and what went wrong probably where we were thinking to execute \$30 million to \$35 million?

Arun Krishnamurthi: I probably do not understand how you are computing these numbers. Maybe Shashi, if you can, because as far as we are concerned, there is clearly growth in the business. You might want to explain to us how you are seeing the degrowth.

Pankit Shah: This one-time income which came in from the US government, is it included in the revenue?

Shashidhar S K: No, that is not a part of revenue. That has been netted off from the payroll cost of our US entity.

That's not part of revenue. The revenue is pure growth. As we have reported, we have grown 5% quarter on quarter and we have grown 16% year on year as to Q4 revenues are concerned.

Arun Krishnamurthi: Our growth from Q3 to Q4 has been Rs. 213.4 crores to Rs. 223.2 crores, which is 4.6% growth. Clearly, there's been very good growth quarter on quarter.

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Pankit Shah: The other thing was on the order book side, if you can give some idea what's happening and how much order book is pending, what was feed in the quarter, anything there? And of course, order book, considering Mistral also, are we seeing any confirmed order or how big is the pipeline? If you can give some visibility for coming years?

Arun Krishnamurthi: Obviously, this is confidential information for the Company. I can give you some guidance which will sort of probably give you the comfort. Firstly, on the defense side of the business, when we look at the projected plan for the following year, we almost have 90% to 95% confirmed orders. Like I said in one of my remarks that defense is a long-cycle business. Things don't move that much on a quarter-to-quarter basis. We pretty much know what will happen the next year and I would say even for the following year. Whatever growth plans we have taken for FY24 for the defense business, I would say almost 90% to 95% of the order book is already there, which is a great position to be in.

As far as the non-defense part of the business is concerned, I would say that we have upwards of 55% to 60% of the plan which is already confirmed order for us. And also, with some of our big clients, the way it works is that we get quarterly POs. Whatever I'm saying 50% to 55% is the visibility as of 31st of March. But then as we enter into the quarter, we will get POs from clients. And engineering services as such is a very stable business. The good thing with engineering services is that it is very sticky. Once you work with the client, you get good business. But the flip side of that is that getting into a new client is also hard. That's why we are focusing so much on sales. But what I'm trying to say is that even on the non-defense side of the business, already confirmed order book of 55% to 60% and the rest of it is also not something we need to worry about. I would say there is only a very small percentage, something like 5% to 8% of our plan which will be new revenues that we will need to work on through the financial year.

Pankit Shah: One more point on the fixed price. If I divide the revenue by project, the fixed price has increased by 6%. How should I read this? Is it because the complexity of business is increasing and we are getting better quality projects? Or how should we see this?

Arun Krishnamurthi: Firstly, this is a very positive trend. You typically get fixed price projects if the client has confidence in our capabilities because what it really means is they are giving us end-to-end projects. Firstly, the 54% to 61.6% movement indicates that we have increasing confidence from our customers. The second thing about fixed price is that we can manage the pyramid, we can

manage the resources that we put in, and some of the productivity initiatives that we put in, whether it is on a digital front or other productivity initiatives, the benefits that we can harvest are things that we can keep for ourselves. Because with T&M projects, what happens is that you have a contract, you bill man to man, and if there's any productivity, the benefit really goes to the client. So, for us, it is not really, at least in the short term, not productive. In the long term, it could be. But with fixed price, I would say that gives much more leverage for us to be more profitable. And of course, from a business perspective, it means more confidence in AXISCADES from the client's perspective.

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Pankit Shah: On the revenue side which I was asking earlier, if I go back to our last quarter details, we were about to execute \$30 million to \$35 million worth of business and probably we ended at \$27.7 million. I was just thinking that there was some delay in execution or it has shifted to next quarter. Just your thoughts on it. Or probably we delivered as per expectation?

Arun Krishnamurthi: Yes, we have actually delivered beyond expectation. I don't know where you got this figure of.... \$27.7 million is what we have done for Q4, which is correct. But I don't know where you got this figure of 30. I don't think we communicated that.

Pankit Shah: There might be some error from my side. No problem.

Moderator: The next question is from the line of Naveen Bothra, an individual investor. Please go ahead.

Naveen Bothra: Congratulations to entire team of AXISCADES for outstanding financial results in the very first year under the new leadership team of Mr. Arun Krishnamurthi, Mr. Shashidhar as well as IR and all the senior officials. My question is to Mr. Shashidhar. Regarding our debt levels we consider non-current and current books, it's around Rs. 310 crores at the standalone level. Cash we are having Rs. 19-20 crores in the standalone books and in consolidated we are having around Rs. 100 crores. My question will be a trade-off as Mr. Arun already explained that we will wait for better valuations as we are not in a hurry because of the refinancing, it's already done. But seeing the current volatility around all the geopolitical as well as the semiconductor and all these issues, would it not be better to raise some primary capital at AXISCADES level or either we will go for value unlocking in Mistral through IPO valuations? Your views please? It will be quite helpful, sir, because we have taken a charge of around Rs. 5.6 crores in this quarter for CCPs/warrants issued to earlier financial debt providers. Your views, sir?

Shashidhar S K: As far as Mistral is concerned, at the moment, we do not have any plans to monetize Mistral by way of an IPO or anything. But as you rightly observed, at a consolidated level, our net debt is around Rs. 190 odd crores which is a very healthy number as compared to the total net worth of the balance sheet, which is just about 0.55x. As Arun said earlier, it is not that we have completely given up the plan for the capital raise. We are waiting for the right moment. At the moment in terms of our estimations in terms of the projections as what we have, we should comfortably be able to service both the debt as well as our growth plans for FY24 with respect to what we have projected. Even the new refinancing as what we have done, that itself will release quite a substantial amount of cash in terms of reduced interest costs as also the fact that now we have repaid a foreign currency term loan which we had with HDFC Bank and also the current refinancing as what we are planning, it comes with an extended repayment schedule. All of this makes us comfortable that we should be able to service our obligations comfortably and also the growth plan. As I said, we have not real

ly given up but we have kind of delayed or

deferred and we will definitely wait for the opportune moment to raise the capital.

Naveen Bothra: Just a follow-up to this one. The refinancing of Rs. 210 crores is coming at 4% less, but we see that around Rs. 60 crores from the promoter Jupiter is around 20% rate of interest. What is the timeline for repayment of this Jupiter?

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Shashidhar S K: All of this, the entire amount of Rs. 210 crores which we are raising will go about paying the entire financing which we did from the earlier alternate investment fund, Rs. 145 crores which came at about 16% interest. And we will pay about Rs. 20 crores to Tata Capital, which is again at about 14% interest. And the entire amount which was vowed to the promoters is also being repaid with this refinancing. The entire balance sheet which stood as of 31st March 2023 with respect to the high-cost loan is going to be completely off and it's going to be replaced by this competitive rate of interest loan as what we are refinancing now.

Naveen Bothra: Just a follow-up Mistral valuations which we said that CCPs/warrants we have issued to earlier investors of that. Is there any terms with them that in the next 18 months from the raise of that finance, it will be converted into equity? How would you like to define it, sir?

Shashidhar S K: They have an option to convert that into equity over a period of next 36 months. And it comes also at a valuation as what we determined at the point in time when we raised this finance. So, they have one of the options to convert it into equity over the next 36 months.

Moderator: The next question is from the line of Mohammad Afroz, an individual investor. Please go ahead.

Mohammad Afroz: Sir, I would like to ask regarding as earlier said in the last quarter. What we have the plan to issue the equity and when it is going to be executed? And second is what we have the plans to regarding the debt reduction?

Shashidhar S K: I think we just answered that question. With respect to equity raise, as we explained in detail, we have delayed the equity raise as a result of the refinancing as what is being done and our confidence in the free cash flows as what we are projecting for FY24.

Moderator: The next question is from the line of Rupesh Tatiya from IntelSense Capital. Please go ahead.

Rupesh Tatiya: My first question is when I look at the segmental, the strategy and technology group has revenue of Rs. 230 crores and PBIT of Rs. 25 crores roughly. Roughly 10% margins I see. When I look at other defense companies working in radar, sonar, and these kind of segments, I see that their margins are much higher. Can you please explain why our margins are so low in this segment?

Arun Krishnamurthi: Certainly, Rupesh. Firstly, in the defense business, the way it works is, when we do product development, there are 2 phases to a project. When we tender for a project, we basically have a phase of R&D. Depending on what program it is, the first 5 to 6 years go into design and goes into R&D for the project. Once that 5 to 6 years is done, once the product is ready, then we go through a certification process with the customer. Once that product is certified, then it moves into the production phase which could be for the next 5 years or 10 years, etc. So, the way it works from an EBITDA perspective is that the R&D part is when we need to invest. And when I say we need to invest, we get some advances from the customer, etc. But having said that, there is still a lot of R&D phase because we need to look at components, we need to look at design, we need to validate all of that. And the EBITDA during the R&D and the design phase is less compared to the production phase. So, typically our EBITDA during the design phase is in the

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region of about 10%. But once the product is certified and once it gets into production, then the EBITDA jumps to anywhere between 45% to 50%. So, the way the defense business works is, in a particular year, it depends on how many R&D projects you have and how many production orders you have. The good news is that we have a significant amount of design wins, and over the next 3 to 5 years, you will see a lot of those production orders starting to kick in. In FY23, we did a lot of projects which are in the R&D space. But it's important to do that because once you do that and the product is certified, then the next 5 to 10 years is when production kicks in. The reason that the margins are at 10% is because of the fact that we had more R&D projects as compared to production projects. If you look at some of our competitors, and I don't want to name them, but if you go back 2-3 years, you will see that they were in the R&D phase and they were in the lower EBITDA region. But now that production has kicked out for them, they are seeing better EBITDA. You will see that playing out for us in the next few years as well, where we will have more production orders coming in and where the EBITDA will come in. That's really the way the defense business works.

Rupesh Tatiya: In this Rs. 238 crores, is there any production revenue or everything is R&D revenue?

Arun Krishnamurthi: No, there is some production revenue.

Shashidhar S K: The total quantum of revenues recorded by Mistral of Rs. 275 crores, about Rs. 39 crores came

in from production orders where the EBITDA was about 22%. And the majority of it, which was around Rs. 110 crores came in from the prototype development as what Arun just now described, which was a very marginal kind of EBITDA.

Rupesh Tatiya: Mistral also has a 50% non-defense business which also is a very specialized sort of business. What was the revenue there and what kind of margins we make in that part of the Mistral piece?

Shashidhar S K: In FY23, the margins rather the revenue from the PES business as what we call it, was Rs. 127 crores out of the Rs. 275 crores. And the EBITDA margin what we got from that was around 31%.

Rupesh Tatiya: Sorry sir, I missed the EBITDA margin number.

Shashidhar S K: 31%.

Arun Krishnamurthi: The PES business, the semiconductor business is extremely profitable for us because this is very high-end work. It's the kind of work that we do – work on silicon validation boards, we work on starter kits, EVM kits, for some of these chip companies. And the margins in that area are significantly high. If you really look at the whole business that we have, there are 2 rhythms to it. One is the services business which is all the aerospace, heavy engineering, automotive, and semiconductor where the margins are high. The defense business is more like a product development. It's like any product development where when you design a product, you need to invest, but when the production happens, you get the margins.

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Rupesh Tatiya: Just one clarification. Where are AXISCADES aerospace revenue recorded in your revenue by industry? Is it recorded in products and solutions?

Arun Krishnamurthi: It's recorded in Products and Solutions.

Moderator: In the interest of time, that was the last question for today. I would now like to hand the conference over to Nachiket Kale from Orient Capital for closing comments.

Nachiket Kale: I would like to thank everyone for participating on the call today and I would also like to thank the management for taking the time out from their schedule. Thanks for participating on this call. Orient Capital is the investor relations advisor to AXISCADES. For any queries, please feel free to reach out to us. Our details are available in the presentation. Thank you, everyone.

Moderator: On behalf of AXISCADES Technol

ogies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

AXISCADES Technologies Limited
(Formerly AXISCADES Engineering Technologies Limited)
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August 11, 2023

The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of India Limited
Phirozee Jeejeebhoy Tower, Exchange Plaza, 5 Floor, Plot C/1, G Block
Dalal Street Bandra – Kurla Complex, Bandra(E),
Mumbai 400 001 Mumbai 400 051
BSE Scrip Code: 532395 NSE Symbol: AXISCADES

Dear Sir/Madam,
Sub: Transcript of the Earnings Call with the Investor(s)/Analyst(s)
Further to our intimation dated 07
th August 2023, please find enclosed the transcript of the
Earnings Call with the Investor(s)/Analyst(s) which is hosted on the website of the Company
at www.axiscades.com
We request you to kindly take the above on record as required under the SEBI (Listing
Obligations and Disclosure Requirements) Regulations, 2015.

Thanking You,
Yours faithfully,
For AXISCADES Technologies Limited

Sonal Dudani
Company Secretary & Compliance Officer
Encl: A/a
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"AXISCADES Technologies Limited
Q1 FY '24 Earnings Conference Call "
August 07 , 2023

MANAGEMENT : MR. ARUN KRISHNAM URTHI – CHIEF EXECUTIVE
OFFICER AND MANAGING DIRECTOR – AXISCADES
TECHNOLOGIES LIMITED
MR. SHASHIDHAR SK – GROUP CHIEF FINANCIAL
OFFICER – AXISCADES TECHNOLOGIES LIMITED
MR. MUJAHID ALAM – CHIEF EXECUTIVE OFFICER –
MISTRAL
MR. SHISHIR GAHOI – HEAD, INVESTOR RELATIONS
– AXISCADES TECHNOLOGIES LIMITED

MODERATOR : MR. NACHIKET KALE – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to AXISCADES Technologies Limited Q1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shishir Gahoi – Investor Relations Head from AXISCADES Technologies. Thank you and over to you, sir.

Shishir Gahoi : Thank you very much. Good evening, everyone, and I am delighted to welcome you all to this earnings call for the first quarter ended June 30, 2023. I hope you all had an opportunity to review our press release and the investor presentation, which are available under the Investors section of our website and the same are accessible in the BSE and NSE website.

To discuss our results, we have with us our CEO and Managing Director Mr. Arun Krishnamurthi, Mr. Mujahid Alam, CEO of Mistral; and our Group CFO, Mr. Shashidhar S.K. They will take you through our results and business performance, after which, we will proceed for a question-and-answer session.

Before we begin the conference call, I would like to mention that this conference call may contain some forward-looking statements about the company, which are based on the belief, opinions and expectation of the company as on date of this call. The actual results may differ materially. These statements are not guaranteed the future performance of the company and involve risks and uncertainties that are difficult to predict. I now hand over the call to our CEO, and MD, Mr. Arun Krishnamurthi. Over to you, Arun.

Arun Krishnamurthi: Thank you, Shishir. Good evening, everybody. It's always nice to connect with you. I'm really glad to have Shashi, who's our CFO, joining me on the call as well as Mujahid Alam, who's the CEO of Mistral. We call Mujahid as Muju. This is the first time he's joining our earnings call and I'm sure you'll enjoy interacting with him.

I'm pleased to report that FY '24 has begun on the back of a strong performance in Q1, both in terms of revenue and profitability. During the quarter, we initiated new customer relationships, strengthened our business with our existing customers, closed a strategic acquisition, continue to build on our digital competencies, focused on strengthening our balance sheet and also enhanced our Board composition and governance standards. So as you can see, it's been a really busy quarter for us.

The company in Q1 FY '24 posted consolidated revenue of INR 214 crores, which grew by 17% from INR183 crores in Q1 of last year. In U.S. dollar terms, the company recorded a revenue of \$26.2 million, growing by 11% from \$23.6 million recorded in quarter 1 of last year. Our EBITDA grew by 45% year-on-year from INR23 crores in Q1 of FY '23 to INR33 crores in Q1 of this year and our EBITDA margin improved by 300 basis points for the same period from 12.4% to 15.4%.

We continue to gain wallet share from existing clients in aerospace and defense. Our new verticals of automotive and energy are gaining traction in their share of total revenue and the AXISCADES Technologies Limited

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order pipeline across all verticals continues to remain robust, except for heavy engineering, where the current growth remains flat. I'm also happy to inform you that we have signed definitive agreements with add Solution, GmbH, Germany.

This is a company that specializes in automotive solutions to global OEMs. It provides services in the areas of wiring systems, software testing and automation. This acquisition will provide a strategic foothold to us in the automotive space

with significant offshoring opportunities besides

getting us access to automotive contracts with marquee global automotive OEMs. This will also get us a foothold in Germany, which, as you know, is one of the biggest automotive markets.

The acquisitions of add Solution will further enhance our automotive capabilities. The acquisition is expected to close shortly and we hope to consolidate revenues for this business from September 2023 onwards. I'm also glad to report that our nascent verticals, automotive and energy segments are scaling up well. Their combined share of revenue in Q1 FY '24 was 8.4%, which grew from 5.4% in the same period of previous year.

Revenue from automotive vertical doubled, while the energy vertical grew by 25%. Going

forward, automotive and energy will constitute significant portions of our revenue. Our

Aerospace business has continued its growth momentum and grew by 29% year-on-year.

Revenue contribution from this vertical now stands at 30%. It's the highest in the last 8 quarters.

As mentioned in our previous earnings call, we have started executing the enlarged scope of business with our strategic customer and we are witnessing good momentum in this sector.

The Heavy Engineering business slightly declined during the quarter due to lower offtake and deferred client projects. We are exploring opportunities in digital and analytics in this sector and are hopeful that FY '24 will be a growth year for the company in this vertical, considering the

new initiatives we have launched in this segment.

The Products & Solutions business, representing our defense vertical grew by 20% over the previous year, recording revenues of INR62 crores, contributing 29% of our total revenue.

While the revenue from Mistral grew by 30% year -on-year, AXISCADES' Aerospace & Technologies experienced a degrowth of 23% year -on-year. And this is due to delays in certain inspections and approvals, which we expect will happen subsequently. However, despite lower revenues, both Mistral and AXISCADES Aerospace recorded healthy profitability during the quarter.

On the operations front, the company is currently implementing project resonance to realign the policies and practices of the parent company and our subsidiaries as one AXISCADES in order to bring about a high -performance culture in the organization. We have also effected certain changes and re deployed a global senior leadership team to prepare us for the next level of growth in the various geographies.

We continue to make significant investments to build our digital capabilities, which is critical to derisk our business and improve our margin profile, even though it may compromise our short -term margins. As already reported, the company is taking steps to strengthen this balance sheet

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and has just concluded the refinancing of the high -cost borrowing for Mistral acquisition, which will reduce our finance costs significantly.

With respect to governance, we are privileged to report that Dr. S. Christopher has joined our Board as Non -exec Non -Independent Director. Dr. Christopher served as Secretary, Department of Defense, Ministry of Defense Government of India and as the Chairman of DRDO , Director of Center for Airborne Systems, Group Director at Electronics and Data Development Establishment, which is LRDE and is presently engaged as a professor of practice in the Department of Electrical Science at the Indian Institute of Technology, Madras.

He is also the recipient of many accolades and rewards. The company stands to immensely gain from his experience and expertise in the technology and the defense space and especially in the defense domain. To conclude, in FY'24 and beyond, our focus is to build a well -governed and sustainable company with consistent growth and profitability by relentlessly delivering world -

class and cutting -edge engineering and technology solutions and products to our global clients.

I now request Muju to give you an update on the Mistral business.

Mujahid Alam: Thank you, Arun. I'm delighted to be part of this earning call. And this was...

Moderator: Sorry to interrupt you, you are sounding little distant.

Mujahid Alam: Hi, I'm audible now?

Moderator: Yes.

Mujahid Alam: Okay. And thank you, Arun. I'm delighted to be part of this earning call and report for FY'24 Q1

performance on Mistral Solutions. It has been approximately 6 months since Mistral became a wholly -owned subsidiary of AXISCADES and we are pleased to state that we are perfectly aligned with the group's objectives. We are working together be part of the growth story of AXISCADES .

As we all know, Mistral is a cutting -edge technology design and system engineering company, delivering technology solutions in product engineering space, aerospace , defense and homeland security with marquee clients, including many -- including Ministry of defense, DRDO, defense PSUs, with a legacy of delivering technology solutions for its customers for more than 25 years, Mistral sees exciting opportunities in both PES and defense verticals in the coming years.

We believe that Mistral and AXISCADES are perfectly positioned to leverage and synergize each other's capabilities to deliver quantum value to our customers, investors and stakeholders.

In the year FY'23, Mistral recorded a strong revenue growth of 40% with revenues reaching INR275 crores. In Q1 of FY'24, despite a weak quarter from product engineering services, we achieved a year -on-year growth of 30%, increasing from INR56 crores to INR72 crores.

The defense business contributed INR41 crores while the PES business accounted for INR31 crores. We are pleased to report an EBITDA of INR14 crores in Q1 of FY'24 compared to INR7 crores in the same period of the previous year. The EBITDA margin also saw a significant

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improvement, reaching 19% with an expansion of 700 basis points from the 12% recorded in Q1 of FY'23.

We are happy to note that defense order pipeline remains robust with Mistral entering the production phase of earlier developed prototypes for various defense programs. Production orders of a higher margin compared to development orders. In Q1 of FY'24, Mistral delivered

approximately INR15 crores of production orders compared to INR35 crores for the entire FY'23. In product engineering space, we continue to add global logos with strong growth potential, the Indian government initiatives and policies promoting Make in India in a defense electronics and semiconductor industries will open new opportunities for Mistral. Additionally, our proven track record in Indian defense services for global OEMs due to the competitive edge and advantage in the semiconductor space as global semiconductor companies are increasing, outsourcing the defense engineering tasks. Furthermore, the collaboration between DRDO and private defense companies in the form of DCP, that is development cum production partners that opened up new opportunities for Mistral in technology development and quick deployments.

In summary, we are optimistic about the opportunities developing in both the verticals and our integration with AXISCADES will bring incremental growth in revenue and profitabilities for both entities in the coming years. Now I invite our group CFO, Mr. Shashidhar, for an overview of the financial results.

Shashidhar S K: Thank you, Muju. Are you able to hear me Nachiket Kale?

Moderator: Yes, sir, we can hear you.

Shashidhar S K: Good evening to everyone, and I once again welcome you all to the earnings call. I am delighted to report that in Q1 of FY'24, we have continued our journey to improve revenue and profitability quarter -on-quarter. As has been explained

by Arun and Muju, we are in the midst of exciting developments in the industry as well as in the company in the ERD, semiconductor, embedded technology, and defense segments.

We are well -positioned to harness these opportunities and deliver growth and value to our customers, investors and stakeholders. The company has been consistently expanding its footprint in the last several quarters, both in existing verticals and new verticals such as automotive and energy and adding strategic logos in each of these verticals. The company is making considerable investments in digitalizing revenues and automating costs in order to expand revenues and enhance profit margins.

The company's inorganic growth strategy is aimed at augmenting competencies and capabilities and further enhance our global ambition, which will fuel our future growth of AXISCADES group. As reported by Arun, the company has achieved INR210 crores plus of consistent revenues in the previous three quarters and have increased the monthly revenue run rate by 22% as compared to Q1 of FY'23. In Q1 of FY'24, the company recorded consolidated revenue of INR214 crores and grew year -on-year by 17%, while there was a marginal revenue degrowth of 4% sequentially due to softness in heavy engineering , PES and lumpiness in the defense revenue. AXISCADES Technologies Limited

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However, the company is currently having a healthy order book to deliver on the revenue objectives for FY'24. The company's strategy to reduce customer concentration risk by diversifying into new verticals and developing strategic logos is bearing fruit. Business from other than top 10 customers grew by 39% year -on-year to INR50 crores in Q1 of FY24 from INR36 crores in Q1 of FY '23, this is expected to gather pace in the coming periods. And coming to profitability, EBITDA excluding other income for Q1 of FY'24 is at INR33 crores, up by 45% from Q1 of FY'23, which was at INR23 crores. The EBITDA also grew sequentially by 10% from the normalized EBITDA of INR30 crores in Q4 FY '23. If you remember, in the last earnings call, we reported that the EBIT DA of INR44 crores, which was reported in Q4 of FY '23 normalized EBITDA was of INR30 crores after removing the onetime net benefit of INR13 crores due to the COVID relief and other expenses which was recorded in Q4 of '23.

The consolidated EBITDA margin is at 15.4% compared to 12.4% in Q1 of FY '23, which has shown an improvement of 300 basis points year -on-year. EBITDA margin improved by 170 basis points sequentially against a normalized EBITDA margin of 13.7% in Q4 of FY '23. So EBITDA margins are maintained despite significant investment in human resource and yet to be margin accretive digital teams and the recruitment for the new logos and new verticals, which are yet to achieve critical mass.

The consolidated PAT in Q1 of FY '24 stands at INR5.7 crores as compared to a PAT loss of INR31.7 crores in Q1 of FY '23, after taking the exceptional charge of INR44 crores. The employee cost in Q1 of FY '24 of INR109 crores has gone up by INR2.4 crores only, just about by 2% quarter -on-quarter against the normalized employee cost of INR106 crores in Q4 of FY '23. The reported employee cost of INR85 crores should be adjusted for the onetime COVID grant payroll grant from the AXIS Inc. of INR31 crores, which has been set off from the payroll in Q4 of FY '23.

As has been reported, the company has refinanced high -cost debt of INR210 crores in Q1 of FY '24, the finance cost of INR30.1 crores, INR6.7 crores pertained to cost incurred due to

prepayment. Considering interest savings of around INR20 crores per quarter from refinancing, the finance cost should moderate to around INR11 crores to INR12 crores per quarter from what we reported in Q1 of FY '24 of INR20 crores at current levels of borrowing. That will start kicking in from Q2 of FY '24.

Th

The company has a strong balance sheet with net worth standing at INR326 crores at a consolidated level with sufficient cash generation happening at consolidated level to comfortably service our debt obligations and generate free cash flows. We are happy to report that CARE has upgraded the credit rating of the company to BBB+ stable from the earlier BBB. We are confident of further upgrades in the coming quarters. The company is also strengthening its governance process with a global controller taking charge to deliver on internal control, risk and corporate governance mandate for the entire group.

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To conclude, in the last several quarters, the company has been largely successful in setting up on the path of sustainable growth and profitability and strengthening the balance sheet and we are confident of building on this momentum in FY '24 and beyond.

Thank you and we will now open the floor to questions.

Operator: The first question is from the line of Jeevan Patwa from Sahasrar Capital.

Jeevan Patwa: Yes. So this question is for Muju actually for Mistral. So if you can just give us some overview on the semiconductor business, how the semiconductor business is shaping up? And what are the future opportunities you see in the semiconductor business? That's first. Second question is on the defense side. So last year, we did INR35 crores of production revenue. So how much do you think we can do production in this year and the next year, FY '24 and next year FY '25?

Mujahid Alam: Thank you. To answer your second question first, in terms of production revenue, the production revenues are in upstream. So Q1, we have done, INR15 crores, and you will see continuous growth in the next few quarters and I expect this to continue growing in the next 1 year to 2 years.

Jeevan Patwa: Any numbers you would want to share?

Shashidhar S K: I think that we should avoid specific guidance in terms of numbers. But essentially, what Muju is very clear about is that quarter-on-quarter, if you look at Q1 of this year, the production revenues were INR15 crores. And the run rate with respect to the quarter-on-quarter will only increase is what perhaps the guidance we can give.

Mujahid Alam: I can assure that it will be a continuous growth in production revenue moving forward.

Jeevan Patwa: Okay. And on the semiconductor side?

Mujahid Alam: Semiconductor business, yes, we have seen a little bit of slowdown in Q1. We hope that we will catch up by Q3 and Q4, things are changing. And at the same time, with the government of India initiative of promoting electronics manufacturing locally here and setting up a semiconductor facilities locally in India, we see this opportunity for us will increase and we already have marquee clients in terms of TI, Analog devices, Nvidia, whom we work with on semiconductor business. So this is only going moving forward.

Jeevan Patwa: Okay. Perfect. And if I have to compare the capabilities, Mistral capability, defense capability, radar capability I would say specifically with data patterns. So how do you put yourself with the data pattern? Is it that we have similar capabilities in data patterns because...

Mujahid Alam: Well, see, if you look at data patterns in Mistral, in terms of capabilities, we are very much similar. The only thing which data pattern has probably have their own manufacturing facility, which we do not have. And the reason behind this, we believe that today, manufacturing is a commodity kind of item. And if we invest on a manufacturing facility, we will be sticking to the same facility without any upgrade because ROI is much longer.

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So here, if I have a choice, I can go and get the manufacturing anywhere across the globe within the country, with the best of facilities

is available at my disposal and while we'll focus on building IPs and voting IPs at Mistral.

Operator: Next question is from the line of Inder Soni from Ruane, Cunniff & Goldfarb.

Inder Soni: Congratulations on a great set of results. So this is a big picture question. In your previous jobs, you've done a great job of taking the existing logos and growing them to big businesses. So if you think about your current company, you have some of the biggest clients in the world, both overseas and in India. But the revenue from each of these clients is still quite small compared to the capabilities. So what are you doing? What processes are you putting in place so that over the

next one years, three years, five years, we can really grow the revenues significantly?

Arun Krishnamurthi: Hi, Inder. Nice to speak you again. Yes, great question. So I would say that like you said, our focus is twofold. One is, of course, we have some very good marquee logos and the attempt is for us to expand the revenue margins with these clients. So what we are doing is that, if you look at the aerospace plant that we work with and the heavy engineering client, our focus is to move beyond traditional mechanical engineering, which has been our bread and butter and that's where most of our revenues come from currently, is to move more into the digital and into the embedded space.

So as we speak, and this is something that we've been doing over the last two quarters since we completed the acquisition of Mistral is to put in very aggressive plans to take our embedded capabilities, all the good stuff that we do in the defense business as well as in the PES business to the aerospace and to the heavy engineering clients. And we are doing this by setting up workshops with these clients. We are having senior leaders from Mistral traveling and meeting some of these AXISCADES customers.

The good news is that we have a supplier code with these clients. So it's easy for us to cross-sell some of these capabilities and grow that. And we're very optimistic that, we will see good progress on that because we're seeing very good uptake from clients. And as you know, in the industry, the mind share is in digital, a lot of the revenues are being spent on embedded and digital. So we believe that's the right strategy.

Having said that, growing new clients in the new verticals of automotive and energy is a big focus as well as well as growing semiconductor, which comes in through the Mistral acquisition. So again, in these areas, we're looking at how we can build in deep domain capabilities. We are building a partnership ecosystem of partners, so that, we can penetrate and we can be more relevant to this client.

So the new business part of it and the new logos is something that's equally important. And like I mentioned in the previous earnings calls, we want to grow the number of strategic accounts because the growth should actually come from strategic accounts rather than from a whole slew of accounts. So we want to be relevant to a set of accounts, a smaller set of accounts, which are strategic to us and then we sort of grow from there.

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Inder Soni: Great. Can you also talk about two areas, so one automotive with your new acquisition in Germany? Can you give us some more color on that? And then with Mistral, you had talked about how you're going to increase the amount of production. You may not do it yourself, but the amount of things being produced will grow. Maybe you can talk about it, maybe we can talk about it. So what does the pipeline look like over the next one year, two years for things that are going to move from some single-piece design prototype to larger-scale production in Mistral?

Arun Krishnamurthi: Yes. So let me take them one by one. So as far as add solution is concerned, they have really good capabilities

in wiring harness as well as software testing. And these are areas, which are growing very rapidly. They work with the world's largest R&D automotive player. And we see opportunities twofold. One is that the work that they do with this client, we are very confident that we can offshore some of this and therefore grow the pie.

The second thing is, as you're aware, we have a new relationship with a lot of other automotive OEMs. So we're very confident that the capability that add solution has to these other customers. And some of the work that they do in Germany is cutting-edge. So it is relevant across legacy OEMs as well as some of the new-age OEMs, who sort of operate in the EV space. And software testing is really the area which is growing because most of the investment in automotive is happening on ADAS, is happening on connectivity, on infotainment.

And this is squarely, where add solution has all their strength. So we are very positive that we will be able to do a lot in terms of taking these capabilities global. As far as Mistral is concerned, I'll probably just start off and then I'll leave it to Muju to continue. But as you know, in defence, the life cycle is that we start with what I called design wins. So we do, we win an order, we do a lot of R&D, we do the certification and then the production starts. And clearly, when we do the R&D, that's when we need to invest, that's when the margins are a little bit lower.

Then we get into a certification period, which can span one years to two years. And once the certification happens, the lab or the government, they assign a part number to us, which is something that only we can provide. And once that is done, then the production starts and the margins are really much, much more lucrative when it comes to production. So, with Mistral, we are now entering a wave of production over the next four years to five years, I would say. So like we said, last year, whole of last year between INR35 crores of production in quarter 1 itself, we did INR15 crores. Like Muju said, every subsequent quarter, this run rate is going to get better. I don't want to get into specifics, Inder, but the pipeline that we have is pretty huge. And we hope to, I would say, increase the production revenue significantly, certainly in FY '24,

but FY '25 will be better than FY '24 and the same goes for FY '26. I don't know if you want to add anything, Muju.

Mujahid Alam: And I just want to add one more point. Whatever Arun spoke about was the design wins, which we already have, which are going to production. At the same time, where I am coming from here, there's one more new initiative with the government of India that DRDO has taken, whereas in the past, all production orders were either routed through one of the PSUs like BEL or HAL. But today, the scenario is changing, wherein they are encouraging private partnership to design, develop and produce the final equipment.

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So this will throw up more opportunities for companies like Mistral, wherein a portion of designs could have been done by Mistral, some with DRDO, some with XYZ company, but responsibility of putting all this together will be with one individual. So this will definitely, increase revenues going forward.

Inder Soni: So last question from my side and this is for Muju. Semiconductor revenue, yes, it's a little bit cyclical, goes up and down, just like defence. But can you tell us, in Mistral, what are your capabilities? Because if you think about it, semiconductor usage India is going to grow a lot. Globally, you also semiconductors becoming so important to be all the artificial intelligence and everything. So can you tell us what is it that Mistral does in semiconductors and what is the opportunity for you over the near and medium term?

Mujahid Alam: Yes, see, in terms of semicondu

ctor, we work with global OEMs, working with them, building the software and hardware capabilities, doing some evaluation models and stuff like that. And also, we work with very many product companies doing design work on semiconductors. What is the new thing which AXISCADES today is, we are opening our doors to automotive. If you look at the new generation of automotive vehicle, it has got more -and-more of electronics. So with electronics being used in automotive, we are seeing a totally new segment opening up for us. And traditionally, we work with semiconductor companies only, now we can work with automotive companies and industrial houses, wherein we bring in electronics into these domain. So this is our growth area.

Moderator: Thank you. Next question is from the line of Dhruv Shah from Ambika Fincap. Please go ahead.

Nishid Shah: This is Nishid Shah here. First of all, congratulations on a good set of numbers to the team, and hi, Arun. My question is on, can you give some color on key accounts that you would have added in the ER&D space and the number of clients that we have, which are above \$1 million, etcetera, whatever we can share?

Arun Krishnamurthi: Yes hi, Nishid. Good to speak to you again. So we had, like I said, very good progress when it comes to new verticals, both in automotive as well as in energy. And actually, we also had some good additions in PES. Unfortunately, pardon me, but I don't think I'll be able to name some of these clients because of confidentiality reasons. But I can give you a profile of some of them. So in automotive, one of the clients we started work about two quarters back is a very large OEM based out of the UK, who makes sport utility vehicles and off-roading vehicles.

We also worked with one of the largest American OEM players who have a presence in India, but also globally. In addition to that, we work with two Tier 1s. One of them is a Japanese Tier 1, again, multibillion-dollar company, more than \$15 billion in revenues. We also have started work with another Tier 1, which is UK-based and they're actually developing some algorithms in things like driver drowsiness systems, etcetera. So that's the kind of profile that we have signed up in the automotive space.

When it comes to energy, as you are aware, we work with one of the largest Tier 1 subsea surface providers. In addition to that, now we are casting a leg into the Middle East and we are looking at starting relationships with, again, some Tier 1s and some providers who, I would say, provide

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their services to some of the largest oil and gas manufacturers in the world in the Middle East. So that is also looking very positive. And going forward, we feel that we can do a good job on that.

In terms of clients, Shashi, can I hand it over to you in terms of the profiles of clients, new clients, over \$1 million?

SK. Shashidhar: Yes. So basically, all of these clients, as was earlier mentioning, even though they have not actually reached that \$1 million mark, all of these are heading out to be strategic logos for us in the next one to two years' time. But one thing which I can tell you is the pace at which they are going in terms of our revenue share as earlier explained and what I just now mentioned, the growth in terms of all the new clients that pace is about 40% as compared to Q1 of FY '23. And

going forward, quarter-on-quarter, this will continue to accrue in terms of incremental revenue.

Nishid Shah: Yes. Great. So Arun, my next question is on the capabilities. In the ER&D space as well as now the energy vertical, are we growing the capabilities? Are we hiring the industry specialist people?

I mean can you give some color on that area?

Arun Krishnamurthi: Yes, absolutely. So actually if you look at each vertical and I can probably just give you a little bit of an extension

ded answer. If you look at Aerospace, for example, traditionally, we've been very strong in the mechanical engineering structure and engineering part. But our focus now is we are looking at digital. We are looking at avionics. And again, we do a lot of avionics in the defense space. So we're looking at how we can get avionics into the commercial space. So that's an area of focus for us.

In addition to this, we are looking at manufacturing engineering. So we have now started some work which we traditionally used to do in Heavy Engineering. But now that has started in Aerospace. So we're looking at avionics, we're looking at digital and we're looking at manufacturing engineering and we have built our capabilities. We are hiring people. In some cases, we are cross-leveraging capabilities from AXISCADES' Aerospace as well as Military from the defense space.

If you look at transportation and here, I would say, automotive and Heavy Engineering is similar to an extent. But the focus for us is that since we are starting these new verticals, we want to focus on the embedded and the software part because clearly, a lot of the mechanical engineering part is quite commoditized. And the rates are obviously also much better when it comes to digital and embedded. So we are very keen on developing in automotive, for example, automotive capabilities. We're looking at software testing. We're looking at HMI testing. We're looking at getting into the whole connectivity aspects of it.

So these are the areas that we're looking at. We have also started some digital projects which are clients, both in the supply chain area as well as in inventory management. And again, because of the fact that both these industries have been exposed to some of the cyclical aspects of semiconductor chip shortage, etcetera, in addition to, of course, upgrading the vehicles with electronics, they're also looking at the entire ecosystem in terms of how they can digitize their supply chain, how they can make provision of these much more predictable. So there's a lot of AXISCADES Technologies Limited

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investment going there. So we're looking at the whole the sales management of the inventory management and the supply chain and we're looking at digital solutions for this.

If you look at energy, it's a very asset-heavy industry. So the focus that we have is, of course, we're looking at the mechanical aspects of it. We're also looking at especially the climate control, a lot of the large refineries need to build out carbon capture, sulphur capture plants, and there's a big investment going into that. And there's a lot of construction. There's a lot of project management. We are looking at that particular aspect of energy.

In addition to that, because it's very asset-intensive, one is we're also looking at things like predictive maintenance strategies because all these assets need to function, they need to be maintained, needs to be done in an optimal way so that the budget is sort of managed. So that's where we are focusing as far as energy is concerned. And like I said, in energy, we're looking at tying up some very good partnerships in the industry. But of course, we're also hiring some people on our own.

When it comes to PES and the semiconductor business, again, we have signed up some, I would say, two logos which are very, very marquee logos. One of them is a client, who doesn't like to be named at all, but we have started some work with them. And we are very, very confident that, they are investing a lot in India and they're also looking at the variable space in a significant way. And obviously, there's going to be a big semiconductor play out there. So that's one area. And then we're also looking at automotive. Like Muju said, there's a huge play for the PES business in automotive.

And some of the, I think there are two or three new logos that we signed

this quarter itself.

They're still small engagements, but we want to sort of have the convergence of automotive and PES so that we can grow that. So in summary, this is where they're sort of looking at Nishid. Each vertical, we're looking at specific capabilities as well as hiring some senior leadership talent. And as we progress the company, maybe when we get into FY '25, etcetera, we will then look at reorganizing ourselves along BUs, where we can have a vertical strategy. We still feel that at the current level, there's probably suboptimal because when you move into verticals, you need separate cost structures, you need separate functions, etcetera.

But we believe that, with the current growth rate that we have, we are well-poised to maybe enter next financial year, look at a vertical-based structure, which will bring in much more focus

and depth into each vertical that we want to grow.

Nishid Shah: Great. Thank you for a very detailed explanation. And once again, a very smart acquisition, that add solution. And can you give some color on the number of clients that add solution would be having without naming the clients? And how is that going to help you in penetrating into the larger auto giants?

Arun Krishnamurthi: Sure. So if you look at add solution, they have one big client. So I would say a substantial portion of the revenues with that one big client. And that's the reason, we are interested because there's certainty of revenue. So unlike , so the thing with acquisitions is sometimes you can make a great

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acquisition on capability. But then if contracts run out, then you sort of have to stand around for new business.

So, the good thing about add solution is that, they have a long -standing relationship with one big client and they have contracts. So we had good revenue predictability for the next two financial years because the contracts run into that. Having said that, beyond this, they have supplier code with 10 other big automotive as well as Tier 1 companies in Germany. And the thing with automotive in Germany is that, it's virtually impossible to get a new supplier code.

The only way to get in is to make an acquisition. So we are very confident that, through this and given the presence that add solution has a legal presence of supplier code, we will be able to put in a sales effort, build out capability, be more aggressive and sort of grow the business with the other clients as well.

Moderator: Sorry to interrupt you, Nishid, I request you to join the queue again for a follow-up question.

Next question is from the line of Arun from Subh Labh Research. Please go ahead.

Arun: Yes. Thanks for the opportunity, sir. Congratulations for the good set of numbers. Sir, my question is with regard to your order pipeline, that earlier, we faced the issues of the smaller orders and the duration of that was also not that big. So if you can show some color on that order pipeline, the size and the average duration that will be quite helpful?

Arun Krishnamurthi: Okay. So I can probably give you some qualitative feel, Arun, in terms of our order pipeline. So obviously, we have taken a certain target for the year. And like I said in the past, we are looking at industry -leading growth. I would say that, when we started the year, as far as our annual business plan was concerned, we had factored in about 30% of new business. I'm glad to say that after quarter 1, the new business that, we need to win in order to achieve our business plan is about 18%.

So I can just give you that, I don't want to get into too many specifics because obviously, this is confidential information. But the focus for us is to look at project -based business. We are not very keen on staffing business. Unless staffing is an entry point into a strategic customer, then we'll start that way. But we are very keen

on making sure that, we get larger contracts. We have more project -based business because that is a sustainable level to grow.

So sitting at where we are, I would say that, to achieve our business plan, we need to get about 18% of new business. And actually, as far as defence is concerned, I would say that, most of the order pipeline is already in the bag. So the defence like, we talked in the past, again, there is some lumpiness because there is a lot of dependence on inspections happening on time, certifications happening on time . But as far as the pipeline and the order book is concerned, that is all there. We just have to make sure that, the spillover doesn't happen and we have to sort of try and close it within a certain quarter.

But the best way to measure our defence business is a year -on-year basis and we are very confident that, we have the right revenue profile for the year -on-year growth as far as defence is concerned.

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Arun Maroti: Okay. That is quite helpful. Thank you, sir. And my next question is that in the last concall, you mentioned that, you are looking for a partner in Europe or North America to enhance the capability in the automotive segment. So by the acquisition of add solution, whether that purpose is fulfilled, or you'll look for some more partnership also?

Arun Krishnamurthi: Yes. So Arun, with add solution now, we have a partner in Europe with strong capabilities. So for the moment, we will not be looking at any more acquisitions in automotive.

Arun: Thanks a lot, sir. Best wishes from my side. Thank you.

Moderator: Thank you . Next question is from the line of Rajendra Shah from Fidelity Management. Please go ahead.

Rajendra Shah: Good evening, Arunji. As you grow rapidly, what issues or factors or parameters do you track to make sure that, this doesn't make things go out of whack or off -track? Just how do you manage

this if something goes wrong?

Arun Krishnamurthi: Yes, Rajendra, thanks a lot for your question. So I would say that one is, of course, the macroeconomic situation, we are still not completely back to normal. I would say there is still some unpredictability. Certainly, when it comes to our PES business, what has happened with the semiconductor industry is that with COVID, there's a huge shortage of chips and kits. And soon after that, a lot of people overstock and some of the production softness, we're seeing is because we're waiting for that inventory to run out.

So, that is certainly something we need to keep an eye on. Secondly, on Heavy Engineering as well, now we are starting to see the demand coming back in. So I would say, one risk for us is obviously to keep an eye on macroeconomic factors, especially some of the verticals that we are placed in. So for example, Aerospace now is extremely robust. But three years back, I would have said that was a big risk for us, especially going through COVID. So one is that.

The second, I would say is that, availability of talent is always something that is important for us. We are a services company. And of course, the defence part because it is a lot of it now will be production-based, reliance on resources and people will be a little bit less as compared to when, we're in the R&D phase. But when it comes to the rest of the verticals, all the nondefense commercial verticals, availability of people and the ability to ramp them up quickly, that is secondly another aspect that we keep an eye on.

Now, I won't say it's a risk in the sense that things have got better. It was a very tight situation six months back. It is still not completely eased out, but I would say it's better now, than it was some time back. And the third aspect, I would say is for a lot of our clients, availability of materials and supply chain is a concern. In certain cases, like, for example, Aerospace, there's a

lot of dependence on certain raw materials and rare earth coming from Russia, from Ukraine. And obviously, the prices out there has implications of that. Similarly, when it comes to energy, especially in Europe, we went through a period that there was a bit of energy crisis, but now it looks like the situation wasn't as bad as what it could have been. So some of the inventory, some of the supply chain aspect is something that we need to keep an eye on. And that could be a

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potential risk. And again, when we talk about softness in PES, it is typically a supply chain kind of issue.

And again, when it comes to defence as well, we are very, very dependent on components and we are dependent on our suppliers. So to be able to stock our inventory in time to make sure that we don't have obsolescence, that is the other risk that we need to keep an eye on. So these are the three or four things that we constantly monitor.

Rajendra Shah: Thank you.

Moderator: Thank you. Next question is from the line of Nirali Gopani from Unique PMS. Please go ahead.

Nirali Gopani: Hi, Sir. Thank you for the opportunity. Sir, my first question is...

Moderator: Ma'am, your voice is not coming clear. Can you please speak through the handset?

Nirali Gopani: Sir, my first question is on the presentation on Slide 10, where under Aerospace, we mentioned about synergies between AXISCADES and Mistral and the progress on supporting Indian defence project on mechanical side. So just highlight on this point?

Arun Krishnamurthi: Yes. Just give me a second. Yes. So this is basically, we have a lot of capabilities in Aerospace, clearly, through AXISCADES that we've been working with a large OEM for the last 14 years.

So we understand structural engineering to a large extent. And of course, through both Mistral and actually even through AXISCADES Aerospace, there's a lot of work we do on Avionics, Test Bench, etcetera.

So we are looking at how we can synergize both of these. So there's obviously a lot of defence opportunities that we want to address both in India as well as overseas. So we are bringing together the structural aspect in some cases, in Indian defence. We don't work on the structures aspect. So, we're looking at how we can leverage the AXISCADES' capabilities. In other cases, like I mentioned, when it comes to global OEMs, we are looking at leveraging Mistral's avionics and radar capabilities to take it through commercial. So that's really the synergies that we're looking at, how we can take capabilities from each organization into the other and into customers.

Nirali Gopani: Right. And you also briefly touched about the new business wins. So I just wanted to confirm that, you had planned to onboard four strategic accounts in FY '24, two in automotive and one in energy and one in oil and gas. So have you started working on that direction or we have already onboarded them? And what do you mean by the strategic accounts? Like is it the size of the business that they have to offer? Or if you can just share some thoughts.

Arun Krishnamurthi: Yes. Nirali, definitely strategic accounts for us, it depends on the size of the business. So for the size of a company, we would say that, when we start a new account, which is strategic, getting to about \$3 million annual revenue would classify that to be strategic. So as we speak,

we have two automotive clients and we have one energy client and these are accounts that we won in FY '23. So it's about three quarters now.

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And all of them are progressing well. I would say head count -wise, the largest would be somewhere in the 75 to 80 head count region. The smallest one is about 20, 25. So we are well on track of sort of growing this to be strategic and we hope to sort of get them

to that \$3 million

mark as much as possible.

Nirali Gopani: Okay. And sir, lastly, we had a strategic alliance with Mangal Industries. So any update on that part?

Arun Kris hnamurthi: Yes. So the objective of tying up with Mangal Industries was that, they have very good manufacturing capabilities. And we have seen that, obviously, there's a lot of manufacturing, definitely in Aerospace, Heavy Engineering, etcetera, that's coming to India. And given the fact that, we have relationships with these customers and OEMs, this was our way of trying to get a foothold in the manufacturing space, where we could possibly look at some manufacturing coming to India, where we could program manage it, where we could do the engineering aspect of it. So that's the objective of the relationship.

So as we speak, we are obviously socializing this with our clients. And the attempt is to try and see how we can get some of this to India. Having said that, these are long -cycle things. It's easier to get services, but getting manufacturing of a component or a part to India takes much longer, but we are in a phase, where we are sort of talking about these capabilities and trying to build out a couple of pilot customers and sort of grow it from there.

Nirali Gopani: Great. That's it from my side. Thank you.

Moderator: Thank you. Next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Thank you very much, sir, for the opportunity. Sir, just wanted to understand, first, on the interest cost, is there any --the refinancing that we have done this quarter, so any additional cost that has come in this quarter? And what would be going forward interest cost?

Shashidhar S K: So as I mentioned earlier, the total finance cost for the quarter is around INR20 crores of which around INR7 crores is the onetime or I would say, the cost, which we have to incur to prepay the borrowing from Anicut Capital, which was earlier a lender. Now going forward, the per quarter interest cost or the finance cost will be moderating to around INR11 crores to INR12 crores per quarter.

Deepak Poddar: INR11 crores to INR12 crores of interest cost going forward, right?

Shashidhar S K: Correct.

Deepak Poddar: Understood. Sir, I understood. And then secondly, on the margin front, you did mention that, this product business, you expect it to grow at a much faster rate, right? Even quarter -on-quarter, we should grow. So I presume that would , attract a better margin as compared to the margins that we would be clocking at the company level, right?

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Shashidhar S K: Yes. The defence business when it gets into the production mode carries a much higher margin as compared to the prototype, which has not come.

Deepak Poddar: Correct. So what would be our aspirational margin that we may look at, let's say, next one years to two years?

Shashidhar S K: On the defence, I would say business, which gets into production to be upwards of 20% in terms of the EBITDA margin.

Deepak Poddar: On an overall basis?

Shashidhar S K: You're talking about the enterprise level?

Deepak Poddar: Company level, yes?

Shashidhar S K: Yes. So we are at about 15.4% as we see, we are consistently maintaining that margin. And our objective and aspiration is to reach the industry best metric of around 18% to 19% in the next couple of years. So we need to bridge that gap of between 15.5% to about 18% to 19%, and that is the journey, which we are all currently taking.

Deepak Poddar: Correct. And, at the company level, how fast are we looking to grow? The industry is growing very fast, right? And, we have maintained in the past that, we would like to beat the industry.

But because of your inorganic acquisition as well, Mistral coming in and then this add solution, so the trajectory of, let's say, 15%, 20% revenue growth

for us, can it go beyond 30%, 35%? Can

we have that kind of trajectory because of the growth that, we are seeing in the industry as well

as your inorganic acquisitions that we have been doing, right? So sir, any comment on that would be helpful, sir.

Arun Krishnamurthi: Yes. So I'd like to comment on that. So, the industry average is anywhere in the 15% to 18% range. And of course, some companies have given an outlook. All we'd like to say that we definitely like to grow beyond that rate. I don't want to specifically comment. As you know, we don't give specific guidance on these numbers. But of course, the objective of making these acquisitions and we call it a string of pearls strategy. So we are not making acquisitions for the purpose of just for aggregating the top line.

The reason is that, we want to acquire specific capability, which we can then organically take to our customers. So it is for us a long-term game. We believe that, with these acquisitions, of course, there will be short-term benefits, when you consolidate revenues into the enterprise. But longer term, these capabilities are bets that we place in the industry. These are specific areas we believe will grow faster than other areas.

So that will then put us into more industry-leading position. So I don't want to comment on specific percentages, but we believe, we are in the right direction with some of these capabilities that we are requiring.

Deepak Poddar: Correct. That's very helpful, sir. That's answers, all my queries and all the very best. Thank you so much.

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Moderator: Thank you. Next question is from the line of Samyak Shah from Dinero Capserv. Please go ahead.

Samyak Shah: Hi, sir. Thanks for the opportunity. So my first question was on ER&D. So I wanted to know, what is the share of mechanical engineering embedded and digital would be to our ER&D portfolio? And the margin profile for each?

Arun Krishnamurthi: So what I can tell you is that, we don't want to give you a specific slides like breakup. But at the company level, about, I would say, 30% of our revenues fall into the embedded and digital category and about 70% into mechanical. As we speak, of course, they're looking at how we can grow embedded and digital faster than mechanical going forward.

Samyak Shah: Okay. And secondly, this quarter, we saw 170 bps expansion in our margins. So what was the reason behind this? And can we sustainably maintain this level in the coming quarters?

Shashidhar S K: Yes. See, in Q1 of FY '24, the kind of margin as what we got from the defence business was much more. And I would say as compared to the engineering services business, which was around 12% to 12.5%. And in terms of sustaining these margins, as Muju said, we are getting to the production cycle in terms of defence. And the PES business is what Mistral has is at a much higher margin level. So we are confident of sustaining this margin. And as I said, our journey is between 15% to 19%, 18% to 19% in the next couple of years, and that's what we are traversing this.

Samyak Shah: Fine. And then one last question. So when do we expect Heavy engineering revenues to pick up from here?

Arun Krishnamurthi: So we are putting in plans to sort of recover this in FY '24 itself, so in this financial year. So yes, that's our outlook.

Samyak Shah: And sir, any plans for QIP?

Arun Krishnamurthi: Not at the moment, no.

Samyak Shah: Okay. Thanks a lot. I will get back in a queue.

Moderator: Thank you. Next follow-up question is from the line of Nishid Shah from Ambika Fincap. Please go ahead.

Nishid Shah: Yes. Thank for taking question. My question is to Muju. We have a lot of defence orders. We've been working in various fields like in radar as well as in sonar. Can you give some color that, these orders are spread over how many years?

And what are the new areas that Mistral is working on? And what is the kind of potential that we are looking at?

Mujahid Alam: In terms of radar technology, if you look at any radar which is manufactured, which is in defence phase in the country today, have something of Mistral in it. So we have about seven or eight different radar programs running in the country. And every radar program has something of Mistral, which has gone into it. And similarly sonar programs are done by Indian Navy. Offshore

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program have our central processing boards, real processing systems. So we have lot of electronic in every sonar product, which is developed in India.

Nishid Shah: And in terms of new areas, sir?

Mujahid Alam: Yes, we have a lot of things in terms of electronics, which have into LTA and 230 upgrade

program. These will see traction in about two years from now, 230 upgrades will happen. As you know, the LTA program is already in manufacturing stage.

Nishid Shah: Yes. So on the drones, I thought we were working on it. Can you give some color on that?

Mujahid Alam: Yes, we are doing some drones. Right now we are in field trials. I am expecting the field trials to be completed by the end of the year. And next year, we should have a product ready with us.

Nishid Shah: Thank you. All the best.

Moderator: Thank you. Next question is from the line of Rakesh Roy from Indsec Securities. Please go ahead.

Rakesh Roy: Hi, sir. My question is regarding your defence vertical. So with the appointment of Dr. S. Christopher as a Director, what is our outlook for the next few years? And do we plan on embedding add solution, G mbH to our defence vertical? And if so, how do we plan on going about with it?

Arun Krishnamurthy : So yes, so let me take that question. So as you know, Dr. Christopher is renowned in the field of defence, he's an ex -Chairman of DRDO. We felt that given that defence is so strategic to us and of course, the market is big, and our capabilities are very differentiated, we've seen a lot of interest from our customers, and we see, like I said, production ramping up. So we felt this was the right time to induct somebody on our Board, who could sort of guide us and give us more advice, who could give us suggestions on the defence business.

And this is just a reflection of the fact that, for us, defence is so important that, we wanted to bring in somebody from the Board. As far as add solution is concerned, that's at the moment, a purely automotive play. At the moment, at least, I don't foresee any synergy with defence. But having said that, famous last words, I don't want to say never say never again. If opportunities do arise, we will certainly look at it. But in the near -term at least, I don't foresee add solution having a play in the defence sector.

Rakesh Roy: Thank you.

Moderator: Thank you. Next question is from line of Saurabh Sadhwani from Sahasrar Capital. Please go ahead.

Saurabh Sadhwani: Hello . can you just tell us about the competitive landscape for the work that add solution does?

Arun Krishnamurthy: Yes. So it's typically , if you look at global companies, it's companies like F erchau , it's companies like Bertrandt , if you look at Indian companies, KPIT, obviously has a play in that sector, I would think maybe even LTTS has a play. So these are the kind of companies. So any
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engineering services company, who has a presence in the automotive sector, who sort of does work on mechanical as well as embedded and software would be players, who would compete. But having said that, I would again say, I want to stress on the fact that, add solution has been working with this client for many years, like the way, we have been working with our Aerospace and Heavy Engineering client

s.

They have very, very solid relationships. And they have carved a niche for themselves. They have very impressive labs in their offices in Wolfsburg, where parts of the automotive actually come in and there are a lot of the testing, the software testing, the HMI testing is done. So I would think that, what they do for some of those platforms is very unique.

Saurabh Sadhwani: And given that it is very difficult, you said it's virtually impossible to get a supplier foray , it would be very difficult to get into those clients for other peers, right?

Arun Krishnamurthy: Yes, absolutely. I think because the German OEMs already have a rich ecosystem of partners, the only way for a new company to get in , is through an alliance or through an acquisition. And that has been our strategy through add. And some of the companies have done this thing as well as we are aware.

Saurabh Sadhwani: Thank you, that for answering.

Moderator: Thank you. Next question is from the line of Rajendra Shah from Fidelity Management. Please go ahead.

Rajendra Shah: Yes. Given the rapid growth that you're projecting, what would be the capital requirement? And when would you need to raise capital?

Shashidhar S K: You see, the thing at the moment in terms of the debt, which you're right, obviously have taken care of the acquisition as what transferred in 2023. But the company is generating, I would say, at an enterprise level at a consolidated level, sufficient free cash flows, which will comfortably service this debt as well as leave money on the table in terms of the capex plan that we have. The capex is not really that significant and that large for us to look at capital raise only for that purpose. But definitely, capital raise will help in terms of reducing the debt burden and the interest burden, which can obviously feed back into free cash flows.

Rajendra Shah: So would you consider raising money next year, next financial year?

Shashidhar S K: The plan is there. The plan is there in terms of, I would say, raising some amount of primary capital to reduce the debt.

Arun Krishnamurthi: I would just put it this way that, our focus has been on, one is making sure the company is on a growth path. And secondly, that we are an efficient professional organization. So, we have made good steps in that regard. So we want to get to a point, Rajendra, where we are sort of generating cash. We have a good pipeline. We have good growth prospects. And once, we get there, and we are well on track and this quarter has been great and we've seen a good outlook going forward as well.

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Sometime in the mid to long -term, we will definitely look at raising capital. But at the moment, our focus is we don't want to get into too many things. We have to make sure that, we optimize the organization, put it on a growth path, build a leadership team, get good marquee customers and then take it to the next level.

Rajendra Shah: And do you think that, the current price is too low, a price to raise capital?

Arun Krishnamurthi: I'm sorry, say that again?

Rajendra Shah: Is the current share price too low a price to raise additional capital given the future outlook for the company?

Arun Krishnamurthi: That we'll leave it to you guys to decide. You guys are the investors, you're experts at it. But we certainly believe that, with better performance, we can certainly improve the market capitalization of the company.

Rajendra Shah: Sure. Thank you so much.

Moderator: Thank you. Next question is from the line of Mohammed Hassan from Fairdeal Investments. Please go ahead.

Mohammed Hassan: Yes, hi. I just wanted to know, what could be the possible tax rate for the financial year '24?

Shashidhar S K: Can you just repeat that, please?

Mohammed Hassan: What could be the possible tax rate for the financial year '24?

Shashidhar

Ar S K: It could be around 25%. All entities put together in terms of what we deal with.

Mohammed Hassan: Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, that will be the last question for today. I now hand the conference over to Mr. Nachiket Kale for closing comments.

Nachiket Kale: Hi. Thanks, everyone, for connecting on the call today. I'd also like to thank the management for sparing time and answering all the queries today. Orient Capital is the Investor Relations adviser to AXISCADES. For any queries, please feel free to reach out to us. Thanks, everyone. Have a nice day.

SK Shashidhar: Thank you.

Arun Krishnamurthi: Thank you.

Moderator: Thank you very much. On behalf of AXISCADES Technologies Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Note: This transcript has been lightly edited for clarity and accuracy

Call: Nov 2023

AXISCADES Technologies Limited
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November 16, 2023

The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of India Limited
Phirozee Jeejeebhoy Tower, Exchange Plaza, 5 Floor, Plot C/1, G Block
Dalal Street Bandra – Kurla Complex, Bandra(E),
Mumbai 400 001 Mumbai 400 051
BSE Scrip Code: 532395 NSE Symbol: AXISCADES

Dear Sir /Madam ,
Sub: Transcript of the Earnings Call with the Investor(s)/Analyst(s)
Further to our intimation dated 09th November 2023 , please find enclosed the transcript of the Earnings Call with the Investor(s)/Analyst(s) which is hosted on the website of the Company at www.axiscades.com
We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Thanking You,
Yours faithfully,
For AXISCADES Technologies Limited

Sonal Dudani
Company Secretary & Compliance Officer
Encl: A/a
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"AXISCADES Technologies Limited
Q2 and H1 FY '24 Earnings Conference Call "
November 09, 2023

MANAGEMENT : MR. ARUN KRISHNAM URTH I – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – AXISCADES TECHNOLOGIES LIMITED
MR. SHASHIDHAR SK – GROUP CHIEF FINANCIAL OFFICER – AXISCADES TECHNOLOGIES LIMITED
MR. MUJAHID ALAM – CHIEF EXECUTIVE OFFICER -- MISTRAL SOLUTIONS PRIVATE LIMITED
MR. SHISHIR GAHOI – HEAD, INVESTOR RELATIONS – AXISCADES TECHNOLOGIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY '24 Earnings Conference Call of AXISCADES Technologies Limited hosted by Orient Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shishir Gahoi, Investor Relations Head from AXISCADES Technologies Limited. Thank you, and over to you, sir.

Shishir Gahoi : Thank you, Caroline. Good evening, everyone, and I'm delighted to welcome you all to the earnings call for Q2 FY '24 and H1 FY '24. I hope you all had an opportunity to review our press release and the investor presentation, which are available under the Investors section of our website, and the same are accessible in the BSE and NSE websites.

To discuss our results, we have with us our CEO and Managing Director, Mr. Arun Krishnamurthi; Mr. Mujahid Alam, CEO of Mistral; and our Group CFO, Mr. Shashidhar S.K. They'll take you through our results and business performance. After which, we will proceed with the question and answer session.

Before we begin the conference call, I would like to mention that this conference call may contain some forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. The actual results may differ materially. These statements are not guaranteeing the future performance of the company and involve risks and uncertainties that are difficult to predict.

I will now hand over the call to our CEO and MD, Mr. Arun Krishnamurthi. Over to you, Arun.

Arun Krishnamurthi : Thank you, Shishir. Good evening. Firstly, I want to wish everybody a very happy Diwali. Welcome to our Q2 FY '24 earnings call. Like Shishir said, I'm accompanied by Shashi, who is Group CFO; and Muju who is our CEO for Mistral Solutions.

I'm happy to address the forum today as I complete 2 years of leading AXISCADES. Time has just flown by. It actually seems like 6 months. It's been so busy. The transformative growth journey of the company in the last 2 years has been accelerating and exciting. And as we explore and harness the opportunities ahead of us in our quest to position the company in the forefront of ER&D.

Our Q2 business performance was characterized by onboarding of new customers, rejigging our senior management teams, strengthening our sales team and consolidating our newly acquired automotive business, which is add solution in Germany. During the quarter, we also signed a definitive agreement to acquire 100% of EPCOGEN, which is a niche solutions provider in the energy sector. These acquisitions will enhance the capabilities of AXISCADES, provide access to new geographies and new strategic clients.

We have also strengthened our governance standards with the onboarding of a Global Controller and Chief Risk Officer and enhanced the depth of our Board leadership. As we close the second

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quarter and first half of the financial year, our growth momentum continues on the back of strong order book and delivery performance in all our major verticals and business units.

Just in terms of our quarterly highlights, we are privileged to report that Mr. Abidali Neemuchwala has joined AXISCADES Board as our Chairman and Non-Exec Director. In his distinguished career spanning over 3 decades in the technology industry, Abid has earned an enviable reputation for his expertise in aligning organizations, driving business results and consistently leading transformation

initiatives. He began his journey with TCS in 1992. In 2015, he joined Wipro as CEO and Managing Director. And under his leadership, Wipro transformed the business into a digital business.

I will also take a moment to thank our previous Chairman, Mr. David Bradley, for his outstanding contribution and support during his tenure in the company. In a significant milestone to expand our energy practice, the company has signed a definitive agreement to acquire 100% of EPCOGEN, which, like I said, is a niche solutions provider focused on engineering, design and solutions in the high potential energy space.

EPCOGEN serves both conventional as well as renewable energy space, supply chain management and construction. The company hopes to complete the acquisition by end of this month, which will provide a strong impetus to the company's growth as well as provide access to Middle East and North American energy markets.

During the quarter, for the third consecutive year, the company was awarded the Diamond Supplier Award by Bombardier for year 2022. This recognition is a testament to our commitment to excellence, innovation and delivering to the highest standards of customer satisfaction.

The company also signed a strategic partnership with Cantier, a Singapore-based powerhouse and manufacturing execution systems, or MES, with specialization in Industry 4.0 integration.

By integrating Cantier's innovative MES 4.0 with our Engineering and Technology Solutions, we are poised to transform the core of industrial manufacturing by enhancing workflows and creating manufacturing excellence with real-time insights and seamless digital integration.

During this quarter, we completed the acquisition of add solution in Germany and have commenced consolidating the financial results of add solution from 1st of August this year. With this acquisition, the company has acquired niche automotive capabilities and vendor codes of

large German OEMs and Tier 1s, which will fuel the company's expansion in the automotive sector.

AXISCADES has a significant presence in the U.K., and in the month of October, we opened an engineering design center in Saltney, U.K. The newly established facility strength is in carefully selected strategic location, which is designed to serve the long-term requirements of the aerospace industry and various promising business opportunities in the region.

In terms of financial highlights, the company in Q2 posted consolidated revenues of INR252 crores, its highest ever quarterly revenue, growing by 30% from INR194 crores in Q2 of last year. In USD terms, the company recorded revenues of \$30.6 million, growing by 26% from \$24.3 million recorded in Q2 of last year.

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In the first half of the year, the company recorded revenues of INR 465 crores, growing by 23% from INR 376 crores, recorded in the same period of previous year. Similarly, in USD terms, the company recorded revenues of \$56.8 million, growing by 19% from \$47.9 million recorded in H1 of last year.

The company recorded a consolidated EBITDA of INR 36 crores in Q2 FY '24 and EBITDA margin of 14.28%. The consolidated EBITDA for H1 FY '24 stands at INR68.9 crores at an EBITDA margin of 14.81%. The company has been able to maintain its EBITDA with marginal decline in EBITDA margins despite annual increments, but we also had a few plant closures with some of our major customers, and we have also added resources who will get billed in Q3. So that's an investment that we made in Q2.

We continue to make significant investments to build our digital capabilities which is critical to derisk our business and improve our margin profile, although it compromises our short-term margins. All our verticals have shown double-digit growth year-on-year. The combined share of revenue of automotive and energy in Q2 is 13.1%, which grew from 6.0% in

the same period of

last year. Revenue from automotive vertical almost tripled while the energy vertical grew by 27%. Going forward, automotive and energy verticals will constitute significant portions of our revenue with synergies from add solution and EPCOGEN.

Our Aerospace business has continued its growth momentum and is growing continuously for the last 11 quarters and grew by 21.6% year-on-year. The growth is a result of our long-term contract with expanded scope with our strategic customers. We are leveraging our aerospace skills to support Mistral customers in various areas.

The Products & Solutions business, representing our defense vertical, grew by 47% over the previous year, recording revenues of INR73 crores, contributing 29% of our total revenue, of which revenues from Mistral Defense grew by 82% year-on-year.

To conclude, while the current geopolitical and macroeconomic headwinds do pose a challenge for the industry as a whole, we are confident that our efforts of derisking the business will stand us in good stead for the balance of the year and thereafter. And we will continue to report to improve financial performance in the coming quarters.

I thank you for your continued support and encouragement. I will now request Muju to give an update on the Mistral business.

Mujahid Alam : Thank you, Arun. Wishing you all a very happy Diwali. I'm delighted to report the FY '24 Q2 performance of Mistral solutions. Mistral is a cutting-edge technology design and system engineering companies delivering technology solutions in product engineering, aerospace, defense and homeland security to marquee global clients, Ministry of Defense and DRDO and defense PSU for over 26 years.

Mistral recorded a revenue growth of 50% year-on-year in Q2 of FY '24, up from INR63 crores to INR94 crores. We have seen growth both in our professional services, engineering business and defense business. Of the INR94 crores of revenue, INR42 crores was from PES business and INR52 crores from defense business.

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For H1 of FY '24, Mistral recorded a revenue of INR 166 crores, growing by 41% from INR 118 crores recorded in the previous financial year. The defense order pipeline remains strong. Many of our earlier designed and developed prototype system for various defense programs have been tested and qualified and now enter the production phase. In Q2 of FY '24, our revenue from production was INR33 crores as compared to INR15 crores in Q1 of FY '24. Our defense production will continue to have a very healthy growth in the coming years.

We are one of the first companies to have designed a non-Chinese drone controller in partnership with Qualcomm, which is now mandated by many governments globally for drones. This model

was showcased at the UAV drone expo at Las Vegas in August of 2023, and we see high interest in this products.

The Indian government is committing making India in defense, electronics and semiconductor industries through multiple initiatives and policies, which will open new opportunities for Mistral. We continue to develop state -of-the-art defense technologies in collaboration with DRDO and through our initiatives.

In coming quarters, we continue to expect healthy revenue and profitability growth in both domestic and international markets. Mistral and AXISCADES are perfectly positioned to leverage and synergize each other's capability to deliver quantum value to our customers, investors and stakeholders.

Now I invite our Group CFO, Mr. Shashidhar, for an overview of the financial results.

Shashidhar S K: Thank you, Muju. Good evening to everyone. As has been detailed by Arun and Muju, our business performance, both in terms of revenue and profitability, has shown robust growth in Q2 of FY '24 and H1 of FY '24, bolstered by our foray into new verticals, such as automotive and

energy, apart from our traditional verticals of aerospace, heavy engineering and defense.

As reported by Arun, the company achieved consolidated revenue of INR252 crores in Q2 of FY '24, growing by 18% quarter -on-quarter and 30% year -on-year. Our constant dollar growth was at 17% and 27% quarter -on-quarter and year -on-year, respectively.

At a revenue of INR465 crores in H1 of FY '24, AXISCADES grew by 23% year -on-year and at 19% at constant dollar. We have seen year -on-year double -digit growth in all verticals, except heavy engineering. The company is currently having robust order book to deliver on the revenue objectives for FY '24.

The company has started consolidating the revenue of add solution Germany with effect from 1st of August . In the 2 months after September, add solution contributed about USD 1.4Mn about INR 12 crores to consolidated revenue.

Revenue share from new customers is growing at a rapid pace. Revenue from the top 5 new customers was at INR26 crores in H1 of FY '24 as compared to INR 4 crores in H1 FY '23, growing by more than 6x.

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Revenue from the top 5 existing customers grew at 22% from INR 233 crores to INR 284 crores during the same period. Revenue from new customers contributed to 5% of revenue H1 FY '24 as compared to 1% in the same period of previous year.

While the company's EBITDA margin was marginally impacted during the quarter and half year due to increment digital investments, resources on the bench and plant close on the customer side, the company is able to maintain the last 12 months EBITDA margin at 15.8%.

The consolidated PAT in Q2 of FY '24 stands at INR 11 crores. The employee cost in Q2 of FY '24 is INR123 crores, has gone up by INR15 crores quarter -on-quarter, mainly due to annual increment impact of INR 6 crores, new hirings, including senior leadership hiring, impacting INR 1.2 crores and employee cost of add solutions , which we started consolidating from 1st of August, which has impacted by about INR 8 crores.

The company's finance costs mostly due to debt funding of Mistral acquisition was at INR 31.5 crores as against INR10.25 crores in the same period of previous year. As communicated in Q1 of FY '24, the company estimates a finance cost of INR12 crores per quarter from Q2 FY '24. This cost considers the beneficial impact of INR2 crores per quarter with respect to refinancing of acquisition debt, which was completed in Q1 of FY '24.

The Board of Directors at the meeting held on 8 November approved raising of fresh equity to pay down the debt and for growth capital. The company will endeavor to close the capital raise during the course of the financial year FY '24.

To conclude, the company will continue to focus on growth and profitability from existing and new verticals and from existing and new customers, and we are confident of their sustainable and derisked future for the company.

I conclude by wishing you all a happy and prosperous Diwali, and thank each one of our stakeholders for being with us in this journey.

We'll open the floor for questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question comes from Srinath Krishnan , an individual investor. Please go ahead.

Srinath Krishnan : Congratulations to you on such a strong performance in a challenging environment. My first question is on Mistral. There are a lot of articles and reports that suggest that the semiconductor space is going through a challenging phase now but despite that Mistral has done really well during the quarter.

So I wanted to understand what is driving this growth in Mistral? How has the performance been in the project engineering space and also in the defense space? And as it has been guided in the

past, the defense has considerably picked up. So I think it is close to about INR35 crores to INR40 crores in the first half. So what is again driving the production here and could it translate to higher margins in the second half since you have mentioned that production is at superior margins compared to the R&D phase ?

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Mujahid Alam : Yes, Srinath, we have a legacy of having built design wins for the last 25 years and these design ones which we have built, tested and qualified on field are getting into production phase today. So the systems which we have done about 10 years back are getting into production. So this is something which will continuously give us revenue moving forward.

At the same time, there are many issues which DRDO has taken wherein a lot of things are being outsourced. So this also will drive growth. Growth will be on the professional services of defense business which in turn will result in production revenue moving forward.

So today's growth is primarily because of the existing defense contracts which we have done in the past and also we have signed up with two global clients wherein we are doing some high - end system integration for them. So these have resulted in higher revenues.

Srinath Krishnan: Got it. So what is the performance of the P ES space in the first half compared to last year and also is the kind of the work over that can we expect to pick -up in second half?

Mujahid Alam: You are talking about Professional Services business?

Srinath Krishnan: Yes, sir.

Arun Krishnamurthi: The PES business has grown when compared to the last financial year, by...

Shashidhar S K: The company's PS business for the Q2 of the current financial year was at INR41.59 crores and it grew by 34% from INR30.83 crores as what was recorded in the previous year.

Mujahid Alam : And for the next half of the year, we will see probably a marginal growth in P ES business because there are certain things which are slowed down, especially in the production business. Our NRE business continues to be strong. The production business has slowed down because of overstocking of components which people have done during 2022. So we see this improvement happening probably in the second half of next financial year. But our NRE business will continue to grow.

Srinath Krishnan: Yes, yes. So if you could speak about the production phase there, you had guided and that is also coming through in the first half. You have seen a strong growth in production. What is driving the production? You know, is it in specific projects? Or maybe if you could just give a brief idea of how that would help in metrics of the business?

Mujahid Alam : When I'm talking production here, here I'm talking about pure play, non -defense production. So this is the production model which we do for the semiconductor companies and we build evaluation modules and some of the boards which are shipped out in the market as a joint development between Mistral TI, Mistral Qualcomm and like those. So these have gone through a slowdown because of overstocking in the past.

In the last financial year, because of shortage of components, there was a panic buying from everybody. So that resulted in higher revenues for us in the last financial year and now the stocks are still available with the OEMs. So this is the reason why there is a slowdown in production and we foresee this correction to happen in the next two quarters.

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And in terms of defense, the production will continue to grow because most of our design wins which we had in the past are getting to production phase and you will see in the next two quarters our order book getting bigger -and-bigger.

Srinath Krishnan: Great. Congratulations. Good luck.

Mujahid Alam : Thank you so much, Srinath.

Moderator: The next question comes from Jyoti Singh with Arihant Capital Markets Limited.

Please go ahead.

Jyoti Singh: Thank you, sir. And congratulations on the good set of top line numbers. And secondly, Arun sir, congratulations completing two years in AXISCADES . And my question is on the segment side that could you please provide more information about the performance of the HEG which has been underperforming for several quarters except other segments which are doing better?

Arun Krishnamurthi: Thanks, Jyoti. Firstly, happy Diwali to you. I will request Shashi to just chip in specifically with regards to the heavy -engineering sector.

Shashidhar S K: So basically, you are right there. All other verticals have grown substantially for the quarter as well as for the half year. But with respect to heavy engineering, there was a flattish growth for the quarter and a bit of marginal decline as in the first half of the year. The reason for the decline

is basically the macroeconomic factors which impacted the heavy engineering industry and it is yet to recover from that. And what we are actually doing now is utilizing our digital capabilities and we are deploying our digital engineering skills. And we have already started taking projects with respect to digital analytics and manufacturing engineering which we hope will kind of outstay scale -up and will be able to kind of come to control in terms of the heavy engineering vertical in the coming year.

Arun Krishnamurthi: Yes, I think just to add to that, just a qualitative commentary is that what we are also looking at is how we can leverage more of the Mistral capabilities in the embedded space to take to our heavy engineering customers because we do see that there is a lot of opportunity there.

The second thing is that now with the acquisition of add solution, we have strong automotive capability in the passenger segment and the commercial segment. And heavy engineering is pretty much the off-highway transportation sector. So we will also be exploring synergies between what add solution does in Germany with some of their OEMs and Tier 1s to what we can do in heavy engineering.

So I think the overall picture is of course that we are fully committed to heavy engineering as a vertical for AXISCADES. And we are looking at multiple ways of stimulating growth either through digital or through embedded or through capabilities that we have acquired inorganically. So this is the plan that we have in place. And of course, the macroeconomic situation would possibly improve going forward and that would also help us recover the segment.

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Jyoti Singh: Okay, thank you, sir. And so additionally, I would like to inquire about the finance cost which was there in this quarter associated with the Mistral acquisition. So are these costs expected to continue in the coming quarter?

Shashidhar S K: Yes, so if you look at it, know, last quarter there was some one-time, I would say prepayment charges and all of that we have to incur. As a result of which you see that in the FY '24, in the quarter 1 of FY '24, our finance cost was INR20 crores. It's already moderated to INR11 crores because those one-time charges are not there.

So going forward in the coming quarter, our finance cost will be around INR11 crores to INR12 crores, which in fact takes into consideration the cost saving as what we are having for the refinancing which we did for the NCDs which we had raised for the Mistral acquisition.

Jyoti Singh: Okay, thank you, sir. And after considering that all other segment and geography-wise, we are performing well. So could you guide regarding margin and top-line performance for the coming years and quarter because earlier we were not guiding about it?

Arun Krishnamurthi: Yes, so Jyoti, we still don't guide for future performance, but all I can say is that if you look at our other verticals, which is, so we have spoken about Mistral Mistr

al in the previous question,

both on production as well as the P ES part as well as defense. We spoke about heavy engineering. If you look at aerospace, that is continuing to be a very strong vertical for us. We continue to grow very strongly with our strategic clients and if anything, we are entering into more new areas. We continue to bid for new projects. So that will definitely be a strong growth area for us.

Automotive, we expect, will also be strong both from the client roster that we have within AXISCADES, but also through add solution, we have a strong pipeline in place and we can do much more. So that will be a good growth driver for us.

Same thing with energy. Again, we are very bullish about energy because we are seeing that in the next few years, both on the fossil fuels as well as the renewable space, there is going to be a lot of investment and there will be a lot of construction both on the refinery side in oil and gas as well as on carbon capture and sulfur capture and tail gas capture. And with the acquisition that we hope to complete of EPCOGEN, they have very strong product engineering, EPC kind of skills. And for us also, we don't do much in the Middle East, so we are very excited that a lot of clients that will come in with EPCOGEN are Middle East clients and obviously that's the hotbed of the energy sector. So we see energy also to be a strong growth driver for us.

I think all-in-all, overall, we are seeing strong growth segment going through. We don't guide for top line as well as margins, but of course, like I said, we expect good growth. So please do watch us every quarter as we talk through the earnings call.

Jyoti Singh: Okay, thank you, sir, and happy Diwali to all.

Moderator: Next question comes from Inder Soni with RCG. Please go ahead.

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Inder Soni: Yes, hi, happy Diwali and congratulations on a very strong set of growth numbers. Question about add solution. You talked about, automotive, it's difficult to get into customers unless you

have an existing relationship. But through this acquisition, it looks like you have some of the best OEMs, right? I'm looking at the chart from the company that says they have Mercedes - Benz, BMW, Volkswagen, Alstom, many big companies. So I'm not asking specifically about any of these big companies, but if you are already in one of these companies, does that give you the opportunity to grow in other areas within this company?

How does that help? I'm trying to understand, like, are you a certified vendor because of this acquisition and all these companies? Because there's a list of about 20 big companies on their chart?

Arun Krishnamurthi: Yes, Inder, thanks a lot for your question. Happy Diwali to you as well. So, yes, you're absolutely right with add solution. The reason that we acquired add solution is that if you look at the German automotive ecosystem, they have a very stable vendor ecosystem. And it's really difficult to break in. And the approach that we've taken is to acquire a company who already has a supplier code. And actually, this is something some of our peers have done as well.

So now with this, we have supplier codes and obviously the brands you mentioned. So Volkswagen is a big name. That's a big customer for us. We have vendor codes with Mercedes - Benz, BMW. We have vendor codes with tier ones like Aptiv, Leonia, Bosch, Sumitomo. So we feel that now we can firstly offer the offshore services that, add solution is not being able to offer to these customers. Because one of the reasons why add solution wanted to come together with us is because they see a lot of growth potential, but they didn't have the financial muscle, so to speak, to fuel the growth.

Secondly, a lot of customers were asking them about what offshore capabilities they had. And that is something that they lacked. So now both of these are

the aspects that we can talk about. And

of course, what we will be doing is that, we also have embedded capabilities, which, comes to Mistral. So we have software testing. We have wiring harness capabilities, which come in from add solution. We have mechanical engineering capabilities, which comes in from AXISCADES. We have embedded capabilities coming in from Mistral. And we have digital capabilities, which come in from AXISCADES.

So I would say, Inder, that now we are in a position to really harness the supplier code that we have, go into new areas, do bigger projects, and really look at how we can run campaigns to leverage some of the other suppliers where we have not had a big base so far.

So we are very optimistic about this. And we feel that, for a company like ours, this is the right strategy going forward, because the other option would have been to sort of hire sales folks, organically look at hunting new logos. And like I said, with the German ecosystem, it's virtually impossible to get in.

But from a time perspective, that would be a one -year, 1.5 year kind of exercise. But here, very quickly, we have strategic clients who get added to us. So now, in addition to our two big strategic clients, we have a third big automotive German -European strategic clients. And then, AXISCADES Technologies Limited

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of course, we have the ability now to do much more from account mining and a new capability perspective.

Inder Soni: Great. And does this, your upcoming acquisition in the energy space, can you talk a little bit more about that? So what kind of work do they do? What job? Is it mainly Middle East? Can you give us some more color?

Arun Krishnamurthi: Yes, absolutely. So these guys are also in the engineering space. So they work on the EPC part of energy. So if you look at AXISCADES capabilities, we have clients both on the renewable space as well as on the fossil fuel oil and gas space. EPCOGEN does a lot of work on the oil and gas as well as renewables, again. So for example, we are working on liquid nitrogen batteries. We are looking at hydrogen batteries where they do some work.

They are also working with some large oil majors as well as suppliers to oil majors where they look at construction activities. And if you follow the whole energy space, there is a lot of construction happening, a lot of carbon capture and sulfur. So when you have an oil field, you build out refineries, but you also build out carbon capture, sulfur capture plants so that you can cater to the environmental considerations.

So the whole project management, the whole capability, the whole design, inventory management, product management, that's the kind of skills that these guys have. And these are typically long cycle projects. So once a project starts, it usually lasts for 12 months to 18 months because that's the time it takes to stand up something of this scale.

And we are very excited about it because we feel that at least for the next 10 years to 15 years, this will be a very vibrant space. Of course, there is a move toward electrification and all of that. But we do feel that, especially with what's happening in the Middle East, there will be energy security issues. We saw with Ukraine that there were energy security issues in Europe. So we feel that the energy agenda is going to be very, very prominent for most countries and most

companies. And therefore, this will attain a lot of prominence. So that's why we want to sort of have a foothold quickly and look at how we sort of grow the space.

Inder Soni: Great. And your employee costs have gone up because you said you've hired some senior people in advance of demand. Can you talk a little bit about that? Because I think that was one of the biggest increases in costs?

Arun Krishnamurthi : Yes. So I think like we've been saying, we obviously need to augment the team. So we're lo

oking

at augmenting the team from sales, which we started doing in the past. We are augmenting the team with senior delivery people. Now we're looking also at upskil ling our corporate resources. So we have hired a chief risk officer. We hired a controller. We hired a new CHRO, new Chief Human Resources Head. So these are obviously senior positions. And, we need to spread it out over quarters because, we can't do it all at one shot. So we have a pl an in place and we sort of put it into our budget in terms of how we want to go ahead with it. So that's point number one. Point number two is that, we are also, like I said, seeing strong growth from aerospace, from automotive, etcetera. And there are some big projects where we need to do a ramp up. And our

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focus now is given the pyramid mix that we want to achieve, we are looking at hiring a lot of people who are either fresh from college or who are in the zero year to five years, five years to seven year experience.

And with those kind of people, we need to sort of put them through a six month training and then they are sort of in a position to get billable. So we have had to prepare, for some ramp up activity which will happen in Q3. So we had to sort of, absorb thos e costs in Q2, which we feel are, the right things to do.

And I think one of the things we want to do is obviously balance the profitability with the growth aspect because we also want to make sure that as we grow, we keep investing in keeping an eye on the future in terms of, how the growth should come. And I th ink for us, getting that wallet share quickly is important. And, that's why we are looking at, adding manpower both from a senior as well as from a delivery and a technical perspective.

Inder Soni: Another area of your cost that went up was the materials at Mistral. So that means that you are now moving more into the manufacturing phase, right? Can you talk a little bit about this? You talked last quarter somewhere, you said you first do the design a nd then you get into manufacturing. So how big are some of these projects? How long do they last? Just give us some color. I'm not looking for anything confidential, but just, at a high level. What does manufacturing for Mistral mean?

Mujahid Alam: See, I can give you a couple of examples here. Some of my radar programs, we are starting a radar production program probably by the third quarter end, and we will start the production program. The billing will happen probably Q4 or Q1 of next financial year. But this is a project will go on for approximately two years. The delivery is staggered over a window of every three month, four months, we roll o ut one number of radar for the customer.

Similarly, if you look at the light combat aircraft program, we have design wins wherein the production cycle, it already started. We are producing work for them, but this production cycle will happen for the next 10 years plus.

Inder Soni: So up to 10 years, you're saying?

Mujahid Alam : What we'll be designing today will never be changed. The same product will go in year -on-year as long as the aircraft is produced. So as you know, there are 128 crafts, which are being produced now. And also, there's a order for 100 more to be produced in the short term. The order yet to come from the government, but the government has already promised HAL that the order is coming.

So these production cycles will go for 10 years plus with the same design and the same product which we have today, which means that, we do not have to invest on manpower. We do not have to invest in a new design. Whatever we have today, will be produced a gain and again. So obviously, our margins will be taken care of.

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Inder Soni: Great. And last question from my side. In heavy engineering, we

've talked about digitizing and

hiring people for that. So what do we mean by that? Can you give us some color on what you mean by digitizing and heavy engineering?

Arun Krishnamurthi: Yes. So Inder, if you look at where heavy engineering is moving, one is that obviously, like everything else in transportation, there is a move towards electrification. So that obviously

brings in new component designs and new ways of building the construction equipment. That's point number one.

Point number two is, if you look at heavy engineering, there is already concept like autonomous driving are already present. So if you look at, say, large mines in Australia, if you look at chemical plants, you would have a lot of these machines that are running autonomously, and they run for 24/7. They run around the clock.

And they're typically, there's a lot of digital solutions by which they are monitored. There are digital twins in case there's a breakdown if you need to fix the problem, etcetera. And also the fleet upkeep is something which is very important. So inventory management, remote management of these machines in these kind of mines as well as digital twins to sort of optimize them as well as win them back in case of any breakdown in case of any enhancements. That's where we feel that digital will play a big role.

And if you look at heavy engineering, unlike automotive, it is, you don't really design the machine keeping a passenger in mind. It's designed keeping in mind how long this equipment can work, how hardy it is and how much you can sweat the assets.

So the kind of digital use cases that you have in this industry are completely different from automotive, where automotive is more customer-centric and passenger-centric. But here, it is more maintenance-centric, more about optimizing inventory, more about upkeep of the fleet and more about maintenance schedules.

Moderator: The next question comes from Pankit Shah with Dinero Wealth. Please go ahead.

Pankit Shah: So actually, I wanted to understand more on the defence order pipeline. We used to -- is that there is a INR2,000 crores - 3,000 crores order pipeline. So what is the situation currently? Are you participating in any big tenders? How is the order book visibly looking there?

Mujahid Alam: As on date, while we are talking today, the order pipeline in Mistral is currently outstanding at over INR350 crores on integrated orders. And...

Pankit Shah: These are like confirmed orders of INR350 crores, right?

Mujahid Alam: INR350 crores order in hand with Mistral. It also includes a few orders from non-defence business also, but majorly from defence. And we have already negotiated from a couple of contracts with BEL and HAL for some of the production numbers, which are due to us, and we expect these orders to come in Q3. So those will be to the upward tune of about INR100 crores plus of new orders, which will come in, which are due to production...

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Pankit Shah: What are the tentative time lines for these orders? Delivery time line?

Mujahid Alam: Delivery time line will be spread over a window of 18 months to 24 months.

Pankit Shah: Okay. Sir, with regards to drones, I wanted to understand that there are already players who are supplying drones to say, army and all. So what are the chances of our R&D getting converted into confirmed orders? And along with that, have we received any fresh entry of orders for our anti-drone systems?

Mujahid Alam: We have not received additional orders. At this point of time, I'm talking about drones and all, not anti-drones right now. And in terms of drones, yes, we are still in the R&D phase. We are doing some field trials. Last week, we had some trials in major locations up north. So we are fixing the issues which were reported on field. And I expect this product to be available and ready

for us by the end of the year.

Arun Krishnamurthi: And I think just to add on the anti-drone, there is a follow-on order that we have been shortlisted for. It is quite a large order for about 200 systems of anti-drone. And we have, there's a party of two, there's us and there's one other party who's been shortlisted. So we're going through the process on that. And, as it goes through, we will obviously move towards billing it and executing it.

Pankit Shah: Okay. My broader question was that we are spending our time and effort on R&D. But what are the chances that these R&D efforts get converted into order? Because drones is already a crowded market, if I am not wrong?

Arun Krishnamurthi: Yes. So what we are looking at is very specific applications. So we are not looking at logistics drones or agriculture drones or, those kind of use cases. For us, it's very specific when it comes to defence uses. So from a drone's perspective, we are looking at, high altitude, heavy payload drones.

And, that's exactly what the Indian armed forces need because of the kind of borders that we share with our neighbours, where there is a need for drones which can fly at high altitudes in thin air and which can also lift heavy payload. So those are the specific use cases that we are working on. And we actually have a prototype in place which we are in the process of testing and which we are showcasing to the armed forces. So we are very focused on that.

And we believe that, especially with everything that's going on around the world, with heightened need for defence supplies and R&D in defence, that's absolutely the best thing to do

because we don't want to spread ourselves too thin. We are very sharply focused just on defence use cases.

And we firmly believe that, if you look at the drone industry, the defence expenditure on drones will far outweigh any other commercial kind of expenditure that will happen on drones because the commercial drones are more commodity drones, whereas the defence drones are more specialized and they're custom made and they're suited for the terrain and for every country's specific purposes. So that is our focus area. And, we believe that that will, in the future, be a very strategic move for us.

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Pankit Shah: Okay. Got it. Sir, last question from my side. We have been reading that, Airbus has been increasing its presence in India quite a bit. They recently established a plant to establish MRO facilities also, and signed up few suppliers also. So do we see our scope of work increasing for Airbus in the near term?

Arun Krishnamurthi: Yes. So if you look at what we do for Airbus, we work across a spectrum of activities. So we work on aero structures, fuselage, wing kind of design, which is like a horizontal service, which is done across multiple countries in Europe. We have started work on manufacturing engineering, which is supporting plants.

And with Airbus footprint increasing in India, as you know, they have a joint venture with Tata to manufacture the C295 military transport aircraft. In addition to that, with the large order that Air India and Indigo have landed with Airbus, they will be looking at MRO partnerships.

So the manufacturing, engineering, plant support kind of work that we do will be something which is very relevant to India, but also globally. Because really, if you look at the order book that Airbus has, it's very strong, and it's all across the world.

And the third aspect, of course, again, which is very relevant is what we call as repair, which is customer service, which is when an airline operator flies an Airbus plane, and if there's an issue with, any kind of incident like a bird hit or corrosion or anything like that, there are SLAs on which Airbus has to sort of, turn it around.

And that's where we are present. So that's something

we do around the clock, 24 hours, from

India, Europe, and the US. And as the number of aircraft in the skies increases, the more customer service initiatives will come through. So I think we have a really nice spread, and there's a new area that we're working on as well, again, on customer services, which is related to, the repair work that I mentioned.

So I think we are strongly poised, and I think even that Airbus is doing well, I think it has a good knock-on effect, and they're extremely happy with us as a supplier. So I think we are certainly bearing the fruits of the investments we have made and the good delivery that we have done for them.

Pankit Shah: Okay. Thank you so much. All the best.

Arun Krishnamurthi: Thank you.

Moderator: The next question comes from Saurabh Sadhwani with Sahasr Capital. Please go ahead.

Saurabh Sadhwani: Hi, team. I wanted to understand the projects that add solution is doing. So specifically, what is the timing of the products that add -solution is working on? Are they the upgrades of the current versions, or are they the EVs that would come later in the decade?

Arun Krishnamurthi: Yes, add solution has capabilities broadly in two areas. One is the whole software testing area, and the second is wiring harness. And if you look at it, they work across the passenger and

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commercial fleet for the large German OEM. So these, as you know, are projects which are long-term projects, and especially software testing is a business which is growing.

Because if you look at the software-defined vehicle, there's more and more of a move towards software in the vehicle, and of course the architecture of the vehicle is changing as well. Until now, most of the cars had many ECUs, and there used to be application stacks on top of that. But with the software-defined vehicle, it's moving to more computing, which is based on the fact that there are a couple of computers in the car, and then most of the software and applications are loaded on that. And what we do through add solution is testing of a lot of the infotainment and the vehicle cockpit systems.

And this is where a lot of innovation is happening, because if you look at the passenger, they're looking at more connectivity, they're looking at more ADAS features, they're looking at richer options for streaming or entertainment or video. And this is the kind of service that we provide, so we are in the right spot in the growth area.

And of course, wiring harness is something which is very critical, because again, with the move

towards EV, the cabling and the architecture of how you do wiring harness, the high -voltage engineering, you have needs for high -capacity chargers, and that is exactly what add -solution does. So both of those are areas which are exactly in the direction in which the client is investing. So if you look at the client, they're moving towards electric vehicle platforms, and they're moving towards more connected and more ADAS feature -rich cars and software -dependent vehicles. So these are the two areas that we are present in. We actually don't do much of mechanical through Ad, but that's something that we will definitely not want to rule out, because AXISCADES does a lot of mechanical engineering.

So like I said in one of the previous questions, because we have supplier codes, we will definitely also look at expanding mechanical, because that's our bread and butter. But our focus will be on the embedded and the digital and the software side as we go through.

Saurabh Sadhwani: So these products are going to mainly these projects and these clients are going to stay long - term, right?

Arun Krishnamurthi: Yes, absolutely add solution has been in existence for 20 years, and they have very strong relationships with these clients. They have had projects running for the last 20 years. And

after

the acquisition, I had an opportunity to visit some of these client s along with them and the relations are super strong.

So we do expect that there will be not just stay, but we expect it to grow. The whole objective is actually to put our combined might together and grow. And like I said, one of the things that they're actually not able to service some requests because of t he fact that they don't have the ability to invest in people. So we will also be looking at whatever money is left on the table to sort of expand it. So yes, absolutely , these are strong relationships, which will continue for the long term.

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Saurabh Sadhwani: Okay. And secondly, on the material cost that has increased this quarter. So this was related to Mistral product ion -- mistral is going into some production contracts.

Shashidhar S K: The material cost is commensurate with the production orders, which was executed by Mistral. And if you look at it, out of the INR94 crores that what was recorded as defense revenues for the half year, about 50% of that is material cost. So it's commensurate with the production orders that has been executed by Mistral.

Saurabh Sadhwani: So these costs don't have -- yes, that's expressed.

Moderator: The next question comes from Nirali Gopani with Unique PMS. Please go ahead.

Nirali Gopani: Most of my questions have been answered. Just a clarification on the fund raised, it's a significant amount. So if you can just elaborate, what are we going to use this fund for? Is there any further inorganic acquisitions or?

Arun Krishnamurthi: Yes. I think the first question you asked is the best kind of question I'd like to answer that all the answers have been provided. But yes, just in terms of fund raised, as you know,our Board has approved that we can raise funds up to INR500 crores. So the objective is twofold. One is that we will look at writing of debt that we have acquired because of some of the acquisitions. And the second part, of course, is for growth capita l.

We believe that the long -term story for the company is strong. And we do need to invest, hire more people, invest in R&D, build out products. And actually, in digital, where we are making a lot of investments, we're also looking at how we can develop our o wn IP so that our revenues can be accelerated and not just sequential based on client revenues. So these are the two broad areas in which we will deploy the money that we will get.

Shashidhar S K: Just to clarify, the INR500 crores that what have been notified to the stock exchange is only an enabling kind of, I would say, a resolution which has been passed with the Board of Directors. It is not to say that we would be raising IN R500 crores. And as Arun explained, our debt on the books is around INR 210 crores in terms of long term as what we raised from Mistral acquisitions, and we are looking at raising anywhere between perhaps INR 150 crores to INR 200 crores and not really INR500 crores.

Nirali Gopani: Okay. Perfect. And just one last clarification. So when you say that the cost of material consumed is largely related to Mistral -related production. So as the production there goes up, do we see this kind of gross margin? Or we can see further improvement there?

Arun Krishnamurthi: So just to answer that, broadly for us, if you look at defense win, it comprises of two parts. One is the R&D part, where we come out with our product and then get it certified. And the second part is the production part. So the R&D part is where we make i nvestments and our margins are low because we're really innovating and doing R&D there. But when it comes to production, because the part has been certified and because it will only be procured from Mistral, the margins are much higher.

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And also what happens is because, like Muju explained, some of these production orders can span over 10 years. So what we also need to do is that we need to stock or stock products or component, which could become obsolete because it's possible that when we did the design, these are cutting-edge technology. But over the next 10 years, they could become obsolete and it's possible that the OEM or the manufacturer stopped manufacturing them.

So we make an assessment of that. So when we see the production over the next five to 10 years, we also do proactively stock some components, which we believe could be obsolete so that we are in a position to sort of deliver that.

So the material cost, so as we see production revenues going up, you will also see material costs going up because that's when we procure the materials and that finally becomes a finished product.

Shashidhar S K: Just to give you a flavor on numbers. For the half year, the defense revenues were INR94 crores, of which there are production orders that was executed by Mistral for the first half year was INR48.65 crores and they recorded an EBITDA of 31% on that.

Moderator: The next question comes from Deepak Poddar with Sapphire Capital. Please go ahead.

Deepak Poddar: Just a clarification first. I mean there was some margin impact that you maintain. I think you mentioned in second quarter due to some digital investment or higher cost, I think, somewhere.

So can you quantify the impact? What was the impact there?

Shashidhar S K: See, we have built a very significant digital team which we would like to call it as an investment.

And today, we have a 50 -member digital team working on various projects. They also will be working on billable projects. But at the moment, the 50 member s digital team, cost us around INR 1 crores a month. So the quarterly impact of that is around INR 3 crores, which is right away charged into the P&L, and we're not capitalizing it as intangibles.

Deepak Poddar: Okay. Okay. Fair enough. So this will continue, right, I mean, as we go forward?

Shashidhar S K: Yes. So only that , it will not remain as a cost. It will remain, kind of accrue to us in terms of, I would say, the automation projects of what we execute, the billable products at what we take with our customers. It will not remain at a cost, but it will leave its own margin and the profit center of its own.

Deepak Poddar: Okay. And so I mean, can you throw some light on that? I mean, what's the margin aspirations we are looking at, I mean, going forward? Currently, we are at about EBITDA margin of maybe close to 15%. Last year , last quarter, it was close to 16%. So in the near term and in the medium term, what sort of aspiration we are looking at in terms of margins?

Arun Krishnamurthi: Yes. So we had said that in the next three financial years, we want to get to the industry best of about 18%. And this is a journey that we are on. And of course, for us, I think a big determination of margin is also the mix of R&D versus production that happens in a particular quarter.

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But just to answer your question, two years back, I think we are in the 12% range. We are now in the 15% range. In the next two to three financial years, we want to get to 18%. But like I said, it's a journey, and we won't get there just a flick of a switch, but it will happen through some really incredible action.

Deepak Poddar: So that is by FY'26, right? That's what we are targeting?

Arun Krishnamurthi: Yes, yes.

Deepak Poddar: Three years from FY'23 base?

Arun Krishnamurthi: Yes.

Deepak Poddar: Fair enough. And given the, I mean, traction we are seeing in all the segments we are in, I mean, aerospace, automotive, even the defense sector, I think all the spaces are seeing a lot of traction and even heavy engineering. So I mean the growth

that we have been doing, I mean, if you have to see last two, three years, we are growing in the range of maybe what, 20% plus CAGR kind of a growth. I mean, is that something that, one, we would aspire as we go forward in terms of maintaining such kind of a growth? So some subjective comments would be helpful, yes.

Arun Krishnamurthi: Yes, subjective comments. Yes. So I don't want to comment on the exact percentage, but what we will definitely aspire to is to better industry growth rates, and we will continue to sort of look at that kind of a growth. And we also believe that we are in a phase where and there are two ways you can look at top line growth and margin growth.

I think the more customers you have, the bigger wallet share you have. The more strategic customers you have, the ability to improve margins is much better. Whereas on the converse, if one were to sort of focus on margin versus growth, then the wallet share and the growth sort of gets a little bit muted.

So our approach has obviously been to balance both of them. But we also believe that if we can increase the number of strategic clients and therefore, grow the business, then once we acquire a new logo, then through account -mining initiatives, we will be able to drive better productivity, better digital initiatives and improve the margin.

So we're looking at top line leading the bottom line growth purely because the more accounts we have, the more we can mine them and the better the margins can be. So, but to answer your question, you're looking at bettering industry growth rates. I'll just leave it at that one. Please do follow us.

Deepak Poddar: What range? I mean industry growth rate, I mean, what is the industry growth rate currently?

Arun Krishnamurthi: Industry growth is anywhere in the 15% to 16% range.

Deepak Poddar: Fair. Fair enough. That's quite helpful. And my final question is in terms of mix. I mean, how do we see the mix changing going forward, I mean, in various sectors?

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Arun Krishnamurthi: Yes. So if you look at it, we have three areas that we want to focus on. One is the mechanical engineering, which comes from AXISCADES. The second is the embedded which comes from Mistral. And the third is digital, which we are organically growing through AXISCADES, Mistral, add solution and hopefully, EPCOGEN.

So as we look at the business going forward, there are two things we want to look at. One is we want to increase the longer -term projects that we can work on. The second thing is we'd like to see the mix of embedded and digital growth purely because of the fact that there's a lot of money that's being spent on these two areas, but also a lot of the thought leadership and the innovation that's happening is really happening on embedded and digital and not so much on the mechanical side.

So our ambition is that while we grow, we want to increase the percentage contribution of embedded and digital. And that's where we're sort of investing. And these are areas which are very interesting and very exciting for our employees as well.

Moderator: Next question comes from Manjubhashini with JM Financial Services Limited. Please go ahead.

Manjubhashini: Sir, in the beginning of the call, I remember you were talking about certain client closures that have happened in Q2 '24. Can you please elaborate on that?

Arun Krishnamurthi: Client closures? Okay. Sorry, you mean plant closure. So what has happened is that some of our strategic clients have had to shut their factories for an extended period in summer this year for a variety of reasons. Some of them had to do it because some of their suppliers were not able to come up with components. And those subsystems are needed to complete the product that they usually build.

The second reason is that in some of our clients who are growing at a very rapid rate, they had

ey had

to shut the plant so that they can upgrade these plants so that they're much more productive and they're smart factory compliant and industry 4.0. So that had a billing days impact for us. So that's what I was indicating that there are some plant closures which happened for more days than we anticipated in Q2.

Manjubhashini: Okay. So but this is the usual phenomenon? I mean it would have happened in the same time as last year as well. Generally, we hear about these plant shutdowns, etcetera, during the December quarter from rest of the IT company. And in your case, I think it has happened a quarter prior.

Is my understanding right?

Arun Krishnamurthi: So typically, it's a seasonal thing. So you have plant shutdowns in Europe, which happened both in the summer as well as during Christmas. So what has happened this year has been an extended shutdown. So we do anticipate plant shutdowns in Q2 as well as Q3. So Q3 during the Christmas and New Year break and Q2 during summer.

But this year, like I said, because some of our customers around expansion spree, they had to sort of shut those plants down to upgrade them, which will result in larger volumes and more productivity for us going forward. So the good news is that a lot of the small revenue miss that

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we had in Q2 because of plant shutdowns likely result in much more enhanced business as we go through the next quarters.

Manjubhashini: Sure. And are we quantifying this?

Shashidhar S K: Yes. So the revenue loss with respect to the shutdowns close to about INR400 crores for the quarter.

Manjubhashini: Got it. Got it. And the other question is regarding the production.

Arun Krishnamurthi: Sorry, we lost you.

Moderator: The next question comes from Tushar Deepakbhai Bhavsar with Cognizance. Please go ahead.

Tushar Bhavsar: Congratulations on the grand performance, like at least on the revenue side, I understand the margins have gone down. But can you tell us like that what is the headcount as of today or this quarter, like for the company? And I wanted to know, like the dilution is -- but like as I hear d like that INR150 crores to INR200 crores, which I think like would be around 25 to 30 lakh shares. So that is around 7% to 8% of dilution, right, on the equity, we can anticipate? So what will be the impact of that in the long run?

And I did hear like a quote that we will still have the INR11 crores to INR12 crores financing charges. But if you raise the money and if we extinguish the debt, should we see that like INR11 crores go to 0 or like a much lower number?

Shashidhar S K : Yes, you're right there. So when I quoted the number of INR11 crores , INR12 crores, it did not factor any, I would say, debt, I would say, repayment from the capital raise which we are anticipating to do. And once we pay the debt down, yes, there's going to be an impact on the EPS and proportionate, I would say, impact on the share price, too. So the INR11 crores, INR12 crores, which I said is a pre-writing of capital.

Tushar Bhavsar: Correct. And like our employee strength, sir, like the number of employees that we have today, just to have a comparative like you know?

Arun Krishnamurthi: Yes. So we are close to about 3,000. And in Q2, we added about...

Shashidhar S K : 51

Arun Krishnamurthi: Yes, close to about 51. And of course, add solution get integrated as well. So that's another 100 employees in Germany. So you can say we're in the 3,000 range.

Tushar Bhavsar: Okay. We are in 3,000 range.

Moderator: Thank you all very much. In the interest of time, that was the last question on today's call. I'd now like to hand the conference over to the management for closing remarks. Over to you, sir.

Arun Krishnamurthi: Yes. Thank you very much, and thank you for all the questions, the value, the support that you have given us. And like

I said, we are very fascinated about the future of the company. We
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believe we're in the right space. Some of the things that we talked about a few years back about growing automotive and energy, you have seen that we have made acquisitions. That business is growing. So we are seeing a strategy that we spoke about playing out nicely. And we're very optimistic about engineering going forward. And we'll obviously keep in touch with you with every earnings call that we have. So thanks a lot and wish everybody a very happy Diwali.

Moderator: Thank you very much. On behalf of AXISCADES Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy

Call: Feb 2024

AXISCADES Technologies Limited
(Formerly AXISCADES Engineering Technologies Limited)
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February 21, 2024
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Scripcode : AXISCADES
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scripcode: 532395

Dear Sir /Madam,

Sub: Transcript of the Earnings Call with the Investor(s)/Analyst(s)

Further to our intimation dated 15th February 2024, please find enclosed the transcript of the Earnings Call with the Investor(s)/Analyst(s) which is hosted on the website of the Company at www.axiscades.com

We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

Thanking You,
Yours faithfully,
For AXISCADES Technologies Limited

Sonal Dudani
Company Secretary & Compliance Officer

Encl: A/a

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"AXISCADES Technologies Limited
Q3 and 9M FY '24 Earnings Conference Call "
February 15, 2024

MANAGEMENT : MR. ARUN KRISHNAM URTHI – CHIEF EXECUTIVE
OFFICER AND MANAGING DIRECTOR – AXISCADES
TECHNOLOGIES LIMITED
MR. SHASHIDHAR SK – GROUP CHIEF FINANCIAL
OFFICER – AXISCADES TECHNOLOGIES LIMITED
MR. MUJAHID ALAM – CHIEF EXECUTIVE OFFICER –
MISTRAL SOLUTIONS PRIVATE LIMITED

MR. KRISHNA - MANAGING DIRECTOR – EPCOGEN
MR. SHISHIR GAHOI – HEAD, INVESTOR RELATIONS –
AXISCADES TECHNOLOGIES LIMITED

MODERATOR : MS. AKASHI MODI – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the AXISCADES Technology Limited Q3 and 9-month FY '24 Earnings Conference Call hosted by Orient Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shishir Gahoi from AXISCADES Technologies Limited.

Thank you, and over to you, sir.

Shishir Gahoi: Thank you very much. Good evening, everyone, and I'm delighted to welcome you all to this Earnings Call for Q3 FY '24 and 9 months FY '24. I hope you all had an opportunity to view our press release and the investor presentation, which are available under the Investors section of our website, and the same are accessible in the BSE and NSE websites.

To discuss our results, we have with us our CEO and Managing Director, Mr. Arun Krishnamurthy, Mr. Mujahid Alam, CEO of Mistral; Mr. Krishna, Managing Director of our newly acquired company EPCOGEN, and our Group CFO, Mr. Shashidhar S.K. They will take you through our results and business performance. After which, we will proceed for the question-and-answer session.

Before we begin the conference call, I would like to mention that this conference call may contain some forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. The actual results may differ materially. These statements are not guaranteeing of future performance of the company and involve risks and uncertainties that are difficult to predict.

I will now hand over the call to our CEO and Managing Director, Mr. Arun Krishnamurthy. Over to you, Arun.

Arun Krishnamurthy: Thank you, Shishir. Good evening, everyone. Welcome to our Q3 FY '24 and the 9 months FY '24 earnings call.

Let me begin by giving you an update on our recent capital raise event by way of qualified institutional placement, which for us was a very good success. The company raised an amount of INR220 crores from marquee institutional investors, and the issue was over subscribed 8x. We are delighted and enthused by the confidence shown by the investors in AXISCADES and its potential for future growth.

The funding will go towards repaying the borrowings of the company and various other corporate initiatives, which will enhance the company's growth and profitability. This is a quarter of our overseas customers, and in this context, the company continues to record consistent quarter-on-quarter and year-on-year growth in Engineering Services business. For this quarter, the Engineering Services business grew by 3% quarter-on-quarter and 21% year-on-year to INR182 crores. For the 9 months FY '24, the Engineering Services business grew by 20% from the previous year from INR426 crores to INR512 crores. The expansion in AXISCADES Technologies Limited

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engineering also is fueled by healthy growth in Aerospace and our nascent verticals of automotive and energy. Our relationship with 2 aerospace OEMs continues to expand and this vertical grew by 29% in the 9 months' period.

We further solidified our position with a strategic aero customer by giving a large multimillion dollar deal, which will continue to give us business for the next 5 years. The areas of focus within this will include major repairs, structural repairs and various customer service angles. The company has also initiated several digitization projects in the aerospace vertical, which will enhance productivity and margins. Our outlook for this vertical continues to be bullish for the

foreseeable future.

Despite Q3 having holidays, our aerospace customer prioritized workloads to meet their year-end targets. And this helped us have a very good quarter from there. Aided by expansion of add Solutions in quarter 2, the automotive business constitutes about 11% of our total revenue as against 4% in the same period of last year.

With revenues from automotive vertical growing by more than 3x, from INR22 crores to INR75 crores in the 9-month period. We continue to add new logos in this space and are well positioned to leverage on the opportunities with the capabilities we have developed and acquired with a large addressable market. In areas such as wiring harness, soft ware testing, ADAS and software - defined vehicles.

As was announced in the previous earnings call, we completed the acquisition of EPCOGEN in December '23 and started consolidating revenues from first December with a revenue of just INR2 crores for the month of December. And I'm glad to welcome, Krishna, who is the Managing Director of EPCOGEN. He joins this call for the first time, and he joins AXISCADES family. We have onboarded quite a few marquee logos in the energy space with this acquisition. The current revenue share of 3% for energy vertical we expect to significantly grow in the coming periods.

The company is also finalizing a go-to-market strategy with the intent to open an office in the Middle East. The company forecasts aggressive growth on this front across oil and gas, renewables and infrastructure design and development. As stated earlier, the growth of 20% in Engineering Services business has come about, despite tepidity in heavy engineering and semiconductor verticals, mainly in the U.S. region.

Revenue from heavy engineering was INR115 crores for the 9-month period and constituted 17% of revenues as against 22% in the same period of the previous year. The industry is impacted by low capex spend and is highly sensitive to macroeconomic factors and is pivoted towards more digitization, automation and electrification. AXISCADES is graduating to offering these value-added services with its internal and Mistral capabilities. The company's objective in the coming year is to focus on improving margins in this vertical, moving away from its predominantly low-margin staffing model.

With respect to the product engineering business of Mistral and the services part of the semiconductor business is doing well. The production business is adversely impacted in the short

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term, and this is due to overproduction and overstocking of semiconductor chips by global semiconductor majors during the pandemic. The revenues from this vertical is INR102 crores for the 9 months, constituting 15% of revenues. We expect that growth will return to this vertical by the second quarter of FY '25 with flushing out of built-up inventories.

As you would have observed in the investor presentation, the Defense business, which constitutes 26% of our revenues, always reflects quarter-on-quarter variability, which is typical to the industry. This impacts both enterprise consolidated revenue and profitability. The performance of this vertical, as we have mentioned before needs to be measured on a full year basis rather than quarter-on-quarter. As such, while defense revenues grew by 12% year-on-year from INR164 crores to INR185 crores. The revenues were lower in quarter 3 at INR49 crores as against INR74 crores in quarter 2, and this is due to shifting of certain production orders in defense to quarter 4.

Also defense production revenues, which carry significantly higher margins was lower in quarter 3 at INR22 crores as against INR33 crores in quarter 2. However, when we compare the 9-month period, the production revenues in defense significantly increased by 3x from INR23 crores in 9 months of FY '23 to INR71 crores in

the current period. We are very confident that this vertical

will continue to grow on the back of strong order pipeline, which has been built on design wins and prototype certifications for the last 10-plus years.

I'm also pleased to report that in the last 2 years, we have made noticeable in progress in implementing our 3-pronged strategy of vertical diversification, customer diversification and digital first. And the business stands derisked with 6 business verticals, addition of several new strategic logos, new acquisitions and our investments for a digital future. We continue to build our team for growth and have added more than 500 billable resources in the last 9 months. And our people resource now stands at 3,000-plus people across all our businesses. The outcome of this can be seen from revenue from new customers increasing from INR8 crores to INR48 crores in the 9-month period and contributing to 7% of our company's revenues from 1% in the previous year.

On the financial and business performance, the company recorded revenues of INR670 crores, growing by 18% from INR590 crores recorded in the same period of the previous year. In USD terms, the company recorded revenues of \$85 million, growing by 15% from \$74.1 million recorded in 9 months of last year. The consolidated EBITDA for 9 months FY '24 stands at INR98 crores at an EBITDA margin of 14.1%, compared to EBITDA margin of 15.8% in 9 months FY '23.

The company's PAT has seen a significant improvement. For 9 months, it stands at INR24 crores against a loss of INR21 crores in the previous year. The acquisition costs, entity cost of the 2

acquisitions, lower production revenues from defense in Q3 and continued investments in embedded and digital capabilities has resulted in short-term compression in margins. We are in the process of integrating our recent acquisitions and rationalizing common costs to make these acquisitions margin accretive. As stated in our earlier calls, we continue to make

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significant investments to build our digital capabilities, which is critical to derisk our business and improve our margin profile, although it does compromise on our short-term margins. Our order book continues to be healthy at INR706 crores or \$85 million, accounting for more than 7 months of revenue run rate. To conclude, we are confident and stand energized to deliver on the vast opportunity before us and thank all our stakeholders and especially our new investors for their support and trust.

I now invite Mujahid to give a brief overview of Mistral.

Mujahid Alam: Yes. Thank you so much, Arun. I am pleased to report the Q3 performance of Mistral Solutions.

As you're all aware, Mistral is a cutting-edge technology design and system engineering company, delivering technology solutions in product engineering, aerospace, defense, homeland security to marquee global clients, Ministry of Defense, DRDO and Defense PSU for the last 27 years plus.

Mistral is on the cusp of realizing the fruits of its order pipeline, which we have built in the defense vertical based on the design wins and certified prototype, which it has built over the last 15 to 20 years. The radar, solar and telemated systems which Mistral has built indigenously finds expressions in the country's prestigious defense program like the LCA Tejas Aircraft Program, 230 Program, Rustom UAV Program and radars like Ashwani and Arudhra.

As Arun explained, defense revenue by its very nature will have variability across quarters and hence, should be compared on a full year basis. As such, for the third quarter defense revenue for Mistral stands at INR41 crores, was lower by 22% from INR53 crores recorded in the Q2 of the same financial year. The defense revenues for the nine-month period of FY24 stands at INR135 crores, which is 35% higher as compared to INR100 crores recorded in the same period

of the previous year.

The defense production revenues stands at INR71 crores in nine months of this year, which was more than 3 times the defense production revenues of INR22 crores recorded in the same period of the last financial year. The semiconductor and product engineering business of Mistral is undergoing a short-term challenge due to overstocking by semiconductor majors, and is expected to regain growth by Q2 of next financial year.

The semiconductor business of Mistral recorded a revenue of INR102 crores in the nine-month period as against INR99 crores in the same period of the previous year. The consolidated revenue for Mistral for the nine-month period is at INR237 crores, growing by 20% from INR198 crores recorded in the previous year. Mistral recorded EBITDA of INR42 crores, an 18% margin in the current year as against the EBITDA of INR32 crores, at 16% margin recorded in the previous year.

The Indian government is promoting Make in India in defense, electronics and semiconductor industry through multiple initiatives and policies. It will open new opportunities for Mistral, we continue to develop state-of-the-art defense technologies in collaboration with DRDO and our internal R&D.

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Let me conclude by saying that Mistral overall strategic direction remains sound. Our defense segment continues to demonstrate promise buoyant by ongoing contract and a robust pipeline of the opportunities.

Now I invite Mr. Krishna, Managing Director of EPCOGEN, the newest member of AXISCADES Group to give an overview of the EPCOGEN Energy business. Thank you.

Krishna KR SR: Thank you, Mujahid. Thank you, Arun. Hope, I'm audible.

Arun Krishnamurthi: Yes.

Mujahid Alam: Yes.

Krishna KR SR: Yes, okay. Good evening, everyone. I'm from EPCOGEN. Of course, it's outset, we at EPCOGEN are very much delighted to be a part of AXISCADES family, and we bring our competencies to grow the energy business of the group. EPCOGEN is an ISO certified engineering services company established in the year 2020. It boasts a team of industry experts from various multinational corporations focused on energy space. EPCOGEN primarily operates out of Chennai with additional footprint in Bangalore and Hyderabad as well.

The company serves both domestic and overseas clients in the oil and gas, refineries, power and

green energy sectors. It's expertise spans from the front -end engineering onwards, then pre - award engineering, proposal engineering, retail engineering, construction and commissioning support with multidisciplinary capabilities covering the whole spectrum of the energy sector. The energy sector is currently experiencing phenomenal growth with vast opportunities in the oil and gas sector expected to continue for at least next five to seven years, post which likely focus shifting towards green energy.

The team at EPCOGEN possesses these technical capabilities to meet the growing market demands in the energy sector. The company has been in a growth phase with commendable revenue growth year -on-year. Currently, EPCOGEN has over 100 resources on board with additional support being taken from the partnering companies as and when needed. The company has clear visibility of future growth of the business.

I now invite our group CFO, Mr. Shashidhar for a brief overview on the financial's part.

Arun Krishnamurthi : So Mr. Krishna before Shashi comes, can I just request you to do a brief introduction of yourself because it's the first time you're on the call.

Krishna KRSR: Okay. Thank you, Arun. I think I will continue a brief explanation about myself. I have been in the oil and gas industry for the last 40 years. The majority of the time I spent with Petrofac International Sharjah actually. And then -- of course, I was graduated from MIT Chennai. And most of the time I

spent in the overseas areas, like Petrofac Sharjah. Then through that, I was actually deputed to different locations in the world, like Russia, I was there for quite some time, Oman we were there , Qatar. We have a very good connectivity in the Middle East region.

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And then, of course, I was asked to start India operations for Petrofac during the year 2006. And from there we start from zero, we grew to accountable number of 2,700 resources and all the resources highly billable, 100% revenue. I think that was the most successful part of the career. And also, as an engineering center most successful operations from India from Chennai especially, that's for the Petrofac business actually here. And we are more focused on retail engineering services for EPC projects. Most of them are upstream oil and gas facilities. Also, we are in the petrochemicals and different sectors.

Now recently, we are getting into the hydrogen projects plus the green energy projects. Recently, we have been partnering with another company who are dealing with the cryogenic services , cryogenic storage systems where that will end up in the regeneration of power via the cryogenic services. These are the different sectors. Our experience practical temperature ranges ranging as low as minus 67 degrees centigrade to a larger temperature -- higher temperature of about 600 degrees centigrade.

That means the cryo services, regular oil and gas operations and then getting into the high temperature services also. That's the spectrum of experience and expertise what we have with our team members. Yes, I think that's a brief.

Arun Krishnamurthi : Thank you. Thanks, Krishna.

S. K. Shashidhar: Thank you, Krishna. Good evening, everyone. As explained by Arun and Muj u as well as Krishna, you now all have a fair idea of how the business has performed in the last quarter and nine months of the current financial year. I wish to place on record our sincere appreciation to all the new institutional investors who are on our cap table now for their trust and confidence in the company. The overwhelming success of the QIP motivates us to work with renewed vigor for continued success of the organization.

Net proceeds of capital raise of INR204 crores out of INR220 crores which we raised, INR158 crores is meant for repayment of borrowings, which will significantly reduce the finance cost from about INR49 crores in FY24 to less than INR20 crores in FY25. The balance of money is meant for other corporate initiatives for growth and expansion of the company. With the said capital raise, the cap table is now well represented by marquee institutional investors holding about 8.3% of the company.

After having successfully concluded activation of add Solutions in Q2 and EPCOGEN in Q3, our focus now is to make our acquisitions margin accretive by synergizing the offerings, cross - selling capabilities and rationalizing costs and resources. In the last few quarters, the company has also strengthened the corporate governance and sustainability initiatives in the area of internal control, contract management and its enterprise risk management.

As we closed the third quarter nine months of FY24 for the financial year, our growth momentum continues on the back of strong order book and delivery performance with quest for continuous improvement in margins in all our major verticals and business units. As stated by Arun, our business is significantly de -risked over the last two years in terms of vertical and customer

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diversification and our digital investments and our focus going forward is to accelerate on our twin objectives of growth and profitability.

Thank you. And we'll now open the floor to questions.

Moderator: Thank you very much. We will now begin the question and

answer session. And the first

question is from the line of Jyoti Singh from Arihant Capital.

Jyoti Singh: Yes thank you for the opportunity. That was a very good presentation from the management side. Sir, my question is on the defense side that we de-grew in this quarter, so if you can update on the order book execution side in the business, along with the order pipeline for the upcoming quarter?

Mujahid Alam: Yes. See typically, in the defense business, the business is cyclic because the value of the orders are typically large and execution is over a period of 12 to 18 months for every order which we receive, that's why you see a spike quarter-on-quarter. The defense business, as Arun has explained in the call earlier, actually looked at on an annual basis. So the revenues were lower when compared to Q2.

But in terms of the engagement, which we are doing, the orders which are in the pipeline, the execution which is happening is extremely large. So to just give you a clarification on this. In the last quarter, which is the Q3 quarter, we have recorded a new business of INR153 crores, and the pipeline moving forward looks very positive.

Jyoti Singh: Okay. And sir, another question on the geographic side, like except the US A, we are underperforming most of them. So if you can highlight on that.

Mujahid Alam: Arun, you're taking this call?

Arun Krishnamurthi: Yes. I can take that call. So I think in Europe, clearly, we have grown because of aerospace vertical, which has come in very strongly. For us, the USA vertical is predominantly in heavy engineering and PES, the semiconductor business. And that as I mentioned in my commentary is where we are experiencing some macroeconomic headwinds. And that's the reason that, that region has de-grown.

In fact for us, it's all defense and Muju just talked about defense. I think that's the reason that's the coverage. Canada for us, it's a very small part of our business, it's just 4%. Over the nine months, we've had good growth, and this business actually continues to be good. But given that it's a very small portion of our overall revenues, even a small swing here and there sort of shows the de-growth.

But the commentary from me is that the business from our Canadian customers are stable, and it's not really cause for concern.

Jyoti Singh: So sir, what are recovery that we are seeing, and we are expecting, and how is the discussion with the clients on the Europe side?

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Arun Krishnamurthi: Yes, I think for us, the three verticals which have done well, aerospace, automotive and energy. I think both aerospace and automotive, for us, the exposure is predominantly in Europe. So there, we have good conversations going in. I think the traction with customers is good. And of course, the acquisition of add Solutions also is in Germany, which is in the European region.

So clearly, with aerospace, I think we're in a very good position. Like I said, we also won a large multimillion dollar deal in Q3, which will get us into a new area and then gives us a new revenue stream for the next five years. And of course, this is also backed by the fact that the aerospace business is coming back in a big way. And given that we do both product design and some work is linked to production volumes. The recovery of the sector itself will give us a lot of tailwinds, and we see that going well.

As far as automotive is concerned, we are focusing on, like I said, software testing the ADAS and the software-defined vehicle. So this is an area, which is in great demand. We are, of course, new to this vertical. I mean, we are two years old. But I think, like I said, we have grown our exposure from 4% to about 11% in this vertical. So we're betting on these technology trends, and this is where we'll be sort of hiring more people and investing, and we hope to grow

in this

area. So our focus will be so much mechanical, but it will be in the newer areas.

And energy for us will open up the Middle East, like Krishna said, a lot of the business that we do is with oil and gas companies, but also with renewables companies and with cryogenic battery storage companies, which is actually in Europe. So we expect that the energy business for us will be predominantly a Middle East play because we are seeing some large contract typically - which is in the build-out of large plants for carbon capture, sulfur capture, large gas storage plants.

And we see that Middle East for us will start becoming significant. And towards that end, we

are looking at opening an office in Dubai, which we will do this quarter. We'll start with a small sales office and then will grow it depending on the way the business grows. For this product, the US is twofold recovery. So on the semiconductor side, of course, service is going well. So that is good. We are impacted by the production scenario in semiconductor, which is an industry trend.

And most companies were into production in semiconductor are impacted by this. So this we expect will take another 3 to 6 months. But as the inventory gets flushed out, we will see that this business, we will see some more demand coming back in. For us, heavy engineering is still work in progress. This is something where -- for us it's predominantly a staffing business and the contribution of heavy engineering as it was last year to this year has gone down, but we are now refocusing ourselves, and we want to focus on the quality of the business.

So rather than looking at top line growth, we would rather look at doing business in the embedded electrical and digital side for heavy engineering which might shrink the top line a bit, which will be more profitable business, and it will also bring us closer to customers because this is where their mindset is. So these are the actions that we're working across defense Mujahid talked about. So defense is not a recovery. It is just a quarter-on-quarter fluctuation. We expect that going forward we will see again very, very good numbers from defense.

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Moderator: The next question is from the line of Jalaj from Svan Investment.

Jalaj: So my first question was with regards to the Product Engineering Services, engineering semiconductor business. Could you delve a little deeper into...

Arun Krishnamurthi: Actually Jalaj sorry, your voice is deteriorated a bit, there's a bit of an echo.

Jalaj: Sir, just a bit. Just a bit. Yes, is it better now?

Arun Krishnamurthi: Yes, much better.

Jalaj: With regards to the product engineering services, I wanted to understand one thing. Could you dive deeper -- a little deeper, into the genesis of the -- some volatile revenue here, first of all.

And secondly, what sort of is the contract with the end customer. Are they short term, long term, is the volumes fixed? Or how does it work in this? Could you talk a little about it?

Mujahid Alam: Yes. I'll take this question. See in product engineering business, we primarily work with semiconductor companies wherein we involve ourselves much earlier in the program before Silicon State come in the market. So during COVID period, there was a lot of overstocking which happened. And these stocks are still available with my semiconductor companies who is my primary customer. And we expect these volumes to kick in again from Q2 of next year.

So basically, what we do here is while our NRE business is on upward trend, the products which we build are the products which we build for a particular target segment of clientele by -- given to us by the OEMs, like I said Texas Instruments to us. So as long as they have stopped with them, our business will not increase. So product when you talk about there are two factors over there.

One is products which we build as EVMs which are given to multiple clients and NRE. Our NRE business is continuously growing. The product EV is the offshoot of the NRE business, which we do, which is typically on stagnant growth kind of thing that is not our regular mainstream business. NRE is our mainstream, which is growing.

Jalaj: Okay. So what would be the spread across -- or what would be the proportion between NRE and production?

Mujahid Alam: Sorry, I still -- there's some echo in the voice over there?

Jalaj: Yes. What is the split between NRE and the production business?

Mujahid Alam: So in the professional services business, the NRE business will be typically in the range of about 70% and production will be 30%.

Jalaj: Okay. Okay. Understood. And then could you talk a little about the sort of the agreements or revenue? What is the revenue model here?

Mujahid Alam: See, basically, the revenue model is we get a standing PO, which is typically given out at the end of the financial year, we can say end of the year financial, which will be sometime in the

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December -January time frame. And is a blanket open PO. And the PO typically will be for a larger contract wallet. And then the engagement can happen for multiple divisions of this particular company, which in this case, I'm talking about Texas Instruments.

Jalaj: Okay. Okay. So there is no value ascribed per se to the PO, is that so?

Mujahid Alam: Well, I can tell you a value of last year, but I will not be able to tell you what we are discussing right now at the engagement. The last year open PO was close to \$32 million as open PO.

S. K. Shashidhar: So Jalaj one other point to add here is that the purchase order are backed by master service agreement of particular duration so -- which will be followed by purchase orders.

Jalaj: Okay. Okay. And could you talk a little about the sudden pickup in the other expenses and the people cost? They have gone disproportionately with regards to the revenue. So are we investing somewhere, or what is logic behind it?

S. K. Shashidhar: See -- essentially, if you see the payroll costs have gone up, one of the primary reasons is of course the add Solutions, the entire quarter cost has come into the financials in this quarter. As you would remember, last quarter in Q2, the payroll numbers or the expense number for add Solutions was only for a period of 2 months. And whereas in this case -- in this quarter it is for the entire quarter. On top of it, we have had, I would say, head count additions as well as the, I would say, the acquisition cost as what we have kind of, I would say, charged into the P&L. So that is the reason why these two particular expenses have gone up.

Jalaj: Okay. So both of them will be a sticky cost is what you are trying to tell me. This will...

S. K. Shashidhar: It is all actually related to most of it.

Jalaj: And one last question for me. If I remember, there was this -- one of your subsidiaries which has the defense -- under defense which has the maintenance work. So what would be the revenue, or where is it sitting right now? And I will tell you the subsidiary name, which was the AXISCADES Aerospace & Technologies Private Limited.

S. K. Shashidhar: That's right. So AXISCADES Aerospace & Technologies is also in the defense business, as you rightly mentioned. It's 100% owned by AXISCADES. And the revenue as typical as what experienced in Mistral, the revenues for AXISCADES Aerospace for this 9 months is around INR50 crores as where we stand today.

Moderator: The next question is from the line of Amish Kanani from JM Financial Services.

Amish Kanani: Sir, I would like to understand the lower EBIT margin that is being posted in the technology services and solution where the growth is decent, but the margins are lower. I think the previous

s

participant, you addressed partly, but if you can explain us because we had aspiration to take that division's margins to a much higher level. If you can give us the sense whether this quarter is an aberration, and how should we look at it?

S. K. Shashidhar: Yes. So the engineering services, EBITDA margin is sitting at about 14% now. And essentially, what we would want to put on the table is that the kind of investments as what we are making in AXISCADES Technologies Limited

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the digital space, which is kind of taking away about 2% of the EBITDA. So close to about 50 people are engaged in the digital investments, which is not margin accretive at the moment. And our objective here is to take it and also the fact that, as Arun was mentioning earlier, the business which we do with Caterpillar is something, which is not margin accretive for us at the moment because it's all staffing business. And these are the two areas where digital investments what we're making will start giving us revenues and some cost savings, but also the fact that where we are moving away from the staffing solutions business of Caterpillar, will enhance the margins of the engineering services in our business going forward.

Arun Krishnamurthi : And the acquisition that you spoke in the previous question.

S. K. Shashidhar: Correct.

Amish Kanani: Okay. Sir, is it possible to call out the one-time expense of the acquisition-related cost or maybe some legal and/or bankers cost, which might sit in which may not be repetitive because my EBIT margin, if I take off that technology services solution, it's coming nearer 12% versus last year...

S. K. Shashidhar: The total acquisition cost in terms of due diligence cost, the legal costs and all the costs which are related to acquisition is about INR3 crores.

Amish Kanani: Which may not repeat, right, that's the...

S. K. Shashidhar: Correct.

Amish Kanani: The employee cost will obviously repeat, and that will increase the margin as and when we get the sales and operating leverage kicks in, but this portion at least will not repeat?

S. K. Shashidhar: Correct.

Amish Kanani: Correct, correct. So in the context was last year this time around in quite a few quarters, we had actually posted EBIT margins more in the range of 16, 18 as high as 20. So I was wondering whether...

S. K. Shashidhar: Yes. It was a big shift which has happened. We took a conscious decision to start investing in the digital space, which we are very, I would say, conscious that in the short term at least is not going to be accretive to the margin, but we have started getting, I would say, production orders and the kind of business is what we grew with our overseas heavy engineering customers, we are selling our digital competencies and also the digital competencies are being used for internal automation. All of this is going to result in marquee's margin accretive, I would say, position going forward.

Arun Krishnamurthi : Amish, I can just add a couple of points. I think one is that if you look at it traditionally, the

company has been for the longest time in aerospace, heavy engineering and defense. Now as part of diversification, we wanted to grow automotive and energy for the reasons that, as you all know, automotive offers a world of opportunity. The number of customers in automotive is far, far more than aerospace. So, for example, if I have to add strategic new logos, it is very difficult in aerospace, but it's possible in automotive and so also in energy.

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So I think what we have been doing very consciously is that we wanted to increase our footprint in these two verticals rapidly. So what we did last year was we grew automotive organically. We were able to do that in a year to grow to about 4% of our company's revenues. But we decided and

we saw that with our customers that often to play in this space you need to have some scale. And to build that up quickly, I think acquisition is the only way. So now with the acquisition of add Solutions, that gives us to about, I think, 11% to 14% of revenues are now automotive. Now that comes with some short-term margin pain. But I think strategically, I think, these kind of investments in both automotive and energy will pay off in the long run.

And I think as we go into next year -- next financial year, we are very consciously going to be looking at how we look at margins. And if you look at it, our balance sheet is now much better, especially with the QIP and almost out of INR220 crores some INR155 crores goes towards writing off our debt. So if you look at our PAT, if you look at the cash position that we have, it will be much, much better. So I think we're looking at how -- so this is the first goal, which is to improve the balance sheet, improve our plan. But we will work on margins.

Margins typically take a little bit longer because when we go into a new vertical, new customers, it is competitive, and you do bid at lower rates. It's only when the account becomes mature like we have at aerospace that you are able to offer more services and be more, I would say, margin accretive. So I think this is a journey that we are on and sort of we are conscious, but it does appear that it is going up and down. But we believe that going into the next 2 to 3 years, this is the right thing to do.

Amish Kanani: Yes, sure, sir. And sir, coming to Mistral, I understand it's a volatile business on a quarterly basis. But if you can give us some sense of, one, whether if we can call out the fourth quarter, what is the bump up that might happen. And if it's not possible, given the volatility, again, if you can give us some sense of how the trajectory looks like, say, on a 12-month basis for say next 1 year. And that will be really helpful because we understand that it will be volatile on a quarterly basis, but some sense of growth will really be helpful or else giving us some order pipeline that we can share that will be helpful. Thanks.

Arun Krishnamurthi : Muju, do you want to take that or I can give you just a high-level commentary, Muju can fill in. So Amish, we don't give a guidance, but for us the defense business for Q4 is going to be much better. I don't want to speak in terms of percentage terms, but it, I will say that the production volumes that will happen in Q4 are going to be much, much more than Q3. It will be more like a Q2 situation that we had. So it will be a much better position for us, which will, obviously, help both top line and bottom line. Muju, do you want to add anything that you can share. You are on mute, Muju.

Moderator: Thank you. And the next question is from the line of Saurabh Sadhwani from Sahasrar Capital.

Saurabh Sadhwani: I just want one clarification that the new ...

Moderator: Sorry. Sorry, Saurabh we're unable to hear you.

Arun Krishnamurthi : Yes. Your voice is breaking.

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Moderator: I just request you to reconnect again, please.

Saurabh Sadhwani: I'm using the handset, is it better?

Moderator: Your voice is breaking, sir.

Saurabh Sadhwani: Okay. I'll join back in the queue.

Moderator: Thank you. The next question is from the line of Jalaj from Svan Investment . Please go ahead.

Jalaj : Thanks for the opportunity again. This is with regards to Mistral. So you mentioned it in the previous answer, but something as to -- could you give some color to maybe not quantitatively but qualitatively that what was the exact reason for the fall and how do you see it in the top line? How do you see it going forward? Has there been some supply chain issues or something else per se for this particular quarter?

Mujahid Alam: I would not say it is a f

all in revenue. The defense revenues are typically cyclical. So you should never look defense revenues on a quarter-on-quarter basis because, one, as I said, the quantum

of order value is extremely large typically. And then the delivery period is anything from about 16 months to two years to three years will be the window for delivering any product. So, one, order value is larger and the deliveries are also longer.

So there will always be a curve in terms of when the revenue gets recognized, that's where you'll see a drop in revenues on a quarter-on-quarter basis, or you'll see a spike in one quarter and then low in one more quarter. On a yearly basis, we are in the growth trajectory, and you'll see excellent growth in defense business for Mistral this financial year.

Jalaj : Got it. And otherwise, from a, let's say, medium to longer term, the outlook wise or -- there is no change per se or it is medium to long-term perspectives are still the same, or could you talk a little about that? Could you give us a little color there?

Mujahid Alam: See, our order book is extremely healthy and the pipeline also looks extremely healthy. So we will definitely see a growth year-on-year moving forward. So there is no ambiguity on that front.

Jalaj : Got it. And last question, with regards to the AXISCADES Aerospace, what we talked about when you told me the 9-month revenue was INR50 crores. So does this -- this vertical also have a little seasonality because if I remember it correctly, FY'23, revenue was INR90 crores.

Mujahid Alam: Arun, Shashi this is on Airbus.

S. K. Shashidhar: No. If you are talking about AXISCADES Aerospace & Technologies, yes, last year, we -- their total revenues were INR90 crores. This year -- half year is INR50 crores, but there is one major order as what is being executed for the Ministry of Defense, and we would see the revenue accretion happening in Q4.

Jalaj : Okay. Thanks a lot.

Moderator: Thank you. The next question is from the line of Tushar from Cognizant. Please go ahead.

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Tushar: Good evening, sir. We were talking a lot about the testing that was taking place on the drone side and some several, like, important testing results were supposed to be out by December. So do we have any updates, like on the drones? Are we actually like -- so there was one Ghatak that came out in the Indian defense. Are we involved with that?

Mujahid Alam: We are not involved on that program. We are building a drone indigenously at Mistral, which is our own initiative in terms of R&D. We have finished some test trials as we talk today. The trials have been conducted at Bangalore at the environmental conditions, which Bangalore has today. But the ultimate goal is to fly this drone in challenging environmental conditions based on the terrain which we have against our borders. So that testing is yet to start. Whatever the learnings which we had from the testing, which we did locally here, we're incorporating that and then we will start testing again shortly. So we are on the right path at this point of time.

Tushar: Okay. So are we -- like I thought like we were also into anti-drones industry too. So are we seeing any revenues coming from that section or like drones or anti-drone sections?

Arun Krishnamurthi : Yes. So we do have a large order in the anti-drone part. So that project is currently undergoing inspection as we speak. And that will happen over the next 10 days. So that is an ongoing project and we expect as we go closer to March that one portion of it should get completed. And the next portion of it will get picked up next financial year.

Tushar: Thank you very much.

Moderator: Thank you. The next question is from the line of Agam Shah, an individual investor. Please go ahead. The next question is from the line of Sameer Dosani from ICICI Prudential

. Please go ahead.

Sameer Dosani: Thanks for the opportunity. I just wanted to confirm this Mistral pipeline. So what is the kind of booking pipeline we'll have right now? I think, if I'm not wrong, last quarter we were speaking about INR 350 crores. Can you confirm what is the kind of pipeline?

And second, this quarterly variability will continue -- can happen. But do we hope to recover all the revenues back in Q4, so our yearly target of around 30% growth from that is the target. So that we can meet if you can help on that.

Mujahid Alam: On the yearly target, yes, we are on track. And in terms of order book, we had a healthy order book in Q3, which stands at more than INR150 crores split. And moving forward, we are seeing a healthy order book for the next 12-month window also.

Sameer Dosani: Okay. I think last quarter was around INR350 crores. We had some order pipeline of INR 350 crores. That pipeline number how much would have -- how much it could have grown?

Mujahid Alam: We have added additionally about INR150 crores last quarter.

Sameer Dosani: Okay, that was new orders.

Mujahid Alam: New orders, yes.

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Sameer Dosani: And second, to get some idea around aerospace, right? So we have been doing phenomenally well in the aerospace vertical. If you can share that target with the new order in Q1, how should we think about this aerospace vertical for the next two, three years perspective? And this is given that I think both the aerospace majors have committed to increase their sourcing from India in five years, I think. So if you can just give some idea around how do we see this vertical performing in a three to four-year period, that will be helpful?

Arun Krishnamurthi: Yes, Sameer, so I think we have spoken in the past. I think the growth that we have experienced in aerospace we expect that to continue. And like we mentioned, typically, the orders that we get from our customer are either a three-year order or a five-year order. So we have a very good amount of predictability in terms of what the workload will be over a longer term.

And the trend has been in the last two years, we have grown into new areas as well. I think, case in point is, of course, the deal that we won in Q3 but given six months back, you would recollect we won a deal in manufacturing engineering, which is a new area for us.

So for us, the way it works is typically that, like I said, it's a three to five-year deal. When we start off the first six months is usually a little bit slow because the customer uses that as a transition between the old vendors and the new vendor. Because everything that we win is at the cost of somebody else, right?

Of course, there is some scope which happened because of good business and expansion in volumes on their side. But in the case of this deal that we have won as well, this will now start from 1st of Jan -- started rather from 1st of Jan, but there will be a six-month overlap between the existing vendor and us.

So typically, what we forecast over five years, that's picking up from two years onward for the second year onwards. So the thing with aerospace is that it is predictable business. Over a longer term, we see good growth momentum, but the ramp up happens in a very planned way because -- just because of the fact that the airplane research is a 30-year life cycle, so the way that they plan their activities and the way they plan their outsourcing is also done in a very sort of methodical way. So to answer your question, the growth that we have seen, we will be sustaining the similar growth over the next two to three years.

Sameer Dosani: Understood. And the six months -- the contract we won six months back, is that fully ramped up, or it is yet to kick in, in our numbers that way, in that sense?

Arun Krishnamurthi: It is not fully ramped up. So again

, a lot of this work was typically done by overseas players in the local geography. Now manufacturing engineering is a very, I would say, an area which is very close to the plant and the factory. So the customer is having a big mindset shift to move more and more workloads to offshore.

In fact, we're on a call with -- we had a strategic call with their supplier. And one of the things for them at the start of the year -- their financial year was to do more offshore. So we have started the ramp up, but I would say this will start picking up over this year. So over the next financial year, we will see more of these volumes coming in.

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Sameer Dosani: Okay. And for product engineering services, you explained what has happened exactly, but should we think that Q3 is the bottom and maybe gradually start to pick up investments sequentially from here. So how should we think about this product engineering services?

Arun Krishnamurthi: Muju, do you want to pick it up?

Mujahid Alam: Sorry, Arun, I missed that question.

Arun Krishnamurthi: Yes, it is on PES.

Sameer Dosani: There is weakness in PES, but has it bottomed out, like has it -- so the bigger part of the weakness or the decline is already captured in the numbers in Q3. And should we think that the base is protected and we may grow from here?

Mujahid Alam: I still couldn't hear you properly, Sameer.

Arun Krishnamurthi: Muju, you can hear me?

Mujahid Alam: I can hear you, but the question had some echo.

Arun Krishnamurthi: So the question that Sameer is asking is that on PES has the revenues bottomed out in Q3, or do you still see some weaknesses going forward? So he just wanted some color on how the business is shaping up broadly?

Mujahid Alam: I think you are right on saying that the revenues have bottomed up in Q3. Going forward, we see a growth happening on the NRE side. But then the production portion of the business, the growth will only happen probably by Q2 of next financial year.

Sameer Dosani: Okay. So production is a smaller part of the business, right? That's only 30%. Bigger part is NRE...

Mujahid Alam: NRE is the bigger portion because that is where the manpower is involved. And manpower to revenue is where our business is continuously growing, whereas production is offshoot for NRE business, which is currently declined because of overstocking by our partners.

Sameer Dosani: Got it. That's helpful . But should you think that this vertical can also grow in line with other segments like aerospace or any other verticals for us? Should we think that that should be the -- where it can grow, at least the NRE part?

Mujahid Alam: The NRE part, yes, definitely, it will continue to have a growth. I expect a growth of about 20% on a year -on-year basis, or it could be little more also. At this point, this is the guideline.

Sameer Dosani: And Arun, if you can just take us through what -- like we have been gaining market share in aerospace? What are those few competencies or those deciding factors by the clients that's keeping you above the competition, if you can speak about that, that will be helpful ? Thanks.

Arun Krishnamurthi : Yes, sure. So I think we are present in two or three different areas. So one is in the product design part, where we are involved in design of certain parts of new products, new aircraft. The second part is what we call concession management, which is related to production. So wherever there are defects , we do an engineering assessment. The third one is the repair work and the fourth one -- sorry, there are actually four areas. The fourth one is manufacturing and engineering.

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So if you look at product design, that is a stable business in the sense that at any given point, there's one product that is being deve

loped. So when one finishes, something else comes up. So

we did A380, then A320. Now we're working on A350 for example. When it comes to the concessions management, that is linked to the volume of aircraft, which roll out the production line. And that, as we know, is increasing significantly. So there, we are seeing volumes go up. The third is repair work, which is basically when an aircraft is sold to a customer and there's warranty. Again, the number of aircraft that are flying in the sky is much higher. And if you look at some of the orders that have been placed, it is likely to go up significantly over the next five years. So again, this is, in our view, going to go up in terms of volumes.

Last one is manufacturing engineering, again, with the growth in the volumes with customers coming from different parts of the world , they will look at, of course, enhancing the current plans if they have to improve throughput, make it smarter factories, but they will also consider setting up new plants in other parts of the world. And this is where we see a lot of the growth coming in.

So I think the reason we're winning on this business is that in engineering and in aerospace, we have a good track record. And the customer trusts suppliers who can deliver on time to the expectation that they have. And we also invest ahead of time.

So when a new tender is going to come up, we start working on it a couple of years before we sort of develop some POCs, prove our capabilities. So that's what we do. And that is what has been the core of our success. I will also say, one, macro environment definitely also is that more and more work is coming to India. And at least with our largest customer, we are the largest Indian supplier. So as the volume -- as the pie of outsourcing in India increases, we will also be a beneficiary of that.

Sameer Dosani: That's encouraging to hear. Lastly, on this margin piece, right, if you can -- so there is INR3 crores one -off that clearly can translate for us compared to the margins next quarter. But on a medium -term journey basis, can you share trajectory around what should we think about the margins from here on. That will be helpful.

Arun Krishnamurthi : I think we have definitely -- and Shashi, may be you can add in here , we are definitely looking at how we can kind of improve our margins. I think this quarter, of course, the acquisition we talked about and the digital investment. So I see digital investment definitely to continue and the hiring also to continue.

So as we hire new people, there's a lag of hire people typically 3 months to 6 months depending on the qualification. So some of the part -- so once we reach operating scale, I think we will be over this problem, so hopefully we'll get there soon.

But I think we will look at -- next year we will look at getting somewhere to the 15.5% to 16% region, that is the aspiration that we have. We, of course, have to put a plan in place and do that, but that's what we're trying to do.

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S. K. Shashidhar: Just to go from here to least about 8% in the next 3 years, and that's what we are on the journey as what our next phase.

Sameer Dosani: Sorry, sorry, how much?

S. K. Shashidhar: From where we are today, around 14.5% to 15% as where we are to about 18% in the next 2 to 3 years.

Sameer Dosani: Okay. Got it. Thanks for this and all the best to the team.

Moderator: Thank you. The next question is from the line of Harsh Jhawar from Avendus PMS.

Harsh Jhawar: Thanks for the opportunity. I just had one question. Given that there are a lot of macroeconomic issues, we are going through certain transformation. At the same time, we have a very good order book on defense side and aerospace side. In one of our presentations, we mentioned our target of achieving INR180 crores PAT in FY '26. Just want to understand whether

you think it's

achievable, or will we see some deferment of the same?

Arun Krishnamurthi : Shashi?

S. K. Shashidhar: So that is what our -- I would say, objective is in terms of where we would want to go and -- so at the moment that particular objective remains.

Harsh Jhawar: Okay. Thank you sir.

Moderator: Thank you. The next question is from the line of Manju Bhashini from JM Financial Services.

Manju Bhashini: This is Manju Bhashini. Sir, in the call, there was a mention about Mistral EBITDA at INR42 - odd crores and operating at 18% margins vis-a-vis INR32 crores at 16% odd margin. Was this for the YTD time frame, sir. Can you please clarify on this?

Mujahid Alam: YTD, yes.

Manju Bhashini: Okay. And this 18% odd margin is despite the production revenues not as per our expectations. So is it fair to assume that the margins can get better as we see that revenues coming through in Q4 and the production mix as a percentage of Mistral revenue is getting better?

Mujahid Alam: If production revenues will not see upward even in Q4, but you're right in stating that as production revenues increases our margins will get better.

S. K. Shashidhar: You see, there are 2 parts to it, Manju. One is the, production revenues with respect to defense. As you would have seen the production revenues with respect to defense have kind of tripled from the same period last year. And the production revenues of defense yield us disproportionate margins, upwards of 25% percent.

Then what Manju was referring to was the production revenues from the PES business. So the blended EBITDA at this juncture for Mistral for the 9 months is 18%. And as the defense

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production -- if the production revenue goes up, it will -- even the blended EBITDA margins will also go up.

Manju Bhashini: Understood. Because earlier, I remember, partly the PES business also had some defense revenues embedded in it. But this quarter, in the presentation, I saw defense revenues -- defense was replacing the Products & Solutions segment-wise. So how are we supposed to read into this, sir?

S. K. Shashidhar: No, no, Products & Solutions are nothing but the defense business. So to bring more clarity, we are now calling it as a defense business. And as you know, about 40% to 50% of the Mistral revenues are of defense and other -- balance of 40% to 60% is PES.

Manju Bhashini: Okay. So for Mistral, it will be a combination of revenues from PES as well as defense. For defense per se, is what you have classified, which is 21% contribution. That is helpful.

And just one more clarification on this Aero segment. I know we have dwelled a lot into this.

There was one strategic arrangement, which we had entered into, and this was mentioned that was an \$75 -odd million over a couple of years. So what we have won in this quarter is in addition to what we had already announced earlier, correct? Is that the correct understanding?

Arun Krishnamurthi : Yes, that's correct. It's a new area for us.

Manju Bhashini: Sure, sir. So this quarter has just started the initial ramp-up getting reflected in the P&L for Aero segment, and this can only get better as we see the ramp-ups from the orders won in Q3. Is that right, sir?

Arun Krishnamurthi : Correct. That's right.

Manju Bhashini: And congratulations on an excellent fundraise. Thank you.

S. K. Shashidhar: Thank you.

Moderator: Thank you. As that was the last question, I would now like to hand the conference over to Ms.

Akashi Modi from Orient Capital for closing comments. Thank you.

Akashi Modi : Thank you, everyone, for connecting over call today. I would also like to thank the management for sparing time in answering all the questions. Orient Capital is Investor Relations Advisory for AXISCADES. For any queries, please feel free to reach out to us. Thank you, everyone

. Have a nice day.

Mujahid Alam: Thank you so much. Good day.

Arun Krishnamurthi : Thank you, everybody. Thank you. Bye.

Moderator: Thank you. On behalf of AXISCADES Technology Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

Arun Krishnamurthi : Thank you.

Note: This transcript has been lightly edited for clarity and accuracy .

Call: May 2024

AXISCADES Technologies Limited
(Formerly AXISCADES Engineering Technologies Limited)
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May 27, 2024

The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of India Limited
Phirozee Jeejeebhoy Tower, Exchange Plaza, 5 Floor, Plot C/1, G Block
Dalal Street Bandra – Kurla Complex, Bandra(E),
Mumbai 400 001 Mumbai 400 051
BSE Scrip Code: 532395 NSE Symbol: AXISCADES

Dear Sir /Madam ,

Sub: Transcript of the Earnings Conference Call with the Investor(s)/Analyst(s)

Further to our intimation dated May 21, 2024, please find enclosed the transcript of the Earnings Conference Call with the Investor(s)/Analyst(s) which is hosted on the website of the Company at www.axiscades.com
We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Thanking You.
Yours faithfully,
For AXISCADES Technologies Limited

Sonal Dudani
Company Secretary & Compliance Officer

Encl: A/a
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"AXISCADES Technologies Limited
Q4 FY '24 Earnings Conference Call "
May 21, 2024

MANAGEMENT : MR. ARUN KRISHNAMURTHI – CHIEF EXECUTIVE
OFFICER AND MANAGING DIRECTOR – AXISCADES
TECHNOLOGIES LIMITED
MR. SHASHIDHAR SK – GROUP CHIEF FINANCIAL
OFFICER – AXISCADES TECHNOLOGIES LIMITED

MODERATOR : MR. SUMEET KHAITAN – ORIENT CAPITAL
Moderator: Ladies and gentlemen, good day, and welcome to the AXISCADES Technologies Limited Q4
FY '24 Earnings Conference Call hosted by Centrum Broking. As a reminder, all participant

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lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sumeet Khaitan from Orient Capital . Thank you, and over to you, sir.

Sumeet Khaitan : Good evening, everyone, and welcome to Quarter 4 and FY '24 Earnings Conference Call of AXISCADES Technologies Limited. Today from the management, we have Mr. Arun Krishnamurthi , CEO and Managing Director; and Mr. S hashidhar SK, Group CFO. They will take you through the results and business performance. After which, we will proceed for a question-and- answer session.

Before we begin the conference call, I would like to mention that this conference call may contain some forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. Actual results may differ materially. These statements are not guaranteeing the future performance of the company and involve risks and uncertainties that are difficult to predict.

With this, I now hand over the call to Mr. Arun Krishnamurthi for his opening remarks. Over to you, Arun, sir.

Arun Krishnamurthi: Good evening, everybody. Welcome to the Q4 FY '24 and our full year earnings call. I'm accompanied by S hashi, who's our Group CFO; Muju who is the CEO of Mistral is at the moment on business travel in California. So it's 3 am for him. So he won't be able to join on this call as he usually does with us. I trust you have reviewed our investor presentation, which we have revamped to provide you with the status and potential of each vertical that we serve, along with business and financial performance.

The financial year 2024 was a momentous year for the company, in which we successfully completed a qualified institutional placement, made two acquisitions, acquired new logos, strengthened our strategic relationship with several OEMs, had several deal wins, retired high-cost debt and strengthened the balance sheet.

I am pleased to report good performance in most of our verticals in FY 2024, except heavy engineering and PES where we had macro challenges. The company completed the financial year with consolidated sales revenues of INR952 crores, recording a growth of 17% over FY '23, revenue of INR814 crores. Our growth was much higher than the E R&D industry growth rate of 7.4% as per the NASSCOM report.

Our constant dollar revenue growth was 14%. The revenue growth was driven by engineering services revenue, which grew by 21% from INR 576 crores in FY '23 to INR 694 crores, led by aerospace, automotive and energy. This growth came about despite degrowth and softness in heavy engineering and product engineering verticals, which I will elaborate going forward.

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The defence revenues grew by 8% from INR 238 crores to INR258 crores with production revenues in Mistral defence tripling from INR39 crores in FY '23 to INR 112 crores this year.

The company recorded consolidated EBITDA of INR 130 crores in FY '24 as against a normalized EBITDA of INR124 crores in FY '23, a growth of 5%. The EBITDA margin stood at 13.7% as against normalized EBITDA margin of 15.3% in FY '23.

As stated in our earlier earnings call, the company continues to make significant investments in building digital capabilities, which in short to medium -term impact on EBITDA. The financial year also saw a onetime cost and organizational costs because of two acquisitions as well as non-permitted expenses of equity raise event, which was charged to the P&L statement.

The company hired senior leadership talent during the

year and continue to retain experienced

and billable resources in heavy engineering and product engineering services despite degrowth . As it expects normalcy to return to these verticals in the later part of FY '25, the reduced EBITDA margins in FY '24 should also be seen in the context of these.

The company recorded a PAT of INR 33.4 crores as against a PAT loss of INR 4.8 crores in FY '23. The normalized PAT after adjusting for exceptional charge in FY '23 was INR63.23 crores.

With prepayments of borrowings and proceeds raised by QIP, the finance costs will significantly decrease in FY '24, which will add to the PAT. The business performance for the fourth quarter, the company continues to record consistent year-on-year growth in its engineering services business.

For Q4, Engineering Services business grew by 23% year-on- year to INR 182 crores from INR149 crores in Q4 FY '23. The sequential revenue growth from Q3 FY '24 in Engineering

Services was flat, mainly due to lower revenues from product engineering services and automotive. The defence business in Q4 FY '24 at INR 73 crores, grew by 49% from the previous quarter with defence production revenues accounting for INR42 crores, doubling from INR 22 crores recorded in the previous quarter. The EBITDA was at INR 32 crores in Q4 FY '24 as against INR29 crores in Q3 FY '24.

Let me now delineate on some of the vertical -wise business performance and outlook for FY '25. The aerospace vertical constituting 30% of consolidated revenue reflected robust growth of 27% over previous year, recording a revenue of INR 285 crores as against INR 225 crores in FY '23. Our long-term relationship with aerospace OEMs continues to expand and will benefit from the enhancement in production run rate by OEMs, backed by large order backlog with the OEMs. As such, recurring revenues from manufacturing support and in- service repairs will continue to show healthy growth in FY '25.

The company is bidding for several other programs for which we will be a preferred supplier given our legacy and proven competencies. The company has also initiated several digitization

projects in the aerospace vertical, which will enhance productivity and margins. Our outlook for this vertical continues to be bullish for the foreseeable future.

With the acquisition of add-solution, the share of revenues from automotive constitutes 11% of our total revenue at INR 103 crores in FY '24 as against 4% at INR 35 crores in FY '23. The

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company added new capabilities in this vertical in HMI testing, automation and EDI. The company added several new logos in FY '25 and acquired a cybersecurity work package with an automotive OEM in the UK which designated us as a preferred supplier. With the current emphasis on software -defined vehicles, we are building a brand differentiator with Mistral's hardware and add-solutions automotive.

We, however, see some signs of softness in some of our automotive clients due to challenges from Chinese OEMs on their EV portfolio. With the acquisition of EPCOGEN in December '23, AXISCADES closed the financial year '24 with revenues from energy vertical at INR 33 crores, constituting 3% of total revenue as against INR19 crores in FY '23.

With EPCOGEN AXISCADES serves both domestic and overseas clients in the oil and gas refineries, power and green energy sectors, with expertise in front -end engineering, pre-award proposal engineering, detailed engineering, construction and commissioning support with multidisciplinary capabilities covering the full self -spectrum of the energy sector.

The company, considering the potential of this vertical has positioned the business unit head in Dubai to enhance current relationships and build new relationships in the Middle East and seeks to open a marketing office in Dubai in FY '25. AXISCADES projects healthy growth from energy

verticals in FY '25. As stated earlier, the growth of 21% in Engineering Services business has come about despite the decline in heavy engineering and the PES verticals, mainly in the US region.

The share of heavy engineering to total revenue declined from 21% at INR 170 crores in FY '23 to 16% at INR 152 crores in FY '24. The decline of 11% in this vertical is due to slowdown in the US region with low capex deployment for heavy earthmoving equipment. The company's revenue from a major heavy engineering OEM is mainly from low -margin staff augmentation business, which is disproportionately exposed to any slowdown.

Hence, we have embarked on a journey to structurally alter our quality of revenue in this vertical by acquiring new logos and graduating to new value -added services, especially in digital, plant automation, process automation, and autonomous solutions by leveraging internal and Mistral capabilities. That growth will be muted in this vertical in the first two quarters of FY '25, we expect growth to return to this vertical in the second half of the financial year FY '25.

The product engineering business of Mistral constituting 13% of total revenue, recorded a marginal decline of 2% to INR 125 crores in FY '24 from INR 128 crores in FY '23. While the

services part of the PES business recorded stable growth of 6% at INR59 crores in FY '24 from INR55 crores in FY '23. There was a decline in the production part of the PES business which declined by 8% from INR 72 crores in FY '23 to INR 67 crores in FY'24. As stated in the earlier earnings calls, this is due to overproduction and overstocking of semiconductor chips by global semiconductor majors during the pandemic .

We expect that growth will return to this vertical during the later part of FY' 25 with fleshing out of built-up inventories. Mistral continues to focus on new product development and innovation in this vertical. FY' 24 was characterized by the release of autonomous aerial robotics controllers

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product for a drone fit and edge AI box in partnership with the semiconductor OEM. We also entered into new business deals with major automotive Tier 1 and Tier 2 clients. During the year, Mistral developed and tested a next-gen proteins synthesizer. All these initiatives will result in deal wins for us in the coming quarters. As stated earlier in FY' 24, the total revenue from defence business, which constitutes 27% of our total revenues, grew by 8% from INR238 crores to INR258 crores.

In this, the defence business of Mistral grew by 37% from INR 148 crores to INR203 crores. Out of this, the production revenue grew by 3x from INR39 crores to INR112 crores and prototype revenues were at INR 92 crores. The overall growth in defence business was restricted to 8%, despite significant growth in Mistral defence as a large order being executed by our subsidiary, ACAT for the man portable counter drone device got deferred to FY' 25 due to delay in pre-delivery inspection.

Despite the delay, ACAT delivered 24 numbers of the se MPCDS to the Indian army in the month of March 2024. On successful execution of hundred numbers, which is an existing contract, by Q2 FY'25. There are significant opportunities for repeat business and additional orders for this proprietary and one-of-a-kind drone technology developed by ACAT.

This system is first of its kind of anti-drone system that has been inducted into the armed forces and is currently being used. The system being a small portable battery cum mains operated system, caters to multiple frequency spectrums including command and control and navigation. And can detect and jam a wide variety of drones. Completely made in India, It performs both electronic spectrum monitoring and electronic countermeasure functions up to 5 kilometres. It also covers certain special frequency spectrums not add

ressed by any other system in the market.

The Indian Ministry of Defence and Defence Forces plans to acquire counter-UAV capabilities, including that of MPCDS through multiple other RFPs. The addressable opportunity in this area within India is about INR 3,000 crores for the next five years, not to speak of potential for exports.

We are confident that the defence vertical will continue to grow on the back of strong order pipeline, which has been built up with design wins and prototype certifications over the last 10 years. The company added to its pipeline in FY' 24, with design and prototype wins in several different programs such as HISAR, which is a missile launching program, next-generation ERP for combat aircrafts. Intel-based SB C, which is single board computers, deal satellite terminal design, direction finding for naval programs, et cetera. Mistral production order revenue will continue to grow at a robust pace in FY' 25.

Now coming to the digital initiatives. The company currently has a 75-plus member digital team with deep competencies in automation, AI ML and robotics with complete digital project execution capabilities in an agile environment. The team is focused on internal process automation as well as offering digital capabilities as a service to both existing and new customers.

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The digital team has developed a machine vision-based quality inspection system for AOL validation of manufactured products. The team is working with various customers, both current and potential, to offer digital solutions for process and cost optimization. As stated earlier with the digital investments was negative to EBITDA in FY' 24, the same as expected to be neutral to positive in FY'25.

As stated in my previous call, I'm pleased to report that in the last two years, we have made significant progress in implementing our three-pronged strategy of vertical diversification, customer diversification and digital first. And the business stands significantly de-risked with six business verticals, addition of several new strategic logos, new acquisitions and our investments for a digital future.

We continue to build our team for growth and have added more than 500 billable resources in the last 12 months, and our people resource stands at 3,000 plus across all the businesses. The outcome of this can be seen from revenue from new customers increasing by 5x from INR14 crores in FY' 23 to INR69 crores in FY'24 and contributing to 7% of revenue in FY' 24 versus 2% in FY' 23.

We currently work directly with more than 10 OEMs across our different verticals. We have delivery centres with multiple global locations as part of our global delivery model. We have been able to attract and retain quality talent having deep engineering expertise. Our attrition has fallen from 20% in FY' 23 to 16% in FY' 24. There is substantial headroom for growth in each of these verticals we serve.

And our aim is to expand the addressable market with our service offerings honed over two decades. Our confirmed order book across all entities stands at INR 749 crores as against INR589 crores at the beginning of the year, an increase of 27%. While we do not provide specific guidance on revenue and margins, our directional guidance on each of the verticals has already been delineated.

So overall, I strongly believe that we should be able to put up a better performance and better than industry growth rate in FY' 25 even though we believe the growth will be generally back-ended to Q3 and Q4 due to the unique nature of some of our verticals and our overweight presence in defence, which are lumpy in nature and cannot be calibrated across quarters. To conclude, the fundamentals of the business remains strong, and we enjoy excellent customer relations to take us forward on our growth journey. Some verticals will grow faster than the

o

thers. And to some extent, that will be determined by macroeconomic trends and sector-specific seasonalities. I now invite Shashi, our CFO, to provide a review of the financial performance.

Thank you.

Shashidhar SK: Thank you, Arun, and good evening to everyone. As explained by Arun, the company had an impactful closure in FY' 24 with revenue growing at 17% despite challenging macroeconomic environment and de-growth in heavy engineering and product engineering services. After having successfully concluded the acquisition of add-solutions in Q2 and EPCOGEN in Q3, we are
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now focused on making our acquisitions margin accretive by synergizing our offerings, cross-selling capabilities and rationalizing costs and resources.

The company recorded a consolidated EBITDA of INR 130 crores in FY'24 on sales revenue of INR952 crores, as against normalized EBITDA of INR124 crores in FY'23, a growth of 5% over previous year. The EBITDA margin stood at 13.7% as against normalized EBITDA margin of 15.3% in FY'23. As you would remember in FY' 23, the company had reported an EBITDA of INR137 crores on a revenue of INR 814 crores, which included a onetime net benefit of INR13 crores in Covid grants in its US entity.

The company's EBITDA in FY' 24 came at a lower margin of 160 basis points. This was on account of our investment in the digital team, the bench being maintained for heavy engineering and product engineering services despite de-growth, where we expect growth to return in FY' 25, which together accounted for 100 bps. The shift of MPCDS program FY'25, which was planned in Q4 of FY' 24, which Arun spoke about shifted about 50 basis points to FY' 25.

The company took a one-time charge of INR 3.17 crores in the recalibration of the Mistral entity, Aero electronics, accounting for about 30 basis points. The one-time organizational cost on acquisitions, expenses pertaining to qualified institutional placement and hiring of non-billable senior leadership hires accounted for other 50 basis points.

All of this aggregating to about 230 basis points. The employee benefit expenses of INR499.8 crores, a 39% increase over the previous year takes into account the headcount of around 200, which have been added from the two acquisitions namely add-solutions and EPCOGEN, which added a payroll cost of INR38 crores,

Net new billable resources of 500 in number as well as INR7.5 crores, from the currently non-billable digital team and senior leadership hires during the year. The company's finance cost came higher by INR20.48 crores at INR 56.37 crores in FY'24 as compared to INR 35.9 crores in FY'23. This was because of the full year impact of interest costs of funding of Mistral acquisition, prepayment charges and unwinding costs pertaining to the refinancing of this debt. The company's PAT in FY '24 was INR33.41 crores as against PAT loss of INR4.8 crores in FY '23. Out of the net proceeds from the capital raise of INR203.47 crores out of the INR220 crores being the size of the QIP, INR158.45 crores is meant for repayment of the borrowing and balance INR45.02 crores is for general corporate purposes. From the QIP proceeds the company has since retired INR 120 crores in long-term debt to Investec and bank borrowings and will further retire a minimum amount of INR50 crores in September of 2024.

With this -- on an as is basis the finance cost in FY '25 will reduce by about 50%. The net borrowings including working capital and optionally convertible debentures as on the 31st of March 2024 is at INR84.52 crores as against INR 214.37 crores as on the same date of the previous year a reduction of 60%. The company has the healthy balance sheet with shareholders' equity standing at INR592.82 crores as against INR343.86 crores in the previous year. The cash bank and liquid investments from the balance

sheet amounted to INR182 crores.

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To conclude, our focus in FY '25 will be to build a sustainable business and further strengthen growth and profitability. We will now open the floor to questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.

Jyoti Singh: Thanks for the opportunity. Sir, my question is on the revenue mix side if I see on the geography side and if I see on the - so there is a huge variance compared to last quarter to this quarter. So like we have increase in certain segments and we have decrease in certain segments. So can you explain on that, it will be going to be consistent from here onwards or will be doing a decrease or increase in every segment?

Arun Krishnamurthi: Hi Jyoti this is Arun here, So is your question about the segment or the geography?

Jyoti Singh: Hello.

Arun Krishnamurthi: Can you hear me is the question on vertical or is it on geography because on the verticals like I said we have seen very good growth from aerospace and that will continue for us. We have seen growth from automotive and we see growth from energy. And of course, the defence business which is all India-based business that is also something that will significantly grow. So these are the verticals that we see consistent growth.

Jyoti Singh: Thank you sir. I will come in the queue. I think some network issue is there. Thank you.

Moderator: Thank you. The next question is from the line of Prakshal Jain from Lucky Investment Managers. Please go ahead.

Prakshal Jain : Yes, sir. So sir, my question is that the total cost of goods sold that we have in our P&L that pertains to the product revenue of the defence and the semiconductor business right ?

Shashidhar SK : You're right. The material consumption is what we see there is only from the semiconductor and the defence vertical, yes.

Prakshal Jain : Yes, sir. So for FY '24 if I see the total product revenue for these two verticals it is about INR180 crores, and the cost of goods sold is also about INR185 crores. So currently, are we negative of the breakeven level at the gross margin level for these two verticals in the product segment?

Shashidhar SK : So with respect to the material cost the denominator as to the revenue is just a minute, let me take this.

Prakshal Jain : Yes, sir. So you're saying that I should take the denominator as the total revenue for this vertical not only the product revenue that has been mentioned in the presentation?

Shashidhar SK : It is the total revenue. If you look at the semiconductor revenues of Mistral what is the production revenue. The total the number which has to be taken as a denominator is INR 383 crores which essentially means 50% of material cost.

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Prakshal Jain : Okay. So you're saying we make 50% gross margin on the semiconductor business. So combined with the design and the product line?

Shashidhar SK : Yes. Correct.

Prakshal Jain : Okay. And would the margins be similar on the defence side as well?

Shashidhar SK : So in defence, there are two parts to it. One is the production revenues which are the regular runs in terms of what Arun described which has tripled from about INR39 crores to INR112 crores. There the EBITDA margins are about 29% and then the other part of INR90 crores of what we did for prototypes essentially is a negative margin because of the fact that the objective at this point in time is to get into the order pipeline. As a result of which we have steep bidding from various competition, and we ensure that we bid appropriately to ensure that we are in order pipeline.

Arun Krishnamurthi: Just to clarify the life cycle of the defence win is that when

we win an order we work on the

R&D and the design part and usually that part is where we made some investments. Thus, of course, because we are in competitive bidding we have to go low on price. So typically, the margins in that phase are low and that's what we refer to as prototypes. So if you look at this year other than the INR100 crores which is production the rest of it is prototypes.

But then as it moves into certification and production that's where we have the part number and when we know the production the margins are much higher. It is anywhere in the 25% to 30% EBITDA region. So the INR100 crores of production revenues comes at extremely high margins. But the prototypes come at a lower margin because like I said for two reasons. One is we need to invest in R&D and secondly it is also competitive bidding.

Prakshal Jain : Okay. So the production is -- you said 29% EBITDA margin?

Shashidhar SK : Yes. So essentially, for FY '24 the production revenues was INR112 crores on which we made an EBITDA of INR 33.18 crores which is about 30% and at the same time the prototype revenues

was INR 91.62 crores on which we lost INR3.37 crores as what I told you because at that point time and objective is different. Essentially, the blended EBITDA for the defence vertical of Mistral was INR 30 crores at 15% against INR203 crores of total revenue.

Arun Krishnamurthi: Yes. And the prototype business is important for us because this is the pipeline that we build. So this is the future production order that we have. So we may consciously make an effort to make sure that we win orders where there is a high production potential and depending on the amount of prototypes, there is an investment that we need to make.

Prakshal Jain : All right, sir. I have one more question. If you can tell us sir for the finance cost for the FY '25?

Shashidhar SK : Yes. So the total finance cost for FY '24 from the financial statement of what you see is INR55.76 crores and that essentially involved the long-term debt which we raised for the purpose of acquisition of Mistral which was a total amount of INR210 crores of which now with the QIP proceeds we have returned INR105 crores or repaid INR105 crores and we will be repaying a minimum of other INR50 crores to INR60 crores in September.

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So upon the retirement of debt in FY '25 we expect that these INR 56 crores of finance cost and what is there on the P&L will reduce by at least 50%.

Prakshal Jain : All right sir. Those are my questions. Thank you very much.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Thank you very much sir for this opportunity. Just first up I just wanted to understand -- I mean in the previous call as well I think we had a objective maybe what by FY '26 I guess or 2026 a PAT objective of INR180 crores. Now given this issue in the semiconductor sector as well as underperformance in heavy engineering. How is that outlook stands as we speak now?

Shashidhar SK: We are still gunning for that. So what we said is that by 2026, that is from FY'23 to FY'26, we would like to double our revenues, and we'd like to triple our PAT. So we were \$100 million , if I talk in dollars, in FY'23. So we are aiming for \$200 million in FY'26 and tripling of PAT . So like I said in my opening remarks, in heavy engineering we are looking at structurally changing our business from some of the low -margin mechanical engineering work we do to do more work in the embedded and the digital side. And that's the journey that we are on.

We have seen some success in the previous quarter and this quarter . It's been incremental increases but that is something that we will work on. So we will expect that heavy engineering, the main client will improve, but also that we will be able to

work with some other clients in the

heavy engineering space. So that's how we expect to see that to improve.

And of course, the other one which was a drag was the production of PES. We're hoping that the inventory stocking issue will sort of ease itself out by maybe H2 of this year. And if that happens, then, again, production revenues in PES, like in defence , are very high margin. So that will also then come back and contribute to the revenue base. So, obviously, these are some of the macro trends. And of course, heavy engineering is also impacted by the U .S. election year, but we hope to see some recovery happening during the year.

Deepak Poddar: Okay. So effectively, when you said double revenue and triple PAT, so FY '23, we are basically from INR820 crores, we are looking at INR 1,600 crores plus kind of a top line. And PAT, I think adjusted PAT, you had an exceptional item of INR 68 crores that year, right? So adjusted for that, your PAT would be close to about INR 50 crores. So, 150 crores ...

Shashidhar SK: That is what we have said. So we are aiming for anywhere between INR160 crores to INR180 crores of PAT by FY'26.

Deepak Poddar: By FY'26, right?

Shashidhar SK: That's right.

Deepak Poddar: Okay. And then how will we achieve that? In terms of margins, if I have to see currently, we are at about 12.5% to 13% kind of a margin level. So if you have to achieve that FY '26 kind of a bottom line, your EBITDA margin has to improve to around 18% plus, right? So do you think

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that this is something that is achievable for us once this segment that you spoke about can come back actually?

Arun Krishnamurthi: Yes. So Deepak , couple of things. One is that the doubling of revenues also include an inorganic component to it. I just wanted to mention that. For this year or next year, we will also look at some acquisitions. So there will be some revenue contribution from there.

Secondly, I think on the EBITDA, you're right. This year we want to focus on profitability. So

we have sort of structured our team, we have put in some measures, we have appointed a Chief Delivery Officer and we have changed the organization structure.

So we will look at getting to about 15% or anywhere in the range of 15% to 15.5% on EBITDA this year. And then we will look at also enhancing, like I said, our production revenues from both defence and PES, which will happen later part of this year to next year. So we're hoping that the ramp up of that quality of revenue of production will also give us a disproportionate benefit on EBITDA into FY '26. So, that's the plan that we have.

Shashidhar SK : And just to add to that, the entire digital team as what we have built , one of the main focus areas is to remove the linearity between revenue and HR resources. And what they do is they automate the repetitive processes, and their objective is to remove at least about 30% of the touch labour , if I can call it that, involved in that. So these automation of processes in our fixed cost project s will also add to the EBITDA margin .

Deepak Poddar: Okay. I got it. That's very clear. And just a final clarification, you mentioned this year you are expecting a growth that is better than FY '24 growth that we have seen, and that growth will largely be back- ended to second half, right? Your first half will be flattish because of the oversupply in semiconductor and even the heavy engineering that you expect to have some improvement maybe in six months, yes ?

Arun Krishnamurthi: Yes. So we are expecting, obviously, to grow better than industry. So if the industry growth rate is 14 %-15%, we expect to grow better than that. And in certain verticals, yes, the growth will be back -ended specifically when it comes to PES, for example.

Deepak Poddar: Correct . What I was trying to understand, if FY '24 we have grown by about 16% and ideally, i

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we like to grow higher than that, maybe 17%-18% or 20%, my second half growth on a Y -o-Y basis would be higher than my first half growth rate ?

Arun Krishnamurthi: That's correct.

Moderator: The next question is from the line of Amish Kanani from JM Financial Services .

Amish Kanani: Congrats , sir, on a relatively good set of numbers. Sir, in terms of defence , you know, good ramp up that we saw on the production side where the margins are high from INR 38 crores to INR 112 crores. And you have mentioned that, you know, executable production orders for the coming year could be INR272 crores. So one clarification, sir, and thanks for this, you know, that it gives us some clarity on the trajectory. The question is, sir, is it one year or it could be 12 to 18 months should we take it is the first question?

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And in that context, sir, we were looking at some time back, we were talking about some design win orders, you know, and with some quantum. So this new opportunity on the drone side that we are talking about with addressable market opportunity of INR 3,000 crores, is it in addition to the all design win orders that we have had all this while or it's part of that?

Arun Krishnamurthi: Yes, Amish thanks a lot. So the drone potential of INR3,000 crores over five years is in addition to the production revenues that we are talking about. So the production revenues this year was about INR100 crores. We expect that to get close to about INR 200 crores next year. It might be slightly less than INR200 crores , but it will be in that region. And we are looking at -- we are working on quite a few prototypes as we speak in FY '24, which also will sort of contribute to some of the revenues. So the anti -drone revenues is in addition to the production revenues, the potential revenues.

Amish Kanani: Okay. And, sir, this drone where we are talking about 40 and plus probably 60 and stuff like that, it's all Army because we understand drone will go beyond the Army and defence as well.

So any thoughts there or it's as of now only Army?

Arun Krishnamurthi: So the current order that we have is for 100 units of the anti -drone system, out of which 40 has been delivered. So all this is for the Army, and they'll be deployed in the borders of the Himalayas as well as Rajasthan. And we are in the process of completing the balance 60, which would happen, like I said, by Q2 of FY '24.

And the other pipeline of orders that we've seen anti -drone also we are seeing at the moment from the Army. But like you said, you know, this will be across the board. It will be from Air Force, it will be from Army, it will be from Navy, it will be from the Home Guard Security Service as well.

So we see the overall INR 3,000 crores potential to be widespread across. And of course, I must mention that we are only focused on defence when it comes to drones. We're not really looking at commercial or logistics or agricultural drones. So everything I talk about in this is mainly related to the defence use cases of drones.

Amish Kanani: Sure. Okay, sir. And sir, last question on the aerospace side, we had one of our anchor client where we had good wins and we have got a good growth in that aerospace division as well. Any thoughts in terms of growth being led by the key client or we are diversifying the client base

there?

Arun Krishnamurthi: Sorry, I missed the last part. Can you just repeat that?

Amish Kanani: Any thoughts on, is this loaded in favour of one key client, anchor client that we have or it's diversifying across many multiple clients, smaller clients which could ramp up? Is it dependent on the key anchor client or how are we diversifying that part?

Arun Krishnamurthi: Yes. So if you look at the aerospace vertical, unlike, say, automotive or any other vertical, there's a small set of OEMs. As you know, there's Ai

rbus, there's Boeing, there's Bombardier, and to a

smaller extent, Embraer. So typically when we work with an OEM, a lot of it comes from the OEM which is doing well and at the moment, obviously, Airbus is doing extremely well and we

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have a long relationship with them, a good track record. So, of course, we also do a lot of work with Bombardier in Canada.

So we expect a lot of the growth in the aerospace vertical specifically to come from the commercial aerospace side from one particular OEM, which has had a lot of success in terms of selling a lot of aircraft and has a lot of deliveries which will go right up to 2030. So it will be based on one client. Of course, what we're also trying to do in aerospace is to look at going beyond OEMs into Tier 1s, etc etc.

We have signed a small order in the U.S. with a company where we do engineering for their interiors, the cabin interiors, which go into the aircraft like seats and galleys and trolleys and stuff like that. But I would say a lot of the demand in aerospace for us is really dictated by one big client.

Moderator: The next question is from the line of Faisal Zubair Hawa from HG Hawa & Company .

Faisal Zubair Hawa: My question is about the defence offset. Do we have any kind of more defence offset that we may have tie-up for, and which could yield us a very big business in coming years. Second question is, sir, with regards to your estimate for FY '26 of INR1,600 crores revenue. Does it include our defence business or just purely the software services business? And thirdly, sir, while our attrition at workforce level has come down, our attrition at top level, CEO and CFO has always been a point of concern for investors.

So what kind of systems are we putting in place so that we are agnostic to the leader who is at the helm of affairs? And secondly, sir, with regards to Mistral how do we want to now incentivize as to know we can retain the old team at Mistral because this is also very IP-related business and which has been built up over the years and we need to incentivize the team, otherwise that could cause some kind of problems to us in the future.

Arun Krishnamurthi: Yes. So Faisal, thanks a lot for all your questions. So I try and remember all of them and answer it in the same order. I think firstly, your question was on defence offsets. What we are seeing is that the offsite business is actually declining in India, it's not just for us, but across the board. The reason being that offsite was meant so that there could be a technology transfer, which could happen to India. Otherwise, there was a penalty in very simple terms. Now what most foreign companies that have been doing is that their pricing in the penalty to their contracts. Therefore, they don't do the transfer of technology.

So when we talk of defence, predominantly the Make in India, it's Atma Nirbhar programs, which is a big driver for us. And everything that we talk about in terms of production, in terms of prototype wins, etcetera, across the whole electronic warfare area most of it, I would say almost all of it is electronic warfare. Of course, we have a small part of the business, which we do for some French multi-national in one of our subsidiary in AXISCADES. And that is the manufacturer of test benches for a couple of clients. So that will continue, but that was sort of more legacy. So we don't see much offsite business going forward in defence. -- we see more of make in India initiatives, which is a driver for growth. So that's point number one.

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The second question you had about the INR1,600 crores that include defence, yes, definitely it includes defence. In fact, defence is one of the big drivers which is part of that because we -- given the differentiators that we have and the relatio

nship that we have, we expect to grow

defence and that will be a big contributor to the revenue ambitions and the EBITDA ambitions that we have. So definitely, it's part of it.

Third was your question of your on CEO and CFO. Well, we've been around here for now 2.5 years. you're right. I think in the past, there has been concerns. There's been a fair amount of

attrition, etcetera. But I think like we have sort of spoken about this in the previous calls, we are -- both me and Shashi are people who have stayed in companies for a long tenure. So from our perspective, definitely, we don't switch a lot.

Secondly, even from a company's perspective, there are financial incentives, there are stock options, which are all performance-based vesting. So those are incentives which are sort of meant to keep the key management team and it's also not just the CEO, CFO. It's obviously across the board. But since you asked the question of CEO, CFO, I mentioned that.

Lastly on Mistral; We have, again, rolled out a stock incentive plan, which we are in the process of finishing everything is almost done and dusted. We are very confident that we'll be able to retain all the key talent and in fact, we have also promoted some of the key leaders of Mistral to very key leadership roles across the group. So for example, one of the cofounders is Rajiv Ramachandra, he now becomes the Chief Delivery Officer for the entire group and he's instrumental in working along with me to drive some of the profitability and EBITDA improvement actions. Mujahid, who is the CEO of Mistral. We will look at how we can consolidate the defence business under him, and he will play an integral role both for the defence as well as for the service business.

So if anything, we are working extremely closely. I think that integration has gone very well.

And of course, in addition to career progression opportunities. We're also looking at financial incentives and stock incentives to retain the talent out there.

Faisal Zubair Hawa: And sir, is there any thinking within the company to demerge Mistral and listed separately also because it's a pure IT business and it does get confused by the stock market with the software services business, which is much more commoditized.

Arun Krishnamurthi: All I can say is that we will -- we do understand the point about there being 2 different entities. So we can look at how we can consolidate. I think anything beyond that, as you will understand, its price sensitive information. So I really can't talk about it, but we will definitely look at the clearer structure here going forward as to whether we monetize it or not, unfortunately, I don't think I'll be able to comment on this today.

Faisal Zubair Hawa: And sir, can you just elaborate on the role of Mr. Abidali Neemuchwala and how he is really guiding us because he comes from a very, very large platform and to him to even agree to become a Chairman of a company, which is much smaller is a big thing. So I mean, what kind of goal that is setting us and what kind of specific inputs that the company is utilizing at this point of time from him?

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Arun Krishnamurthi: So Abid is the chairman of our company. And as you know, he was the CEO of Wipro and my association with Abid started when I was within Wipro as well. So we have worked together out there. And I and the board, we have to requested Abid to come and steer the company because, like you said, he's got a lot of achievements under his belt. He's run large businesses. He is based in the US. He knows how to scale businesses both from a top line perspective as well as a profitability perspective.

So we obviously benefit a lot from his advice. He's on board with us just for the -- just for more than 5 months and of course, he is relatively new as far as the other board members are concerned. But from our perspective, we are obviously looking at how we can leverage his guidance and how we can have the benefit of his advice and wisdom and experience.

Moderator: The next question is from the line of Jalaj from Svan Investments.

Jalaj: Could you help me reconcile 1 number. So for the defence, you guys told me that 112 was the revenue for production, then 91.6 was for the design or the prototype. What explains the balance because this doesn't -- this adds up to 203 -- so there is a difference of INR55crores.

Shashidhar SK: So essentially, the revenue from our other subsidiary, which Arun was talking about, which manufactures the counter drone system.

Jalaj: Okay. So what -- so the revenue for that comes out to be INR55 crores for this year, is right?

Shashidhar SK: Right.

Jalaj: And what was the revenue from the same last year?

Shashidhar SK: Last year it was INR90 crores and this year, the reason as to why there was a degrowth is essentially because of the fact that the entire anti-drone system, which was one of the main focus, I would say, revenue for this year got pushed

Jalaj: Okay. And what sort of margins do we make in that business?

Shashidhar SK: Of course, about 20%.

Jalaj: Okay. That explains it, thank you. And my second question was with regards to the other E R&D business of us. So if I were to see the margins separately the segmental margins, as you mentioned. So there has been a dip -- if I were to compare the FY '23 and the '24 numbers. So could you help me understand what explains it and what we are doing to improve them both ways?

Shashidhar SK: Yes. So essentially, if you remember during my call has explained to you, there were -- the cost is what we incurred for the digital team, which contributed a substantial number and also the onetime cost of what we incurred for the QIP as well as the acquisitions which we did and also the revenue from the H EG and the PES business or the degrowth with respect to that and the people who are working those verticals we decided to retain. That's what was the cause for a marginal degrowth in EBITDA, which we hope to come off, I would say, clawback in FY '25.

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Arun Krishnamurthi: Yes. So Jalaj, I'll just add out here. I would say that traditionally, this has been the part of the business for us, which has been low margin. So when we talk of improving our margin, say, going up to FY'26, the defence margins sort of approximately remained in the same region. The improvement that we will hope to bring in is in the Engineering Services business. So this is the sort of transformation journey that we're undertaking. And when I talk of a lot of profitability measures, optimization, delivery optimization, etcetera, a lot of it will be targeted towards the engineering services business, and that's where we will bring in some actionable items.

Jalaj: Got it. So just maybe a little deep dive into it. So what gives us confidence? Or is it the -- more from a capability perspective that we need to improve? Or is it more to go with the delivery per se. You feel like there may be both the short-term and the long-term perspective to it is on to that? Could you deep dive a little into that?

Arun Krishnamurthi: Yes, sure. So I think there's a couple of things. So one is that in certain sectors, we are present in, I would say, commoditized mechanical engineering work. I think one of -- I mentioned about engineering where the margins are not very high and some of it also tends to be staff augmentation in nature. So number one, we are looking at how we can change structurally those businesses where we are in commoditized low-margin areas into, say, moving into embedded or into more profitable areas. So that's point number one.

Point number two is that we will look at how much we can automate and digitize a lot of our external workloads. And for exam

ple, in aerospace, we had some pretty good success because we have very good domain knowledge. So we've done some of that in FY '24. But going forward, we will bring in AI and automation to a large extent so that we can sort of break the link of the linearity between revenue and headcount. So that is the second thing that we'll be looking at. I think the third thing that we will look at is that traditionally, a lot of people in our various verticals have tended to stay in those verticals.

So now with our new delivery structure such as with our chief delivery officer, we are looking at building our competencies and we're looking at horizontal competencies which we can build, so that there's more fungibility and mobility of people from one vertical to the other. So that next time we have a requirement, say, a new vertical -- we don't have to go out to the market and hire, but rather we can pick an existing person, retrain them and deploy them. So the whole resource movement, fungibility, the utilization of people that is the third lever that we will look at. So these are 3 levers that we will broadly look at.

Of course, there are a few other things like we are looking very aggressively at Tier 2 centres. So we are sort of very close to finalizing 1 of 2 centres in -- not in urban areas, so that can reduce the cost of delivery. We're also very aggressively looking at increasing the bottom of the pyramid, so recruiting more interns looking at how we can get diploma holders to do some of the lower end work rather than engineers so that lowers the cost base. So there's a few items that we are putting in, which is sort of work towards this.

Jalaj: Understood. And one last question, if I squeeze in. For the semiconductor business, per se. So there is a drop in the production revenue. I understand for FY '24, maybe the overstocking thing is at. But the design part also, there has been -- it's been more flattish. So is it because of some

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client-specific issues or the client is also facing a headwind? Or there is some other thing you believe like because I do understand production can be a thing, but design, there is a lot of -- across AI and all stuff.

There is a lot to do with the semiconductor layout or the motherboard designing there. So could you help me understand that? Or are we building in more capability, which is required? Are we on the lower end of the capabilities there in the value chain? What explains that? And what are we doing to fix it?

Arun Krishnamurthi: Yes, sure. So I think if you leave out the production part, if you look at the design part of it. Actually, what we do is pretty high end. And actually, some of the problem lies in that because

what we do is that we work on silicon validation boards, with OEMs. So basically, before the new chip is released, we work on picking it up for the end customer, developed use cases, et cetera. So almost every 6 months to 1 year as a new chip is developed, we sort of work with that. So it's almost a cutting edge of technology.

Now the challenge with that is in order to -- and of course, we are seeing some growth from FY '23 to '24. But I think the challenge out there is also to find the right kind of skills because these are pretty specialized skills. So for us, unlike in say, aerospace or automotive there, we can go, and recruit say 50 engineers to get people who have very good embedded kind of capabilities is hard. Plus the other factor which is happening is that we also have a lot of GCCs coming into the country who are obviously setting up base and they're making up a lot of the people. So we have some supply chain issues, I would say, in the semiconductor space.

I would say the pipeline is pretty robust. We have very good relationships. But there, it's more a question of getting some of the high-end resources. And even if you to train them

it takes longer.

It's not like a 6-month or a 7-month training course. It's probably much longer than that. So those are some of the challenges that we have in order to build up that business at scale. But the good thing is the market opportunity is there. So we are looking at how we can sort of improve on that front as well.

Moderator: Thank you. The next question is from the line of Manju Bhashini from JM Financial Services Limited. Please go ahead.

Manju Bhashini: First question clarifications here. First, on the Mistral part, the production revenue is clear, INR120 crores for the year, vis-a-vis INR38-odd crores. The other part, the R&D and design revenue has really been the numbers, what was the 9-month number in this? And the full year number you have talked about is close to INR146 crores. So what was the 9-month revenue run rate here, sir?

Shashidhar SK: Look, we have -- you are wanting to -- the full year revenue from prototype is INR90.66 crores. You want only the nine-month?

Manju Bhashini: No, because 9 months from whatever data I have, that it suggests some INR 167-odd crores. And you are saying full year is only INR 91 odd crores. So I just wanted to clarify.

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Shashidhar SK: The prototype is only INR 91 crores. And if you want the first 3 quarters, then of course, I will pull it out. I can pull it out and let you know. but the actual prototype revenue is INR 90.66 crores.

Manju Bhashini: Okay. And on this INR 91-odd crores, you said there is a loss of close to INR 3.5 odd crores for the full year, right?

Shashidhar SK: That's right.

Manju Bhashini: Okay. And this INR91-odd crores, this is also like the growth of this R&D and prototype revenue will be based on whatever newer projects that you are working on and things of that sort of a lead indicator that isn't sir, how the production revenues will build up over the next few years.

Shashidhar SK: You are right.

Manju Bhashini: Okay. And the Mistral sales is a summation of production revenues and prototype revenues only, right?

Shashidhar SK: Right.

Manju Bhashini: And what was the Mistral ...

Shashidhar SK: Production revenues and the prototype revenues and of course the PES revenues, which Arun just talked about.

Manju Bhashini: Yes. So what was the mistral overall sales for the current quarter for Q4 FY '24 and the comparable number, Q4 FY '23 as well as Q3 FY '24?

Shashidhar SK: Yes. Just give me a minute here. So for the quarter, the just concluded quarter Q4, the total revenues of Mistral was INR 91 crores the immediate previous quarter, which is Q3 of 2024 is INR71 crores. And the immediate, I would say, previous year, which is Q4 of 2023 was INR 77 crores. So essentially, year-on-year, we have grown from INR 77 crores to INR91 crores on a quarter-on-quarter basis, which is INR 71 crores to INR91 crores.

Manju Bhashini: And the margins that we had indicated for the production revenue is somewhere in the range of 30%-odd, right?

Shashidhar SK: Yes. So, this year it is 30% on a production revenue of INR112 crores.

Manju Bhashini: Okay. And the visibility of growth of the production revenue is it can double in the following year from INR 112 crores, or it can be INR 200-plus-odd crores in FY'25 based on the visibility that you have currently.

Shashidhar SK: That's right.

Manju Bhashini: Sure, sir. And the other part is on the aero business.

Aero business, there were certain

commencement of contract that had happened in the previous quarter, Q3 '24, if I understood

correctly, from orders which you had on a 6 months earlier. And the expectation is the delivery of -- the execution of these orders will continue to be better is what the expectation was. So is it
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as per our expectation, sir, is the delivery of the aero

space revenues in this quarter, is it up to the company's expectations? Or you think that it could have been better ?

Shashidhar SK: So, it is as per expectations. As you would have seen, the Aerospace revenues have grown by 27%. And in even with respect to a quarter-on- quarter growth, if you look at the aerospace revenues, from INR 77 crores in Q3 of FY '24, our aerospace revenues was at INR 80 crores. And the same number for the last year, Q4 FY '23 was INR 62 crores. So we have been growing at a healthy pace, including a new, I would say, the contract of what is being currently ramped up.

Manju Bhashini: Sure, sir. So this is the ramp -up execution mode, the revenues of INR 80-odd crores per quarter. So this is a sustainable run rate is what you're suggesting for aero?

Shashidhar SK: That's right.

Manju Bhashini: And the \$18-odd million win, which we had highlighted in our presentation as well, -- that is -- part of it is already reflecting in the revenues as well, sir, in this quarter as well as the previous quarter.

Arun Krishnamurthi : Yes. So, Manju, so this is something that started from 1st of Jan. So, it's reflected to Q4. Typically in aerospace, some of these large orders, what happens is that we've been a piece of work from an incumbent, usually, there's a 6- month transition because it's very specialized. So it's a little bit slow in the first 6 months plus -- there are 2 reasons comes, of course, we need to ramp up people.

But secondly, the customer also wants to make sure that there's adequate transition, and there's no falling between the lines. So typically, it starts accelerating after about 6 months of time. So it started on 1st of Jan, and we will definitely see this pick up as we go through the year.

Manju Bhashini: Sure. That is very helpful, sir. And just a couple of more things, if I'm permitted on our consolidated P&L. The efforts that we had put in terms of improving the employee mix and the digital initiatives which we had taken and the leadership changes. So all those have reflected in the last few quarters, the employee cost. So the current run rate of INR135 crores on a quarterly basis, this should only be inflation-related movement over the next year? Is that the right assumption, sir, on the employee benefit expenses?

Arun Krishnamurthi : Yes. I think largely, you're correct. I think of most of the digital team, we have now built up and they're starting to be productive and the business benefits and the return on investment is starting to happen. We will still look at a few leadership hires as we go in technically on the sales front. So that will come in, but it is not going to be a huge number.

And I would say it's only very material, but they will -- every year that we go in because of the nature of the business or the geography that we go into, for example, now with energy, they are going into Middle East. We will need to make a few investments in leadership. And really, the way I look at it is that building a good team then delivers a good business. So it will not be large scale like it was last year with the digital team, but there will be -- definitely, we'll be cherry-picking and doing some leadership is as we go to this year.

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Manju Bhashini: And is there some leverage possible from the other expense line items, sir? I'm not too sure what is the composition of this? Is this largely sales and marketing and admin related costs only there?

Shashidhar SK: Yes, it is largely G&A, which is there in other expenses. As what I told you, in FY '24, we also took some onetime charges, which are also part of the other expenses, which essentially do INR3.17 crores, which was there for the recalibration of the Mistral entity Aero Electronics . There was about INR1.5 crores, which we incurred for the purpose of the due diligence for the acquisitions as well

As the disallowed expenses are unallowed expenses with respect to the QIP and a few others. There are onetime charges there, which will close over INR5 crores, INR6 crores is not something which we have repeat in FY '25.

Manju Bhashini: Sure. But the current Q4 run rate of close to INR37-odd crores, is that a representative number, sir, from a full year perspective or you think those one-offs are part of this Q4 run rate as well?

Shashidhar SK: So, it's part of the Q4 run rate , the QIP excess was part of the Q4 run rate, whereas the INR3.17 crores, which I mentioned to you was actually in Q2. So essentially, I would say that close to about INR2 crores is sitting in other expenses in Q4.

Manju Bhashini: Okay. Got it. And there is some -- and this is -- we're going to only grow at inflation linked, and

it's not necessarily going to be linear as our revenue growth will happen?

Shashidhar SK: You're right.

Manju Bhashini: And just 1 last point. INR1,600 crores of top line, you said will also have some inorganic composition to it. Any ballpark number you would like to share with us, sir, in terms of what could be the -- what is the organic and the inorganic composition that you're looking for on your aspirations of doubling the top line?

Arun Krishnamurthi : I would say that if you look at 200 million, I'm a little bit more comfortable in dollars. So if you're okay to answer the question. So if you look at 200 million as a target that we are setting for ourselves in FY '26, we'll probably look at something like 30 million, somewhere in that way.

I mean I can't give an exact number for inorganic, as you understand. But if we look at something like that to be the contribution of about 30 million. But as you understand, this could change a little bit, but that's the ballpark.

Manju Bhashini: And this INR272 crores of executable production order, over what time frame you did mention about this. I couldn't get it clearly. That's -- sorry, I'm repeating this.

Shashidhar SK: It would be generally in the range of 12 months to 18 months.

Manju Bhashini: 12 months to 18 months. And the overall order book, can we assume that would also be the INR750-odd crores, that will also be over the similar time frame?

Shashidhar SK: That's right. Essentially, if you look at the run rate as what we have, the order book is what we are talking about is some thing which is executable in FY '25.

Manju Bhashini:

Okay, great. Thank you very much, sir, and wish you all the best.

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Moderator: Thank you. The next question is from the line of Godwin K, an individual investor, please go ahead.

Godwin K : Thank you for taking my question. So, my question pertains to the acquisition of the company EPCOGEN. Can you throw some , because EPCOGEN is into more verticals? If you can kindly help me understand since we are in the process of streamlining our company into good systems and process. And what led us to go and acquire this company during that process , first thing. Secondly, you can kindly help me understand the renewable energy landscape business that this company into and put some colour on the future of this company that will be fine? Thank You.

Arun Krishnamurthi : Yes, so the rationale for acquiring this company is that, firstly, like I said, we believe in a diversified vertical base because at some point or the other, there is one vertical or other, which will always have some seasonality. So I think having the diverse base helps. Of course, we don't want to spread ourselves too thin.

So we are happy with the base that we have. But the rationale for acquiring EPCOGEN was energy is a good business to be in, both from a renewable new energy perspective because , as well as from an oil and gas perspective, because oil and gas still has a lot, going in it, at least for the next 10 years to 20 years.

In speci

fic, if you're asking about -- so what EPCOGEN has is the whole procurement construction engineering skills and this is applicable across large capex construction in oil and gas, as well as renewables. So for example, in renewables, we are working with the company,

which is a UK based company, which makes, cryogenic fuels. So, we are constructing large storage plants for them. And the whole procurement and engineering design of that is done by us. But of course, we're doing a lot of work in the oil and gas side as well when it comes to construction and refineries, carbon captures, sulphur capture, gas storage plants, etc. So, the rationale is that we want to have a presence in energy. And we believe that with that middle it is also interested there for us.

Godwin K :

Thank you, sir. That's it from my end.

Moderator: Thank you. As that was the last question for the day. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Shashidhar SK: We thank all the participants in this earnings call, and we also thank Orient Capital for organizing this call. Thank you very much.

Moderator: Thank you. On behalf of Centrum Broking , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

AXISCADES Technologies Limited
(Formerly AXISCADES Engineering Technologies Limited)
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May 27, 2024

The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of India Limited
Phirozee Jeejeebhoy Tower, Exchange Plaza, 5 Floor, Plot C/1, G Block
Dalal Street Bandra – Kurla Complex, Bandra(E),
Mumbai 400 001 Mumbai 400 051
BSE Scrip Code: 532395 NSE Symbol: AXISCADES

Dear Sir /Madam ,

Sub: Transcript of the Earnings Conference Call with the Investor(s)/Analyst(s)

Further to our intimation dated May 21, 2024, please find enclosed the transcript of the Earnings Conference Call with the Investor(s)/Analyst(s) which is hosted on the website of the Company at www.axiscades.com
We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Thanking You.
Yours faithfully,
For AXISCADES Technologies Limited

Sonal Dudani
Company Secretary & Compliance Officer

Encl: A/a
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"AXISCADES Technologies Limited
Q4 FY '24 Earnings Conference Call "
May 21, 2024

MANAGEMENT : MR. ARUN KRISHNAMURTHI – CHIEF EXECUTIVE
OFFICER AND MANAGING DIRECTOR – AXISCADES
TECHNOLOGIES LIMITED
MR. SHASHIDHAR SK – GROUP CHIEF FINANCIAL
OFFICER – AXISCADES TECHNOLOGIES LIMITED

MODERATOR : MR. SUMEET KHAITAN – ORIENT CAPITAL
Moderator: Ladies and gentlemen, good day, and welcome to the AXISCADES Technologies Limited Q4
FY '24 Earnings Conference Call hosted by Centrum Broking. As a reminder, all participant

AXISCADES Technologies Limited
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lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sumeet Khaitan from Orient Capital . Thank you, and over to you, sir.

Sumeet Khaitan : Good evening, everyone, and welcome to Quarter 4 and FY '24 Earnings Conference Call of AXISCADES Technologies Limited. Today from the management, we have Mr. Arun Krishnamurthi , CEO and Managing Director; and Mr. S hashidhar SK, Group CFO. They will take you through the results and business performance. After which, we will proceed for a question-and- answer session.

Before we begin the conference call, I would like to mention that this conference call may contain some forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. Actual results may differ materially. These statements are not guaranteeing the future performance of the company and involve risks and uncertainties that are difficult to predict.

With this, I now hand over the call to Mr. Arun Krishnamurthi for his opening remarks. Over to you, Arun, sir.

Arun Krishnamurthi: Good evening, everybody. Welcome to the Q4 FY '24 and our full year earnings call. I'm accompanied by S hashi, who's our Group CFO; Muju who is the CEO of Mistral is at the moment on business travel in California. So it's 3 am for him. So he won't be able to join on this call as he usually does with us. I trust you have reviewed our investor presentation, which we have revamped to provide you with the status and potential of each vertical that we serve, along with business and financial performance.

The financial year 2024 was a momentous year for the company, in which we successfully completed a qualified institutional placement, made two acquisitions, acquired new logos, strengthened our strategic relationship with several OEMs, had several deal wins, retired high-cost debt and strengthened the balance sheet.

I am pleased to report good performance in most of our verticals in FY 2024, except heavy engineering and PES where we had macro challenges. The company completed the financial year with consolidated sales revenues of INR952 crores, recording a growth of 17% over FY '23, revenue of INR814 crores. Our growth was much higher than the E R&D industry growth rate of 7.4% as per the NASSCOM report.

Our constant dollar revenue growth was 14%. The revenue growth was driven by engineering services revenue, which grew by 21% from INR 576 crores in FY '23 to INR 694 crores, led by aerospace, automotive and energy. This growth came about despite degrowth and softness in heavy engineering and product engineering verticals, which I will elaborate going forward.

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The defence revenues grew by 8% from INR 238 crores to INR258 crores with production revenues in Mistral defence tripling from INR39 crores in FY '23 to INR 112 crores this year.

The company recorded consolidated EBITDA of INR 130 crores in FY '24 as against a normalized EBITDA of INR124 crores in FY '23, a growth of 5%. The EBITDA margin stood at 13.7% as against normalized EBITDA margin of 15.3% in FY '23.

As stated in our earlier earnings call, the company continues to make significant investments in building digital capabilities, which in short to medium -term impact on EBITDA. The financial year also saw a onetime cost and organizational costs because of two acquisitions as well as non-permitted expenses of equity raise event, which was charged to the P&L statement.

The company hired senior leadership talent during the

year and continue to retain experienced

and billable resources in heavy engineering and product engineering services despite degrowth . As it expects normalcy to return to these verticals in the later part of FY '25, the reduced EBITDA margins in FY '24 should also be seen in the context of these.

The company recorded a PAT of INR 33.4 crores as against a PAT loss of INR 4.8 crores in FY '23. The normalized PAT after adjusting for exceptional charge in FY '23 was INR63.23 crores.

With prepayments of borrowings and proceeds raised by QIP, the finance costs will significantly decrease in FY '24, which will add to the PAT. The business performance for the fourth quarter, the company continues to record consistent year-on-year growth in its engineering services business.

For Q4, Engineering Services business grew by 23% year-on-year to INR 182 crores from INR149 crores in Q4 FY '23. The sequential revenue growth from Q3 FY '24 in Engineering

Services was flat, mainly due to lower revenues from product engineering services and automotive. The defence business in Q4 FY '24 at INR 73 crores, grew by 49% from the previous quarter with defence production revenues accounting for INR42 crores, doubling from INR 22 crores recorded in the previous quarter. The EBITDA was at INR 32 crores in Q4 FY '24 as against INR29 crores in Q3 FY '24.

Let me now delineate on some of the vertical -wise business performance and outlook for FY '25. The aerospace vertical constituting 30% of consolidated revenue reflected robust growth of 27% over previous year, recording a revenue of INR 285 crores as against INR 225 crores in FY '23. Our long-term relationship with aerospace OEMs continues to expand and will benefit from the enhancement in production run rate by OEMs, backed by large order backlog with the OEMs. As such, recurring revenues from manufacturing support and in- service repairs will continue to show healthy growth in FY '25.

The company is bidding for several other programs for which we will be a preferred supplier given our legacy and proven competencies. The company has also initiated several digitization

projects in the aerospace vertical, which will enhance productivity and margins. Our outlook for this vertical continues to be bullish for the foreseeable future.

With the acquisition of add-solution, the share of revenues from automotive constitutes 11% of our total revenue at INR 103 crores in FY '24 as against 4% at INR 35 crores in FY '23. The

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company added new capabilities in this vertical in HMI testing, automation and EDI. The company added several new logos in FY '25 and acquired a cybersecurity work package with an automotive OEM in the UK which designated us as a preferred supplier. With the current emphasis on software -defined vehicles, we are building a brand differentiator with Mistral's hardware and add-solutions automotive.

We, however, see some signs of softness in some of our automotive clients due to challenges from Chinese OEMs on their EV portfolio. With the acquisition of EPCOGEN in December '23, AXISCADES closed the financial year '24 with revenues from energy vertical at INR 33 crores, constituting 3% of total revenue as against INR19 crores in FY '23.

With EPCOGEN AXISCADES serve s both domestic and overseas clients in the oil and gas refineries, power and green energy sectors, with expertise in front -end engineering, pre-award proposal engineering, detailed engineering, construction and commissioning support with multidisciplinary capabilities covering the full self -spectrum of the energy sector.

The company, considering the potential of this vertical has positioned the business unit head in Dubai to enhance current relationships and build new relationships in the Middle East and seeks to open a marketing office in Dubai in FY '25. AXISCADES project s healthy growth from energy

y verticals in FY '25. As stated earlier, the growth of 21% in Engineering Services business has come about despite the de -growth in heavy engineering and the PES verticals, mainly in the US region.

The share of heavy engineering to total revenue declined from 21% at INR 170 crores in FY '23 to 16% at INR 152 crores in FY '24. The decline of 11% in this vertical is due to slowdown in the US region with low capex deployment for heavy earthmoving equipment. The company's revenue from a major heavy engineering OEM is mainly from low -margin staff augmentation business, which is disproportionately exposed to any slowdown.

Hence, we have embarked on a journey to structurally alter our quality of revenue in this vertical by acquiring new logos and graduating to new value -added services, especially in digital, plant automation, process automation, and autonomous solutions by leveraging internal and Mistral capabilities. That growth will be muted in this vertical in the first two quarters of FY '25, we expect growth to return to this vertical in the second half of the financial year FY '25.

The product engineering business of Mistral constituting 13% of total revenue, recorded a marginal decline of 2% to INR 125 crores in FY '24 from INR 128 crores in FY '23. While the

services part of the PES business recorded stable growth of 6% at INR59 crores in FY '24 from INR55 crores in FY '23. There was a degrowth in the production part of the PES business which de-grew by 8% from INR 72 crores in FY' 23 to INR 67 crores in FY'24. As stated in the earlier earnings calls, this is due to overproduction and overstocking of semiconductor chips by global semiconductor majors during the pandemic .

We expect that growth will return to this vertical during the later part of FY' 25 with fleshing out of built-up inventories. Mistral continues to focus on new product development and innovation in this vertical. FY' 24 was characterized by the release of autonomous aerial robotics controllers

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product for a drone fit and edge AI box in partnership with the semiconductor OEM. We also entered into new business deals with major automotive Tier 1 and Tier 2 clients. During the year, Mistral developed and tested a next-gen proteins synthesizer. All these initiatives will result in deal wins for us in the coming quarters. As stated earlier in FY' 24, the total revenue from defence business, which constitutes 2.7% of our total revenues, grew by 8% from INR238 crores to INR258 crores.

In this, the defence business of Mistral grew by 37% from INR 148 crores to INR203 crores. Out of this, the production revenue grew by 3x from INR39 crores to INR112 crores and prototype revenues were at INR 92 crores. The overall growth in defence business was restricted to 8%, despite significant growth in Mistral defence as a large order being executed by our subsidiary, ACAT for the man portable counter drone device got deferred to FY' 25 due to delay in pre-delivery inspection.

Despite the delay, ACAT delivered 24 numbers of the se MPCDS to the Indian army in the month of March 2024. On successful execution of hundred numbers, which is an existing contract, by Q2 FY'25. There are significant opportunities for repeat business and additional orders for this proprietary and one-of-a-kind drone technology developed by ACAT.

This system is first of its kind of anti-drone system that has been inducted into the armed forces and is currently being used. The system being a small portable battery cum mains operated system, caters to multiple frequency spectrums including command and control and navigation. And can detect and jam a wide variety of drones. Completely made in India, It performs both electronic spectrum monitoring and electronic countermeasure functions up to 5 kilometres. It also covers certain special frequency spectrums not add

ressed by any other system in the market.

The Indian Ministry of Defence and Defence Forces plans to acquire counter-UAV capabilities, including that of MPCDS through multiple other RFPs. The addressable opportunity in this area within India is about INR 3,000 crores for the next five years, not to speak of potential for exports.

We are confident that the defence vertical will continue to grow on the back of strong order pipeline, which has been built up with design wins and prototype certifications over the last 10 years. The company added to its pipeline in FY' 24, with design and prototype wins in several different programs such as HISAR, which is a missile launching program, next-generation ERP for combat aircrafts. Intel-based SB C, which is single board computers, deal satellite terminal design, direction finding for naval programs, et cetera. Mistral production order revenue will continue to grow at a robust pace in FY' 25.

Now coming to the digital initiatives. The company currently has a 75-plus member digital team with deep competencies in automation, AI ML and robotics with complete digital project execution capabilities in an agile environment. The team is focused on internal process automation as well as offering digital capabilities as a service to both existing and new customers.

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The digital team has developed a machine vision-based quality inspection system for AOL validation of manufactured products. The team is working with various customers, both current and potential, to offer digital solutions for process and cost optimization. As stated earlier with the digital investments was negative to EBITDA in FY' 24, the same as expected to be neutral to positive in FY'25.

As stated in my previous call, I'm pleased to report that in the last two years, we have made significant progress in implementing our three-pronged strategy of vertical diversification, customer diversification and digital first. And the business stands significantly de-risked with six business verticals, addition of several new strategic logos, new acquisitions and our investments for a digital future.

We continue to build our team for growth and have added more than 500 billable resources in the last 12 months, and our people resource stands at 3,000 plus across all the businesses. The outcome of this can be seen from revenue from new customers increasing by 5x from INR14 crores in FY' 23 to INR69 crores in FY'24 and contributing to 7% of revenue in FY' 24 versus 2% in FY' 23.

We currently work directly with more than 10 OEMs across our different verticals. We have delivery centres with multiple global locations as part of our global delivery model. We have been able to attract and retain quality talent having deep engineering expertise. Our attrition has fallen from 20% in FY' 23 to 16% in FY' 24. There is substantial headroom for growth in each of these verticals we serve.

And our aim is to expand the addressable market with our service offerings honed over two decades. Our confirmed order book across all entities stands at INR 749 crores as against INR589 crores at the beginning of the year, an increase of 27%. While we do not provide specific guidance on revenue and margins, our directional guidance on each of the verticals has already been delineated.

So overall, I strongly believe that we should be able to put up a better performance and better than industry growth rate in FY' 25 even though we believe the growth will be generally back-ended to Q3 and Q4 due to the unique nature of some of our verticals and our overweight presence in defence, which are lumpy in nature and cannot be calibrated across quarters. To conclude, the fundamentals of the business remains strong, and we enjoy excellent customer relations to take us forward on our growth journey. Some verticals will grow faster than the

o

thers. And to some extent, that will be determined by macroeconomic trends and sector-specific seasonalities. I now invite Shashi, our CFO, to provide a review of the financial performance.

Thank you.

Shashidhar SK: Thank you, Arun, and good evening to everyone. As explained by Arun, the company had an impactful closure in FY' 24 with revenue growing at 17% despite challenging macroeconomic environment and de-growth in heavy engineering and product engineering services. After having successfully concluded the acquisition of add-solutions in Q2 and EPCOGEN in Q3, we are
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now focused on making our acquisitions margin accretive by synergizing our offerings, cross-selling capabilities and rationalizing costs and resources.

The company recorded a consolidated EBITDA of INR 130 crores in FY'24 on sales revenue of INR952 crores, as against normalized EBITDA of INR124 crores in FY'23, a growth of 5% over previous year. The EBITDA margin stood at 13.7% as against normalized EBITDA margin of 15.3% in FY'23. As you would remember in FY' 23, the company had reported an EBITDA of INR137 crores on a revenue of INR 814 crores, which included a onetime net benefit of INR13 crores in Covid grants in its US entity.

The company's EBITDA in FY' 24 came at a lower margin of 160 basis points. This was on account of our investment in the digital team, the bench being maintained for heavy engineering and product engineering services despite de-growth, where we expect growth to return in FY' 25, which together accounted for 100 bps. The shift of MPCDS program FY'25, which was planned in Q4 of FY' 24, which Arun spoke about shifted about 50 basis points to FY' 25.

The company took a one-time charge of INR 3.17 crores in the recalibration of the Mistral entity, Aero electronics, accounting for about 30 basis points. The one-time organizational cost on acquisitions, expenses pertaining to qualified institutional placement and hiring of non-billable senior leadership hires accounted for other 50 basis points.

All of this aggregating to about 230 basis points. The employee benefit expenses of INR499.8 crores, a 39% increase over the previous year takes into account the headcount of around 200, which have been added from the two acquisitions namely add-solutions and EPCOGEN, which added a payroll cost of INR38 crores,

Net new billable resources of 500 in number as well as INR7.5 crores, from the currently non-billable digital team and senior leadership hires during the year. The company's finance cost came higher by INR20.48 crores at INR 56.37 crores in FY'24 as compared to INR 35.9 crores in FY'23. This was because of the full year impact of interest costs of funding of Mistral acquisition, prepayment charges and unwinding costs pertaining to the refinancing of this debt. The company's PAT in FY '24 was INR33.41 crores as against PAT loss of INR4.8 crores in FY '23. Out of the net proceeds from the capital raise of INR203.47 crores out of the INR220 crores being the size of the QIP, INR158.45 crores is meant for repayment of the borrowing and balance INR45.02 crores is for general corporate purposes. From the QIP proceeds the company has since retired INR 120 crores in long-term debt to Investec and bank borrowings and will further retire a minimum amount of INR50 crores in September of 2024.

With this -- on an as is basis the finance cost in FY '25 will reduce by about 50%. The net borrowings including working capital and optionally convertible debentures as on the 31st of March 2024 is at INR84.52 crores as against INR 214.37 crores as on the same date of the previous year a reduction of 60%. The company has the healthy balance sheet with shareholders' equity standing at INR592.82 crores as against INR343.86 crores in the previous year. The cash bank and liquid investments from the balance

sheet amounted to INR182 crores.

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To conclude, our focus in FY '25 will be to build a sustainable business and further strengthen growth and profitability. We will now open the floor to questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.

Jyoti Singh: Thanks for the opportunity. Sir, my question is on the revenue mix side if I see on the geography side and if I see on the - so there is a huge variance compared to last quarter to this quarter. So like we have increase in certain segments and we have decrease in certain segments. So can you explain on that, it will be going to be consistent from here onwards or will be doing a decrease or increase in every segment?

Arun Krishnamurthi: Hi Jyoti this is Arun here, So is your question about the segment or the geography?

Jyoti Singh: Hello.

Arun Krishnamurthi: Can you hear me is the question on vertical or is it on geography because on the verticals like I said we have seen very good growth from aerospace and that will continue for us. We have seen growth from automotive and we see growth from energy. And of course, the defence business which is all India-based business that is also something that will significantly grow. So these are the verticals that we see consistent growth.

Jyoti Singh: Thank you sir. I will come in the queue. I think some network issue is there. Thank you.

Moderator: Thank you. The next question is from the line of Prakshal Jain from Lucky Investment Managers. Please go ahead.

Prakshal Jain: Yes, sir. So sir, my question is that the total cost of goods sold that we have in our P&L that pertains to the product revenue of the defence and the semiconductor business right?

Shashidhar SK: You're right. The material consumption is what we see there is only from the semiconductor and the defence vertical, yes.

Prakshal Jain: Yes, sir. So for FY '24 if I see the total product revenue for these two verticals it is about INR180 crores, and the cost of goods sold is also about INR185 crores. So currently, are we negative of the breakeven level at the gross margin level for these two verticals in the product segment?

Shashidhar SK: So with respect to the material cost the denominator as to the revenue is just a minute, let me take this.

Prakshal Jain: Yes, sir. So you're saying that I should take the denominator as the total revenue for this vertical not only the product revenue that has been mentioned in the presentation?

Shashidhar SK: It is the total revenue. If you look at the semiconductor revenues of Mistral what is the production revenue. The total the number which has to be taken as a denominator is INR 383 crores which essentially means 50% of material cost.

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Prakshal Jain: Okay. So you're saying we make 50% gross margin on the semiconductor business. So combined with the design and the product line?

Shashidhar SK: Yes. Correct.

Prakshal Jain: Okay. And would the margins be similar on the defence side as well?

Shashidhar SK: So in defence, there are two parts to it. One is the production revenues which are the regular runs in terms of what Arun described which has tripled from about INR39 crores to INR112 crores. There the EBITDA margins are about 29% and then the other part of INR90 crores of what we did for prototypes essentially is a negative margin because of the fact that the objective at this point in time is to get into the order pipeline. As a result of which we have steep bidding from various competition, and we ensure that we bid appropriately to ensure that we are in order pipeline.

Arun Krishnamurthi: Just to clarify the life cycle of the defence win is that when

we win an order we work on the

R&D and the design part and usually that part is where we made some investments. Thus, of course, because we are in competitive bidding we have to go low on price. So typically, the margins in that phase are low and that's what we refer to as prototypes. So if you look at this year other than the INR100 crores which is production the rest of it is prototypes.

But then as it moves into certification and production that's where we have the part number and when we know the production the margins are much higher. It is anywhere in the 25% to 30% EBITDA region. So the INR100 crores of production revenues comes at extremely high margins. But the prototypes come at a lower margin because like I said for two reasons. One is we need to invest in R&D and secondly it is also competitive bidding.

Prakshal Jain: Okay. So the production is -- you said 29% EBITDA margin?

Shashidhar SK: Yes. So essentially, for FY '24 the production revenues was INR112 crores on which we made an EBITDA of INR 33.18 crores which is about 30% and at the same time the prototype revenues

was INR 91.62 crores on which we lost INR3.37 crores as what I told you because at that point time and objective is different. Essentially, the blended EBITDA for the defence vertical of Mistral was INR 30 crores at 15% against INR203 crores of total revenue.

Arun Krishnamurthi: Yes. And the prototype business is important for us because this is the pipeline that we build. So this is the future production order that we have. So we may consciously make an effort to make sure that we win orders where there is a high production potential and depending on the amount of prototypes, there is an investment that we need to make.

Prakshal Jain : All right, sir. I have one more question. If you can tell us sir for the finance cost for the FY '25?

Shashidhar SK : Yes. So the total finance cost for FY '24 from the financial statement of what you see is INR55.76 crores and that essentially involved the long-term debt which we raised for the purpose of acquisition of Mistral which was a total amount of INR210 crores of which now with the QIP proceeds we have returned INR105 crores or repaid INR105 crores and we will be repaying a minimum of other INR50 crores to INR60 crores in September.

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So upon the retirement of debt in FY '25 we expect that these INR 56 crores of finance cost and what is there on the P&L will reduce by at least 50%.

Prakshal Jain : All right sir. Those are my questions. Thank you very much.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Thank you very much sir for this opportunity. Just first up I just wanted to understand -- I mean in the previous call as well I think we had a objective maybe what by FY '26 I guess or 2026 a PAT objective of INR180 crores. Now given this issue in the semiconductor sector as well as underperformance in heavy engineering. How is that outlook stands as we speak now?

Shashidhar SK: We are still gunning for that. So what we said is that by 2026, that is from FY'23 to FY'26, we would like to double our revenues, and we'd like to triple our PAT. So we were \$100 million, if I talk in dollars, in FY'23. So we are aiming for \$200 million in FY'26 and tripling of PAT. So like I said in my opening remarks, in heavy engineering we are looking at structurally changing our business from some of the low -margin mechanical engineering work we do to do more work in the embedded and the digital side. And that's the journey that we are on.

We have seen some success in the previous quarter and this quarter. It's been incremental increases but that is something that we will work on. So we will expect that heavy engineering, the main client will improve, but also that we will be able to

work with some other clients in the

heavy engineering space. So that's how we expect to see that to improve.

And of course, the other one which was a drag was the production of PES. We're hoping that the inventory stocking issue will sort of ease itself out by maybe H2 of this year. And if that happens, then, again, production revenues in PES, like in defence, are very high margin. So that will also then come back and contribute to the revenue base. So, obviously, these are some of the macro trends. And of course, heavy engineering is also impacted by the U.S. election year, but we hope to see some recovery happening during the year.

Deepak Poddar: Okay. So effectively, when you said double revenue and triple PAT, so FY '23, we are basically from INR820 crores, we are looking at INR 1,600 crores plus kind of a top line. And PAT, I think adjusted PAT, you had an exceptional item of INR 68 crores that year, right? So adjusted for that, your PAT would be close to about INR 50 crores. So, 150 crores ...

Shashidhar SK: That is what we have said. So we are aiming for anywhere between INR160 crores to INR180 crores of PAT by FY'26.

Deepak Poddar: By FY'26, right?

Shashidhar SK: That's right.

Deepak Poddar: Okay. And then how will we achieve that? In terms of margins, if I have to see currently, we are at about 12.5% to 13% kind of a margin level. So if you have to achieve that FY '26 kind of a bottom line, your EBITDA margin has to improve to around 18% plus, right? So do you think

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that this is something that is achievable for us once this segment that you spoke about can come back actually?

Arun Krishnamurthi: Yes. So Deepak, couple of things. One is that the doubling of revenues also include an inorganic component to it. I just wanted to mention that. For this year or next year, we will also look at some acquisitions. So there will be some revenue contribution from there.

Secondly, I think on the EBITDA, you're right. This year we want to focus on profitability. So

we have sort of structured our team, we have put in some measures, we have appointed a Chief Delivery Officer and we have changed the organization structure.

So we will look at getting to about 15% or anywhere in the range of 15% to 15.5% on EBITDA this year. And then we will look at also enhancing, like I said, our production revenues from both defence and PES, which will happen later part of this year to next year. So we're hoping that the ramp up of that quality of revenue of production will also give us a disproportionate benefit on EBITDA into FY '26. So, that's the plan that we have.

Shashidhar SK : And just to add to that, the entire digital team as what we have built , one of the main focus areas is to remove the linearity between revenue and HR resources. And what they do is they automate the repetitive processes, and their objective is to remove at least about 30% of the touch labour , if I can call it that, involved in that. So these automation of processes in our fixed cost project s will also add to the EBITDA margin .

Deepak Poddar: Okay. I got it. That's very clear. And just a final clarification, you mentioned this year you are expecting a growth that is better than FY '24 growth that we have seen, and that growth will largely be back- ended to second half, right? Your first half will be flattish because of the oversupply in semiconductor and even the heavy engineering that you expect to have some improvement maybe in six months, yes ?

Arun Krishnamurthi: Yes. So we are expecting, obviously, to grow better than industry. So if the industry growth rate is 14 %-15%, we expect to grow better than that. And in certain verticals, yes, the growth will be back -ended specifically when it comes to PES, for example.

Deepak Poddar: Correct . What I was trying to understand, if FY '24 we have grown by about 16% and ideally, i

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we like to grow higher than that, maybe 17%-18% or 20%, my second half growth on a Y -o-Y basis would be higher than my first half growth rate ?

Arun Krishnamurthi: That's correct.

Moderator: The next question is from the line of Amish Kanani from JM Financial Services .

Amish Kanani: Congrats , sir, on a relatively good set of numbers. Sir, in terms of defence , you know, good ramp up that we saw on the production side where the margins are high from INR 38 crores to INR 112 crores. And you have mentioned that, you know, executable production orders for the coming year could be INR272 crores. So one clarification, sir, and thanks for this, you know, that it gives us some clarity on the trajectory. The question is, sir, is it one year or it could be 12 to 18 months should we take it is the first question?

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And in that context, sir, we were looking at some time back, we were talking about some design win orders, you know, and with some quantum. So this new opportunity on the drone side that we are talking about with addressable market opportunity of INR 3,000 crores, is it in addition to the all design win orders that we have had all this while or it's part of that?

Arun Krishnamurthi: Yes, Amish thanks a lot. So the drone potential of INR3,000 crores over five years is in addition to the production revenues that we are talking about. So the production revenues this year was about INR100 crores. We expect that to get close to about INR 200 crores next year. It might be slightly less than INR200 crores , but it will be in that region. And we are looking at -- we are working on quite a few prototypes as we speak in FY '24, which also will sort of contribute to some of the revenues. So the anti -drone revenues is in addition to the production revenues, the potential revenues.

Amish Kanani: Okay. And, sir, this drone where we are talking about 40 and plus probably 60 and stuff like that, it's all Army because we understand drone will go beyond the Army and defence as well.

So any thoughts there or it's as of now only Army?

Arun Krishnamurthi: So the current order that we have is for 100 units of the anti -drone system, out of which 40 has been delivered. So all this is for the Army, and they'll be deployed in the borders of the Himalayas as well as Rajasthan. And we are in the process of completing the balance 60, which would happen, like I said, by Q2 of FY '24.

And the other pipeline of orders that we've seen anti -drone also we are seeing at the moment from the Army. But like you said, you know, this will be across the board. It will be from Air Force, it will be from Army, it will be from Navy, it will be from the Home Guard Security Service as well.

So we see the overall INR 3,000 crores potential to be widespread across. And of course, I must mention that we are only focused on defence when it comes to drones. We're not really looking at commercial or logistics or agricultural drones. So everything I talk about in this is mainly related to the defence use cases of drones.

Amish Kanani: Sure. Okay, sir. And sir, last question on the aerospace side, we had one of our anchor client where we had good wins and we have got a good growth in that aerospace division as well. Any thoughts in terms of growth being led by the key client or we are diversifying the client base

there?

Arun Krishnamurthi: Sorry, I missed the last part. Can you just repeat that?

Amish Kanani: Any thoughts on, is this loaded in favour of one key client, anchor client that we have or it's diversifying across many multiple clients, smaller clients which could ramp up? Is it dependent on the key anchor client or how are we diversifying that part?

Arun Krishnamurthi: Yes. So if you look at the aerospace vertical, unlike, say, automotive or any other vertical, there's a small set of OEMs. As you know, there's Ai

rbus, there's Boeing, there's Bombardier, and to a

smaller extent, Embraer. So typically when we work with an OEM, a lot of it comes from the OEM which is doing well and at the moment, obviously, Airbus is doing extremely well and we

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have a long relationship with them, a good track record. So, of course, we also do a lot of work with Bombardier in Canada.

So we expect a lot of the growth in the aerospace vertical specifically to come from the commercial aerospace side from one particular OEM, which has had a lot of success in terms of selling a lot of aircraft and has a lot of deliveries which will go right up to 2030. So it will be based on one client. Of course, what we're also trying to do in aerospace is to look at going beyond OEMs into Tier 1s, etc etc.

We have signed a small order in the U.S. with a company where we do engineering for their interiors, the cabin interiors, which go into the aircraft like seats and galleys and trolleys and stuff like that. But I would say a lot of the demand in aerospace for us is really dictated by one big client.

Moderator: The next question is from the line of Faisal Zubair Hawa from HG Hawa & Company.

Faisal Zubair Hawa: My question is about the defence offset. Do we have any kind of more defence offset that we may have tie-up for, and which could yield us a very big business in coming years. Second question is, sir, with regards to your estimate for FY '26 of INR1,600 crores revenue. Does it include our defence business or just purely the software services business? And thirdly, sir, while our attrition at workforce level has come down, our attrition at top level, CEO and CFO has always been a point of concern for investors.

So what kind of systems are we putting in place so that we are agnostic to the leader who is at the helm of affairs? And secondly, sir, with regards to Mistral how do we want to now incentivize as to know we can retain the old team at Mistral because this is also very IP-related business and which has been built up over the years and we need to incentivize the team, otherwise that could cause some kind of problems to us in the future.

Arun Krishnamurthi: Yes. So Faisal, thanks a lot for all your questions. So I try and remember all of them and answer it in the same order. I think firstly, your question was on defence offsets. What we are seeing is that the offsite business is actually declining in India, it's not just for us, but across the board. The reason being that offsite was meant so that there could be a technology transfer, which could happen to India. Otherwise, there was a penalty in very simple terms. Now what most foreign companies that have been doing is that their pricing in the penalty to their contracts. Therefore, they don't do the transfer of technology.

So when we talk of defence, predominantly the Make in India, it's Atma Nirbhar programs, which is a big driver for us. And everything that we talk about in terms of production, in terms of prototype wins, etcetera, across the whole electronic warfare area most of it, I would say almost all of it is electronic warfare. Of course, we have a small part of the business, which we do for some French multi-national in one of our subsidiary in AXISCADES. And that is the manufacturer of test benches for a couple of clients. So that will continue, but that was sort of more legacy. So we don't see much offsite business going forward in defence. -- we see more of make in India initiatives, which is a driver for growth. So that's point number one.

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The second question you had about the INR1,600 crores that include defence, yes, definitely it includes defence. In fact, defence is one of the big drivers which is part of that because we -- given the differentiators that we have and the relatio

nship that we have, we expect to grow

defence and that will be a big contributor to the revenue ambitions and the EBITDA ambitions that we have. So definitely, it's part of it.

Third was your question of your on CEO and CFO. Well, we've been around here for now 2.5 years. you're right. I think in the past, there has been concerns. There's been a fair amount of

attrition, etcetera. But I think like we have sort of spoken about this in the previous calls, we are -- both me and Shashi are people who have stayed in companies for a long tenure. So from our perspective, definitely, we don't switch a lot.

Secondly, even from a company's perspective, there are financial incentives, there are stock options, which are all performance-based vesting. So those are incentives which are sort of meant to keep the key management team and it's also not just the CEO, CFO. It's obviously across the board. But since you asked the question of CEO, CFO, I mentioned that.

Lastly on Mistral; We have, again, rolled out a stock incentive plan, which we are in the process of finishing everything is almost done and dusted. We are very confident that we'll be able to retain all the key talent and in fact, we have also promoted some of the key leaders of Mistral to very key leadership roles across the group. So for example, one of the cofounders is Rajiv Ramachandra, he now becomes the Chief Delivery Officer for the entire group and he's instrumental in working along with me to drive some of the profitability and EBITDA improvement actions. Mujahid, who is the CEO of Mistral. We will look at how we can consolidate the defence business under him, and he will play an integral role both for the defence as well as for the service business.

So if anything, we are working extremely closely. I think that integration has gone very well.

And of course, in addition to career progression opportunities. We're also looking at financial incentives and stock incentives to retain the talent out there.

Faisal Zubair Hawa: And sir, is there any thinking within the company to demerge Mistral and listed separately also because it's a pure IT business and it does get confused by the stock market with the software services business, which is much more commoditized.

Arun Krishnamurthi: All I can say is that we will -- we do understand the point about there being 2 different entities. So we can look at how we can consolidate. I think anything beyond that, as you will understand, its price sensitive information. So I really can't talk about it, but we will definitely look at the clearer structure here going forward as to whether we monetize it or not, unfortunately, I don't think I'll be able to comment on this today.

Faisal Zubair Hawa: And sir, can you just elaborate on the role of Mr. Abidali Neemuchwala and how he is really guiding us because he comes from a very, very large platform and to him to even agree to become a Chairman of a company, which is much smaller is a big thing. So I mean, what kind of goal that is setting us and what kind of specific inputs that the company is utilizing at this point of time from him?

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Arun Krishnamurthi: So Abid is the chairman of our company. And as you know, he was the CEO of Wipro and my association with Abid started when I was within Wipro as well. So we have worked together out there. And I and the board, we have to request Abid to come and steer the company because, like you said, he's got a lot of achievements under his belt. He's run large businesses. He is based in the US. He knows how to scale businesses both from a top line perspective as well as a profitability perspective.

So we obviously benefit a lot from his advice. He's on board with us just for the -- just for more than 5 months and of course, he is relatively new as far as the other board members are concerned. But from our perspective, we are obviously looking at how we can leverage his guidance and how we can have the benefit of his advice and wisdom and experience.

Moderator: The next question is from the line of Jalaj from Svan Investments.

Jalaj: Could you help me reconcile 1 number. So for the defence, you guys told me that 112 was the revenue for production, then 91.6 was for the design or the prototype. What explains the balance because this doesn't -- this adds up to 203 -- so there is a difference of INR55 crores.

Shashidhar SK: So essentially, the revenue from our other subsidiary, which Arun was talking about, which manufactures the counter drone system.

Jalaj: Okay. So what -- so the revenue for that comes out to be INR55 crores for this year, is right?

Shashidhar SK: Right.

Jalaj: And what was the revenue from the same last year?

Shashidhar SK: Last year it was INR90 crores and this year, the reason as to why there was a degrowth is essentially because of the fact that the entire anti-drone system, which was one of the main focus, I would say, revenue for this year got pushed

Jalaj: Okay. And what sort of margins do we make in that business?

Shashidhar SK: Of course, about 20%.

Jalaj: Okay. That explains it, thank you. And my second question was with regards to the other E&D business of us. So if I were to see the margins separately the segmental margins, as you mentioned. So there has been a dip -- if I were to compare the FY '23 and the '24 numbers. So could you help me understand what explains it and what we are doing to improve them both ways?

Shashidhar SK: Yes. So essentially, if you remember during my call has explained to you, there were -- the cost is what we incurred for the digital team, which contributed a substantial number and also the onetime cost of what we incurred for the QIP as well as the acquisitions which we did and also the revenue from the H EG and the PES business or the degrowth with respect to that and the people who are working those verticals we decided to retain. That's what was the cause for a marginal degrowth in EBITDA, which we hope to come off, I would say, clawback in FY '25.

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Arun Krishnamurthi: Yes. So Jalaj, I'll just add out here. I would say that traditionally, this has been the part of the business for us, which has been low margin. So when we talk of improving our margin, say, going up to FY'26, the defence margins sort of approximately remained in the same region. The improvement that we will hope to bring in is in the Engineering Services business. So this is the sort of transformation journey that we're undertaking. And when I talk of a lot of profitability measures, optimization, delivery optimization, etcetera, a lot of it will be targeted towards the engineering services business, and that's where we will bring in some actionable items.

Jalaj: Got it. So just maybe a little deep dive into it. So what gives us confidence? Or is it the -- more from a capability perspective that we need to improve? Or is it more to go with the delivery per se. You feel like there may be both the short-term and the long-term perspective to it is on to that? Could you deep dive a little into that?

Arun Krishnamurthi: Yes, sure. So I think there's a couple of things. So one is that in certain sectors, we are present in, I would say, commoditized mechanical engineering work. I think one of -- I mentioned about engineering where the margins are not very high and some of it also tends to be staff augmentation in nature. So number one, we are looking at how we can change structurally those businesses where we are in commoditized low-margin areas into, say, moving into embedded or into more profitable areas. So that's point number one.

Point number two is that we will look at how much we can automate and digitize a lot of our external workloads. And for exam

ple, in aerospace, we had some pretty good success because we have very good domain knowledge. So we've done some of that in FY '24. But going forward, we will bring in AI and automation to a large extent so that we can sort of break the link of the linearity between revenue and headcount. So that is the second thing that we'll be looking at. I think the third thing that we will look at is that traditionally, a lot of people in our various verticals have tended to stay in those verticals.

So now with our new delivery structure such as with our chief delivery officer, we are looking at building our competencies and we're looking at horizontal competencies which we can build, so that there's more fungibility and mobility of people from one vertical to the other. So that next time we have a requirement, say, a new vertical -- we don't have to go out to the market and hire, but rather we can pick an existing person, retrain them and deploy them. So the whole resource movement, fungibility, the utilization of people that is the third lever that we will look at. So these are 3 levers that we will broadly look at.

Of course, there are a few other things like we are looking very aggressively at Tier 2 centres. So we are sort of very close to finalizing 1 of 2 centres in -- not in urban areas, so that can reduce the cost of delivery. We're also very aggressively looking at increasing the bottom of the pyramid, so recruiting more interns looking at how we can get diploma holders to do some of the lower end work rather than engineers so that lowers the cost base. So there's a few items that we are putting in, which is sort of work towards this.

Jalaj: Understood. And one last question, if I squeeze in. For the semiconductor business, per se. So there is a drop in the production revenue. I understand for FY '24, maybe the overstocking thing is at. But the design part also, there has been -- it's been more flattish. So is it because of some

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client-specific issues or the client is also facing a headwind? Or there is some other thing you believe like because I do understand production can be a thing, but design, there is a lot of -- across AI and all stuff.

There is a lot to do with the semiconductor layout or the motherboard designing there. So could you help me understand that? Or are we building in more capability, which is required? Are we on the lower end of the capabilities there in the value chain? What explains that? And what are we doing to fix it?

Arun Krishnamurthi: Yes, sure. So I think if you leave out the production part, if you look at the design part of it. Actually, what we do is pretty high end. And actually, some of the problem lies in that because

what we do is that we work on silicon validation boards, with OEMs. So basically, before the new chip is released, we work on picking it up for the end customer, developed use cases, et cetera. So almost every 6 months to 1 year as a new chip is developed, we sort of work with that. So it's almost a cutting edge of technology.

Now the challenge with that is in order to -- and of course, we are seeing some growth from FY '23 to '24. But I think the challenge out there is also to find the right kind of skills because these are pretty specialized skills. So for us, unlike in say, aerospace or automotive there, we can go, and recruit say 50 engineers to get people who have very good embedded kind of capabilities is hard. Plus the other factor which is happening is that we also have a lot of GCCs coming into the country who are obviously setting up base and they're making up a lot of the people. So we have some supply chain issues, I would say, in the semiconductor space.

I would say the pipeline is pretty robust. We have very good relationships. But there, it's more a question of getting some of the high-end resources. And even if you to train them

it takes longer.

It's not like a 6-month or a 7-month training course. It's probably much longer than that. So those are some of the challenges that we have in order to build up that business at scale. But the good thing is the market opportunity is there. So we are looking at how we can sort of improve on that front as well.

Moderator: Thank you. The next question is from the line of Manju Bhashini from JM Financial Services Limited. Please go ahead.

Manju Bhashini: First question clarifications here. First, on the Mistral part, the production revenue is clear, INR120 crores for the year, vis-a-vis INR38-odd crores. The other part, the R&D and design revenue has really been the numbers, what was the 9-month number in this? And the full year number you have talked about is close to INR146 crores. So what was the 9-month revenue run rate here, sir?

Shashidhar SK: Look, we have -- you are wanting to -- the full year revenue from prototype is INR90.66 crores. You want only the nine-month?

Manju Bhashini: No, because 9 months from whatever data I have, that it suggests some INR 167-odd crores. And you are saying full year is only INR 91 odd crores. So I just wanted to clarify.

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Shashidhar SK: The prototype is only INR 91 crores. And if you want the first 3 quarters, then of course, I will pull it out. I can pull it out and let you know. but the actual prototype revenue is INR 90.66 crores.

Manju Bhashini: Okay. And on this INR 91-odd crores, you said there is a loss of close to INR 3.5 odd crores for the full year, right?

Shashidhar SK: That's right.

Manju Bhashini: Okay. And this INR91-odd crores, this is also like the growth of this R&D and prototype revenue will be based on whatever newer projects that you are working on and things of that sort of a lead indicator that isn't sir, how the production revenues will build up over the next few years.

Shashidhar SK: You are right.

Manju Bhashini: Okay. And the Mistral sales is a summation of production revenues and prototype revenues only, right?

Shashidhar SK: Right.

Manju Bhashini: And what was the Mistral ...

Shashidhar SK: Production revenues and the prototype revenues and of course the PES revenues, which Arun just talked about.

Manju Bhashini: Yes. So what was the mistral overall sales for the current quarter for Q4 FY '24 and the comparable number, Q4 FY '23 as well as Q3 FY '24?

Shashidhar SK: Yes. Just give me a minute here. So for the quarter, the just concluded quarter Q4, the total revenues of Mistral was INR 91 crores the immediate previous quarter, which is Q3 of 2024 is INR71 crores. And the immediate, I would say, previous year, which is Q4 of 2023 was INR 77 crores. So essentially, year-on-year, we have grown from INR 77 crores to INR91 crores on a quarter-on-quarter basis, which is INR 71 crores to INR91 crores.

Manju Bhashini: And the margins that we had indicated for the production revenue is somewhere in the range of 30%-odd, right?

Shashidhar SK: Yes. So, this year it is 30% on a production revenue of INR112 crores.

Manju Bhashini: Okay. And the visibility of growth of the production revenue is it can double in the following year from INR 112 crores, or it can be INR 200-plus-odd crores in FY'25 based on the visibility that you have currently.

Shashidhar SK: That's right.

Manju Bhashini: Sure, sir. And the other part is on the aero business.

Aero business, there were certain

commencement of contract that had happened in the previous quarter, Q3 '24, if I understood

correctly, from orders which you had on a 6 months earlier. And the expectation is the delivery of -- the execution of these orders will continue to be better is what the expectation was. So is it
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as per our expectation, sir, is the delivery of the aero

space revenues in this quarter, is it up to the company's expectations? Or you think that it could have been better ?

Shashidhar SK: So, it is as per expectations. As you would have seen, the Aerospace revenues have grown by 27%. And in even with respect to a quarter-on- quarter growth, if you look at the aerospace revenues, from INR 77 crores in Q3 of FY '24, our aerospace revenues was at INR 80 crores. And the same number for the last year, Q4 FY '23 was INR 62 crores. So we have been growing at a healthy pace, including a new, I would say, the contract of what is being currently ramped up.

Manju Bhashini: Sure, sir. So this is the ramp -up execution mode, the revenues of INR 80-odd crores per quarter. So this is a sustainable run rate is what you're suggesting for aero?

Shashidhar SK: That's right.

Manju Bhashini: And the \$18-odd million win, which we had highlighted in our presentation as well, -- that is -- part of it is already reflecting in the revenues as well, sir, in this quarter as well as the previous quarter.

Arun Krishnamurthi : Yes. So, Manju, so this is something that started from 1st of Jan. So, it's reflected to Q4. Typically in aerospace, some of these large orders, what happens is that we've been a piece of work from an incumbent, usually, there's a 6- month transition because it's very specialized. So it's a little bit slow in the first 6 months plus -- there are 2 reasons comes, of course, we need to ramp up people.

But secondly, the customer also wants to make sure that there's adequate transition, and there's no falling between the lines. So typically, it starts accelerating after about 6 months of time. So it started on 1st of Jan, and we will definitely see this pick up as we go through the year.

Manju Bhashini: Sure. That is very helpful, sir. And just a couple of more things, if I'm permitted on our consolidated P&L. The efforts that we had put in terms of improving the employee mix and the digital initiatives which we had taken and the leadership changes. So all those have reflected in the last few quarters, the employee cost. So the current run rate of INR135 crores on a quarterly basis, this should only be inflation-related movement over the next year? Is that the right assumption, sir, on the employee benefit expenses?

Arun Krishnamurthi : Yes. I think largely, you're correct. I think of most of the digital team, we have now built up and they're starting to be productive and the business benefits and the return on investment is starting to happen. We will still look at a few leadership hires as we go in technically on the sales front. So that will come in, but it is not going to be a huge number.

And I would say it's only very material, but they will -- every year that we go in because of the nature of the business or the geography that we go into, for example, now with energy, they are going into Middle East. We will need to make a few investments in leadership. And really, the way I look at it is that building a good team then delivers a good business. So it will not be large scale like it was last year with the digital team, but there will be -- definitely, we'll be cherry-picking and doing some leadership is as we go to this year.

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Manju Bhashini: And is there some leverage possible from the other expense line items, sir? I'm not too sure what is the composition of this? Is this largely sales and marketing and admin related costs only there?

Shashidhar SK: Yes, it is largely G&A, which is there in other expenses. As what I told you, in FY '24, we also took some onetime charges, which are also part of the other expenses, which essentially do INR3.17 crores, which was there for the recalibration of the Mistral entity Aero Electronics . There was about INR1.5 crores, which we incurred for the purpose of the due diligence for the acquisitions as well

As the disallowed expenses are unallowed expenses with respect to the QIP and a few others. There are onetime charges there, which will close over INR5 crores, INR6 crores is not something which we have repeat in FY '25.

Manju Bhashini: Sure. But the current Q4 run rate of close to INR37-odd crores, is that a representative number, sir, from a full year perspective or you think those one-offs are part of this Q4 run rate as well?

Shashidhar SK: So, it's part of the Q4 run rate , the QIP excess was part of the Q4 run rate, whereas the INR3.17 crores, which I mentioned to you was actually in Q2. So essentially, I would say that close to about INR2 crores is sitting in other expenses in Q4.

Manju Bhashini: Okay. Got it. And there is some -- and this is -- we're going to only grow at inflation linked, and

it's not necessarily going to be linear as our revenue growth will happen?

Shashidhar SK: You're right.

Manju Bhashini: And just 1 last point. INR1,600 crores of top line, you said will also have some inorganic composition to it. Any ballpark number you would like to share with us, sir, in terms of what could be the -- what is the organic and the inorganic composition that you're looking for on your aspirations of doubling the top line?

Arun Krishnamurthi : I would say that if you look at 200 million, I'm a little bit more comfortable in dollars. So if you're okay to answer the question. So if you look at 200 million as a target that we are setting for ourselves in FY '26, we'll probably look at something like 30 million, somewhere in that way.

I mean I can't give an exact number for inorganic, as you understand. But if we look at something like that to be the contribution of about 30 million. But as you understand, this could change a little bit, but that's the ballpark.

Manju Bhashini: And this INR272 crores of executable production order, over what time frame you did mention about this. I couldn't get it clearly. That's -- sorry, I'm repeating this.

Shashidhar SK: It would be generally in the range of 12 months to 18 months.

Manju Bhashini: 12 months to 18 months. And the overall order book, can we assume that would also be the INR750-odd crores, that will also be over the similar time frame?

Shashidhar SK: That's right. Essentially, if you look at the run rate as what we have, the order book is what we are talking about is some thing which is executable in FY '25.

Manju Bhashini:

Okay, great. Thank you very much, sir, and wish you all the best.

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Moderator: Thank you. The next question is from the line of Godwin K, an individual investor, please go ahead.

Godwin K : Thank you for taking my question. So, my question pertains to the acquisition of the company EPCOGEN. Can you throw some , because EPCOGEN is into more verticals? If you can kindly help me understand since we are in the process of streamlining our company into good systems and process. And what led us to go and acquire this company during that process , first thing. Secondly, you can kindly help me understand the renewable energy landscape business that this company into and put some colour on the future of this company that will be fine? Thank You.

Arun Krishnamurthi : Yes, so the rationale for acquiring this company is that, firstly, like I said, we believe in a diversified vertical base because at some point or the other, there is one vertical or other, which will always have some seasonality. So I think having the diverse base helps. Of course, we don't want to spread ourselves too thin.

So we are happy with the base that we have. But the rationale for acquiring EPCOGEN was energy is a good business to be in, both from a renewable new energy perspective because , as well as from an oil and gas perspective, because oil and gas still has a lot, going in it, at least for the next 10 years to 20 years.

In speci

fic, if you're asking about -- so what EPCOGEN has is the whole procurement construction engineering skills and this is applicable across large capex construction in oil and gas, as well as renewables. So for example, in renewables, we are working with the company,

which is a UK based company, which makes, cryogenic fuels. So, we are constructing large storage plants for them. And the whole procurement and engineering design of that is done by us. But of course, we're doing a lot of work in the oil and gas side as well when it comes to construction and refineries, carbon captures, sulphur capture, gas storage plants, etc. So, the rationale is that we want to have a presence in energy. And we believe that with that middle it is also interested there for us.

Godwin K :

Thank you, sir. That's it from my end.

Moderator: Thank you. As that was the last question for the day. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Shashidhar SK: We thank all the participants in this earnings call, and we also thank Orient Capital for organizing this call. Thank you very much.

Moderator: Thank you. On behalf of Centrum Broking , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

AXISCADES Technologies Limited
(Formerly AXISCADES Engineering Technologies Limited)
CIN No.: L72200KA1990PLC084435

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August 12 , 2024
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The Manager
Listing Department
BSE Limited
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Scripcode: 532395

Dear Sir /Madam,

Sub: Transcript of the Earnings Conference Call with the Investor(s)/Analyst(s)

Further to our intimation dated 6th August 2024 , please find enclosed the transcript of the Earnings Conference Call with the Investor(s)/Analyst(s) which is hosted on the website of the Company at www.axiscades.com

We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Thanking You,
Yours faithfully,
For AXISCADES Technologies Limited

Sonal Dudani
Company Secretary & Compliance Officer
Encl: A/a

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"AXISCADES Technologies Limited
Q1 FY '25 Earnings Conference Call "
August 06 , 2024

MANAGEMENT : MR. ARUN KRISHNAMURTHI – CHIEF EXECUTIVE
OFFICER AND MANAGING DIRECTOR – AXISCADES
TECHNOLOGIES LIMITED
MR. MUJAHID ALAM – CHIEF EXECUTIVE OFFICER –
MISTRAL SOLUTIONS PRIVATE LIMITED
MR. SHASHIDHAR SK – GROUP CHIEF FINANCIAL
OFFICER – AXISCADES TECHNOLOGIES LIMITED

MODERATOR : MR. SUMEET KHAITAN – ORIENT CAPITAL

AXISCADES Technologies Limited

August 06, 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 Earnings Conference Call of AXISCADES Technologies Limited . hosted by Centrum Broking . As a reminder, all the participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sumeet Khaitan from Orient Capital. Thank you and over to you, sir.

Sumeet Khaitan : Thank you very much. Good evening, everyone, and I'm delighted to welcome you all to the Earnings Conference Call to discuss Q1 FY25 Results of AXISCADES Technologies Ltd. To discuss the results, we have with us CEO and Managing Director Mr. Arun Krishnamurthi , Mr. Mujahid Alam, CEO , Mistral and our Group CFO Mr. Shashidhar SK. They will take you through our results and business performance, after which we shall proceed for question -and- answer session.

Before we begin the call, I would like to mention that this conference call may contain some forward -looking statements about the company, which are based on belief s, opinion and expectations of the company as on date of this call. The actual results may differ materially. These statements are not guaranteeing the future performance of the company and involve risks and uncertainties that are difficult to predict. With this, I now hand over the call to Mr. Arun Krishnamurthi for his opening remarks. Over to you, Arun, sir.

Arun Krishnamurthi: Thank you very much and good evening, everyone. Welcome to the Q1 FY25 Earnings Call. I'm joined by Shashidhar SK, who is our Group CFO, and Mr. Mujahid Alam, who is our CEO of Mistral . I hope you had the opportunity to review our financial results and the investor presentation, which has been uploaded to the stock exchanges.

So, let me first dwell on the overall ER&D industry growth outlook, which directly impacts the company. The ER&D industry is currently undergoing short - to medium -term headwinds in the growth outlook. There are headwinds in several verticals, such as automotive, heavy engineering and semiconductors, both in the US and Europe. Decline in retail demand, slowdown in the EV segment, upcoming US elections, leading to slowdown in capex spending, client -specific issues, inventory build -up, deferment of R&D spend on innovation and new engineering solutions are all challenges that the industry will have to deal with. Sectors which are still positive are aerospace and defence .both of which are seeing accelerated spending because of the unique context of these industries. Despite this, ER&D continues to be a growth sector, with average growth of around 7.5%, with digital revenues growing at an accelerated pace.

The impact of industry slowdown is relatively moderate on AXISCADES because of the effective execution of a focused strategy over the last two years aimed at diversifying our customer base and verticals.

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We are particularly well -placed in aerospace and defence, and have very differentiated capabilities which will allow us to take advantage of the strong sentiments in these verticals. We are positioned as a fully integrated strategic technology R&D and defence company that delivers a broad spectrum of products and services from engineering, aerospace and space to defence. Therefore, we will be rebranding ourselves as AXISCADES Mistral , and the name change will be pending regulatory and other statutory approvals.

The company's strong presence in aerospace, defence and energy, together contributing about 60% of the company's revenues, continues to reflect a bullish

outlook for the year. Even though

defence business, not part of the revenue of other ER&D companies by its very nature, is very lumpy and should not be compared quarter on quarter for its performance. The company is experiencing some slowness in automotive, associated with some specific clients, heavy engineering and the semiconductor business due to the earlier mentioned macro factors. However, the company is confident that the tide will turn in these verticals from H2.

Q1 is typically a soft quarter for ER&D in general, and defence in particular. The company recorded revenues of INR223 crores, growing by 4.5% year -on-year, with constant dollar growth at 3%, which is led by engineering services business, which grew by 15%, from INR152 crores

to INR175 crores.

Defence was lower by 21%, at INR48 crores, as against INR62 crores in Q1 of last year. As stated earlier, the defence business should only be compared on a year -on-year, as defence deliveries generally shift and rollover between quarters, depending on delivery and acceptance constraints of defence establishments. The EBITDA for the quarter was at INR31 crores, at an EBITDA margin of 13.9%, as against INR33 crores, with an EBITDA margin of 15.4% in the same period of the previous year.

The EBITDA margin for previous year, Q1 FY24 that is, was unusually high, due to higher defence service revenues, which had an EBITDA margin of 23%. I would like to reiterate that the total enterprise EBITDA margin in each quarter depends on the proportion of defence production and prototype revenues executed during the quarter, which tends to vary between quarters. The EBITDA margin of engineering services for Q1 of this year is at 14%, as against 13% in the same period of the previous year.

PAT for Q1 FY25 is at INR17 crores, with a margin of 7.2%, as against PAT of INR6 crores, with a margin of 2.6% in Q1 of last year. The company reduced its finance costs significantly during the quarter, from INR20 crores in Q1 of last year to Rs.8 crores in Q1 of this year. And this is as a result of repayment of borrowings from the proceeds of the QIP.

In terms of operational performance, the year -on-year growth of 15% in engineering services was led by aerospace, automotive and energy, which together grew by 40% from INR82 crores to INR115 crores. Heavy engineering and semiconductor business de -grew by 15% from INR71 to INR60 crores. As stated earlier, these two verticals are impacted by macro challenges of capex de-growth and inventory build -up, and we are hopeful that growth will return to these verticals from H2 of this year.

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While the overall defence revenues in the quarter was lower at INR48 crores, as against INR62 crores in the same period of the previous year, its defence production revenues at INR28 crores is higher by 73% as compared to Q1 of last year. The company's production revenues from defence will record another milestone in the FY25 with a strong order book of INR322 crores at the end of Q1 FY25 in the Mistral defence business.

We continue to deliver counter -drone solutions to Indian defence and wish to complete the delivery of this anti-drone system in Q3 of this year, which will make us a prime candidate for repeat orders in this category.

I will now dwell on the performance and outlook for various verticals.

The aerospace vertical accounted for 36% of our Q1 revenues, totalling 79 crores and reflecting a 24% increase from the previous year. This growth was driven by higher wallet share from existing customers, ramp -up in our services and the digital automation of our existing processes. Our long -standing partnerships with aerospace OEMs are growing steadily and are expected to contribute further to the revenue as OEMs increase production rates supported by the substantial order backlog which is driven by a strong demand for

or aircrafts.

We anticipate maintaining a healthy growth rate and momentum backed by a broadening scope of digital manufacturing services and engagement with our customers. Our outlook for aerospace continues to be bullish for the foreseeable future.

Our automotive revenues at INR25 crores is higher by 84% from the same period of the previous year. With the consolidation of revenue pertaining to add solutions, the automotive entity that we acquired in August of last year. Automotive revenue today constitutes 11% of the console revenues, which was at 6% in Q1 of last year. We were selected as a preferred supplier by a leading UK automotive OEM and are actively expanding in this space by adding new logos. Our major focus going forward will be on digital and embedded solutions as well as hardware testing and validation. We are developing capabilities in margin accretive segments like software testing, cybersecurity, ADAS, and investing in new technology trends which are in great demand apart from the traditional focus on mechanicals. However, due to macro challenges in this sector, such as a notable slowdown in the European markets and change in strategy by an automotive OEM, we expect the next two quarters to be challenging in this vertical for us.

We entered Q1 with revenues from our energy vertical reaching INR11 crores, which accounts for 5% of our total revenue. The addition of EPCOGEN has provided a strong boost to our growth in the energy sector. We have been selected as a preferred partner for two new projects in the UK with a renewable energy solution provider and are expanding our customer base in India and the Middle East.

The company has appointed a full -time business head in Dubai and is in the process of opening a marketing office in Dubai to expand our footprint in this major energy geography. With new leads in this segment, ongoing geographic diversification, and development of new capabilities in this vertical, we anticipate the growth momentum in this segment to continue.

The heavy engineering and semiconductor business continue to face margin pressures. Revenue in the heavy engineering vertical decreased by 8% year-on-year from INR40 to INR36 crores in Q1 of this year. This decline is primarily due to macroeconomic factors, a slowdown in the US region, and customer reprioritization of capex across various programs. Despite this, we remain a key strategic partner for our customers in their global manufacturing transformation initiatives. The objective is to move away from the traditional low-margin staffing model to margin-accretive value-added services and sell digital competencies for internal automation to global and domestic clients. To enhance the revenue quality of this vertical, we are developing several use cases for leveraging our inhouse capabilities and those from Mistral. By revamping our cost structure and optimizing operations, we aim to improve margins in the coming quarters. We anticipate this vertical will begin to recover starting in Q2 of this year. Our semiconductor vertical revenues, also known as product engineering services, for the quarter stood at INR24 crores, which was a year-on-year de-growth from INR31 crores down by 23%. This was mainly due to the inventory build-up of semiconductor chips by global semiconductor majors, leading to production decline. Despite this decline, we are diversifying our customers within this space and increasing our efforts in designing and prototyping our future production runs. The Indian government is supporting Make in India initiatives for semiconductor fabrication and globally we expect that growth will return to this vertical during H2 of this year, upon offloading excess inventory by the OEMs. While I will leave it to Muju to deliberate on the opportunities and status of defence vertical, we remain

bullish on our defence potential, banking on evolving production orders from the significant pipeline of prototype developments of Mistral, prestigious Indian defence programmes made over the last one-plus-decade as well as potential in ACAT. Suffice to say that the defence production orders in FY25 will be significantly higher than that of FY24. While we continue to add to the pipeline of orders with certified prototypes for new programmes.

As stated in our earlier earning calls, the company is making significant investments in building its digital strength, which is being horizontally deployed across all our verticals and customers, both in terms of internal automation as well as digital offerings to our existing new customers. The digital investments, which are part of our P&L charge and continue to be margin-decretive, is now fructifying into new order acquisitions as well as internal cost optimisation and will result in new revenues and improved profitability as the year progresses. The company is also bolstering its sales organisation and has recently onboarded a head of sales in the US region to expand our presence in the region that acquires new deals.

The company's confirmed order book beginning of Q2 FY25 is at 83 million dollars with continued acquisition of new deals, both in engineering services and defence. We are also pleased to announce the appointment of Mr. Tanmoy Chakrabarty as an additional director in the capacity of non-exec independent director on our board. Mr. Chakrabarty brings with him a distinguished career spanning across four decades with extensive expertise in corporate strategy, government affairs and digital transformation.

He has held prominent positions in the Tata Group, mainly heading governmental affairs. Looking ahead into the full year FY25, we are confident of delivering as per plan, both in terms of revenue and profitability, by leveraging on the opportunities in our growth verticals as well as overcoming the challenges in some of our verticals.

Let me conclude by thanking you for your patronage and look forward to your continued support as we build a marquee institution in the engineering services and defence. I now invite Muju to provide a few words on the Mistral business.

Mujahid Alam: Thank you, Arun. As we all know, Mistral as a technology design and system engineering company is serving customers valuably in the semiconductor and defence verticals for over 27 years. The company has achieved a growth rate of 20% CAGR in the last five years. FY24 revenue was INR328 crores with an EBITDA of INR56 crores.

Besides our strong presence in the product engineering space, we have firmly established ourselves as a major defence solutions provider. We work closely with the DRDO labs, public sector units like BEL and HAL and Ministry of Defence. We are an integral part of many radar, sonar, air force and electronic warfare projects.

Currently, Mistral has planned more than 800 to 1000 crores in certified prototypes across multiple prestigious Indian defence programmes and awaiting production orders. Additionally, new design wins with a potential of 2,500 to 3,000 crores in future production are under

development. The company's order book at the beginning of Q2 FY25 stands at INR375 crores, which was 60% scheduled for execution this financial year.

In Q1 of FY25, Mistral recorded revenue of INR 62 crores compared to INR32 crores in the same period of the previous year. Of this, INR23 crores came from semiconductor business and 41 from defence business. The company achieved an EBITDA of INR7.5 crores during the quarter with an EBITDA margin of 11.5%. As Arun mentioned, the defence business experiences variability in both revenue and margins when compared quarter on quarter. Defence margins may also get diluted by the quantum

of prototypes being designed. These prototype developments mostly have revenue margins during design phase and become largely profitable during production. Therefore, it is essential to maintain a long-term perspective on the defence business rather than a short-term to medium term view.

The prospects in the semiconductor business due to inventory overload with OEMs is likely to continue for another two quarters. We are actively working to increase the business of newly added clients in the automotive sector. We are also on track to add two to three new customers in the upcoming quarters.

The new drone chip based on Qualcomm is under development and will be released in the market in Q3 FY25. Mistral has secured an order for 90 crores from BEL, a defence PSU, for eight Radar Processing Systems for the Arudhra Medium Powered Radar. The delivery for the same will begin in this financial year.

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We are confident that the semiconductor business will return to growth and the defence vertical will maintain its position, supported by a strong order pipeline. I now invite Mr. Shashidhar SK, Group CFO to provide a financial overview. Thank you.

Shashidhar SK: Thank you, Muju, and thank you everyone for joining the earnings call for Q1 FY25. On the back of headwinds in certain verticals due to macro factors, as explained by Arun and Muju, lumpiness in defence and generally a soft first quarter, the company has recorded good results in operating revenue of INR 223 crores, a 4.5% quarter-on-quarter growth, 31 crores in EBITDA and 13.9% in EBITDA margin. The company recorded a PAT of INR17 crores, which was almost three times the PAT recorded in Q1 -FY24.

As appraised in the earlier earnings calls, the company's finance costs have significantly reduced as a result of repayment of borrowings, amounting to 110 crores in the QIP raised in January of 2024. The company's finance cost for Q1 -FY25 was at 8.07 crores, which is a significant reduction as against 20.1 crores recorded in Q1 -FY24 and 12.51 crores recorded in Q4 -FY24. The company is scheduled to repay another 50 crores of its borrowings by end of September 24, which will further reduce the finance costs.

Our net debt as of 30th June is 50 crores, considering 182 crores in cash, banks and liquid investments. Our steadfast focus continues to be on improving our operating discipline with the twin objective of improving gross margins and controlling our operating expenses. We have launched many cross-nationalisation initiatives, both on variable costs and fixed operating expenses, especially focusing on below 20% gross margin accounts to improve our blended margins.

Our digital vertical, while still with margin decretive, is focusing its efforts on internal automation of billable processes to improve revenue for employees, as well as acquiring new digital revenues from existing and new customers at higher spilling rates. We have strengthened our delivery organisation with a focus on resource management, optimisation of the pyramid and maintaining the bench. Our offshore on-site ratio stands at 71.29 and fixed cost T&M ratio is at a healthy 65.35 respectively. We added a net 70 FTEs since the beginning of the year, with reduction in attrition rates to 14% from 18% as compared to the same period of previous year. The annualised ROCE based on Q1 results is at 17% against 14% where we ended in FY24. Annualised ROE stands at 11% as against less than 7% in FY24.

The annualised EPS is at 16.27 as against Rs 8.40 in FY24. The company has a strong balance sheet with net worth standing at Rs 596 crores at a consolidated level as on 30th June with sufficient cash generation to comfortably service our debt obligations and generate free cash flows. Our net working capital cycle as on 30th June is at 118 days despite working capital heav

y

defence business constituting 28% of the revenues and we continue to optimise our working capital terms.

The company has enhanced its governance process by appointing a global controller to oversee internal control, risk management and has appointed a general counsel to oversee corporate governance for the entire group. In conclusion, over the past several quarters, we have made significant strides in establishing a foundation for sustainable growth and profitability whilst

strengthening our balance sheet. We are confident in our ability to build on this momentum throughout FY25 and beyond. Thank you, now I request the moderator to open the floor for questions.

Moderator: The first question is from the line of Jalaj from Svan Investment s. Please go ahead.

Jalaj: So, I have a few set of questions. Maybe I will begin with them. Firstly, I wanted to understand with regards to defence and from the past three quarters, we have been having a lumpy period there. We have been talking about defence revenues picking up and order books being strong. What is exactly happening and when do we expect the production revenues to pick up and what sort of at least outlook or number wise do you have for this financial year in the defence vertical ?

Arun Krishnamurthi: Yes. So, thanks for that question. So, if you look at our Q4 results, we had a very strong production run and the defence business by its nature is lumpy because we work with some large PSUs and government customers. So, it is hard for us to calibrate this on a quarter -on-quarter basis. So, last year, we had a very good production run. This year, again, we are looking at about close to 171 crores of production for FY25 and Q1 was slow in terms of production and that is traditionally always the case. But we do expect that next quarter for us, Q2 will be strong when it comes to production. So, it will be lumpy but there are certain quarters that we expect strong defence production runs to happen.

Jalaj: Understood. Okay. So, I was trying to delve a little deeper into the defence vertical. So, one thing is, how are we right now positioned on the entry drone revenues started contributing to the top line? And I understand that HAL in its recent call talked about the revenues for Tejas being a little bit delayed because there were some issues with the GE engines. In this 170 crores target that we have talked about, is there an assumption with regards to Tejas , or how confident are we about this? And how does that impact us, the HAL issue?

Shashidhar SK : So, let me first, answer your question with respect to the MPCDS or the anti drone deliveries. As we have been reporting, of the 100 numbers which have to be delivered to the Ministry of Defence, 40 have already been delivered and 60 is being scheduled between Q2 and Q3. And talking about revenues, we recognize revenues on a proportionate completion method. So, of the 65 crores of revenues which belong to us, which is our share, we have recognized about 50 odd crores and close to about 14 to 15 crores is still to be recognized, which will be recognized between Q2 and Q3.

Mujahid Alam: Yes. On the LCA production delay , we have factored in the delays in our projections because the issue is with the GE engines and what we have looked into is about 14 to 15 numbers of LCA being produced annually, and that is what we have given in our projections of what is our plan for this year and next financial year. So, it should not impact in terms of our revenues.

Jalaj: Understood. And this was with regards to the margins. I do understand that there is some reversal corresponding to the ESOP provisions in the margins this quarter to the tune of almost 12 crores.

If I were to adjust them, then the EBITDA margins would have an impact of almost 400 to 450 bps. Could you talk a little about it and where are we

actually feeling the pressure in the margins?

Is it all across or particularly ER&D, some vertical specific, are we facing issues? Thank you.

Arun Krishnamurthi: Yes So, maybe I can take that question and Shashi can add on. So, I think as we talked about, there are verticals that we have some seasonality. So, if you look at vertical by vertical, if you look at aerospace, obviously that vertical is doing very well for us and I think we are at very healthy margins. If you look at defense, as we talked about it, there is lumpiness. So, quarter on quarter, there are different circumstances. This quarter on defense, we had some pressures on margins because of the fact that we had to invest in a lot of prototypes. But like I said, our production revenues next quarter are going to be very strong. So, we will see a big uptick happening there.

If you look at energy, that business is very robust for us and it's a very high margin business. Now, if you look at semiconductor, there are two parts of the business. One part is the NRE or the non -recurring business, which is basically the services business. There the margins are very high. Where there is support on semiconductor is the production slow down . And this, as you know, is an industry phenomenon where there has been, high inventory and we expect that situation to improve, as we go into the year. So, there has been some stress because of that because typically production, whether it is defense or semiconductor, comes with very high margins.

In automotive, we have a specific client issue. One of our clients in one of the European countries has faced a bit of a slowdown and they have been in the middle of a restructuring exercise. So,

because of that, we have had some margin pressures, which, a gain, I believe, they are a large client and they will come back. So, we expect that in one or two quarters' time, that customer should come back and that will contribute to it. But because it's a big part of our portfolio, that has had a specific impact on us. And heavy engineering progress, the margins have been pretty much steady.

So, it's a bit of a mixed bag. I would say the margin pressures in this quarter specifically are from defense and from automotive and from some parts of PES or semiconductor.

Shashidhar SK : So, just to add to what Arun said, just to take the example of Mistral Defense, in the current quarter, the total defense production of Mistral was 28 crores, which is almost about 75 percent more than what they recorded in the same period of last year. So, on this defense production of 27.5 crores, the EBITDA, which was recorded, was 24.72 percent, which is about 6.8 crores. But when you come to defense prototypes, the total revenue from the defense prototypes which is for future pipeline of orders was 13.87 crores, on which the company lost 3 crores, which is almost about 21 percent.

On this count, Muju will add to this, the prototype, I would say, acquisition of order for prototypes has become a lot more competitive. And if you look at last year, FY24, the whole of the year we had, the total prototype production was around 91 crores, on which we had lost about 3.9 crores. Whereas, in this quarter alone, on its 13.87 crores revenue, we recorded a negative margin of 2.9 crores, which is almost 21 percent. But we have to perform this, because we have to add to the production order pipeline.

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And if we do not do this, obviously our margins will improve dramatically. But we are playing for the long term with respect to defense. And we have to continue to manufacture these prototypes. Muju, would you want to say something on this?

Mujahid Alam: See defense is a long-term business. So, basically, what we need to do is, today we need to get ourselves involved

into multiple new programs, which have been planned by the Indian Ministry of Defense. If you're not there in the program today, we do those when the production happens. For instance, if we had not been in the LCA program many years back, because we got into LCA program almost 15 years back, those benefits are being reaped today.

So, this is the investment which we do in the long run. But unlike in the earlier years, wherein the benefit happened after 15 years, now we see mostly that things will, what we do today will roll out into production numbers in three to five years from now. So, basically, the investment is for tomorrow.

Jalaj: Got it. Understood. And one last quick question, if I may be.

Moderator: Thank you. The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.

Jyoti Singh: Yes. Thank you for the opportunity. So, just one quick clarification on the automotive segment side, like you mentioned, some client issue was there. So, are we expecting this in the upcoming quarter also. And another on the defense side, we are seeing lumpiness and we are already multiple segments. So, I hope, this is not a focus issue because we are trying to manage a number of segments. So, what are the views going forward from here onward?

Arun Krishnamurthi: Yes, Jyoti. Thanks for the question. So, I think in automotive, it's a very specific, like I said, customer issue. And just to give you a bit of a context on automotive, what's happening is that a lot of OEMs are migrating their portfolio towards EVs, electric vehicles. But what's also happening is that there's a lot of competition which is coming from Chinese OEMs. And because of this, this is putting a lot of the traditional OEMs who are trying to disintermediate their business into a lot of pressure. And they are trying to adopt ADAS and connected and embedded facilities in the car which is happening at a slower pace. So what we are seeing is a short-term impact, but given the fact that these are very marquee names, it is just a matter of time before they come back.

So since we have a large group of business from this customer as the customer recovers, we'll see the recovery happening. It is not something which is systemic. I think it is more a time-based issue. As far as defense is concerned we are very focused actually. I think this is a core area for us. We have two parts of the business which are now merging together. So we work with on one side with all the labs, like the DRDO, LRDEs, etc and the PSUs like HAL, BEL etc. On the other hand we work with the Ministry of Defense.

So our portfolio actually is very focused. It is actually, if you look at it on the LAB side we do a lot of work on the electronic side which is on telemetry, which is on radar and sonar. And, again with the Ministry of Defense, we work on the anti-drone as well as simulators with some

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of the PSUs. So we are actually very focused on the electronic side of the defense business. So, it is actually very strategic for us. It is a growing area.

And we are not spreading to multiple areas like you're questioning for this, but actually very focused and this is actually the right place to be in because there is a lot of growth that is going to happen here as we all know. as we all know. Muju , anything you want to add on the focused part of defense?

Mujahid Alam : So as a company we are very clearly focused because it's a team which is working on the non - defense portfolio completely different and the team which is working on the defense portfolio is totally separate. So we all have our strengths and we are very clear about what we are doing , because the semiconductor business and the general PES business require a different mindset as well, together.

And the defense portfolio requires a completely

different mindset and the people who are engaged with defense, the average age in Mistral or across both the entities combined together is about more than 10 to 12 years in Mistral alone. So that gives a very clear vision saying that these people are completely focused on the defense sector.

Jyoti Singh : Great, sir. Thank you so much. And, sir on the semiconductor side that production issue we are facing, what are the expectations on that front?

Mujahid Alam : The semiconductor business this is still overstocking by multiple volumes. We expect this business to take off by Q3 or Q4 of the financial year.

Jyoti Singh: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Yes. Hi. Am I audible?

Moderator: Yes, you are.

Deepak Poddar: Yes. Thank you very much sir for this opportunity. So just wanted to understand now we were talking about the margin pressure driven by two, three sectors like automotive, defense, semiconductor as well as automotive not doing that well. So in light of and I think we also mentioned that all these sectors will take maybe one to two quarters for them to revive. So how do we see then the growth part and the margins part for this year? I mean this quarter our adjusted margin was close to 8.5%. So how one should look as a whole, year as a whole in terms of growth and margins here?

Arun Krishnamurthi : Yes. So a large part of our margin contribution comes from defense. And that sort of accounts for when we have low margin as well as when we have high margin. So I think we are going into a quarter now or rather we are in Q2 where we expect like I said the production runs to pick up. So we expect a strong margin performance to happen in Q2. A lot of that will be contributed by our defense business.

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And, of course, on the engineering side as well sectors like aerospace are very strong. So like I mentioned in my opening remarks I think if you look at the headwinds that are impacting ER&D, the two shining lights are aerospace and defense. Aerospace one is because it's always the long - term gain and air travel is picking up, people are traveling more and then some of the OEMs are very strong order books.

So we are unique that we are one of the ER&D companies who is positioned in aerospace which is differentiated from a lot of other companies. So that will be a strong performer for us. And again because defense is part of our portfolio we expect as defense ramps up that will grow. So like S hashi said, last year we did INR90 (112) crores worth of production in defense. This year we will do INR171 crores.

So a lot of that hasn't happened in two months. So you can expect a lot of that to happen over the next three quarters. But we are looking at getting into a quarter where we have good defense business. So that will provide a lot of margin benefits.

Deepak Poddar: For the year as a whole I mean for FY25 as a whole in terms of growth and both margins how do we see that?

Arun Krishnamurthi : Yes. So we are doing a combination of things. One is, of course, because the defense production is high that will be a contributor. The second thing is that we are also like I mentioned in my opening remarks, we are looking at a lot of digital as well as cost optimization initiatives which will happen , which have already played out and some of these cost initiatives take three, four months to actually show up on the balance sheet.

So we expect all of that to start appearing in the next few months, in the next few quarters. So, we believe that the next for the whole year I think we have a good plan in terms of both top line as well as EBITDA.

Deepak Poddar: Both top line as well as in terms of EBITDA. And are we still maintaining FY26 that we had guided

earlier, three -year vision of INR1600 crores kind of a top line and a bottom line of maybe what INR160, INR180 crores?

Arun Krishnamurthi : Yes. That's the plan we are still working on. So we are hoping to have a strong year this year, and then that will build into what we get into next year.

Deepak Poddar: Okay. And just one last small thing finance cost we spoke that we are repaying some debt, so we expect some finance cost reduction. So what sort of finance cost we are looking at for this year?

Shashidhar SK : It will be around INR30 odd crores. Out of the INR56 crores that what was there for FY 24 we should be around INR30 crores in terms of finance cost or more than that.

Deepak Poddar: I got it. I think that's it from my side. All the very best. Thank you.

Moderator: Thank you. The next question is from the line of Kaushik Mohan from Ashika. Please go ahead.

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Kaushik Mohan: Hi, sir. Sir I just wanted to understand one basic question. What are our components in the other income that we have because this time we have recorded a huge other income? What are the...

Can you give the break -up?

Shashidhar SK : See essentially the other income, major part of the other income of INR11 crores is what we see in Q1. INR6.59 crores of that is capital gains. We had a property in Noida which was kind of unused so we monetized that and we made a 6.59 Crores capital gain out of it. The rest of it is, of course, the interest income and a lot of that in terms of the FDs that's what we have seen majorly.

Kaushik Mohan: Okay. So this one -time income of capital gain if I remove then our PAT is not having such a kind of a growth like where are we lagging? Which division is of concern because I joined very late, so if I'm repeating the question, I'm sorry?

Shashidhar SK: See as Arun explained for us aerospace and defense are the front -runners in terms of both revenue and margins. As Arun was saying with respect to aerospace our EBITDA margin is close to 19% and with respect to defense as I told you in the first quarter we may have about INR28 crores of production revenues and that gave us about 24% EBITDA margin.

Even with respect to product engineering services, our EBITDA margins are, of course, of 80% .

Only that the growth has to return as what Muju stated. So the ones which are compressing the margins are the heavy engineering vertical where predominantly it is a staffing business. That's where Arun said that we are completely revamping this entire heavy engineering vertical.

So if you in fact remove the heavy engineering vertical from the scheme of things which is about 20%-odd in terms of revenue our EBITDA margins will actually go up to about 100 to 150 basis points, but that's where we are taking a major correction in terms of moving away from this staffing model as what we are talking about.

And the other vertical where because of the degrowth in terms of the OEM business, is the automotive business where we saw a compression of margins and that will come back from about Q2 end and Q3 onwards. And energy, of course, is a high -yielding margin business for us of the - I would say close to about INR 11 crores of revenue which we recorded for the energy business. The EBITDA there , again, is about upwards of 20% .

Kaushik Mohan: Sir are we sticking on to our guidance of INR170 crore s guidance, or are we upgrading or are we looking at it re -checking it?

Shashidhar SK : I'm not sure as to where you got this number, but the guidance with respect to the EBITDA as we are progressing from Q2, Q3, and Q4 we are as per plan.

Kaushik Mohan: Okay. Thanks, sir.

Moderator: Thank you. The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.

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Aman Vij: Good evening, sir.

My first question is you have talked about INR800 crores to INR1,000 crores of approved production wins. So if you can talk about how much can we expect in FY25 and FY26 ?

Mujahid Alam : Okay. We currently have production with visibility of INR800 crores from now for production, based on the effort which we have put in the past. So these are the efforts which Mistral and the team has put in the last 15 -20 years. These are usually the production revenues. So, as on date, we have approximately about INR375 crores of order book on hand out of which defence of INR300 crores in hand and most of that will be executed in the next one or two years.

Aman Vij: No, sir. That number is known. But I was asking that the number which you mentioned, INR800 crores to INR1,000 crore s of approved wins, so only INR300 crore s do you think will come for FY'25 -- next year, FY '26, out of this INR1,000 -odd crore s, how much can be the order inflow for us?

Shashidhar SK : See, as has been reported in the investor presentation, of the INR324 (322) crores of order book

as what we have in defense, about 60% will be converted this year. The rest of it will move to the next year. And again, of the total INR800 crores to INR1,000 crores as what we have stated, where they are all approved prototypes, where we have a part number and a reasonable visibility in terms of when the production orders are going to kick in, we will start with a strong order book at the beginning of FY '26 again. Essentially to say, these INR800 crores will perhaps convert over the next two to three years.

Aman Vij: Sure, sir. And if you can talk about how much of these will be like L1, tender-based versus how many of these INR800 crores to INR1,000 crores we would be the single vendor?

Mujahid Alam : No, you see, most of the cases which have been certified and approved in the past, here it is only a part number, reissue of the order, because there will be no other competition as such, because we have been engaged with the customer in building the prototype, and the results which we have done have gone through multiple testing cycles and verification cycles. So, this part will typically not be changed, so it will be on a single tender basis.

Shashidhar SK : As we have been talking about it from the past so many earnings calls, once a prototype is developed and certified, we have a part number, that becomes an IPR for us, and when a total system is developed, that part number performance has to be there in the system. So it almost becomes a single tender.

Aman Vij: Okay. Then my assumption is correct that most of it will be single tender out of this INR 800 - 1000 crores, there won't be even a second player?

Mujahid Alam : Yes, your understanding is correct.

Aman Vij: Sure, sir. Next question is, if you can give updates on two of the programs, sir. We used to talk about it a lot more in earlier presentations, like Uttam AESA radar as well as the new Ashwini Radar. So another player is getting a lot of orders in this. So if you can talk about... ?

Shashidhar SK : Your voice is very -- your voice is not audible, not clear.

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Aman Vij: Yes, I was saying, sir, I just wanted an update on two of the projects. One is Uttam AESA radar and the second is on the Ashwini Radar. So a lot of orders are coming for other players in this. So if you can talk about what kind of order inflows we expect from this Ashwini Radar ?

Mujahid Alam : See, the Ashwini Radar, the TOT -- in the past, it was given to only one single company, which was Bharat Electronics, and today there has been an amendment in the TOT transfer agreement, and the TOT has been given to three different companies. So there will be the portion of Mistral from Ashwini Radar, which will definitely come to us, and as on date, while we talk, we have given our quotation to

all the three companies. So whoever wins, we will get our money. And as far as the AESA radar is concerned, which is under FCA, these trials have been good, and on the 15th of August, the first prototype, Mk2, will fly out with the indigenous developed radar.

Aman Vij: Yes, sir, I just wanted to understand what product are we...

Moderator: Mr. Aman, may we request you to return to the question queue for follow-ups? There are several participants waiting for their turn.

Aman Vij: Yes, ma'am. I'm just finishing the question, and the next question I'll ask later. Just this part, just a little bit of clarity, I wanted. Sir, I was asking that on the Uttam AESA radar, typically the radar cost a lot, but what part are we doing? Is it a very small value addition or a big value addition, if you can talk about the same?

Mujahid Alam : There is a part called Exciter Receiver in the radar that is being done by us.

Aman Vij: This costs around, like, few crores or these are like INR50 crores plus kind of...

Mujahid Alam : It will be in the range of about INR2.5 crores to INR5 crores, approximately.

Aman Vij: Okay. Thank you. I'll get back in the queue.

Moderator: The next question will be from the line of Dipesh from Emkay Global. Please go ahead.

Dipesh: Couple of questions. Just want to look -- if I look organic basis, overall revenue is down on Y-o-Y basis and sizably down. Even if I look at the vertical, which you indicated is seeing a headwind. Even if you adjust for their flattest performance, revenue is down on organic basis. Just want to understand, it seems to be relatively more broad-based, particularly defense side. Defense is fairly weak compared to where we used to run, run rate perspective.

And even from production and design, design which used to be stable showing weakness. If you can give some sense how one should look defense business, because you said it will pick up from production perspective, but then overall is not showing any material strength because of the design-related softness. So if you can address two-part question, first is organic fairly weak number on Y-o-Y basis. Second, even defense is showing weakness. So if you can address it. Thanks.

Arun Krishnamurthi : Yes. So the way we look at our business is that there are certain areas where we are legacy, where we have strong capabilities. And typically that is in aerospace, it's in defense and it's in heavy engineering. And like I outlined earlier as well, our strategy is to diversify. So that when

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there are seasonality's which happen, like what is happening now, we are present in sectors which are strong as well. So to that end, we make acquisitions. And for us, automotive, we grew from an acquisition and energy through an acquisition. So your question should be seen in the context that we have acquired new capabilities. So it is not that we are growing aerospace and defense through inorganic.

The growth that you're seeing in aerospace and defense is completely organic. And defense for us is lumpy. That is something that there's not much that can be done because when we have production orders, it's a very high quarter. Like Q4, for example, was very strong for us because we had a strong production run. And like I've been saying, even the next quarter is looking good for us. And Q1, which comes in between, is where we have to invest in a lot of prototypes. So the way I see it is that when one has to grow an overall business, one has to invest in certain areas, and there will be growth in other areas.

And of course, meanwhile there are also macro trends that we have to deal with. So I think given this whole context, I would say that the performance has to be looked at as organically the sectors that we're strong have done well. I think the new sector for us where we have to grow quickly, and the

se are sectors where we could have grown organically, but then it could take five years instead of doing it in one year.

So I think the contribution that comes in for specific sectors that are inorganic is because we wanted to grow quickly. So we feel that because of the defence seasonality, this quarter has been a little bit weak, and of course, there is a client-specific issue in one particular vertical. But other than that, I think the health of the business looks pretty robust as far as we are concerned.

Dipesh: Sir, if you can answer the different products and design, one should look at the combined number from defense growth trajectory perspective, or emphasis should be more on products and design, lumpiness may continue, because design is weak this quarter -on-quarter as well as on a Y-o-Y basis?

Mujahid Alam : In terms of production, for the year, we are well-fetched as per the plan because typically when you talk about production, you need to have your orders in hand at least about nine to 18 months in advance, otherwise you won't be able to deliver. So we are in good shape for the year, and whatever investment which we are doing today is for the future.

Dipesh: That is true, but design, let's say, when weakness was there, typically margin benefits would get reflected. If I adjust for some of the one-off, margin seems to be weak. Even design revenue was weak.

Arun Krishnamurthi : No. So I think just to clarify, design for us is prototyping. So typically, when a new defense program comes out, it is a competitive tender and we have to bid against other companies. And usually, there is a lot of pricing pressure when that happens, so you usually come in lower on price. Plus, there is an investment because you need to do R&D. So design by the very nature of its tender will always be more in investment mode.

But the reason we do design is because when the design finishes, once the certification finishes, the production which happens at the end of it is very substantial. And that's where the high

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margins are. So when we have a quarter where there is more design and less production, that quarter will have lower margins because design, by definition, is more investment. And production, by definition, is where we harness all the margins.

So next quarter, like I was saying, we have higher production as a component of our defense business, and therefore, we expect that the margins will be very strong. So I think it's important to understand the life cycle we are in. And in quarters, when there is more design, the margins are lower. I hope that clarifies.

Dipesh: No, sir, this clarifies and that's why the question I raised. Your design is low at this time compared to, let's say, Q-o-Q, Y-o-Y, whichever one looks, absolute number. So it should have benefited your margins. And your production is also higher ...

Shashidhar SK : No, you see, just a minute. I think I answered this question earlier. If you look at Mistral's defense, its quarter, the total defense production for Mistral of INR27.5 crores in this quarter, which recorded an EBITDA of INR6.8 crores, which is 24.75 %. Now, coming to defense prototypes, the total revenues from defense prototypes was INR13.87 crores, where we lost INR2.9 crores, which is almost 21 %.

So if you take the total defense margin from Mistral, it was about INR41.37 crores of revenue and INR3.9 crores of EBITDA, which is about 9.43 %. So that is the reason as to why Arun said that, depending on the mix between prototypes and production revenues, the margin profile with respect to defense changes, it so happens that in Q1, we had a substantial prototyping of around

INR13.87 crores of revenue.

And also, because of the competitiveness as what is there in the, prototype bidding now, the loss as what we took on the books, is much more than the whole year loss

of last year, which we had incurred for prototypes.

Dipesh: Understood. Thank you.

Moderator: Thank you. The next question is from the line of Manjubhashini from JM Financial Services Limited. Please go ahead.

Manjubhashini: First question is regarding the reversal of in the employee in the notes to accounts. There is a mention about certain reversal of the share-based payments to employees to the tune of INR10.82 -odd crores. So, how should we treat this, sir? Is this an exceptional one? Because if you do not include this, then the whatever margins that we are seeing at the EBITDA level would have been even more lower. And there would have been a significant drop on a Y-o-Y sequential basis from our EBITDA perspective. So, how should we read this, sir?

Arun Krishnamurthi: So, basically, this is, we have programs in compensation which we roll out for employees which are retention-based which are performance-based. So, I think, time-to-time, we need to review this. So, I think, this quarter, we had a review of some of these processes. And in discussion with our board, we felt that some of the old programs need to be rolled back and we need to launch a new program which is what we are in the process of doing. So, I anticipate that over the period of the years, this is something that will balance out.

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Manjubhashini: Okay. So, this is based on the milestones that were set for the employees and they have not reached those milestones and hence this reversal of the compensation. And let us assume that things get better, etc. This cost can come back to us. Is that the right way to understand?

Arun Krishnamurthi: Yes, you can say that. It's a combination of factors. So, there have been some stocks which have rested but it's also in terms of the ambitions of our company, the aspirations that we have, that changes from year-to-year. So, when we have a different ambition that we want to enhance our performance, we would like to revisit some of our compensation programs.

And partly that's what we have done in this. So, we wanted to reset it to the future growth potential and to some of the sectors where we feel that there can be superior performance. So, it's a combination of both of those.

Manjubhashini: Sure. So, I have a lot of questions where on defense and this production revenue run rate improvement which you talked about. Just a few data clarifications here. The Mistral revenues last year, F24 fully overall, was somewhere in the range of INR328 -odd crores. Am I correct in that? vis-a-vis some INR49 crores?

Shashidhar SK: You're right.

Manjubhashini: Sure. And this number for the current quarter, Q1 25 is INR49 -odd crores.

Shashidhar SK: No. The total revenue from Mistral this quarter is INR65 crores.

Manjubhashini: INR55 crores is it?

Shashidhar SK: INR65 crores.

Manjubhashini: INR65 -odd crores. Okay. And this INR65 crores on a comparison basis is INR72 crores in Q1 of 24. Is that right comparison or any changes?

Shashidhar SK: That is right.

Manjubhashini: Out of this INR65 crores, you said somewhere INR26 -odd crores is the production revenue in this quarter of INR65 crores.

Shashidhar SK: Yes. So let me break this INR65 crores for you. The defense production revenue is INR27.5 crores. The prototype revenues are INR13.87 crores. And the semiconductor revenues are INR23.62 crores.

Manjubhashini: Semiconductor is INR 23 point -something right? And the EBITDA margins on that production revenue of INR27.5 crores is 24.7% EBITDA margin. Is that right?

Shashidhar SK: That's right.

Manjubhashini: And we incurred INR 3 crores loss on the prototyping and revenues of INR 13.87 crores.

Shashidhar SK: Correct.

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Manjubhashini: Okay. Sure. And semiconductor is also in losses or...

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Shashidhar SK: Semiconductor, we have made a 15% margin on the INR 23.62 crores, we recorded an EBITDA margin of INR 4 crores.

Manjubhashini: Okay. INR 4 crores EBITDA is what we have generated there. Okay. Understood, sir. And the

visibility for this INR 27.5 crores current quarter production revenue is INR 170 crores the full year is what you're indicating?

Shashidhar SK : You're right.

Manjubhashini: This number, the same FY '24, the corresponding comparable number was somewhere in the range of INR 112 -odd crores, is it INR 112 crores is going up to INR 170 crores, that is the latest...

Shashidhar SK : That's right.

Manjubhashini: Okay. And this INR 800 crores to INR 1,000 crores of the number that is there in the presentation about our confirmed or design-led production revenues that can accrue to us where you talked about the cycle of 2.5 years to 3 years when this can be achieved. So over here, so the entire INR 800 crores to INR 1,000 crores is convertible into order book in, let's say, 3 years? And that order book to revenue could happen in maybe another year time frame or so. So in 4 years' time frame, the entire INR 800 crores INR 1,000 -odd crores can translate into revenues? Is that the correct way to understand?

Mujahid Alam : Many of the Radar program, that Sonar program, the revenue recognition will happen in the next 3 years to 4 years. But there is also some amount of revenue in this INR 800 crores to INR 1,000 crores, which is part of the Light Combat Aircraft which is Tejas Aircraft . Here the production cycle is a little bit longer.

Manjubhashini: Sorry to interrupt, you were echoing a bit, sir. I got the point that in next 4 years or so, this can get translated into revenues. But after that, I lost you.

Mujahid Alam : The program, which we work on today are multiple Radar programs, Sonar programs, Electronic Warfare programs, so these programs, I expect things to be recognized in the next 3 years to 4 years. But whereas the revenue which we have calculated here, which is for Tejas Aircraft , that production is going to be for a longer duration. So that revenue will be still lower till Tejas production continues. So 100% will not be consumed in 4 years to 5 years. If some of the revenue will be over in the next 7 years.

Manjubhashini: Okay. So the revenue conversion will happen over the next 7 years, but order book conversion from the INR 1,000 crores could happen over the next 4 years. Is that right?

Mujahid Alam : Probably the most important what happens is that whenever we get orders for instance [inaudible 58:30] Tejas aircraft we know for a fact that there were 190 aircraft to be produced . But HAL will release the order to me for the 35 numbers 40 numbers years -on-year or every 2 years result order on a batches to me. We may not have the order for the complete lot -- in volume growth, AXISCADES Technologies Limited

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but there are some orders secured for the future also. So, that is a part which is already pre-approved .

Shashidhar SK : At the same time, I know if you look at the other ones, which are designed in under development, that also will realize into revenues in these number of years. But at the moment, we are not very clear in terms of how the program is shaping up.

Mujahid Alam : Because see in terms of INR 2,500 crores to INR 3,000 crores of prototype under production, in some of these cases our portion of activity is completed, But my system is going into a larger system. For instance, if I am developing something and that is getting into a radar program, my piece which is being designed and developed at Mistral is already delivered to the end customer. End customer is putting the radar. The radar has to go through the field trials . That's when the production will happen. So, there are little bit long cycles. But unlike in the past, where the design cycles

cycle for about 10 to 20 years, now it is stretched to 4 to 5 years.

Manjubhashini: Okay. Got it. The translation will take much longer, could be even up to 10 years is what you're saying because there are multiple parties involved, and hence, there could be a delay there, right?

Shashidhar SK : Right.

Manjubhashini: Sir, just on the -- I got the point on the auto and the client-specific issues that you're having and how you believe that it can -- things can get better over the next 2 quarters or so. But aerospace on a sequential basis is largely in the current and the similar run rate only looks like there has not been any material improvement on a sequential basis in the aerospace revenues. Any -- I mean, is this on expected lines? Or you think -- anything that you can elaborate here, sir, on this point?

Arun Kishnamurthi : Yes. So just in Aerospace from Q1 of last year to this year there's been a 24% growth . For Q4 of last year to this year it's been similar. The reason being that if you look at large manufacturing facts whether it's in aerospace or automotive they typically have shut down 2 periods. One is the summer shut down, which happened.

The second was during the Christmas period. So in Q1, we had almost 2 to 2.5 weeks of summer shutdown because of which the revenues from the Aerospace segment was a little bit lower, which we expect to see that coming back. Because for us, when the factories are humming and the products are being generated that is when the business for us is robust.

Manjubhashini: Okay. So in that sense then Q2 on a sequential basis should be a good number to look at in the

absence of the shutdown, which impacted us in Q1.

Arun Krishnamurthi : Yes. So Q2, we do expect revenues to be much better.

Manjubhashini: Okay. Understood. sir. Sir, and just another point on the interest cost, you said interest cost for the full year could be in the range of INR30-odd crores vis -a-vis INR53-odd crores, where we closed in F '24, right? And the current quarter interest expense is in the range of INR8 crores therein. So -- and you have also talked about further reduction in the debt, which can come

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through there. Can you please clarify these numbers, sir, what is the current net debt? And what is the current gross debt and net debt on books?

Shashidhar SK : See, the current gross debt is around INR230 crores and current net debt is about INR50 crores and I was saying the total interest cost for the entire year would be in the range of around INR30-odd crores because we are taking some capex -- we are putting in some capex for which we are the borrowing at a very reasonable and competitive cost . And so as a result of which, the total finance cost will not be more than INR30-odd crores in that range.

Manjubhashini: Okay. INR230 crores is the gross debt and INR50 crores is the net debt. That's the number.

Shashidhar SK : That's right . We are having about INR182 crores in terms of cash, bank and liquid investments.

Manjubhashini: Okay. And what was the operating cash flow? I think you mentioned about net working capital of somewhere in the range of 120 -odd days or something. Is that the number, sir? Did I get it, right?

Shashidhar SK : That's right. If you look at most of the Engineering Services business on that net working capital cycle of around 65 -- 75 to 90 days, whereas in the case of Defense is a little bit more because we hold inventories as well as receivables .

Moderator: The next question is from the line of Dhruv Shah from Ambika Fincap.

Dhruv Shah: Arun, my question is on your EDS segment. Now our EBIT margin is around 11% this quarter, and that also includes this INR12 crores of write -back you guys have done on the stock -based payment. When do you see our EBIT margin on the EDS coming back to the industry level of 13%, 14%. There is al

so industry reports around 15%, 16%. But when do we get to that 13%,

14%? I understand you are investing in automotive and energy. But at the same time, you are -- our EBIT margin on aerospace will be much higher. So if you can just elaborate on this one?

Arun Krishnamurthi : Yes. So Dhruv, like I said next quarter, when we have our Defense production runs to be higher, we will see a higher margin when it comes to Q2. But I think for us every quarter, we have certain rhythm of our business. And I think this quarter because of the fact that we had lower production as well as client -specific issues the margins were a little bit lower. If you look at last year, we closed FY '24 at close to 13% margin. We are looking at taking that up in FY '25. So we have a plan in place to sort of recover that over the next 3 quarters.

Dhruv Shah: Just when you say production but that would be related to Defense, right? I'm talking only about...

Shashidhar SK : Engineering Services to answer your specific question. As I said, the current -- I would say there are 2 verticals which are undergoing correction, which is, of course Automotive as well as Heavy Engineering. To answer your question as to when we'll be able to scale up another 200 basis points, we would assume that by the end of this current financial year, which -- and we should be able to scale up at about at least about 150 to 200 bps on the Engineering Services.

Dhruv Shah: Okay. By end of this year. So every quarter, we should see this going up from 11% EBIT margin?

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Shashidhar SK : Yes. So because we are doing a major correction in Heavy Engineering vertical and that is in fact turning to be margin accretive rather as against total margin decreative position where it was in FY '24.

Dhruv Shah: Right. And Shashi, on the thing which we were supposed to start on Heavy Engineering to increase the margin, which we said on the last call also, is the exercise on? And should we start seeing results from coming quarters?

Shashidhar SK : So it's already -- let me tell you, so in fact if you look at the total revenues of last year from the Heavy Engineering vertical the total revenues from heavy engineering vertical was INR152 crores last year, which -- with an EBITDA margin of negative 0.5%, whereas in this year, in Q1 FY '25, the revenues from engineering vertical is INR36 crores where the EBITDA margin is now 3% -- plus 3%. And this correction has kicked into place largely in Q1 and there is more to come.

Moderator: The next question is from the line of Jalaj from Svan Investments.

Jalaj: I have just 1 question. Most of the questions have been answered. So you were sticking to the guidance of INR1,600 crores of top line and INR160 crores to INR170 crores... The question

that I have is, if I see the guidance that you are giving for FY '26, which is INR1,600 crores of top line and INR160 crores, INR170 crores of bottom line now considering the current run rate and considering the guidance that you are providing for this year I think we'll be ending somewhere around INR1,100 crores, INR1,150 crores at best case scenario INR1,200 crores this year at the top line level. Now to get the INR1,600 crores next year, you need to have INR400 crores of addition. So just wanted to get some sense, do you have this kind of visibility in terms of your existing order book or existing pipeline to get this kind of number? Or it's just an aspirational number.

Shashidhar SK : No. These are all numbers which have a backing with respect to how this has been computed . As the biggest driver here, of course, you see the Defense vertical, where we have been talking about INR39 crores production is going INR111 crores, INR111 crores going to INR170 crores. And the pipeline of orders as we confirmed say the total tax is what we have resulting in the production

revenues on defense going by much more multiples going forward.

And of course, the other vertical to energy still a small base but again, it's going to pick up better going forward in terms of the pace of what we are now in the Middle East and the various other strategic plans we are kind of getting in this vertical. So we have -- and of course, Aerospace because of the production run rate that's what is going to go up and order backlog as what the OEM has but the other vertical , which will also go at a fast speed . And the entire 1600 crores is not purely organic . We have taken this amount of inorganic also in that and the something which we have to play out.

Arun Krishnamurthi : Yes. And I think what it's also doing is that obviously, in order to realize those ambitions, we are also investing in our sales force . So, we are recruiting more people so that we can improve our new logo addition and large deals addition . So definitely, it's work in progress. I mean this is the direction of travel that we want to traverse and there are investments that we will plan and AXISCADES Technologies Limited

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we will expect that we'll have outcomes on those investments. So not everything is in the bag right now like it is for any other company but the investment that you're putting in and the growth rates that the industry is seeing we feel that this is an ambition that we can sort of work on.

Jalaj: Sure. If I may know, sir, how much is the inorganic -- you are building is this in the INR1,600 crores number?

Shashidhar SK : About 10 % is the inorganic revenue to be present to be inorganic .

Jalaj: Sorry, sir, I missed that, sorry.

Arun Krishnamurthi : 10% to 15%.

Jalaj: Okay, 10% to 15%.

Moderator: Ladies and gentlemen that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Shashidhar SK : We thank all the investors and the participants in this call for participating in this call. And we also thank you for your support throughout, we also thank Orient Capital for arranging this call.

Arun?

Arun Krishnamurthi : Yes. So just 1 closing remark I wanted to make is that I think, like I mentioned as we see the industry going forward, our strengths are in Aerospace and Defense. And like I mentioned, we will be looking at how these are 2 verticals, which we believe has a lot of juice left in them. So we will be wise. Of course, all the engineering services verticals are important to us and we will look at -- but I think as a company, we will see a rigor happening more towards Aerospace and Defense and we will expect to see superior growth coming from that.

So I just wanted to leave that and -- we are also looking at bringing a lot of the integrated technologies from Mistral into our portfolio. Therefore, the logic for our rebranding is to -- 1 is thing to focus the whole defense portfolio that we have. And the second is the digital engineering and the embedded capabilities that we have, which is something that we will play upon going into the future. So thanks a lot for all your questions and good talking to all of you.

Moderator: On behalf of Centrum Broking that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

AXISCADES Technologies Limited
(Formerly AXISCADES Engineering Technologies Limited)
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November 20, 2024
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Dear Sir /Madam,

Sub: Transcript of the Earnings Conference Call with the Investor(s)/Analyst(s)

Further to our intimation dated November 13, 2024 , please find enclosed the transcript of the Earnings Conference Call with the Investor(s)/Analyst(s) which is hosted on the website of the Company at www.axiscades.com

We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Thanking You,
Yours faithfully,
For AXISCADES Technologies Limited
Sonal Dudani
Company Secretary & Compliance Officer

Encl: A/a

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"AXISCADES Technologies Limited
Q2 & H1 FY '25 Earnings Conference Call "
November 13, 2024

MANAGEMENT : MR. ARUN KRISHNAMURTHI – CHIEF EXECUTIVE
OFFICER AND MANAGING DIRECTOR – AXISCADES
TECHNOLOGIES LIMITED
MR. SHASHIDHAR SK – GROUP CHIEF FINANCIAL
OFFICER – AXISCADES TECHNOLOGIES LIMITED
MS. SANGEETA TRIPATHI – HEAD INVESTOR
RELATIONS – AXISCADES TECHNOLOGIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY '25 Earnings Conference Call for AXISCADES Technologies Limited, hosted by Centrum Broking. As a reminder, all

participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Sangeeta Tripathi, Investor Relations Head from AXISCADES Technologies. Thank you, and over to you.

Sangeeta Tripathi : Thank you, operator. Very good evening to everyone. I'm delighted to welcome you all to AXISCADES Technologies' earnings call to discuss on our Q2 FY '25 and First Half FY '25 results and business performance.

Today on the call, along with me, we have our senior leadership team with us, our CEO and Managing Director, Mr. Arun Krishnamurthi; and our Group CFO, Mr. Shashidhar S. K. The leadership team will take you through our results and business performance, post which we will proceed for the question-and-answer session.

Before we begin the conference call, I would like to mention that this conference call may contain some forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. The actual results may differ materially. These statements are not guaranteeing the future performance of the company and involve risks and uncertainties that are difficult to predict.

I now hand over the call to our CEO and Managing Director, Mr. Arun Krishnamurthi, for his opening comments. Over to you, Arun.

Arun Krishnamurthi : Thank you, Sangeeta. Good evening, everyone. Welcome to the Q2 earnings call. I'm joined by Shashi, who is our Group CFO; and of course, Sangeeta, who introduced us, who's our Head for Investor Relations. I hope you had the opportunity to review our financial results and investor presentation, which has been uploaded to the stock exchange.

As always, let me first dwell a bit on the ER&D industry and then work through our performance, so that, that sets the context. The ER&D industry is experiencing a challenging phase, reflecting the recent subdued growth and conservative outlook from pure-play ER&D companies in India. These challenges stem from a mix of sector-specific slowdowns, economic uncertainties and shifting market trends, which are connectively tempering short-term growth expectations. However, the medium-term and long-term growth outlook for the ER&D sector remains positive, largely due to the following factors: number one, rising demand for digital transformation; number two, the ER&D players moving up the value chain to work on specialized services; number three, global pressure to develop sustainable and environmental
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friendly solutions, and this is pushing companies to invest in ER&D for products like electric vehicles, energy-efficient systems and renewable energy technologies.

With an expected medium-term growth rate of about 7.5%, ER&D firms in India could benefit from sustained demand in digital and high-value segments, positioning them well to capitalize on recovery once economic conditions stabilize. To weather this challenging period and position us for future growth, ER&D companies will need to adopt a blend of cost optimization, sectorial diversification and digital innovation to remain resilient and competitive.

Now AXISCADES' have demonstrated resilience and steady performance, largely due to our well-outbound strategic actions over the past 2 years to diversify our

cross-industry segments

and expand our customer base, with a focus on digital and embedded capabilities. This diversification has allowed us to mitigate some of the broader ER&D industry challenges and has positioned us well for sustained growth.

The company is focused on aerospace, defence and energy, sectors that now contribute about 65% of our total revenues, and AXISCADES' strategic diversification has enabled us to build a balanced portfolio, making it less vulnerable to the cyclical downturn in any single sector. With these segments continuing to show robust growth, we appear very placed to maintain our positive momentum and sustain a strong outlook for the year even as the broader industry faces headwinds.

Coming to the quarterly performance for Q2, AXISCADES showcased a good financial performance, with revenues reaching INR264 crores, which ranging a 5.1% year-on-year increase and a very robust 18.4% quarter-on-quarter growth. This growth trajectory reflects the company's focused efforts to expand across core sectors and strengthen our market position, especially in a challenging landscape.

Some of the key highlights for this quarter. The engineering services sector remained a primary growth driver, with revenue rising from INR175 crores last quarter to INR181 crores. This uptick showcases our ability to capitalize on core engineering services, driven by demand across diversified sectors such as aerospace, energy and industrial. The growth in engineering services were tempered by degrowth in automotive, which impacted some of our revenue and

profitability.

The defence vertical, which contributes approximately 32% of total revenues, recorded an impressed growth, sequential grew 73% and a year -on-year increase of 1.4% to INR84 crores. This strong performance was largely driven by robust revenues from defence production orders, signalling the company's effective alignment with defence demand and production priorities. The company's order intake in defence in Q2 FY '25 was a robust INR121 crores. Production revenues in H1 are at INR78 crores as against INR49 crores in the same period of last year. Our increased focus on defence has set the stage for sustainable growth in this high stakes sector. However, we have always mentioned that given that the irregular nature of defence contracts, influenced by A, lengthy procurement cycles; B, governmental budgets; and C, geopolitical factors ; performance in this vertical can fluctuate significantly between quarters.

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Thus , evaluating growth on a year -on-year basis provides a clearer picture of long -term trends in the defence sector.

With a solid performance and outlook in aerospace and defence , along with the cautiously optimistic outlook in heavy engineering and automotive and semiconductor, we appear very well prepared to balance near -term challenges with medium -term growth potential. The company's strategic focus on defence along with a diversified portfolio positions us to navigate current industry dynamics by being ready to leverage recovery trends across sectors.

For Q2 this year, the company recorded an EBITDA of INR33 crores with an EBITDA margin of 12.4%, compared to INR36 crores and a 14.2% margin in the same period of the last year. This decline in EBITDA margin is attributed to the underperformance in the automotive business. The company's business in Germany is currently facing headwinds due to a downturn in automotive, which impacted our revenue and profitability.

However, if we were to exclude this, the company's EBITDA margin improved to 13.5% for Q2, with an adjusted EBITDA of INR35 crores. This improvement suggests that the company's other business segments such as defence , aerospace and energy remain strong and continue to contribute positively to profitability, showcasing the resilience

even amidst sector -specific

challenges. The long -term story for automotive is however very strong, and we are confident that this vertical will return to its growth journey by early next year.

Moreover, when adjusted for a onetime ESOP related write -back accounting to INR12 crores in Q1 FY '25, the adjusted operational EBITDA grew significantly by 7.4% sequentially from INR19 crores in Q1 to INR33 crores in Q2. The company reported a PAT of INR12 crores, resulting in a PAT margin of 4.6%, compared to a PAT of INR11 crores and a margin of 4.4% in Q2 of last year.

This year -on-year increase in both PAT and PAT margin indicates a positive trend in profitability, despite the challenges faced by some of the sectors such as automotive. This improvement in PAT margin underscores the resilience of AXISCADES' business model. Further, as the company continues to optimize operations, focus on high growth sectors and retire its debt obligations, it is likely to further strengthen its financial performance on medium term.

I will now dwell on the performance and outlook for each of our verticals. I'll start first with aerospace. In Q2 of this year, the aerospace vertical contributed 29% of our revenues, amounting to about INR76 crores. This represents a 19% year -on-year growth driven by: number one, increased wallet share, AXISCADES has successfully expanded our service footprint between our existing client base, capturing a larger share of the aerospace R&D and engineering spend; number two, service ramp up.

Our company has created service offerings to meet rising client demands, positioning ourselves as a preferred partner for larger and more complex projects . Number three, digital automation, we have automated many of our processes, enhancing productivity and delivering added value to clients and improve efficiency . And number four, strengthening OEM partnerships, long -

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standing relationship with major aerospace OEMs have proven to be a growth engine for us.

These OEMs are increasing production rates in response to a large order backlog driven by high demand for aircraft, which positions us to benefit from ongoing and future projects.

Now the outlook for aerospace. We are optimistic about maintaining strong growth in this vertical. This is backed by the fact that the company has won a critical work package on aerostructures. The contract value is about \$15 million, thereby solidifying our presence on the vertical. The current 3 -year work package is a renewal of existing work as well as additional

renewal of work in aerostructures.

In terms of expanding digital manufacturing, as our clients increasingly adopt digital transformation strategies, our digital manufacturing services are expected to play a critical role in supporting the OEM's needs.

And lastly, deeper and more strategic client relationships are paving the way for sustained growth and long-term projects. Given these trends, the outlook for the aerospace vertical remains bullish with expectations of steady revenue growth, supported by ongoing client demand and our robust capabilities in aerospace, R&D and digital.

I'll now talk about some highlights for the Mistral business. The Mistral business posted revenues of INR98 crores in Q2, marking an increase from INR94 crores recorded in the same period of the previous year. Sequentially, Mistral recorded a growth of 51%, up about INR65 crores which was in Q1 of this year. The revenue composition is as follows: First, semiconductor. Semiconductor contributed INR32 crores, reflecting a sequential growth of 36% from INR24 crores in Q1, indicating that growth is returning to this vertical as forecasted in our previous calls.

The Indian government is making India initiatives specifically aimed at bolstering semiconductor fabrication and manufacturing, provides a strategic

tailwind for AXISCADES.

With these supported policies, the company is well positioned to leverage new opportunities in local manufacturing and potentially serve as a partner in India growing semiconductor ecosystem.

Now talking of the defence business in Mistral. We generated INR66 crores, reflecting a sequential growth of 60% from INR41 crores of Q1 of this year. Production revenues almost doubled sequentially, from INR28 crores to INR51 crores, constituting 84% of total defence production.

Mistral's involvement in defence is increasingly moving from prototype and development stages to full-scale production, a critical factor for sustained growth and profitability. Mistral reported an EBITDA of INR18 crores, achieving a blended EBITDA margin of 18.2%. The EBITDA margin from defence production was at 24% and semiconductor business was at 25%. However, the company continues to record negative margins in prototype developments for defence to build the future order pipeline. The production revenues from defence and semiconductor are ramping up. Mistral will continue to accelerate on EBITDA margins in the period to come.

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Now talking of the order book, as of September 30 of this year, Mistral's total order book stood at INR450 crores, providing a robust pipeline of projects and indicating strong future revenue visibility. The order intake in defence just in Q2 of FY '25 was INR121 crores. Increase in Mistral's defence revenue, given primarily the production activities, suggest a maturing defence pipeline with steady recurring revenue potential.

As defence production orders continues to grow, Mistral is poised to benefit from the ongoing ramp-up of high-demand programs in the Indian defence sector. Additionally, the healthy EBITDA margin in Q2 of this year, highlights efficiency with which Mistral is managing both the semiconductor and the defence operations despite challenges in the broader ER&D industry. Overall, Mistral's performance in Q2 underpins AXISCADES' strategic direction in defence production. The transition towards production-led revenue, especially within the defence vertical, aligns with our growth objectives and strengthens the position in both the Indian defence ecosystem and high-tech sector like semiconductors.

Also, in order to strengthen on people and expertise in defence, we have appointed Dr. Sampath Ravinarayanan as a Non-Executive Director. Dr. Ravinarayanan's extensive 4 decades association in the Indian aerospace and defence sectors equips him with a deep understanding of government policies, foreign partnerships and private sector strategies.

Dr. Ravinarayanan has served as the Chairman of the FICCI Defence Committee and was instrumental in winning several large contracts in the past for AXISCADES, including the Airbus Fuselage Development Centre and the Mirage2000 midlife extension project with Thales International and MBDA in France. His contribution has earned him an honorary Doctor of Philosophy from the National Institute of Technology, Kurukshetra, in 2020.

With knowledge and network of relationships across Indian government agencies, foreign OEMs and the private sector will be invaluable as AXISCADES aims to expand our global footprint and enhance our technological capabilities in defence. His ability to navigate the intricacies of government policies, foster international collaborations and drive private sector agility will significantly support our growth strategy.

Now moving on to heavy engineering. The heavy engineering vertical recorded revenues of INR37 crores with a 3% sequential growth over Q1. The contribution of heavy engineering is at 14% of consolidated revenue as compared to 16% in FY '24. The growth in this vertical, which

serves mainly the infrastructure sector, is dependent on macroeconomic factors and capex spend.

With the conclusion of the US elections, we expect that infrastructure investments are expected to pick up pace, favourably impacting this vertical. The company is focused on revamping the cost structure and optimizing operations in this vertical, which will improve our margins in the upcoming quarters. We are working on several large use cases in AR/VR, leveraging Mistral capabilities, and our in-house digital talent targeting niche solutions with customers.

I'll talk about automotive now. In Q2 of this year, AXISCADES' automotive revenues totalled INR23 crores, representing a 14% year-on-year decline and a 6% sequential decline. The automotive sector is facing significant headwinds, especially in Europe, due to macroeconomic challenges and shifts in electric vehicle strategies by some OEMs, creating uncertainties in the market. We had to absorb cost to the tune of INR6 crores in H1 to retain our capabilities and weather this storm. This has had an impact on our EBITDA for this period.

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Given the current slowdown in European markets, which are key to the global automotive industry, AXISCADES expects the automotive segment to face continued challenges for the next 2 quarters. The automotive sector has a relatively shorter product life of 5 to 7 years, with new variants of vehicle platforms being introduced continuously. Automotive companies need to keep introducing new vehicles, whether ICE, internal combustion engines, hybrid or electric for their business.

As such, ER&D investment cycles cannot be kept in abeyance for too long, which will seriously impact new vehicle introductions which the OEMs cannot afford. The expertise we have is technology agnostic, and hence will not be impacted due to volatility in one of our platforms of ICE, hybrid and electric. The services being rendered by us such as wiring harness, software testing, AutoSAR, ADAS, infotainment, etcetera, is being consumed by all the above platforms. The slowdown experience is only because of the general macro and automotive slowdown, which is expected to revive in 2025.

Despite these macro challenges, AXISCADES have been chosen as a preferred supplier by a leading UK automotive OEM. This recognition is an important strategic win that strengthens AXISCADES position in the automotive sector, and provides a foothold to expand our client portfolio in this industry. We are prioritizing growth in digital embedded solutions along with hardware testing and validation, aligning our services with high demand, technology driven and automotive R&D.

Now I'll talk about energy. In Q2 of FY '25, our energy vertical contributed INR12 crores, accounting for 4% of the company's total revenues. Although a smaller segment compared to others, the energy vertical plays a strategic role in AXISCADES' diversification efforts. The integration of EPCOGEN has been a critical enabler for growth in the energy sector, expanding our capabilities in energy, engineering and project management. EPCOGEN's expertise enhances our foundation in this vertical, providing a broader service portfolio to meet the evolving needs of the energy industry.

We have been selected as a preferred partner for 2 new projects in the UK with a renewable energy solutions provider and are expanding our customer base in India and the Middle East. The company has appointed a full-time business head in Dubai and is in the process of opening a marketing office in Dubai to expand our footprint in this major energy geography. With new deals in the segment, ongoing geographical diversification and development of new capabilities in this vertical, we anticipate the growth momentum in this segment to continue.

So to conclude, the company's strategy of diversifying across verticals and customers has served well for the company in the face of macroeconomic challenges and softness in a couple of verticals. Our sales hunting efforts continue to be robust and we have added about 4 new logos, which we hope to grow as we go through the customer journey.

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The company is confident and focused on overcoming these challenges, and we'll continue to strengthen the business to achieve sustainable growth and profitability. We guide that the H2 will outperform H1 with our main growth drivers of aerospace and defence, which will be key drivers for this performance, both in terms of revenue and profitability.

I will now hand it over to Shashi to talk about the financials.

S. K. Shashidhar: Thank you, Arun. Good evening, everyone. It gives me great pleasure to interact with you and take you through our performance and outlook for the year. So the overall performance of Q2

FY '25 and H1 FY '25 was resilient, given the backdrop of macroeconomic challenges, customer-specific and sector-specific issues, as has been delineated by Arun.

The consolidated revenue for Q2 FY '25 was at INR264 crores, increasing 18.4% sequentially and by 5.1% on the back of robust revenue from aerospace and defence verticals and growth returning to semiconductors. EBITDA improved to INR33 crores, showcasing operational efficiency even amidst macroeconomic challenges.

For a like-to-like comparison, if you adjust the INR12.3 crores of ESOP write-back which happened in Q1 FY '25, which was kind of taken off from employee benefit expenses, which is a one-time adjustment and then comparing the sequential performance, we see that the EBITDA has grown in absolute terms by 7.4% quarter-on-quarter from INR19 crores in Q1 FY '25 to INR33 crores in Q2 FY '25, as we have shown in the investor presentation.

The EBITDA margin for Q2 FY '25 is 12.4% as against 13.9% recorded in Q1 FY '25, mainly due to underperformance in the automotive vertical. Excluding the one-time capital gain from sale of property which happened in Q1 FY '25, which was about INR7 crores, the sequential PAT grew by 2.0% from INR10 crores to INR12 crores.

In Q2 of FY '25, the company has repaid a further amount of INR52 crores from the QIP proceeds to retire long-term debt. The company is in the process of refinancing an existing OCD of INR67 crores with own funds of INR16 crores and a lower cost borrowing of INR50 crores. As a result of significant repayment of debt, the finance cost of Q2 FY '25 stands reduced by 26% year-on-year to INR8.6 crores.

The finance cost for H1 FY '25 is lower by 48% at INR16.64 crores as against INR31.15 crores in the same period of the previous year. Our endeavour is to be a zero net debt company in the next 2 to 3 quarters.

Coming to H1 of FY '25, the revenue was at INR488 crores, growing by 5% from INR465 crores in H1 FY '24. H1 FY '25 EBITDA was at INR64 crores with an EBITDA margin of 13.1% as compared to EBITDA of INR69 crores with EBITDA margin of 14.8% in the same period of the previous year. The lower EBITDA in H1 is mainly on account of an EBITDA loss of INR6 crores in the automotive vertical, as what Arun just now stated.

Excluding the automotive vertical, the EBITDA margin is at 14.9%, indicating that the margin strength in other verticals is quite strong. PAT for H1 '25 was at INR29 crores as against INR17 crores in the same period of the previous year. The majority of production revenues from defence AXISCADES Technologies Limited

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seems to be recorded in H2 and better revenues from other verticals, we expect that the profitability in H2 to be better than H1. The annualized EPS stands at INR14 as against INR8.4 in FY '24. The annualized ROCE is at 17% as against 14% in FY '24.

The company continues to focus its efforts on improvement in gross margins, cost rationalization and productivity improvement by optimizing less than 20%

gross margin accounts, outsourcing

of non-core functions, and removing the linearity between revenue and headcount, which will continue to improve profitability going forward. The company is also optimizing resources and staffing with an on-site/offshore ratio of 77:23 and fixed cost/T&M ratio of 69:31.

A consolidated net worth of INR611 crores combined with robust cash generation and cash reserves further highlights the company's financial and operational stability. The company's -- another aspect is that the company's free float in stock and public shareholders have significantly improved by 68% since the beginning of the financial year, with public shareholders increasing from about 19,000 in April 2024 to more than 32,000 currently.

In summary, the company is effectively driving growth and profitability across its core verticals despite macroeconomic challenges. The promising outlook for H2 FY '25, coupled with initiatives to boost margins and optimize resources, positions the company well for sustainable growth in the future.

Thank you, and we will now open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Nirali Gopani from Unique PMS. Please go ahead. As there is no response to the line of Nirali we move on to the next question. The next question is from the line of Saurabh Sadhwani from Sahasrar Capital. Saurabh?

Saurabh Sadhwani: Hi. Good evening. Am I audible?

Moderator: Saurabh, can you hear us?

Saurabh Sadhwani: Yes, I can hear you.

Moderator: Next question is from the line of Kiran D from Table Tree

Kiran D : The first question that I had was in our investor presentation, we said 60% of revenue -- of our overall revenue from the company will come from the defence business in the next 12 to 18 months. I am a little surprised at this number in terms of positive surprise. So are we almost saying that we'll get to INR600 crores because we'll do about INR1,000 crores, INR1,200 crores,

so INR600 crores of defence business in FY '26 and if so, what's the breakup between production and development?

Arun Krishnamurthi: Yes. So Kiran, let me just say that this is directionally the journey that we are sort of setting ourselves for. This is a vision, because now we are very well placed to receive some large orders and we feel that defence for us will significantly grow. So I think the goal that we have set ourselves with is that the defence business will grow from 30% where it is now to about 60% of

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our revenues. I don't want to get into any specific numbers in terms of how the size will be, etc etc But this is based on some of the insights that we have and also some of the programs that we are bidding for.

Kiran D : Got it, sir. Sir, then if you can just tell me, I mean at least from a high-level perspective, are we

-- I mean, is it like we were expecting a large order from counter-drone, the other competitors saying there is no problems with supplying equipment to radars and so on and so forth? So is our order book going to significantly increase in H2 FY '25 because of counter drone and everything else?

Arun Krishnamurthi: I think it will be a combination. It won't be just counter drones. But it will be -- as you know, our strengths are across radar, sonar, telemetry. So we expect some of the large programs that come in, including some of the defence programs which are ongoing. Also, by working in partnership with other companies, we expect to boost our order growth. So I think counter drones will be a part of it, but it's not going to be a significant portion of this growth journey. But certainly, we have an early mover advantage because we have deployed counter drones operationally, which has not been done by any other company. So, we do see potential in that, but we

also expect the other lab-related programs for the DRDOs and NPOs and BEL and HAL back to ramp up.

Kiran D : Got it, sir. Sir, what kind of orders can we expect from LCA Tejas and Su30? I mean, is Tejas engine delay going to impact the order inflow from us? So just wanted to check around Tejas and Su30. Not being very specific, but at least at a landscape level, if you could just tell us from a FY '26 perspective.

Arun Krishnamurthi: Yes, so I think as far as Tejas is concerned, we are already part of the program. So we already deployed about 60 numbers. So we developed a radar subsystem which goes into the Tejas. So as the production of Tejas increases, our revenues from that sector will go up. As far as the Su30 upgrade is concerned, as you know, there are existing large quadrants, and this is something that's already been designed. So as this program kicks off, we expect the deployment and production of that to ramp up as well.

Of course, I must say that this depends on things starting off on a timely fashion. So when we say 12 to 18 months, there is a dependency on both, some of these programs kicking off as well as the production partners of the government also producing things on time and getting their subsystems and vendors to deliver everything so that they can system integrate. So we do see good potential going forward. But there is a dependency, like always, on some of these partners.

Kiran D : Sir, last question from my side. Sir, Homeland Security, we were expecting INR40 crores to INR50 crores worth of orders. Are we expecting Homeland -- I mean did we get the order? And in FY '26, can that move up to INR100 crores just from a visibility perspective?

Arun Krishnamurthi: Some of the trials are on, as far as homeland security is concerned. So we are working with, you know, various agencies, both at the state level and federal level. And, you know, we have also started some works in Ladakh. But I don't want to comment on the number, but this is not

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growing as fast as the other defence business, which is coming from the labs and from the production partners. But this was an important part of what we are addressing.

Kiran D : Got it. Got it. Got it. Okay, sure. I'll join back in with you.

Moderator: Thank you. The next question is from the line of Nirali Gopani from Unique PMS. Please go ahead.

Nirali Gopani: Yes. Hi. Thanks for the opportunity. So my first question is on the defence production side. So if I look at the revenues...

Moderator: Nirali, we are not able to hear you.

Nirali Gopani: Can you hear me now? Hello.

Moderator: Can you speak up?

Nirali Gopani: Yes. Can you hear me?

Moderator: We'll move on to the next question. The next question is from the line of Saurabh Sadwani from Sahasrar Capital. Please go ahead. We'll move on to the next question of Deepak Poddar from

Sapphire Capital. Please go ahead.

Deepak Poddar: Yes. So I just wanted to understand on the defence side, how is margin different in the defence side as compared to your other segment

Arun Krishnamurthi: As compared to engineering?

Deepak Poddar: As compared to other segments. I mean aerospace or energy or the heavy engineering or automotive. And how better or how worse is that?

Shashidhar SK : Yes. So essentially, you know, the defence revenues consist of two parts. One is the production revenue, which results out of the order pipeline which has also been shown in the last presentation. There -- because of the fact that the engineering efforts in terms of development of prototypes are not there, and we have an exclusivity with respect to the specific part number, the margins are high. Like, for example, in the current half year, the defence production for Mistral was INR78.05 crores, on which we made an EBITDA margin of 24.3%.

But then we also had revenues from

prototype development, which is future order pipeline, which is where we had revenues of around INR29 crores, where we actually lost about INR5.25 crores in EBITDA, which was a negative 17.8%. So the prototype development is a process of adding to our order pipeline, which we cannot stop.

While we can technically say that the huge order pipeline is what we have built of around INR3,000 -4,000 crores, because actually, you know, I would say by having this kind of disproportionate margins, we need to build a prototype for your future order pipeline, and when the production revenue kicks in, it is at this band of 24%, 22%, 24% plus kind of EBITDA margin.

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Deepak Poddar: So that includes the loss from the prototype development, this 22%?

Shashidhar SK : No, it doesn't. Once you net it off, you know, if you have to net it off in the defence production, you know, as I said, the total EBITDA from the production revenues were at 29, just a minute, INR18.97 crores, and the prototype EBITDA was minus INR5.25 crores, which essentially means that we had a blended EBITDA of around INR13 odd crores on a defence revenue of around INR106 crores.

Deepak Poddar: So that effectively means around 12% kind of EBITDA margin, right? After factoring, because I presume your prototype development cost will keep on continuing, right? I mean, that's the ongoing thing for you to kind of garner more orders from the customers. So ideally, a 12% kind of EBITDA margin as a whole for the defence sector would be a right range or right number to kind of look at?

Arun Krishnamurthi : No, so what happened is that, as we see, the production revenues are increasing year on year. So this year, we will clock somewhere close to INR170 crores. So the production revenues, the prototype revenues are fixed at about INR100 crores. So the difference is going to be that as the production revenues ramp up, that will far outstrip the prototyping revenue. So therefore, the margin should go up because the weightage of production will be higher.

Shashidhar SK : So just to give specificity in terms of numbers, if you look at FY23, the defence prototype was INR109 crores, and the defence production revenue was INR 39 crores and we had an EBITDA of 21% on defence production. When you come to FY24, the defence production revenues were INR112 crores with a 30% EBITDA and in this half year, the defence production revenues are about INR78 crores. So as Arun said, the pace at which the production revenues are growing is much faster pace as against the prototype. As a result of it, the blended EBITDA will continue to improve.

Deepak Poddar: Understood. Fair enough. Understood. I got it. So, I mean, will it be fair to say when we say over next 1 to 1.5 years, we expect a defence revenue to form about 60%. So it will be margin accretive for the entire company?

Shashidhar SK : Yes.

Deepak Poddar: Okay. So I think earlier what we have said, also in light of the headwinds that we are facing in a couple of sectors, especially in the automotive sector, how do we see the guidance that we have given earlier in terms of INR1600 crores kind of a revenue and INR160 to INR180 crores kind of a profit level for FY26? I mean, do you want to revise any of those outlook?

Arun Krishnamurthi : Yes, I think so. That's something that we'll come back with. But definitely, you know, the automotive headwinds have surprised us this year and surprised the industry. And when I say surprised us, it's not just us as a company. So that is something which is not factored in, because when we did these numbers, you know, automotive looked like it was the fastest going vertical.

I think it is now at a significant speed break.

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It will be a few quarters before this co

mes back. So we will need to sort of relook at this and come back. We don't have specific numbers at the moment, but it will certainly delay this to some extent.

Deepak Poddar: Absolutely, absolutely fair. And what about this year? I mean, we were targeting about INR160 - 170 crores kind of EBITDA, right, at a company level. So given the first half performance, and you did mention second half would be superior to first half. So how do we see this outlook?

Shashidhar SK : Yes, so as you were saying, the quantum of defence production revenues in H2 is going to be significantly more than what was there in H1. And that will add to the proportionate EBITDA from that level will be much higher. At the same time, what we expect is the automotive, you know, EBITDA, which was a negative INR6 crores in the first half, will start getting to be positive from Q4 of this year, as a result of which, you know, the guidance that what we gave perhaps may be impacted in totalit y by about, you know, maybe about INR5 -6 crores. But we are on the path of seeing how we can draw them back.

Deepak Poddar: So, I mean, what we are saying, 5 -6 crores kind of EBITDA impact on maybe 160 -170 crores EBITDA that we had given earlier, right?

Shashidhar SK : Correct.

Deepak Poddar: Okay. Fair enough. I think that would be it from my side. All the very best to you. Thank you.

Moderator: Thank you. Thank you. The next question is from the line of Nirali Gopani from Unique PMS . Please go ahead.

Nirali Gopani: Hi, thank you for the opportunity. So, Arun, if I look at our numbers, India geography has been doing very well. So is this largely defence driven or any other segment is also contributing to this growth?

Arun Krishnamurthi: Nirali, it's mainly defence driven.

Nirali Gopani: Okay. Okay. And in your commentary, you mentioned the prospects of each of the segments. Is it fair to assume that, you know, that this is the bottom and we should look at upward trends in almost all the segments because this quarter has been fairly good for all the segments. So, is it safe to assume that?

Arun Krishnamurthi : I would say automotive, there is still some uncertainty. It is a little bit hard to predict because we really depend on our clients giving us some clarity in terms of spend. So, I think automotive, we'll have to wait and watch.

Aerospace, like I said, I think they're looking to be good. Energy is also looking good.

Semiconductor, we are starting to see, as we had mentioned in the previous calls, there was a production slowdown which had impacted the overall sector. But that is sl owly starting to see that come back. So, that should be positive. Heavy engineering, like you saw, you know, we have sort of had some incremental growth from Q1 to Q2.

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So, I would say heavy engineering, like I've mentioned in the past, is not a very high growth sector, but we should see marginal growth. So, I think other than automotive, we should see the other sectors being positive. I think the crucial factor for us here is how long the automotive pain will continue because that is diluting to some extent the top line and EBITDA both, and it is sort of negating some of the growth and positive momentum we are seeing from the other verticals.

Nirali Gopani: Right. So, in your assumption, automotive should stabilize here and not grow, or a decline is also possible?

Shashidhar SK : I think it should be stable.

Shashidhar SK : Essentially, if you look at it, the automotive vertical, the total revenues were INR103 crores in FY24, and if you look at the first half of the current financial year, we are at INR48 crores. And what perhaps would happen is it will be flattish for the entire year, you know, in terms of what we recorded last year, it was INR103 crores, it could be the same, only that the EBITDA will be, you know, from this

particular vertical will be negative because of the, you know, I would say, the losses which we are taking from the European venture.

Nirali Gopani: Right. Perfect. And in your presentation, when you say that, the defence revenue will go up to 60% from the current 30%, and if I assume the other segments to be stagnant, still you grow at mid-team number for the full year. So next year should be pretty good, right? We can see a high teen's revenue for the company at the company level? So -- well if you do the numbers, that is what it comes to, so?

Arun Krishnamurthi: Yes. So I think just one of what I would say is that this is not a guidance that we've given. This is an ambition that we have. I think the message that we want to give our investors is that going forward, we are pivoting more and more as a Defence company because obviously, the market that's there and our capabilities and the kind of programs that we see are coming in.

So I think it's really a messaging to investors that you will see defence growing faster. So it's not

a guidance in the sense that it's exactly going to be that number, but, we are aiming to be there, and this is the sort of goal that we have set ourselves within the company, and this is based on a lot of fundamentals that we see.

Nirali Gopani: Perfect. And whenever we reach this number of, say, 60% of the revenue from defence, what kind of EBITDA margin should we look at?

Shashidhar SK : You see, as you stated, the EBITDA margins from production revenues are upwards of 20%. So, when the mix changes, the pivoting more towards defence, obviously, the 13% to 14% EBITDA margin as what we are seeing will be significantly higher from the part of your, total mix between engineering services and defence.

Arun Krishnamurthi: Yes. But I would also say, Nirali that a lot of orders could be new prototypes as well. So, there could be some prototyping revenue which comes in. There will be production which will ramp up as well. So, I think it really depends, as you know, it depends on the mix of how much production versus prototype that we have. We, of course, feel that the margin will go up

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significantly, if the defence is 60% of the company's revenues. But I just want to say that it depends on the weightage of production to prototype.

Moderator: The next question is from the line of Saurabh Sadhwani from Sahasr Capital. Please go ahead.

Saurabh Sadhwani: So one thing, recently, in the European region, there have been some import tariffs announced for -- in the automotive sector. So have they in any way positively affected the decisions or the discussions going on for the demand?

Arun Krishnamurthi : I think that will be a positive because that is still not been enforced. So, what's happening in Europe is that the Chinese OEMs are coming and flooding the market with vehicles which are superior to the quality of some of the German and European OEMs. And that's half the price.

So, the governments are considering tariffs on these Chinese imports.

It is still in progress. It's not been fully enforced. But when that happens, it will be positive because it will mean that, the European OEMs will obviously be able to regain some market share and the Chinese Cars won't be as cheap as they are, which should be positive for us, for our business.

So, this is something, I mean, and these are complex trade and governmental affairs. So, it's hard to comment on when it will happen. But, if that happens, it will definitely be a positive for us.

Saurabh Sadhwani: Okay. And Shashi, can you give us a historic profitability in the automotive segment, like add solutions when it was merged? What was the profitability in FY '24?

Shashidhar SK : We see automotive vertical as an EBITDA level has always been in the range of around 9% to 10% EBITDA margin. Of course, this year

as it has been negative because of this, the add solutions in Europe.

Saurabh Sadhwani: Okay. And on the attrition, it has spiked to 17%. So, what is the outlook on that?

Arun Krishnamurthi: Yes. So, I think there's a couple of things. I would say one is that this is voluntary plus involuntary attrition. So, like I mentioned in my opening comments, we are looking at how we can optimize, use digital and do productivity enhancing measures. So, we are looking at, trying to reduce our headcount to keep pace with the increased revenue growth. So, one is that it's voluntary plus involuntary.

I think the second is that we were hiring at a much faster rate in the previous quarters, which is sort of tempering off the attrition percentage to some extent. That, again, we are sort of trying to use more automation and more digital. So, we have really put a, I would say, tight freeze on the hiring. All this to make sure that we sort of keep our costs in check and improve it going forward.

Moderator: The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.

Aman Vij: My first question is -- first of all, congrats on a decent performance. So the first question is, when you talk about this 60% kind of revenue coming from defence in next 1, 1.5 years. So sir,

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correct me if I'm wrong, we were expecting this Sukhoi and the Tejas, these are the big programs for us to come in FY '27 and '28.

So is this the prototyping for this which is coming in FY '26? Or is this something totally new?

Because I don't believe you were that bullish previously. So what has changed in the last 1 quarter for you to be that bullish in the next 1, 2 years or so?

Arun Krishnamurthi: Yes. So the prototyping is actually ongoing for both of these programs. So we expect production to -- in fact, we already started delivering some kits, so production will start ramping up, I would say, from next year onward. So the prototyping is already in progress. Now the only thing is that, of course, like I said, we are dependent on the pace at which the production happens because

when you look at the Tejas, there are many suppliers who are involved. We are one of the suppliers.

So the base of the integration happens when the complete product goes out. Is also it includes impact around how fast we can produce. So we have -- we are sort of ready with our components and our kits, but it also depends on the customer being -- having the ability to pull it from us.

Aman Vij: Sure. So this bullishness is coming mostly from LCA Tejas and Sukhoi upgrade program or is it totally new program which is coming into production earlier than we thought or what is happening?

Arun Krishnamurthi: Sorry, just repeat the question?

Aman Vij: I was saying this bullishness over the next 1, 1.5 years, defence becoming 60% of the overall revenue, is it coming mostly from LCA Tejas and Sukhoi upgrade program? Or is there any new program which is becoming bigger than we thought? Or I'm still not sure about that part?

Arun Krishnamurthi: Yes. No, no, we are looking at other programs as well. I mean Sukhoi and Tejas is something which is already on our radar. We're looking at other programs also to come in and contribute towards the ambition that we have.

Aman Vij: Okay. Sir, we heard from HAL call that Dornier orders are coming up. We heard from other players call and a couple of drone programs that is coming up for us, including Ashwini and Vale for other players. So is this one of the major reasons for the growth in next years? And what kind of order book closing in FY '25 do we expect in defence? So H1, there was good addition in defence, but in terms of order inflow for H2, what kind of expectation do you have?

Arun Krishnamurthi: Yes. So as far as Dornier is concerned, this is a program we're already deliverin

g. So that is

definitely giving us some positive momentum. So 10 sets have already been delivered. So we are part of that. So yes, absolutely, that is one reason why we are optimistic. As far as Q2 is concerned, that we saw we had INR121 crores growth of order booking that's done.

I think we look to be developing orders at a similar pace going forward for this year. I think for next year, we don't really give you guidance, but we will sort of -- as we through the next earnings calls, we'll probably give you some more details.

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Aman Vij: Okay. And just one last part before I move to other segments. So there was a lot of delays expected in Tejas engine in there because of GE and all these things. So that is not impacting us?

Shashidhar SK: This is typically, we -- our supply of the subsystems in terms of radar comes at least 1 year before the actual, I would say, production of LCA happens because they have to have the subsystem in place to integrate with the larger system. So that essentially means that you would not be so much impacted by the engine delays from GE or anybody else.

Aman Vij: Sure. And sir, any rough breakup you...

Moderator: Mr. Vij, we would request you to come back in the queue as other participants are waiting to ask their questions.

Aman Vij: Sure. I'll come back.

Moderator: The next question is from the line of Sameer Dosani from ICICI Prudential AMC. Please go ahead.

Sameer Dosani: So on heavy engineering segment, I want to expect from this segment from here on. And I think if you can give some color on what is the optimization target which has been achieved till now and where can we go in terms of margin in this segment?

Shashidhar SK: See, what we have been talking about in the previous earnings call, while the heavy engineering vertical contributes anywhere between 16% to 20% of our total revenue, which is quite substantial, like for example, in FY '24, our revenues from HEG was INR152 crores, whereas the margins were hardly there because, in fact, just I would say where the gross margins were positive at an EBITDA level, it was kind of negative, almost negative by, 1%-2%

So if you actually remove heavy engineering from the scheme of things, our EBITDA margins would have been better by about 150 to 200 bps. So what we have done this year is to look at each of the work packages and the work which we are doing for Caterpillar in each of the delivery centers as what we have.

And especially with respect to the, Chennai ODC from where we service the Caterpillar business in Chennai, where we do a work called, fixed cost drawing, which was quite negative from the point of view of margins. We have optimized the -- the work breakdown structure, and we have removed quite some people from that particular vertical, and same set of people, the same number of people are delivering the same quantum of work.

And we also have bid with Caterpillar for a much higher price in terms of these STDs, as a result of which we are confident that by the end of this year, we will have a positive margin to report from this particular vertical.

Sameer Dosani: Okay. Currently, we are not making margins. Are we making losses in this vertical?

Arun Krishnamurthi: No. We are not making losses. It's a low -margin account, but they're not making losses.
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Sameer Dosani: And these margins can like optimize to what level, do you think?

Arun Krishnamurthi: See, right now, Sameer, it's in a single -digit range. I think it will go to low double digit. I think beyond that -- and that's why I've been sort of guiding that...

Sameer Dosani: So, that's fair. Just wanted to get some idea. That is fair. And second is on semicon business, can you give some color, like what kind of outlook that you are seeing i

n like defence , whether it is

heavier for semicon? That is one. And any other qualitative feedback on what progress we have made on adding logos? And how do you think production revenues can ramp up here in this vertical?

Shashidhar SK : Yes. So with respect to the semiconductor vertical for the past half year, we have, I would say, recorded a revenue of INR56 crores and which the Q2 numbers being much larger in terms of INR32 crores, I think INR24 crores in Q1. And as we have kind of projected in the previous earnings call, the semiconductor revenues as such is coming back.

And in this year, we tend towards the same number as what we recorded last year, which was around INR 125 crores. But of course, that's come at a much larger EBITDA margin. For the INR55 crores, we recorded an EBITDA margin of around 22%, recording an EBITDA around INR11.82 crores or INR55 crores of revenue.

So it is a high -margin business for us, and we are hoping towards the inventory buildup of what has happened with the OEMs have now flushed out and we definitely see that from Q3 onwards, the production revenues will come back, and also along with the service revenues.

Arun Krishnamurthi: Yes. And I think on the new logos part, I think the flavor I wanted to give is that in the last 4 months, we have really intensified our hunting activities. So we have hired a few new people.

We have also engaged a lead generation engine, and we have some B2B tools. So just to give you an example, in the U.S. itself, we started with a list of about 140 clients.

It only did some prospecting and as we whittled it down, we got an interest of about 40 clients who are interested in actually starting to work with us, out of which 9 clients, we got it to an advanced stage and 4 new logos we generated. So just to give you a process, that's the content that we are working on.

So new business for us is a focused activity. And of course, you would have seen that Highview Power, we have made a press announcement as well. This is a renewables company based out of U.K. So we landed a large deal out there, a 3 -year engagement. They have big plans to increase their plants across the world. They start in the U.K. and Australia that they will expand globally. In addition to what I talked about in our major aerospace OEM where we won a \$12 million deal. So, we are making good progress on hunting. I'm hopeful that as we go along, the new logo addition will improve. And I should mention, just one more thing that I think we mentioned to you is that we are working along with specifically on the automotive sector to see how we can create some deals, and we are working with them on strategy. So, that again will start to bear fruit.

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Sameer Dosani: That's great to hear. In Semicon, similar to defence , should we think that the production pieces which will be stronger in H2, so higher margins for semicon vertical?

Shashidhar SK : It is margin with respect to semicon, both on the service part and the production part is an average of around 32%, 33%, and that will continue, at least on our production revenue.

Sameer Dosani: Okay. Got it. And lastly, in aerospace, with the new contract in, we should think 20% Y -o-Y growth, this trajectory should continue for us? Or we should accelerate, or how should we think about it?

Arun Krishnamurthi: It's a 3 year contract. And like I said, it's part renewal, part new programs, but in that contract, we also get to play in the U.S. region for that line, which we have not done to a large extent until now. So, we are quite hopeful that that will grow. And Yes, aerospace for us will continue to grow. You must be aware that in Q2, the aerospace OEMs have a planned shutdown. So, we had no work.

And of course, this year, even some of the aerospace companies are struggling with supply chain and engine issues

. So, this year has been difficult from that perspective for aerospace as well.

But our business has still continued the momentum. I'm hopeful that those industry issues will go away, which will provide a further positive momentum to us.

Sameer Dosani: So at least the shutdowns are behind us, right, in terms of production for the, in terms of plant?

Arun Krishnamurthi: The shutdowns are behind us. But I think you are aware that, Airbus, for example, they had predicted they'll produce 800 aircraft. They had reduced the guidance down to 774. And, companies like us, our revenues are linked to the number of aircraft that are produced. So, we had to sort of, expand work in different areas to continue the growth momentum, which next year if they are able to produce more aircraft, that will be another positive momentum for us

Sameer Dosani: But what I remember is they have not -- like the run rate monthly ended...

Moderator: Sameer, we request to come back in the queue.

Sameer Dosani: Sure.

Moderator: We will now be taking the last question from Karthi Keyan VK from Suyash Advisors. Please go ahead.

Karthi Keyan VK: Just one clarification on the defence profitability that you spoke about. In the last we spoke, there was nearly 29%, 30% margins on the production side, and now you're talking about only 20%. So I'm just trying to understand if there is a change in the core work that we'll be doing going ahead as in there will be a jump of assemblies or is it that something else has changed? Can you just throw some light on that?

Shashidhar SK : See, the production revenues in H1 for the defence production was around INR78.05 crores, on which we made an EBITDA of 34.3% And you're right there when you -- when in FY '24, we -
- our production revenues one-third INR 111.5 crores on which we made an EBITDA of 30%.
Then with the production, I would say, EBITDA depends on the mix of the various programs
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which we execute There are auto components, there are OEM, I would say, business which we do.

So it depends on the mix of the various programs which we are executing. But it is fair to say that the EBITDA will be tend towards 20% to 25%, but can be better. But in terms of the total totality of a program which we'll be executing, this is how safe guidance you can take.

Moderator: Thank you. That was the last question for the day. I would like to hand the conference over to the management for closing comments.

Arun Krishnamurthi: Yes. Thanks a lot for all the questions and all the interest. I think just to summarize, I would just like to say that aerospace and defence continues to be the industries we may say as most positive, and we have also obviously laid out an ambition as far as defence is concerned. As far as energy is considered, it's a small part of our business right now. But again, we are optimistic that will grow.

Semiconductor is a big differentiator. I think that industry is growing rapidly. We will see that also being positive for us. Automotive, of course, we are a bit in wait and watch mode . But personally, I'm very bullish about automotive over a longer term because that's where technology adoption happens the most, and they are the biggest R&D spenders as compared to other verticals.

So we will be strategically continuing to place our bets in automotive and stay invested and see how we can get new logos. And of course, when the downturn fades away, that will be really positive for us. So thank you so much again for your interest, and wish you all a good day.

Moderator: Thank you. On behalf of Centrum Broking and AXISCADES Technologies, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Dec 2024

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December 12, 2024
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NSE Symbol: AXISCADES BSE Scrip Code: 532395
Dear Sir/Madam,
Sub: Transcript of the Conference Call with Analyst s/Investor s
Further to our intimation dated December 05, 2024, please find enclosed the transcript of the
Conference Call with the Analyst s/Investors which is hosted on the website of the Company
at www.axiscades.com
We request you to kindly take the above on record as required under the SEBI (Listing
Obligations and Disclosure Requirements) Regulations, 2015 .
Yours faithfully,
For AXISCADES Technologies Limited
Sonal Dudani
Company Secretary & Compliance Officer
Page 1 of 28

“AXISCADES Technologies Limited
Strategic Business Update Conference Call ”
December 05, 2024

MANAGEMENT : DR. SAMPATH RAVINARAYANAN – LEAD DIRECTOR
AND CHIEF MENTOR – AXISCADES TECHNOLOGIES
LIMITED
MR. SHASHIDHAR SK – GROUP CHIEF FINANCIAL
OFFICER – AXISCADES TECHNOLOGIES LIMITED
MR. RAMANAN – AXISCADES TECHNOLOGIES
LIMITED
MS. SANGEETA TRIPATHI – HEAD INVESTOR
RELATIONS – AXISCADES TECHNOLOGIES LIMITED

MODERATOR : MR. SUMEET KHAITAN – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the AXISCADES Technologies Limited
Strategic Business Update Conference Call hosted by Orient Capital. As a reminder, all
participant lines will be in the listen -only mode and there will be an opportunity for y ou to ask
questions after the presentation concludes. Should you need assistance during this conference
call, please signal an operator by pressing star then zero on your touchtone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Sumeet
Khaitan from Orient Capital. Thank you and over to you, Mr. Khaitan.
Sumeet Khaitan: Thank you, Nee rav. Good evening, everyone. I welcome you all on the AXISCADES
Technologies Strategic Business Update Conference Call.
Today on the call, the leadership team of the company will take you through the business update,
post which we shall open the forum for question -and-answer session. Before we begin the call,
I would like to mention that this conference call may contain som e forward -looking statements
about the company, which are based on the beliefs, opinions and expectations of the company

as on date of this call. The actual results may differ materially.

These statements are not guaranteeing the future performance of the company and involve risks and uncertainties that are difficult to predict. With this, I now hand over the call to Mr.

Shashidhar SK, Group CFO, AXISCADES. Thank you and over to you, sir.

Shashidhar SK: Good evening, everyone. It's my great pleasure to welcome you all to this call where we will discuss the strategic restructuring of the AXISCADES defense -focused subsidiaries, namely Mistral Solutions and AXISCADES Aerospace and Technologies. We have spoken at length on the synergies between Mistral and our various engineering service verticals earlier on our investor calls and investor meets.

A number of investors and analysts have been asking us for a special briefing on Mistral and ACAT with focus on defense, which is what we are aiming to do today. For your information, we have already shared a press release on this topic, which is available at the stock exchanges for your reference. It's my pleasure and privilege to welcome on this call Dr. Sampath Ravi narayanan, our Lead Director and Chief Mentor . He will take us through the rationale behind this restructuring and share insights into the opportunities, outlook, and strategy for these entities.

Our group CEO, Mr. Arun Krishnamurthy, has traveled to Europe on business and is unable to join the call today. We also have with us Ms. Sangeeta Tripathi, our Head of Investor Relations on the call. Before I hand over the floor to Dr. SRN, as we respectfully address him, I will take a moment to formally introduce him to all of you. Dr. SRN is a pioneer, renowned leader, and a technocrat in the Indian aerospace and defense industry. His illustrious career spans more than four decades, during which time he has contributed immensely to government policies, foreign partnerships, large deal wins, and also their seamless execution.

He pioneered and implemented the concept of private participation and defense programs in India when such a concept was unheard of in this country. Dr. SRN established Airbus Engineering in India as a Founder Director . Dr. SRN was also one of the youngest professionals at AXISCADES Technologies Limited

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to serve on the Board of Directors of both Air India and Indian Airlines. He also served as the Chairman of the FICCI Defense Task Force.

Dr. SRN has played a pivotal role in the acquisition and execution of several large contracts for AXISCADES . These include the Airbus Fuselage Development Center and the Mirage 2000 mid-life extension program awarded by Thales of a total contract value of USD 100 million,

which was one of the largest defense offset programs during its time.

During his leadership of AXISCADES between 2008 and 2014, as the CEO Chairman of the Board , AXISCADES made consistent and significant progress in business performance, which was reflected in the market valuation. Dr. SRN is also the recipient of very many industry awards, including CEO of the Year Award.

In recognition of his remarkable contributions to the industry, Dr. SRN was awarded an honorary Doctor of Philosophy by the National Institute of Technology Kurukshetra in 2020. With his extensive knowledge, expertise, and robust relationships across the entire ecosystem of Indian government agencies, foreign OEMs, and the private sector, Dr. SRN's contribution will be invaluable as we work towards expanding our domestic and global presence and enhancing our technological capabilities in this sector. Please join me in welcoming Dr. SRN.

Dr. SRN, I request you to kindly walk us through your views and vision for Mistral and ACAT. Following your remarks, we will open the floor for questions.

Sampath Ravinarayanan: Thank you, Shashi. Good evening, everyone. Thank you for attending this call. I am Sampath Ravinarayanan. I took over as Lead Director and Chief Mentor less than six weeks ago, to be precise, from October 25th. The mandate given to me was take Mistral and ACAT to the next level, overall defense business to the next level, and integrate Mistral and ACAT seamlessly. So, I would like to call it as providing a sustainable growth on steroids. Want to grow fast in a short time, in a sustainable way. So, with that in mind, we had to revamp the leaderships because we had to let go of the legacy mindset.

I have to have the leadership team should have a shared vision, focus, and the team that should mutually trust each other, respect, and work with each other, in sync for this accelerated growth. Okay. If I am the coach, sitting with me are my playing XI.

So, first of all, these XI are my core leadership team, and they are all not outsiders. They are fully picked up from AXIS Mistral ecosystem. Everyone here is part of AXIS , at least served five years in AXIS or Mistral.

So that is what. So, there is no outsider because that also helps for a faster understanding and growth that I just want to tell you. So, let me just introduce Murali here. Murali Krishnan would be our new CEO and Mistral CEO. And Mr. Murali used to work in AXISCADES with me about between 2009 and 16. He built the complete Caterpillar account from scratch to about \$20, \$22

million.

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And he built the Chennai and Hyderabad facilities. And also, he is an extremely good leader and a wartime general. And currently, he is working for a big company just under his handling about 4,000 people in a major activity that with a P&L of about \$200 million.

So, Murali is going to be your nodal point for the future. And he will take care of the investor relationships along the CFO in this. So, he is going to be the single point contact. And Murali is going to be the go-to person. Okay. So along with me, we have Sharadhi Babu, who is a veteran of AXISCADES, joined in 2008, has been in various positions and was with me in winning the Airbus deal, largely signing the Airbus fuselage deal and also Mirage upgradation program. And also, he is doing the direct D2D, the direct to defense programs and so on. And right now, he is handling various other activities, especially with the foreign OEMs and direct to defense.

And Mani, who is going to be the CTO, Mani has implemented the Mirage 2000. Mirage 2000, by far, not only that time, it was the biggest program, one of the most successful programs in Indian defense, especially mid-life upgrade. As you all might know, the upgraded Mirage were used in the Pulwama attack successfully.

So, it

's one of the few programs which not only was upgraded well in time, but also was used and proved with merit. And Mani was the program leader and program manager for the Mirage upgrade. And I am associated with him for the last 34 years.

And Mani is an extremely good technology person. So, here, are the veterans of Mistral, Selva and Ramanan are there. They are the core pillars of Mistral. Selva is there almost from the since inception, both of them are there, providing the products and solutions respectively. They have been here for a long time and they built this team, built everything technically for Mistral. So, they are going to be here, driving the core business of Mistral.

So, also with me, is also Vijay Bharat, who is running currently the Mistral's defense division, as Head of Defense Division, along with him is Sunil. Sunil is an excellent Marketing Business Development person, defense focused, and he is Mistral's top business development person. So, they will form a team for Mistral part of defense business. Okay. Along with me also, so, we have Satish Rao. He's from Bay Area.

Basically, he's handling the chip to product strategy for me, for the whole thing, which we have elaborated in our note previously. And Gopal Kamath, who is taking care of the core semiconductor business. So, there is a lot of synergy.

Other two here are Venkam and Vivek, who is going to drive the drone, that is anti-drone products. And Manjunath, who is going to do the test benches and drone systems. And two other important people who are going to support in everything, along with Sashi, our CFO.

And so, Suresh has been a veteran of AXISCADES. We worked together for a long time. And Suresh understands the defense domain very well for a CFO. He's been associated with ACAT for a long time. So, he'll be ACAT plus the Mistral combined CFO. And the mandate for Dinesh Krishnamurthy is sitting here.

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Dinesh is again a Chartered Accountant and a Finance person, but he has got a specific mandate from me to integrate the Mistral and ACAT on or before March 31st, completely seamlessly.

Also, move certain activities from here to Electronic City and so on. So, he'll be taking care of the integration. And also, we are planning certain other new activities. He'll be doing that. So, this is my team.

And these are all, they've got specific tasks. So, before that, I'll tell you that, as I told, it is six weeks since I took over. So, I've done, a lot of things in the past six weeks. So, specifically on six different areas. I'll just go through what all I have done. So, then you'll find out the rationale behind, what we have so far done.

So mainly first major activity. Each category, I'll subcategorize into three activities, at least not more than that. So there will be totally six activities and three sub-activities, totaling to 18 activities. I've done since the last six weeks. The first one is to evolve a clear unmanned combat focus for us. So you might know already that we are the first and only supplier to have given the anti-drone systems to Ministry of Defense

And already 75 have been delivered. And December 27th, we are planning to deliver another 27. With that, we'll be the only company to have delivered more than 100 anti-drone systems to Indian Defense, which has already been deployed.

Customer is extremely happy. So, these are all portable with smart jammers. So, we can go up in the value chain. Defense wants much more in the unmanned combat. Basically, they want

added value in each of the anti-drone systems, which include spoofers, directed energy weapons, and the EW class RF deductions, and 3D radars, etcetera, etcetera. So, it is going to get bigger and bigger in terms of value.

So being the first mover, and probably at this point of time, we are the market leaders. We want

to

maintain that if possible, and want to grow. We are targeting a significant portion of defense spend on the anti-drone system in the next couple of years. That is our first major strategy within the unmanned. Second is developing the drones. As you know, Mistral has developed a fantastic mid-sized drone between 30 kgs, which can carry up to a payload of 30 kgs to 70-80 kgs, and meet the defense requirements of high altitude.

It has not been certified yet. Our focus is to get it certified ASAP. And then, both, we need a CEMILAC certification and DGC certification, and totally find a way to assemble them and supply to Indian defense.

It is a competitive area. There are quite a few players already moving, but we feel our product is good, and we can get a sizable share in this market, especially for the defense logistics. And also, it can be used for the combat also at some point of time, and we will probably redesign for that also.

So, Murali here, our CEO, because of his vast experience in mechanical and system integration, he will drive this project and also take care of the business development of drone programs. In the previous anti-drone, as usual, Babu and his team will take care of the anti-drone program.

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As far as one more thing, the third thing in the drones, and third thing in the unmanned is drone controller we have built.

We built, according to us, probably one of the world's best drone controller, which can handle up to 16 motors, and it is very comprehensive. So, this drone controller is now going to be used as a first responder, in first responder drone. The company, which we can call it as a Tesla of drones, basically, an American company.

So, it is going to be deployed as a first responder drone. So, this is going to be a feather in the cap that gives us an endorsement of what this product can do. Apart from that, this product is going to be used in the world's largest supply chain and logistics company in the world.

And so, this drone controller is one thing which we are trying to build our focus on. Maybe we are going to sell it as a separate product across the world, and we are going to get it NATO certified, and that is one of the focus again, and sell it across the world to various OEMs. In fact, Indian OEMs are also showing some interest in this. So, this is one.

So, in summary, we are having in an unmanned combat, we are having anti-drone, drones, and drone controllers. So, two of this will be mainly will be handled between Babu and the new CEO, Murali. Okay.

Then the next focus, this is first, the second one. Second one is, we traditionally, during my time, a lot of things we did, our total success came from foreign OEMs, less from the Indian side, like Thales, MBDA, and that time DCNS, we had several accounts of foreign OEMs whom we worked with, large contracts, large offsets, and so on. Of course, those offsets were totally fulfilled, so there were no new offsets coming in.

So, one of the tasks I did as soon as I came is to focus on the foreign OEMs, met them individually, and asked for the work. Now, I'm happy to say, as far as weapon systems are concerned, for the new Marine Rafale, we could be the preferred offset partner for the weapon system, weapon package. So, we have already, I think, I have a handshake on that, but we have to get it signed the moment the Rafale, new Marine Rafale is signed.

And another thing is on the avionics. Previously, we worked in avionics, so we are trying to see the same company will work with us as an offset partner, again, for the Marine Rafale. And also, as you know, there's a large, one good submarine program is going on. We earlier partnered with them. Currently, we are in the process of renewing our partnership. Again, as I say, we are not there, we have not signed anything yet, but again, we

are well known to them.

We say that probably it's for us to lose that. So, we are trying to focus on and get that. So, again, in the OEMs, we have a three-pronged, that is, weapon package, submarine, and avionics. So, we're working on the three world's major companies, trying to get there. One company, we are fairly comfortable, other two, we are not well within the reach. Just I want to tell you, at least we are making the attempt.

Next, third one, we are focusing on new programs. So, my passion is, of course, missiles, and apart from the aircraft and military aircraft and so on, but missiles, basically, we are not into any

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major programs so far. Actually, the major program is shifted. From the past, you would have heard, so -and-so missile was there and so on. Now, the government is rethinking the missile strategy after the two wars, Russian war and Israel war. So, missile focus has been shifted right now.

Right now, the hottest program is a different program, okay? So, I don't want to name it. We are trying to be part of that program, okay? It is the largest missile program at this point of time. So, we had the program director and his team visiting us, and probably they were happy to what they saw. So, we are trying to get a sizable program, sizable project in that, okay, at this point of time. So, this is a new program we are going to add. I'm very confident about this program.

Second is another missile program. You all will know about one of the famous programs, but it goes through an upgradation. So, we want to be part of the upgradation. We have certain compelling value to that program. So, we offered that. We'll see what happens.

The third one is, of course, ground systems. We are not there. With the advent of Murali coming in, with this mechanical expertise, system expertise, we are pitching hard for certain important ground systems, vehicle mounted ground systems, which has huge value in each missile program. So, these are the three.

Again, I'll repeat, in the new programs, all our missile programs, one is the largest missile program in India, another is an upgrade of the existing missile program, another is ground system for key programs. So, these are the three things, and again, this will be driven by Murali. All the three will be driven by Murali because originally he's from, now he's from Hyderabad, and he knows the ecosystem very well, plus a lot of things, these things are mechanica based , so he'll be able to do it much better.

Okay. Then the fourth one. Fourth one is our product focus. As I said, one of my goals of restructuring is product focus because we want to be a non-linear company. We want to be a global company. We want to have a scalable quality. These are all the basic mantras we have when we are trying to redefine this company.

So, product focus, we already have three fantastic products, direction finder, you might know, you would have heard about in various discussions before. We have a very, very successful direction finder product. At this point of time, it goes into every major program, airborne program. But what excites me is the second, which is direct RF, which we are doing with one of the large major chip manufacturers in the world. We are making, and it's very successful.

The direct RF eliminates few stages in the radar signal processing. That means it will make it lighter, better, and the real estate will be small. Then it will be lighter and it will be cost effective. We don't see a reason why defense would not, defense would definitely use it for upgradation of their existing, their legacy systems, plus probably include this technology in every future RF program. That's what we think. It could be a killer product in the future if it is done right.

And the product will be unveiled in January. We are having our hopes on that particular product

ular product

direct RF. Then there is, of course, our product X-band radar, which is primarily used in the submarine and marine systems. And we have successfully demonstrated that with the Indian AXISCADES Technologies Limited

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defense. And we are hoping to get a bigger pie, both with India and foreign OEMs. We are pitching it. Currently as we speak, we are in the discussion stage.

As I again say, nothing is sure. We are all in the discussion stage. I'm just giving you a picture of what all we are trying to attempt. Okay. What is going to be our focus? Which are the areas we are going to be focused?

The next one, that is the fifth one, focusing again three things in that, is as you know, we have a strong relationship with Airbus. I have a strong relationship with Airbus because Airbus engineering was started by me here. And Airbus, I had almost like 20 plus years, 30 plus years of relationship with them.

So quickly in Airbus, we have major programs running in India, but we are not there in any part of it. One is, as you all know, it is C295, and which is going to be transportation aircraft. We are not there. Then other thing is MRTT, Multi Role Transport ation Tanker , which is going to be 330 based. It is there and we are not there. Okay.

And maybe it's still time to be there. And AVEX , of course, 319 based. So we are not in any of the Airbus military programs at this point of time. And so we are trying to work with the Airbus top management. Why not? Try to see whether we can find a way to get into these military programs. Get some pie in that. Okay. Some portion of the pie in that.

I've already met the people, voiced my request. So we have to see. Again, we are in a very, very preliminary stage. I cannot assure, but at least we are making attempt in these directions. Okay.

Sixth, PR space. We want to get into Department of Space. Again, what I like about this defense

and aerospace is they stretch the technology to the limits. Okay.

That means if you are able to make a product for these two, you can make it for anything. Space is even more difficult. So that is why we just want to get into space. Space presence is almost negligible, or almost not there. I don't think we have built anything for the space in the recent times. So we ourselves cannot do it on our own. So we tied up with one of the exciting companies, all of you would know, new chip in the block, AgniKul .

So we are tying with AgniKul , having an MOU with them, and approaching the ISRO, ISRO and other space agencies for two major things, NGLV, New Generation Launch Vehicle, and Bharatiya Space Station. So we want to add value to them significantly, and there could be opportunities in 3D additive manufacturing, and designing of certain subsystem blocks, etcetera. Then there is also chances for electronics -based algorithms and advanced systems, and for the guidance and navigation, that product we'll be able to make. The third one is AI -based anomaly detection in the launching. So we are working with specific requests for space. This is my sixth with certain requests, and we are pleased to say that we are at least in the, ISRO chairman has agreed to talk to us and listen to us what we have to offer.

That is where we are. We are in just in the meeting stage at this point of time. I just want to say, we are absolutely in an initial stage. Nothing is here. So I would say, these are the 18 initiatives have been launched by me in six different categories. And so this, at this point of time, and here

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I want to tell you, you all know that you have been part of various investor briefing in the past, and maybe every three months, once you are listening to them, maybe 10, 15 days back, you listened to them.

So currently, you know, in and out, what are their goals,

financial goals, targets, their current

programs, etcetera .. So I want to reassure you, everything is intact. Whatever has been promised until now, whatever the commitments made on the existing programs, not only will be met, it will be marginally more than what you want.

So we are working hard to do that. A team here, Selva, Ramanan , and Vijay Bharath, and Sunil, along with Brigadier, that is, along with Wing Commander Vivek, and Manju, their job, this job of these six to deliver you that complete, whatever, we call it as a core. Our core activity will remain intact, and the growth activity is what I was talking about.

So the core will be delivered without anything, not even a penny less. We'll probably give a better result if possible. That is what we are planning to. So the growth, what I talked about, the 18 items are on the top of the core. So that is what I'm talking about. And let me move to the C2P strategy, that is, chip to product.

That is Mistral's non -defense activity, or our group's non -defense activity. See, I always believe, one of the reasons, rational behind, as Shashi said a lot of good words about me, certain bad things he didn't tell, I lost everything in defense in 1998, because of the sanctions. 1998, May 12th was a black day in my life, 11th was Pokhran, 12 sanctions was announced.

I lost almost everything. Every single defense order was canceled. Six years, I was running from pillar to post to just save myself and the company. So basically, I don't want to put everything on defense. Even when they started at AXISCADES , I said, first I'll focus on commercial aerospace, then we'll do defense. We are anyway, as a person passionate about defense . I want to reiterate, we are a defense -first company, whether it is AXISCADES as a group or Mistral.

We are a defense -first company, there is no doubt about it. But do you want to put all our eggs in defense basket? No. We want to have 60 robust, two -thirds in defense, and about one -third in other activities. Not only because, once for my growth, we are talking about non -linear, scalable, but also global. We want to have global presence.

We want to have knowledge from the outside the world, because we want to bring in a lot of things, what we have to learn. We have to have several other verticals for us to learn, and then use it in the defense. So we need that. We need a strong global presence, and 40% of our activities will come from these.

And because we have an extremely good team in the semiconductors area, chip -to-product area, we have a clear strategy. You would have heard about what we did in defense I just want to add. There are six verticals, again, in the chip -to-product, apart from defense and aerospace. Then we have automotive, healthcare, consumer, industrial, and hyperscalers.

Defense, we already mentioned to you. Defense, we are already doing. The company we are talking about, we are doing for drone controllers, is an American company. It is a homeland

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security company. You can categorize in the defense category. Such products can be used in the

Indian market also. So we are learning from them.

Probably we will implement. But the more exciting news comes from the other five activities.

One is automotive. We are working with the world's major intelligent , automotive intelligence company for autonomous driving. It's going to be a big thing. They are already working with the world's largest automotive company.

We are the tier two, tier three for them , already. And also we are working with one of the most exciting automotive company for the same group of customers for autonomous driving, then the SDVs and so on. So this is in the automotive side. We really have a good starting point.

As far as healthcare is concerned, we are now doing a protein synthesizer using our chip -to-produce

it along with AI -based analysis, etcetera. And also we are doing something for the kneecap surgery, etcetera. So from this to that, we have a good product range in the healthcare with which we can develop our strategy.

And consumer electronics, consumer products, C2P, we are doing variables . And we are also doing one exciting project, for example, Skidco . We are doing where it's kids' product. It's more of a product we'll teach kids in the fifth age using AI. So that product is developed on the board, etcetera.

And then we are putting the ESLM and all on the top of it. Of course, industrial, we are extremely good in sensor fusion. So with that, we are trying to develop a few products for industrial industry, especially MES manufacturing execution system, automatic data collection, etcetera.

And that has been very successful so far. We have an anchor customer to start with. We've been doing that.

Hyperscalers, I just want to tell you, we are working with, currently we have engaged with the topmost logistics company in the world. Topmost vehicle, that is automobile company in the world. The best and biggest automobile company in the world. Topmost biggest tech company in the world. Topmost and biggest semiconductor company in the world. Okay.

These four, not only are topmost in their category, if you will take topmost companies, these are the four top companies in the whole world. Okay. So we are pleased to say, we are engaged with all of them. And three of them directly, one of them indirectly, through tier one. The other three, we have a direct PO from them. We are MSAs and we are working directly with them.

So we are trying to build on that. So with the focus in mind, we are shifting the center of gravity of C2P to US. Basically it will be driven out of US. We'll have a small team there and driving the offshore team here. That's the strategy. So we are planning to grow. We don't know whether we can grow fast as the defense business, but we are going to put all our energy to grow and be there. That's what we are going to do

You may think I'm talking about a lot of things. I'm not spreading too thin If you carefully listen, they're only talking about two areas, defense and semiconductors. Our core areas as always. And we are only talking about six of the core expertises.

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What are they? RF. We are a very, very good RF in RF. We consider we are among the best in India for RF. RF and RF activities. Second is probably we are one of the best in handling mixed signals. We can handle analog, digital, RF, everything together. That is one of our forte.

Third is sensor fusion. We can handle multiple sensor. Sensor fusion comes very, very handy when you deal with multiple sensor in a new AI environment, in new robotics or auto -driven and those kinds of things. We are extremely good in both. Then we are very good in ruggedization. We are especially because we are very defense focused. We can ruggedize any product and do that.

And finally that we are very good in the chip, chip level, post -silicon, whatever it is, validation, verification, and take the chip to the product and then product to the customers. So if you look at it, our major focus, how are we going to scale up? That is a big question because currently we are working with the major three or four silicon manufacturers.

We want to scale up with a number of others. Last two weeks we have been meeting the world's some of the largest silicon manufacturers and we are already trying to talk to them. Maybe we can start getting some pilots from them. Apart from that, we are trying to climb the value chain.

So far our chip to product strategy, we take a chip and then make a board out of it. Okay.

And for different purposes, pretty much a hardware job. Then apart from that, we used to add sometimes the embedded and systems

software and so on. Right now we are trying to add the

SLMs. That is small language module, make it AI ready. Okay, AI compatible. So we are going to climb all the way to the value chain.

Other than that, earlier we used to do only one prototype or two prototype and be with that. But we were never hand -holding the end customer. Right now our plan is to go all the way. Basically

whole nine yards basically. Right now we'll build a board, add software. Then we will make the prototype ready fully. And then we will go through the validation and certification.

Then we'll do the batch production. That's what we plan to do. So we will go all the way so that until the customer raises money, the small guys, for example, in the example, I don't know whether I can talk about it or not. So basically we are planning to at least attempt to do things.

Okay. So this is what we are planning.

So we are trying to increase our engagement vertically and horizontally and want to multiply this. So this is the total plan. And in this mission, the person who are helping me are of course Satish Rao and then Gopal Kamath who's sitting here, who has done an excellent job in that. And Mani here, our CTO, is going to be focused totally, razor sharp focus on the growth areas. He's going to build the SLM team, software team. He's going to support the backend for whatever they want. A complete growth strategy, a complete C2P strategy will be driven by Mani. Apart from trying to sort of get the technical, fill the gaps in the technical parts and then adding more team strength, etcetera. So that's what Mani's role and activity is going to be.

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So everybody has a defined role and we found a lot of common things and synergy. And as I said, others, they already defined the roles such as Dinesh and Suresh. Suresh will drive the P&L, ensure that whatever we commit is happening and so on.

So this is what I wanted to say. And okay. So one more thing, we want to sort of have, this is synergy between ACAT and Mistral. Now we are talking about ACTL and this combined entity so that there should be a synergy between ACTL, our current company and Mistral ACAT. So it has to be dovetailed properly. In order to do that, we are bringing a new COO for the ACTL. ACTL is AXISCADES parent company. So this COO is a veteran of aerospace, well-known and he has delivered everything and the customers love him. The big aerospace company like him a lot. So it'll be a fantastic addition to the team. He can make a difference once he joins. He'll be added to the team.

Also, we are excited to have him because he understands he has worked with us and so we can work with him a lot and he will understand the synergy and build the synergy. Example, I'll tell you what is. So ACTL has a lot of experience with the Airbus, Airbus standards. But same aircraft is being used. A319, they understand, but the same is used as Airbus. So if we get the program, it has to be implemented in ACTL.

Another thing I'm talking about, for example, I'm just giving an example. If we are going to do a big ground system, which has an antenna mounted on the top of a huge structure, et cetera, it requires a lot of analysis, et cetera. So that ACTL will do.

So we are trying to have somebody who will understand our requirements for extremely strong, knowledgeable, sharp, smart and has mostly commands respect from the all major OEMs abroad. And because as we said that we don't, we are not looking at very, very, we are a long term people, but we want somebody who can deliver also in short term, also in medium term. So this person can do that.

Apart from that, this new introduction, we are also trying to revamp the board. Mistral we are already doing. The reason is we want every board member to be a brand ambassador. We want them to be our salesperson. So they have to

really pick up and call somebody, here is the

company I want you to work with. He should be that much connected in the industry.

He should also, his name should evoke some respect and acknowledgement from the customer and the people we are going. He should be at least among the 360 degrees. Either she should be known to the customer or his name should invoke respect to the future employees. Okay, this guy is there in the board. I want to join this company. So like that.

So I want to, or subcontract anybody, even for the investors. Today, the focus only is based on the investors, but I don't want, we want to have the other two segments, which is customers and employees also should be inspired by the board. So we are looking that, that's all we are trying to do that way. Whatever we can get. And I don't know, probably ACTL must do the same thing, in my opinion. Okay, so this is what it is. Thank you for listening. Now everything is open, so I'll hand it over to Shashi.

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Shashidhar SK: Thank you, Dr. SRN. So we will now open the floor for questions.

Moderator: Thank you very much. We'll now begin with the question-and-answer session. First question is from Rahul Jain from RJ Advisors. Please go ahead.

Rahul Jain: So just wanted to know, like, how will defense and AI go together?

Sampath Ravinarayanan: Mr. Jain, I will tell you a few facts. Today, the world's largest defense company is not Lockheed

Martin or Northcorp or Boeing. It is Palantir, which is an AI company. Okay, just beaten Lockheed as the largest defense company and contractor. India 2022 unveiled the Indian defense, unveiled the AI plan. Today, it's the intelligent warfare.

No long dogfight, man -to-man combat. So it's more of an intelligent warfare, especially what has happened after the Israeli war and so on. So much focus is on AI. For example, every EW system is now changed as an AI -based system. So it has to -- now moving to AI, every major, if you want to kill a drone, okay, if you want an anti -drone system, it is totally AI -based today . Because today it is going to be fitted with AI -based recognition systems, advanced 3D radars, which are AI -based, and EW class RF detection, which will be AI -based, and directed energy weapons, which will be AI -based. If you look at the new combat system, i t'll have a lot of AI. So we want to be AI -ready. We want to learn. We want to implement that.

So we are proud to say we have a clear advantage in AI, because we are already doing in the automotive and other sectors, we would like to implement the AI into this. So we are AI -ready. We are implementing them into already started implementing our progra ms.

Rahul Jain: Okay. And the second question is like, what will be the investment outlay required ? And how are you going to fund the same?

Sampath Ravinarayanan: Yes, it's a very good question. So basically, one thing I'll say, the biggest challenge I'm facing here in Mistral ACAT is that lack of manufacturing , okay? -- we are taken as an engineering side and all. Mistral has been doing product solution for a long time using subcontractors, because until now, it doesn't matter .

Because it didn't matter to the defense, because whether you have manufacturing skills or you have anything, or you have a PCB assembly stations or anything, they don't care. As long as you have the knowledge, you r design and you can implement, you can integrate the system, you can prove the system.

That's what defense wanted. But today being the competition, there is no too much of competition. They are trying to filter out the companies which does not have the manufacturing. So it is becoming one of the excuse of filtering out. In fact, we are missing out on few big opportunities. That's why you could not get into major DCPs for lack of manufacturing. So one thing I want to

correct immediately, we want to make an investment, either acquiring a defense class manufacturing company, or we want to build it from the scratch. Building, there is no time. So one of my immediate tasks, I'm interested with the team, of course, with Mani and AXISCADES Technologies Limited

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Dinesh, is to make sure that along with our CFO, to identify, we already identified a few players, and then get something if possible in the next quarter or so.

So that is something which immediately -- that is an investment we require. Second investment, of course, as I told, that software, we need to build a strong AI -focused software team for defense and all. We identified about, in fact, defense website lists some of the priorities in AI for defense very elaborately. And they have men tioned a lot of non -defense also, but 100 plus items they mentioned.

They have just mentioned like allied development through AI, IOBT, Internet of Battle things, which is going to be AI -based. They have predictive maintenance of gunfire using AI. They mentioned AI -based target identification, then swarm drone AI. So they have given a list of things which they are going to want people to focus on. Many of our competition, currently they are v ery busy, they are not focused.

So we thought we would set up the team, what the direction MOD is giving. So in this line, we want to set up a huge AI center of excellence that would feed into defense, upgrade all our defense programs with AI capability. So that is one of the things. It requires a lot of investment. That is the second one. Third, we want to upgrade our US operations. We want to have an onshore operations so that we want to be close to the customers.

So we want to keep it. So that also will require another investment. So these are the three major ticket items for me, for us to consider. So this really requires certain investment. We'll approach you at an appropriate time when the investment is required. Okay.

Moderator: Next question is from the line of Darshan Shah from M&A Associates. Please go ahead.

Darshan Shah: Thank you so much for the management and for all your detailed insights. It was really helpful. You mentioned to the previous participant that manufacturing may be one of your key challenges. I just wanted to understand what may be some other key challenges that you foresee in your strategy to take Mistral to the new level.

Sampath Ravinarayanan: See, one major challenge is competition is extremely strong. Extremely strong than 10 years back. Okay. You know the competition. Competition field is strong. It is like an IPL team.

Anybody can win on a given day. There are a lot of these things. In fact, we precisely have eight players whom we consider as among, along with us who consider as competition. So that is one thing. So w e need to tweak our strategies.

We need to sort of avoid direct conflicts, go to the areas where we play to our strengths. That's what I would say. And play more to the home pitch, basically. Like home advantage, which is our anti-drone, our RF. So we are trying to do that to sort of -- we're not shying away from the competition to just win. There is no point in unnecessarily fighting and losing. So we are looking at certain strength areas.

Whatever I mentioned here is strong areas where we are either number one or number two or maximum number three. We are trying to avoid the areas where we cannot -- we are not immediately at that level. So that is one big area of competition is a big challenge. And of course,

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second, I just feel that is one major challenge we have to see. And of course, the facility and infrastructure and investment and those things.

I'll just put these two are the main key things.

Darshan Shah: So I think going on to your competi

on, I think this was around my second question also, where

you mentioned in your speech that you, despite competition, you see strong prospects in your defense logistics. And also I think a lot more companies in the recent transcript as one of the companies has also announced that it's also getting into anti-drone business. So what sets AXISCADES is a nd your experience apart with your current competition?

So any four or five qualitative metrics, if you can just help us, that'll be much better. Thank you.

Sampath Ravinarayanan: So one is, see one is, as you know, the now defense with anti-drones are mostly emergency purchases. When you go to emergency purchases, the limit to somebody has already proven, been there, done that. So we have a huge advantage because we are the -- been there, done that.

So competition can aspire, but we are already there. . So that means, what does it mean?

We'll definitely get, if only three people have to get a RFP in a particular program, we'll be one among, okay. The other two can be anybody, but first will be us because we have the proven track record and we are in this. So if it is for us to lose, if we are one among the three and not even able to get 33%, I should not be in this job, okay. So, and that's what is my optimism. And I'm not saying no arrogance, but at least we are there. In some place, we are in a pole position and that is a, fortunately for us, that is something is the grow area. It is hyper growing area and there is a lot of demand and an emergency purchase, EP area. EP area is something, not a open tender where it goes only for a limited handful of people.

So we are happy to be in that club. That's the optimism I have, okay. And of course, I'm backed by a fantastic team and product range. One more thing, maybe I'll go a little technical, okay. The anti-drone systems today are looking at various other things. As I said, currently, they are only making it as a portable and non-portable.

Now they are wanting it as a vehicle weapon mounted, then air and ship mounted, even drone mounted. So if you look at it, where it is being mounted is one differentiation where we are already there. We can do things with air and ship and drone. We are already there. And vehicle mounting, we are talking about drone systems.

The similar programs you are talking about, that we have a certain differentiators. And the future anti-drone system will be based on a strong RF knowledge because it's all about jamming. It is all about identifying through pro-RF, advanced RF detection. So 3D radars will be required. We already have certain things.

Some EW class RF detection will be required and location finding will be required. Spoofers will be required. As I said, you need AI to do the directed energy defense. Not only we are doing soft skills, we should do hard skills. When it goes to hard skills, there will be a lot of AI required.

So go very technically.

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So we are trying to gear up to meet the challenge. Either way, we should be definitely among the top three in terms of technology, market placement, etcetera. At this point of time, we should not allow any other to overtake us. That is the biggest challenge. Okay.

Moderator: Next question is from Sanjay Kumar from iThought PMS . Please go ahead.

Sanjay Kumar: First, excellent articulation of your vision. Appreciate it for the detailed explanation. But it was more about the future. We were worried about the near term and a bit of medium term. So I have some questions around it. Given the leadership changes or the transition, if you were to put it that way, are there any changes to our existing pipeline of INR4,000 to INR5,000 crores kind of design wins that we have won so far, be it awaiting production or be it under development?

And what would be the impact of the transition with the large PSU

s given defense is people first,

you know, relationship -based business more than capabilities? So any impacts to approvals for any of the programs that we are already part of? Or simply, is the INR4,000, INR5,000 crores design wins numbers still intact?

Sampath Ravinarayanan: You asked for a change? Yes, there is a change. It's upward change. It's going to be better. Let me tell you, everything, every single production is intact. There is absolutely no collateral damage. Absolutely no collateral damage. Q3 will meet or exceed the number. Q4 will meet or exceed the number. I'm not supposed to, Shashi told me, warned me not to give any good thing. Because you asked me, I just want to make sure you understand that.

Absolutely, there is nothing. You mentioned that there is, yes, relationship -based. There are certain relationships they cannot and we have much better relationships. Okay. So I have also built everything – and relationships. We have taken this and we have discussed with our customer before making this decision. We have to be -- because I'm answerable to the Board, answerable to my investors, we were making every decision.

Even when I want to change a small local level engineering person, and I'm talking about mid - level engineering person, I'll think twice. When we are going to make sweeping changes, I need to take our customer into confidence, meet all of them, talk to them, find out . And I assure you, absolutely there is no collateral damage.

If at all, there is an increase. The morale is better. Customers are generally happy because we are directly connecting to them. No offense to the people. But what I am saying is, we have a, working as a team, things are much better. And the PSUs you mentioned about DRDOs, they have equal connects and much better connects, I would say.

And don't, please be assured that everything will be delivered. The old programs, as I reiterated, they are intact. And we are actually trying to increase the number of programs and also value per program. So we are on track to do that. In fact, I can say, since this decision has been taken, October 25th, and the team, our defense team, led by Sunil , Vijay and also Mani, met at least four Director Generals of defense, DGs, which handles different departments. They were very happy to receive and provide all the supports.

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In fact, one of the lab now wants to give some kind of TOT which never they gave before. And our major PSU customer, a couple of them are extremely happy. They are trying to sort of work more engagements with us. So everything is intact. I will reassure you, there is not a single upset in this whole thing. And you will see that in the results, Q3 and Q4.

Sanjay Kumar: Got it , thank you for that. That gives confidence. Just an extension. In the Q2 call, Shashi and Arun sir announced their ambition of 60% revenue from defense business over the next, say, 18 months. Now that implies that our defense revenues will double from the current levels in the next 18 months. I'm just trying to develop confidence if this is possible or is there any delay in those targets? Can we get to 60% revenue from defense in the 18 months? Or should we look at a much longer time period?

Sampath Ravinarayanan: See, I'll put it this way, basically. And currently, our aerospace and defense, and that's a group put together, we are at more than 60%. 60% or more. Aerospace and defense put together will go to 66% or so on. Capabilities, everything is similar. And defense, will it increase? Yes. It'll increase in a big way.

More than robust. I can assure you, the target for me, I've given to myself, it should be much more than the industry average. That is what I am telling to myself. So I don't know the ratio because we are talking about, not about me. It can happen in three different ways. One

is ACTL.

I don't want to undermine ACTL performance because ACTL also will perform. What if they perform much better than this? Then my 60%, that is a moving target for me.

So what I would say is independently of what you are asking, defense will have one of the best growth years for AXISCADES , Mistral, ACAT in the next two years. That I can assure you. In the history of our company. And it would be, if you see our competition and our peers, I want to be more than the average. Much more than the average. These are the two goals I've given to myself. Exceed ourselves, exceed the competition. Let me put it this way.

Sanjay Kumar: Got it. And I have two program specific questions ...

Sampath Ravinarayanan: Only one request to me , because I don't want to see. I'm a little uncomfortable on program specific. So what we are trying to do is to help you. We are going to open a IQ at mistrals.com.

Okay, mistralsolutions.com for the query. Because we need to reveal. I don't want to be revealing too much about the program information.

Actually, there are a lot of things that have been done. What happens is once we say that the competition goes there and tries to do this thing and so on.

You are an investor. You have every right to know what we are doing. . So please write to us on IQ at mistralsolutions.com. We'll give that.

Our coordination will do that. We will give a detailed reply with program specific information

to you. Anybody please listening, please come to us. We will tell you exactly what we are doing in the program specific. You are free to ask. Keep it confidential. It will be only to you. Okay. Of course, we need to get the person's background before we answer that.

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It should not be some customer or competition posting or competition posting and asking that question. So we need to do some scrutiny and do this. Kindly put up with this, but we definitely want to answer you. We value you and definitely we'll do that. Okay. And we'll do it quickly. I've assigned all the prospective team leads. Kumar, it'll just go to them and they will answer it comprehensively.

Moderator: Thank you very much. Sanjay Kumar, I'll request you to come back for a follow-up question.

Next question is from Darshil Jhaveri of Crown Capital Partners. Please go ahead.

Darshil Jhaveri : Hello. Good evening, sir. Thank you so much for taking my question. So firstly, thank you so much for explaining everything in such details. Hope I'm audible, sir.

Shashidhar SK: Yes, you are.

Darshil Jhaveri: Yes, yes. Hi, sir. So I just wanted to know, like now, I think we are very bullish on our defense. So just wanted to know, like in Q2, our margins have suffered a bit comparatively. So just wanted to know, going ahead, how do we see H2, right? Like we wanted to get like around INR150 crores , INR160 crores of EBITDA. So what will be our target for H2 as well as FY '26, sir?

Shashidhar SK: Yes. So essentially the Q2 margins were a bit compressed. The reason being that our automotive vertical, which essentially is the result of the acquisition which we made in Germany and their relationship with Volkswagen has taken a degrowth. And that is the reason why there was a bit of a compression in EBITDA margins.

And the automotive vertical will continue to be a kind of a tepid growth or a bit of an undergrowth sector in this year. And with respect to the H2 numbers, you see, what happened in H1 with respect to the production of, the production revenues of defense was around INR78 crores.

So a majority of the production revenues with respect to defense is going to come in H2. And that's how we are going to bridge the gap as far as revenue and margins are concerned. Usually H2 is a growth sector, growth, you know, I would say half year for us.

Darshan Jhaveri: Okay. So have we given a guidance outlook o

f INR160 crores , INR170 crores earlier for

EBITDA for this year and next year around INR160 crores , INR180 crores PA T. So will we be able to achieve that or how would we look at it, sir?

Shashidhar SK: Yes, we have given that guidance and we hope and we are working towards meeting that guidance. But with respect to the, I would say, as I said, the automotive vertical, which is, which kind of came as a surprise in terms of how it de-grew. Perhaps it may move by a year, but we are sticking to that guidance.

Sampath Ravinarayanan: See, I will just add something because Shashi may not like that. But in this year, that is H1, H2, whatever Shashi said, I can only say defense portion, that is Mistral plus ACAT. Whatever guidelines Shashi has given, we'll try to honor. Definitely. And whatever guidelines he has given for the next year, our overall, for the overall, we'll try to honor, basically.

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We'll not try to honor. We have planned to honor. We have honored, meet that and exceed. I don't know the number, but you mentioned it. So I believe that in our internal strategy, it's reachable. So I don't want to get into this, but basically I would like to say, you can be rest assured. We can, we are in the right path.

Darshil Jhaveri: Okay. Fair enough. I just like, wanted to know, like in terms of defense, what margin do we typically have? Like if it's going to constitute, like around 60% of our business. So we can see a lot of leveraging of growth, right? So I just wanted to know, what margins do we have? And because there might be some competition heating up, can we maintain those margins?

Sampath Ravinarayanan: There are three aspects, I would say to the margin. One is which stage, what is our constant? What is our BOM? Bill Of Material or what is that? Is it our product or which is a product we buy from outside? Wherever our product is used, for example, direct RF, or direction finders, or this X band radio, the margins will be very high.

Normally much higher. It can be something very big because you already have the product. IPs are factored in. So we are to sort of leverage the technical edge we have. There, the margins will be quite high. And also it's a differentiator. Competition won't come in. So we will not be able to face much competition and so on in these cases.

And whereas if there is a, the same thing holds good for the new areas, emergency procurement

areas, where there is a lesser amount of field, there is also a competition. Of course, majority of the items will be highly competitive. We need to sort of see the field and ensure that because winning is everything. So we'd like to rather win that and so on. So overall, it will be healthy.

Shashidhar SK: There are two aspects which have been repeating in all the Earnings Calls. You see, there is a prototype production which happens, which is essential for us to get into future programs. And that is a highly competitive area. And usually do about anywhere between INR70 crores to INR90 crores of prototype revenues, which essentially is taken at a loss.

The reason being at that point in time, our only objective is to get into the program, which will kind of play out over five to six years. Now, the other one is with respect to the production revenues, which result out of the entire prototype certified, it's a pipeline as somebody talked about, which is about INR4,000 crores, INR5,000 crores.

If you look at that, that comes at a high margin, upwards of 24%. And that is where the, you know, it is, which is the production revenues are gathering pace. If you look at FY '23, the total production revenues were INR38 crores and the prototype revenues were INR109 crores.

And if you look at FY '24, the total production revenue went up from INR38 crores to INR112 crores, which came at about 24% to 25%, you know, so

EBITDA margin. And if you look at

H1 of this financial year, in the very first half year, we have done about INR78 crores in production revenue, which again came at an EBITDA margin of upwards of 25%. So going forward, the blend between prototype and production revenue, the production revenue is going to gather pace, which is going to, kind of improve the blended revenue.

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At the same time, we cannot stop the prototype, say production to, you know, kind of cease altogether, because it is the one which feeds into the future order pipeline for us. So going forward, because of the fact that the blend between prototype and production revenues are changing and production revenues gathering pace, the blended margins will keep on increasing.

Sampath Ravinarayanan: Another one thing I want to add is the biggest EBITDA or the profit earner in the defense systems are the OEMs. No, nobody to beat OEMs. There is no competition, nothing. Always the reference prices are foreign prices. So in the past, we had major margins through the OEMs. One challenge is to increase our engagement with the OEMs.

So we are working on all the, all pronged, as I said, we are also engaging with the OEMs and see how the profitability can be increased. Not because of anything that gives a leverage to get R&D, allocate R&D budgets for more and more programs.

So as Shashi rightly said, we keep the blended above certain targets, but the major profit earners are, I'll say, number one is the OEMs followed by the proven production orders. Then the R&D order. And one more could be is a TOT converter. That also we are working on. Please go ahead.

Moderator: Thank you. The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.

Aman Vij: Yes. Hi, team. So, sir, I understand you are -- you don't want to talk about program wise, all those things, but I just wanted to understand a broad number, which is in terms of order in flows.

So that is an important metric that all companies share, irrespective of whether they are in any segment or another. So if you can talk about what kind of order inflows are we expecting for FY '25 and '26?

Sampath Ravinarayanan: Shashi, can you talk about the already projected for FY '26?

Shashidhar SK: If you look at our Q2 earnings call, we talked about the order inflows of INR121 crores as our total order booking for Q2 and we switched on an order book, confirmed order book of around INR450 odd crores which is going to get executed between this year and next year and more orders are getting booked as we speak.

Sampath Ravinarayanan: And I can add to this, this may not have factored the anti-drone.

Shashidhar SK: The new orders which are getting. These are orders in hand.

Sampath Ravinarayanan: The orders in hand, the new anti-drones are not added in that. If you add that, you can safely assume at least a 30% for and above this. That I'll say even that is a very safe assumption to have.

Shashidhar SK: So just to again kind of say, I would say, give a flavor to the numbers. We started the quarter, on the 1st of July at INR322 crores. We executed - the order inflows for Q2 was INR121 crores and then we executed about INR66 crores of those orders. And we are sitting on an order book of around INR377 crores as of 30th September.

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Aman Vij: Yes sir. So those numbers you had shared in the call also. So I was looking for a number in terms of order inflow is expected for the remaining of this year and for FY26 because you would

broadly have understanding in terms of programs and timelines and all those things. So for example, two of our big peers, everybody might have shared this in terms of range is also okay. The order inflow is expected for the

the remaining year and for next year. This is the question?

Sampath Ravinarayanan: So let me answer this. We are having three low-hanging items at this point of time. One, of course, I've been repeatedly telling about anti-drones. The addressable market is about currently up to FY26 is about INR900 crores that is what we have visibility of. This includes the new repeat orders of what we already have possibility. They are similar. I will not say repeat. It's not assumed.

So there is a possibility of similar orders, upgrade for the existing thing, that is almost very low-hanging for us because we already delivered. So they're looking for upgrade and we should be the first choice and there are new programs which is coming in. So currently as of now today, my estimated market or visibility numbers for the anti-drone system are INR900 crores. I would say filtering out everything, there are three very serious competition including us.

That is we are three in the field. Maximum three will get to quote. So it is - it is fair to assume that we get one third of this, we're looking at a INR300 crore order book for the FY26 to be implemented on anti-drone alone. So this is my thing I don't know because as I said, I don't want to talk too much about the numbers, but because you are insisting, but that doesn't mean that we didn't - we have calculated, we are going through every day with our team.

So this is our number as far as anti-drone is concerned. As far as marine rafale is concerned, 26 marine rafales are being done. Offset obligations are there, offsets have to be fulfilled about in a matter of maximum 3 years. So we are looking at the total weapons package plus this, there should be and we are looking at about, at least about INR30 crores per year on the minimum, on the OEM site. Again, there is as I said, there is a moonshot item which is submarines, which comes through.

This will change the numbers drastically. And on the large, there is one more low hanging fruit, new program which is not listed in the past. We are also looking at sizable numbers. So what I would say is you know the numbers in the past what has been given to you. I would say there will be an addition of, I'm saying overall addition of about 50% minimum on those numbers for FY26.

Shashidhar SK: So as we explained the quantum of production revenues and the production orders are as a direct result of the certified prototypes which we have won over the last 6 years to 7 years, which is about INR5,000 crores and the pace at which it is getting sweated out and getting into order book has kind of risen. As I told you last year the total value of production orders from this order pipeline was INR112 crores. It may be the various radar subsystems, which we are supplying and various telemetry and solar systems which are supplying.

And this year, the same value of production would be actually double that of what happened last year. So this particular order pipeline is now getting sweated and is resulting in production orders

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and it's going to gather pace. A part from whatever on top of this in terms of what Dr. SRN has just now explained.

Sampath Ravinarayanan: No, there's an A component, B components which Shashi already gave you numbers and all. B is going to be efforts of what we are doing right now and I explained both the numbers. You can add it together.

Moderator: Thank you very much. The next question is from the line of Dhruv Shah from Ambika Fin cap. Please go ahead.

Dhruv Shah: Hi team. Thank you for the opportunity and sir really detailed overview on the defense side. Sir I have a question on the semiconductor. You rightly mentioned about the two large US based manufacturers. So how I see it is we haven't scratched the surface and you rightly mentioned that we don't only want

to be focused on defense. So can you just elaborate on the opportunity size on the semiconductor side of Mistral?

Sampath Ravinarayanan: It's very huge at this point of time and what we are seeing is currently I think as the old numbers are there to speak. We are doing about roughly around USD 15 million roughly on the semiconductor side and we have a chance to double it in the next year if we do things properly.

So and we are doing it in two ways. First, we are working only with about four major semiconductor manufacturers at this point of time.

One contributes for the 80% of our 70% and other Qualcomm we are doing mostly with TI and Qualcomm. That is the two major semiconductor players we are working with. And we have just started putting our foot in NVIDIA and we are also trying to work with some other players.

Now, of course, with other major player with Intel we are working with. So there are four we are currently working with.

And biggest advantage for us, we are already established, we have references, we are well known in the market. I would proudly say unlike defense, there is no competition here. We are extremely well known. We are a main competition is a kind of a major say company. That is the companies which provide semiconductor also one of the services. It could be HCL, it could be Tata Elxsi, it could be KPIT. I don't want to name names but same.

But these some of them are niche. Some of them are large companies which also have semiconductor practice, but so here we are having a niche and we have unique advantage. So we have we want one of the things we want to do is have a hyper growth in this segment. In order to do that, we need to add more semiconductor players, these companies to start working with us.

So we met about four of them in the last 10 days along with my colleague Satish Rao who is from Fremont and along with Gopal Kamath who is sitting out of Dallas, Texas, and he's in the Bay Area. We are working a robust strategy to take it forward and have a hyper growth on this. So A, increasing the more engagement with the semiconductor companies. B, adding more verticals to that. C, climbing the - it's a cube climbing the value chain by focusing sharply on AI based services, GenAI especially with large SLM and LLM and so on, support and so on. So we do believe strongly we have a good chance or path to grow it to almost double.

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At least we are looking at a good growth, reasonably very high growth we are looking at. Of course, it needs investment, it needs development center here for the software, it needs an onshore center somewhere in the U.S. So there is always time taken for all these things. But I'm saying that with all these things, we are a niche player. This is a very important thing. So we are working to improve this.

Moderator: Thank you. The next question is from Kiran from Table Tree. Please go ahead.

Kiran: Hi. Good evening, sir. Thank you so much. This is a brilliant call explaining a lot of stuff. Sir, one of my fundamental doubts is, I mean, from whatever I'm hearing and maybe I've got it wrong, but basically chips to product and the defense INR5,000 crores order book, all these strong foundations were laid by the Mistral team including the leadership.

So if you could just explain, I mean, it seems like we are delivering more in the next 2 years. And given your push, I'm sure there's a faster delivery in more programs and more value for programs, but if you could just tell me a few couple of reasons why the leadership got changed, because that was one of the prime reasons why we brought them in the first place and we've been in AXISCADES for very long. So just trying to understand the severe disconnect between what happened 5 years back or 3 years back and what has happened now?

Sampath Ravinarayanan: See, as such we

Speak first is I say that the Mistral, I think the acquisition process got completed in 2022 December and then there was the main person was running, was already left by that time and we were in the second, the next group came in. If you say, yes, I appreciate Mistral, a lot of strong points, a lot of the people are extremely good. One of the best I work with.

I really appreciate the team building is superb and some of the core areas, the work is very unique and the person who left in the beginning, who was the main founder in the vision is already left. It is about 9 months back or 1 year back. So since then, there is a gap backup which is there are people who are executing it. We felt they lacked the same drive and vision.

Moreover, all of them are, I'd say, there is no need of because most of the top, the ownership, I'll put it that way. There is no fire in the building because most of them are in terms of financial, they're extremely secured and well off. I would say, I may be wrong, but to have a drive you have a need. There is no need, there is no magic drive. There was a big lack in that drive. And as you know, there was a better battle in trying to sort of take this thing and so on legal cases took place in the past. That also has left some kind of bad blood or misunderstanding between a little bit of the team level. So all these things led to, if you cannot like, it's a conflict thing and this kind of things I felt.

And anyway, the whole arrangement was that once anybody takes over, they would like to put their own team and run it. It's a fair thing. When I came here, I just even otherwise we should have done it much before. So they should have handled. So we didn't, there is no animosity basically we felt that we want to have a smooth transfer and we should have our way.

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And moreover the strategy, I would say, that the chip to product strategy is our strategy. It is not before, though there were elements of the strategy put together as a focus and strategy and trying to expand as purely ours, basically. And go put it on the high growth path, finding the synergies,

make things better is us. And also we come with a more larger defense background so we can leverage that base. And I would say I really appreciate, especially the founders, the key founders, contribution to making Mistral. I'll say key takeaways. I would drive to put it on record. We've done an excellent job in, first of all, human resources.

We have probably, arguably, one of the best team in place. And second thing is probably a good relationships with OEMs and others. But having said that, defense going and the focus and so on, I'll put it this way, very interesting. Mistral was made for selling to another. This was not going to be a public company. They always wanted to sell and exit.

Moderator: Ladies and gentlemen, please stay connected. The line for the management dropped.

Participants, please stay connected while we return the management back to the call. Ladies and gentlemen, thank you for your patience. We have the line for the management reconnecting.

Kiran: Sure, sir. So, understood, sir. Mistral was made for selling is where the argument ended.

Shashidhar SK: Yes, go on. You see, essentially note, the company completed the acquisition of Mistral in December of 2022. So, at that point in time, the promoters actually requested us to part ways, but it was a project-based company.

We wanted to first look at how to understand the various projects which are going on. Of course, the second line of Mistral, below the promoter, all the senior executives are extremely, extremely, good in terms of every single step of the way, as far as the execution of these programs are concerned. But the time came where, I would say, after close to one and a half years, two years of taking o

ver the company, we thought that we should have a different set of mindset to drive the enormous growth opportunities as what we have, as what was explained by Dr. SRN earlier.

Kiran: Got it, sir. So, sir, then I have a question, not related to the first question, sir. INR5,000 crore s order book is primarily like 60% or 70% is on the Sukhoi and the Tejas programs. And Tejas programs, we started with the 24th aircraft, then it became the 37 now we are hearing is the 51st aircraft. Sukhoi, obviously, we have not yet got the approvals and the RP s has now kicked off. So I'm just trying to understand, outside of these two programs, are we seeing a large delta because Sukhoi and Tejas probably is about INR5,000 -- INR4,000 crores out of the INR5,000 crores order book or order pipeline. So if Tejas continues to get delayed, and Sukhoi obviously keeps getting delayed as well. Then what is our -- is the anti-drone is solution to our order pipeline?

Sampath Ravinarayanan: Yes, and it's not a solution. It is definitely a new program, new big one. So, currently, Sunil, can you explain on what the order built and how you would like to go about and how are you going to increase the core activities? Sunil is with me. Again, he's been there for a long time. He was the main chief marketing person for Mistral earlier and now. So, he's the person who is responsible for all these order books. Sunil will explain.

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Moderator: Sunil, sir, sorry to interrupt you. Sir, there is a slight static from the line. Let me disconnect and reconnect the line, please. Participants, please stay connected while we rejoin the management back to the call. Ladies and gentlemen, thank you for your patience. We have the line for the management reconnected. Sunil, sir, you may proceed.

Shashidhar SK: Yes, so essentially, Sunil, the question is, there are two programs which predominantly make up this order pipeline of around INR5,000 cores, which is about 130 LCA programs and about 250 Sukhoi programs. The question is, if these get delayed, are we still confident of achieving the numbers and what is that which we foresee for this order pipeline?

Sampath Ravinarayanan: That is - Yes.

Sunil : So there are new programs which we have been working on, like AVAX Mark -II and QRSAM. So these will fill in most of the numbers which have been predicted.

Sampath Ravinarayanan: So should I add, basically? Yes, because, of course, I believe in AVAX. But I would say the three programs I talked about leave the - because we are talking about the anti -drone for all direct to defense, because we are working with the MOD. So they are very different kind of programs.

These are all through DRDO and PSU. So I'll categorize in a different category.

Most of the pipeline in the past, we have given all the 4,500, 5,000, have been given through the DRDO /PSUs. So in that, you are right, because totally towards aircraft. Two aircraft programs, which is Sukhoi and LCA Tejas. But that is why we are trying to mitigate the risk, not by anti -drones, but through the DRDO PSU process, that is working on large missile programs.

According to me, the biggest missile program which is going to happen or happening now is a different program, which I can share with you if you have an email ID and so on. You all might know, we are very much trying to get into part of this. We will have a few things in that. We already have been considering that. So that should really not only back up for any drop in these two or delay in these two, not only compensate, that will help us to exceed because these are all post these two wars.

This particular missile program is very urgently required. This is an accelerated program. We are proud to say we are very much part of it and we have a good value in that and we are leveraging that . So we are going to sort of, that

will more than compensate if there is any delay.

So I can send the program details to Mr. Kiran directly to you common id because this is something, a big program which is happening, which has been kind of marked today for the two days. So the other missile programs have taken a backseat and this program has now, most of the funds are going towards this program and we are very much part of it.

Moderator: Next question is from the line of Rupesh Tatiya from Intelsence Capital . Please go ahead.

Rupesh Tatiya: Hello, sir. Thank you for the opportunity. My first question, sir, is over let's say next six months and then FY '26, can you list the programs from which you are expected to receive the order? I know Mistral team is on the call and I mean, where are we on LLT, RSVD? What kind of, one of your competitors is expecting that they will receive an order from radar? So if you can give indication, where are we on that?

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Then Adani, I think has been declared L1 for data systems. So where are we on order for that?

Then I think X band Radar, Bharat Electronics has received an order for INR800 crores X band Radar.

So if you can, both of your listed competitors give some sense of three or four programs for which they are likely to receive the order. So if you can talk about this, what are you going to receive in FY '25 and what are you going to receive in FY '26?

Sampath Ravinarayanan: See, sir, I'll do it in two parts. One, I'll send you a mail with the details. Definitely I'm going to do. But for the benefit of the other people, I'm just going to say, my feeling is if you look at, as I said, I'm breaking the defense into two parts. One is the DRDO -PSU part, which is development -based. Another part is the integration in bigger parts as a direct to defense part. So in these two parts, my number one, I would say, if I say to 2026, which will be my number one, this thing will be the new defense. I would say first would be definitely our drone. That is definitely our anti -drone program. That will be our major program, topmost.

Second will be the new missile program I'm talking about. That will be the number two program. Okay, in terms of market share, in terms of value, in terms of absolute value. These two are new programs, not factored in so far. This is a lot of work is coming from our side, the new team, et cetera. It's going to be there.

The third one is already got LLTR, MPR, and DF. All these activities will be growing and that will also be playing a major part. Even if Adani wins, for example, in AVAX, everywhere, they have to buy from us. Because as per the rule, as per this thing, we are the designated seller for that particular product. No matter who becomes the lead integrator, who wins this, we are the subsystem manufacturer notified, so they should get it from us.

Even they have a product in that. Okay, so basically whoever wins the final product, which consortium it doesn't matter, we are the designated subsystem manufacturers for that. And so all the subsystems will be sold intact, so the numbers will be intact. As far as these three products that is for the program, LLTR, MPR, and all other products also. Added to that, I would say the one major difference is the DF. DF is a new program, and DF is the focus right now.

Whatever comes out of the DF will also be there. So if I could say the third major win, apart from anti -drone, apart from the new missile program, possibly if we can get it right, the submarine systems. The new submarine systems, if we get it right. So this will be my top three. The top three will be new, the rest will be LLTR. Okay, that is the plan. And so anything I want to add to this?

Sunil : If you want to add on LLTR, we are expecting around 120 crores. So that's what is in the Q1, Q4 or Q1 of next year.

Rupesh Tatiya: Okay, sir. And then I

have maybe a few technical questions. So one, sir, is this submarine. So there is this Samudrika electronic warfare program, which is like an umbrella program for all electronic warfare. And then there are, I think, seven programs within that, I think. Shakti, Nayan, Tushar . And then there are some other Sarang and all that. So are you present in all of

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them? I have only probably heard of Nayan in the past, but are you present in all of these electronic warfare program? And what, do you supply direction finding or some other products? This is one question.

And then the other question, sir, is in counter -drone systems, whatever the active and passive

radars that are used, do you manufacture them? Does the ACAT manufacture them in-house or within AXISCADES group, or they are procured externally? Because I think this is, I think my understanding is this is one of the competitive advantages on, if you can produce the radar on the quality of the radar, I think is one of the competitive advantages.

So that is another part. And then the final one, sir, is I think in LCA Tejas Mark 2, the ASAR radar I think is moving from gallium arsenide to gallium nitride. So do we have the gallium nitride technology and would we be part of the LCA Mark 2 program also? So these three kind of like technical questions, if you can address.

Management : Mr. Rupesh, good evening Ramanan here.

Moderator: Participants, please stay connected in the line for the management room. Participants, thank you for your patience. Sir, you are reconnected.

Ramanan : Mr. Rupesh, I don't know where we lost the line, but I'll repeat for your convenience. My name is Ramanan, and I will be taking your, the first and third question. I will have to pass on your second question.

To the first question that you asked, under the umbrella of Samudrika , we are now supplying into the for Nayan , and the other programs that we are aware of and which we have prototyped and we have succeeded are the Sarvadhari and the Nikash. The Sarvadhari and the Nikash are programs which are airborne programs, again, but for the Navy. We have prototyped and we have succeeded.

As and when that goes into production, we will again be in the reckoning. There is another part which is called the Shakti, and we have also won that program and we have prototyped it successfully, and we should be looking at production coming in soon for that. So, per se, in the direction -finding side, we are in the Shakti, we are in the Nayan, Sarvadhari , and Nikash.

Now, there was another question that you posted and that was on the LCA side. On the LCA side, we specialize in Ga N-based RF amplifiers. So, we will be continuing with that and that shall be the one which will be offered for the LCA mark.

That is our understanding and that is the understanding of our customers also. If there is anything different, we are not aware of that yet. With respect to the drone, anti -drone related question that you had, sorry, was it the anti -drone question that you had asked? Was the second question on anti-drones?

Rupesh Tatiya: Yes, I request, yes, I request...

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Management : On the anti -drone radar question, right now, we are working with, we are working with partners for the radar and in the future versions, we are going to, we have a very deep radar capability.

So, we are going to have our own radar. Already, we are on the way to TOT and also we will have our own radar integrated into future programs.

Moderator: Thank you very much. Ladies and gentlemen, in the interest of time, we will take that as the last question. Rupesh, I'll request you to get in touch with the management offline. With this, I now hand the conference over to Ms. Sangeeta Tripathi from AXISCADES for closing comments.

Sangeeta Tripathi: Thank you, Dr. SRN and S hashidhar sir for your time and efforts. Thanking all the participants for your thoughtful questions and keen interest in our business and the company's development.

On behalf of AXISCADES, I sincerely appreciate your time and engagement during this update and discussion. If any of your questions remain unanswered, please feel free to reach out to me directly. Also, thanking our investor relations agency, Orient Capital, for organizing this call. You may now disconnect the line. Thank you.

Moderator: Thank you very much. On behalf of AXISCADES Technologies Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

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Dear Sir /Madam ,
Sub: Transcript of the Earnings Conference Call with the Investor(s)/Analyst(s)
Further to our intimation dated February 03, 2025, please find enclosed the transcript of the Earnings Conference Call with the Investor(s)/Analyst(s) which is hosted on the website of the Company at www.axiscades.com
We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

Yours truly,
For AXISCADES Technologies Limited

Sonal Dudani
Company Secretary & Compliance Officer
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“AXISCADES Technologies Limited
Q3 & 9 Months FY '25 Earnings Conference Call ”
February 03, 2025

MANAGEMENT : DR. SAMPATH RAVINARAYANAN – CHAIRMAN –
AXISCADES TECHNOLOGIES LIMITED
MR. ALFONSO MARTINEZ – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – AXISCADES
TECHNOLOGIES LIMITED
MR. SHASHIDHAR S. K. – CHIEF FINANCIAL OFFICER –
AXISCADES TECHNOLOGIES LIMITED
MR. SHARADHI BABU -- PRESIDENT , DEFENSE –
AXISCADES TECHNOLOGIES LIMITED
MR. D. MURALI KRISHNAN -- PRESIDENT , ESAI –
AXISCADES TECHNOLOGIES LIMITED
MS. SANGEETA TRIPATHI – HEAD INVESTOR
RELATIONS – AXISCADES TECHNOLOGIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9 Months FY '25 Earnings Conference Call of AXISCADES Technologies Limited hosted by Orient Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you make a decision during the conference call, please signal an operator by pressing star and then zero on your touch -tone

phone.

I now hand the conference over to Ms. Sangeeta Tripathi, Head, Investor Relations from AXISCADES. Thank you and over to you, ma'am.

Sangeeta Tripathi : Thank you. Great evening to everyone. Welcome to Q3 FY '25 and 9 months FY '25 Results Conference Call for AXISCADES Technologies Limited. Today, I'm joined by our leadership team, Dr. Sampath Ravinarayanan, our Chairman of the Board; Mr. Alfonso Martinez, our Managing Director and CEO; Mr. Shashidhar S. K., our CFO along with Mr. Sharadhi Babu, President, Defense; and Mr. D. Murali Krishnan, our President, ESAI, that is Electronic, Semi conductor and AI domain. They will present an overview of the AXISCADES' recalibrated strategy, our business performance and financial results, after which we will open floor for questions.

Before we begin, please note that this call may contain forward -looking statements based on company's current expectations, beliefs and opinions. These statements involve risks and uncertainties, and actual results may differ materially.

I now hand over the call to our Chairman, Dr. Sampath Ravinarayanan to discuss the business performance and the strategic direction of the company. Over to you, sir.

Dr. Sampath Ravinarayanan : Thank you, Sangeeta. Good evening, everyone and hope you are -- all of you are keeping well. Thank you for joining our Q3 FY '25 Earnings Call . I trust you have had an opportunity to review the financial results and investor presentation that have been made available on the Stock Exchange and on our website. So basically, if you look at our investor presentati on, we are focusing on certain key areas , and the same has rationale.

When I took over my philosophy is that if we have to be in a particular business, we should have a podium finish. We should be among the top 3 in the areas we are operating. The best areas we are close to getting there is Aerospace, Defense and th e ESAI which is Electronic Semiconductors and Artificial Intelligence .

Because we have enough leadership team, we have thousands of man -years of experience with us. And we are already having a kind of a jump start. We are in some kind of pole position in these kinds of things . If you go to the Page 6, which you would have seen, in the main Q3 FY 25 investor presentation, we have seen that our own performance in aerospace, defense and ESAI is contributing for about 99% of our EBITDA and 72% of our revenue, whereas all the other businesses are contributing for only 1% of EBITDA with almost like 1,116 people.

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The people -wise, there is like about 55-60% , whereas the contribution -wise, year -wise, it is 99% So we decided to focus more on the se core areas we call it as a core activities, - these businesses are (a) A erospace, (b) D efense and (c) ESAI. And we'll focus on that. And noncore we are deciding , we are just contemplating. We have various options with noncore, as to what we are going to do. We are just discussing and see what can be done. But primary focus is going to be on the core businesses, and we are going to recalibrate the noncore to fit into our core strategy. And so, this is our first matter -- important decision.

Then if you look at it in core Aerospace and Defense and Electronic Semiconductors and Artificial Intelligence, (ESAI) in that as you know, as Def

ense, of course, we are working on a few programs. We have a 3 -level engagement with defense.

One is with the program, which is essentially driven by DRDO and so the other one is direct with DRDO and PSUs. And the second one is direct MoD, something like, similar to the anti -drone and so on. Third is engagement with foreign OEMs in terms of offset or Aatamnirbhar and so on. So, for defense we are, in each areas, we are trying to increase our footprint engagement programs, etc, etc.

And in fact, in aerospace, as you know, there is no new aircraft that is being built in the last so many years. Last one was A350. And after that, almost 15 years back , no new aircraft, and for future, we don't see any new aircraft coming soon . So basically, we are -- our whole revenue comes from repairs and support of the old aircraft and production support, etc and some kind of structural changes, structural designs and improvements, etc.

So, we are looking at expanding the aerospace activities by getting into supply chain management, artificial intelligence -enabled MRO, manufacturing and design. Aircraft conversions, which is happening in a big way. Interior design is also happening in a big way. They're trying to set up speed shops powered by our logistics, inspection facilities, etc.

In terms of Electronic Semiconductors and Artificial Intelligence (ESAI) , I want you to understand that we are only into post -silicon, there are hundreds of companies in pre -silicon. We are not focusing on pre -silicon. We are into post -silicon. That is once the chip is made, we use the chip to make products, products for various applicatio ns, various groups and so on.

So, we are making box. So we are into box building earlier -- we used to do only design. Now we are building the box. Now we are building some prototype, some batch production, this

would go up to 1,000, 2,000, 10,000 numbers of batches of these products. That's how we are going to scale up.

Then we are also getting into – as you know we got bought a company called add -solution. add -solution has certain skills in thermal management. So we are trying to build a thermal management capability out of it. Of course, and we are trying to get into micro data centers, AI-based quantum data centers and so on. Edge micro data centers is our focus. And of course, we will probably do ESAI incubation activities so that we get some IPs quite fast.

So essentially, the whole approach is that we want to grow non-linear, -- we want to be IP-driven growth, product-driven growth. We don't want to be linear -- our growth should not be

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proportional to the number of people. It should be more than our capabilities, our IPs, our products and so on. We want to be globally present, and we should be scalable with quality.

These are our three mantras in which we are trying to expand.

So in order to do this, we need a very formidable leadership team. Of course, we have tweaked the Board of Directors, you would have seen that lot of changes have taken place in the Board. , and maybe there will be one or two changes, final changes or maybe additions, which will add to our vision and would be supportive to be adding value to our -- these three domains we talked about.

So that is why our focus is , a razor -sharp focus, is to ensure that everybody connected with us should contribute to somewhere to our growth strategy. So that is what we are trying to do. And Alfonso, of course, is -- we always used to admire him because he was our competition, as in, Alfonso started -- he's basically an Aerospace -- Aerodynamics engineer, who started his own company at a young age in 1997, sold the company, exited the company with Altran, took a leadership position in Altran and drove their Aerospace and related verticals which is more than \$1 billion for almost 18 years.

Then when Altran was bought by Capgemini, he joined Capgemini. He was part of Capgemini on the leadership position, again doing a similar role, again, handling \$1 billion-plus, did 3 years in Capgemini, then he joined Quest Global as a Group President, then now he joined after 3 years stint in Quest Global. He's now here. He assumed on 20th of January. He came to India for about 10 -15 days, where he got accustomed to everything and then got inducted.

So basically, Alfonso is very much there. He's on the call as well. And then we decided that all these 3 verticals we talked about, we call that as domains, all these three domains we talked about Aerospace and Defense and ESAI, we have Presidents separately. Sharadhi Babu, our President of Defense is a very veteran of the AXISCADES. He has been there since inception. I hired him when I was Chairman and CEO of AXISCADES.

I hired in 2008. Since then, he has been driving the defense business for a long time. He understands everything. He understands various programs, himself is a great engineer and hands-on person, started his life in Air Force. So, he's handling the defense part.

And Murali Krishnan, of course, he is also an AXIS veteran. If you notice, except Alfonso, the entire leadership team is from AXISCADES. They are AXISCADES alumni or in

AXISCADES. So, we are not getting any one outsider -- because the reason is, we don't want too many outsiders because currently, we don't have time. We don't have learning curves. We don't have understanding curves just to get into chemistry, etc.

So we want somebody who knows AXISCADES, how it functions, the leadership, the investors, everybody, just to be part of that. So, Murali Krishnan was handling in a leadership position for about nearly 2009 to '16, he was there. Now is President of ESAI, great leader, great team builder and he successfully handled many activities in AXIS CADES . Then he went to Cyient and is back here. He also assumed charge on December 15 and he's already doing a great job.

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Then you have President of Aerospace, again an AXIS CADES alumni -. He used to work for me. One of the best guys who ever worked for me. He is my superstar. And he's going to join in month of April. He's done a great job in his current company, took from almost zero to a huge order book and made that as a kind of a well-known name in the aerospace manufacturing. So, he brings that experience we need. I talked about supply chain management, the aircraft conversion, speed shop, inspection facility. All these things, this gentleman is going to bring in . He has a worldwide contact, not only contact, but he's also got lot of respect and affection from the Aerospace community.

So, he will make -- he will make a lot of changes. And of course, Shashi, you know very well.

This is our core leadership team. So, we need to strengthen, lot of support we require. So, we have brought in 3 advisers. Again, they are very world-class, Nick Santhanam. I'm very

privileged and happy to have him. It's very rare to have such a senior person.

Nick was a senior partner at McKinsey, driving their global semiconductor practice, industry's practice and he has served the semiconductor clients all over the world. And he knows most of the semiconductor CEOs very well by first name basis. So, he's in the advisory role. He's a member of Forbes Business Council and advisory role in Smithsonian libraries and so on. Well known. He used to be in Palo Alto and so in Bay Area, California. And so anyway, so Nick is an adviser here.

Colonel Kuber, again, he is the person who initially was one of the architects of the Defense offset policy, was the first in charge of DOFA, (Defense Offset Facilitation Agency) and served as members of the expert committee, adviser to DRDO and senior adviser to NSIC in Ministry of MSME. And Colonel Kuber

was also there during my initial financial tenure, he was there when we got talent programs and all. He was our adviser before, worked with us before, hence he is well known to us and he is also director in E&Y at this time.

And Yves Guillaume – Our Aerospace Advisor -- is head of Airbus Group in India, he is the President of Airbus Group for 10 years. He knows India very well, all the offset programs very well. He is the go-to guy for, not only for Airbus Group, for the entire European industry, when something they need, any about, they called Yves because he's that much veteran in India, Europe, Offsets and Defense policies, etc, etc, plus aerospace he knows extremely well. He was President of Airbus Group. And so, he built the Airbus what it is today in here.

And so, he's highly respected in this and also he served in Thales and other companies. So he is a very, very important pillar for Aerospace industry around the world, and we are honoured, proud to have him with us there.

Already Colonel Kuber and Guillaume is on board almost last 1.5 months and is -- they are making lot of difference. They are giving us lot of support and so on. So, as you see that now we are almost aligned more or less our positions, our people, the leadership team. But for almost everything is filled up now, one, the main Aerospace President has to join.

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And we are also hiring one Senior Vice President from, again, an AXISCADES alumni for ESAI domain and for -- who is also now working in a very large multinational in a leadership position, directorial position. He is joining us next month.

So once -- this is done, India facing, all the main team will be completed with that. Only thing, probably we'll be hiring in the future are more sales team. Alfonso feels that we need more sales team and sales presence and different geographies and so on. So Alfonso will decide and hire more sales people in this.

So other than that, we are almost filled all the positions at this point of time. And also the advisory. Maybe we'll add one more next-level advisers in these categories. So with that, we are planning to grow. As we mentioned in our presentation, our focus is to grow about at least 50% on the core domains, on the 3 areas, Aerospace, Defense and ESAI, 50% plus.

When I say growth, I have only three things in mind. As I said, we have to be on top of the industry -- We should be top three. We should have podium finish if we are in this area. Second, I'm only looking at EBITDA, not on the revenue, etc. So, I just need as to - how do I maximize the EBITDA? That is my second major focus point. The third is the percentage of EBITDA. So how do I increase the percentage of EBITDA so that, it helps the quality of the company, that helps us into climbing the value chain. So, these are the three things. Just being finishing the top three in the areas we operate, whether it's the Aerospace, Defense or ESAI.

Next 2 - 3 years, we should be among the top three in the country and a significant player in the world. That is number one. Number two is just to have a best percentage of EBITDA which can achieve. And the third is how do we increase the EBITDA. So, these are the three things we aim to maximize. So, this is what my goal will be and so on. So, one thing is that we require large investments in terms of moving forward.

ESAI, Aerospace and Defense will be together. We'll be creating an infrastructure separately, which will be called DAC, which is Devanahalli Atmanirbhar Cluster. That is, we own a 20-acre land just adjacent to Bangalore Airport called Aero Land, very prestigious place.

We'll be building a huge cluster to do this. So meanwhile, we are doing two other activities. That is our first investment is in improving our electronic city facility. We are going to build our own hangar.

We are going to test the hangar, integrate and so on. And also, it has drone building and so on. So anti-drone -- so we are building a hangar immediately, also building one more floor so that our defense, direct defense team and radar team and all can move there, that too in the Electronic City.

So, the second is, we are already almost -- the cold shell is completed for the same near our

Bangalore airport. Our own facility that we have own joint development with another builder. So, this will be ready by February end. So, we will do interiors, etc. We'll move into this facility by around end of May. That's the plan. So, by first of June, we'll be in this facility. It will be 180,000 square feet facility.

Just put it in perspective, it is almost double -- more than double of all the facilities we have at this point of time. This allows a world-class electronic manufacturing facility and also on the AXISCADES Technologies Limited

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ground floor, we'll have a strategic partner, some customers will have -- with whom we have a long-term strategic relationship. It will be there until they move to the Devanahalli Atmanirbhar Cluster.

So, this will house some of foreign OEMs also. And of course, this will also have the entire ESAI and the ecosystem for that and AI skill development, AI delivery facilities and all will be there. This is something -- the Electronic City and BIAL work is already. We will be moving in by, hopefully by June 1. Definitely, the second that is the Aero Land, we'll definitely move by June 1.

Here, depending upon the construction and monsoon, etc, there may be some delays, but still, we are planning to do by June 1. DAC - this DAC, we have a plant, almost ready. We have a digital -- we are doing a virtual walk through. We want to showcase this to our customers during the Aero India.

So, if any of you are interested, probably, we will circulate a video version to you at some point of time, we'll put it in a private mode in YouTube or somewhere and share the link with you so that you can understand evolution as far as DAC is concerned. So, this is what is our investments. And rest of the things, about numbers and all, I leave Shashi to talk to you. yes, Shashi will go through the numbers.

Before going through, I'll just give the call to Alfonso. He can just introduce himself and you can talk to him. Then Shashi can go through the numbers. Thank you very much.

Alfonso Fernandez: Thank you very much, and good evening, everyone. I'm thrilled to be part of this call as this is the first time I interact with you all. Well, as I am happy to state that, I'm bringing to

AXISCADES my more than 35 years of global experience in engineering and technology services. I've been -- piloted roles such as a Global Business Head for transportation at Quest Global and also hold several managing positions at Altran Group and Capgemini Engineering. I have led global and complex teams, driven business transformation, achieving transformational growth. Let me remember in 2008, when it was my first visit to India and at that time, India was clearly leading IT services and then starting engineering services. But I realize that a similar trend will happen in engineering. Since then, I've visited India every year for the last 17 years. And joining now AXISCADES as CEO is super exciting.

I've been advocating that India will be the centre of gravity for the engineering worldwide. And now it is a reality. And being a key actor on that is a real privilege. Joining AXISCADES for me is an incredible opportunity to build on a very strong foundation. My immediate focus will be boosting our technological capabilities and aligning our strategies with client needs.

Let me emphasize that having led global technology corporations, I can vouch for the exemplary capabilities and competence of AXISCADES engineering, the

programs, the delivery teams. in

the last 2 weeks since I joined, is one of the best I've ever seen. I have always been hands on, here too I will be a leading my teams from the frontline. Engaging with customers is my passion and motivation. I would continue to engage with the clients, in a few days, I will start heavily to do that. In fact, well, I already did in my first 2 weeks. But now they are coming to important

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industry events in which we are participating AeroIndia and IDEX in Abu Dhabi. And of course, I will be there supporting the team in building long-term relationships and big deals with the clients.

The opportunity in our Space, Defence and High tech is there. We have the right positioning, the competencies and the capabilities. And as SRN explained very well, we have a very clear focused plan. In most of my career, I played a global role and building relationships in many different countries, in particular, Aerospace and Defence industries where I've been mostly active in my previous companies.

With my industry knowledge and global network, I am committed to helping the company to transition from a service driven player into a more product focus to achieve non-linear growth strategy, as SRN explained very well. We are being a more asset-based service company than a labour-based. This is recalibrating all the business. We have to do an action as Dr. SRN said on

recalibrating the low -margin non -core businesses . And making this strategic shift that will drive the sustainable profitability and enhance value for our stakeholders.

For your information, I will be spending 50-50 my time between India and Europe and US. And as I said, very clear, my focus will be big deals, elevate our positioning and building long -time relationships with our clients. Dr. SRN has already mentioned that we need to enhance even more the sales team t o allow this more relationship base d and long -term engagement with the clients.

We are missing big deals and this is coming now. Also very exciting to be in a company that is really technology driven. Now the world is AI -powered systems from chip to system, etc and the company is building a beautiful position in there. So few things more, I will be happy to take questions. I ask you to understand that I've only been 2 weeks in the company.

So for many things about our internal questions, it will be the rest of the team answer and I can take the questions on the market and the perspective. Now thanks to you for your attention and I'll pass the call to Mr. Shashidhar, our CFO, to walk you thro ugh our financial performance. So Shashi, floor is yours.

S. K. Shashidhar : Thank you, Alfonso. Good evening, everyone. It's a pleasure to be here and share our performance with you. We have seen a healthy growth across all segments. That's the good news.

Our consolidated revenue grew by 18.4% year -on-year in quarter -- in Q3 to I NR274 crores with a 3.7% sequential increase largely driven by strong growth in our core verticals. Defen ce posted an impressive 88% year -on-year growth, while Aerospace grew by 11% year -on-year.

Our EBITDA for Q3 FY '25 rose by 36.9% year -on-year to INR40 crores. The EBITDA margin expanded by 200 basis points year -on-year and 220 basis points quarter -on-quarter, reaching 14.6% for Q3 FY '25. Our core domains comprising aerospace, defen ce and ESAI, which is electronics, semiconductors and AI, demonstrated robust growth of 33.1% year -on-year with Q3 FY '25 revenue reaching INR207 crores compared to INR155 crores in Q3 of FY '24.

This strong performance was primarily led by an impressive 88% year -on-year growth in the defen ce segment, driven by increased order execution. Meanwhile, aerospace posted a year -on-AXISCADES Technologies Limited

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year growth of 11%. The core s

egment EBITDA grew by 68% year -on-year with a significant

margin expansion of 450 basis points from 16.8% in Q3 FY '24 to 21.3% in Q3 '25. Core EBITDA amounted to INR44 crores, up from INR26 crores in Q3 of FY '24.

Both defen ce and Aerospace segments saw a notable improvement in EBITDA margin. Defen ce EBITDA margin surged to 18% in Q3 FY '25, up from about 8% in Q3 of FY '24, driven by enhanced order execution and operational leverage. Aerospace posted an EBITDA margin of 24% compared to 20% in the same period of last year.

The non -core business, predominantly driven by automotive experienced 11% decline year -on-year with the revenue decreasing from INR76 crores in Q3 FY '24 to INR68 crores in Q3 of FY '25. The non -core segment reported a negative EBITDA of INR4 crores in Q3 FY '25 compared to a positive EBITDA of INR3 crores in Q3 of FY '24.

As articulated by Dr. SRN, our endeavour is to recalibrate the low -margin non-core business in the next 6 to 9 months. Finance costs were reduced by 39.7% year -on-year to INR7.3 crores reflecting improved debt management. Profit after tax grew by 96% on a year -on-year basis from INR7.5 crores in Q3 of FY '24 to INR14.8 crores in Q3 of FY '25. The PAT margin came at 5.3% for the quarter as against 3.2% in Q3 FY '24. With respect to 9 months performance, the total operating revenue for the 9 -month period grew by 9.4% year -on-year to INR762 crores. EBITDA for 9 months FY '25 stood at INR104 crores with a margin of 13.6%.

PAT reached INR44 crores, up from INR24 crores in the same period of last year, highlighting significant profitability improvement. Net debt was at INR35.5 crores as on 31st December. The EPS has almost doubled up by 96% from INR1.75, not annualized, of course, to INR33.44 in Q3 of FY '25. The order book as on 31st December was at \$83 million or about INR710 crores. As we embark on this exciting new chapter, our strategy is centred on advancing along the value chain and focusing on product and solution -driven offerings. With a strong leadership team and ongoing investments, we are well positioned for sustained growth and to maximize value for our stakeholders. Thank you and we now open the floor for questions.

Moderator: We have the first question from the line of Nirali Gopani from Unique PMS.

Nirali Gopani: Sampath sir Congratulations on joining AXISCADES and you coming in has really changed the perception of the company. In the sense change in the strategy that we are seeing. So we have seen this huge change in the strategy. The last 2 acquisitions, which were very recent have now been qualified as non-core and at that point of time, we believed to have huge potential. So as investors, how should we look at this change? Or how confident should we be that this new strategy will work in our favor?

Dr. Sampath Ravinarayanan: See, basically, the core activities, we are very confident about taking it higher if you

see the numbers, the EBITDA and performance of core, they are doing well. The leadership team is very much plugged into that and have lot of experience, so are the people. And so all of us - from the top to -- Alfonso, myself, Mohan, Babu, everybody has tons of experience in the aerospace and defence and also in ESAI. And Murali comes with a huge experience in operations and so on.

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So given that we are very confident we have enough pipeline, we have enough customer support to take this forward on its own to a great height. That's what we are -- if you look at the numbers we have presented, if you remove the non-core from the equation, then you will see almost our EBITDA is 18.7%,

But as you see, as a combined, the percentage comes down to 14 % -- what is it, 14 % -- nearly 13% -- 13.7%, if you combine that and it just adds 1% but drops the points by almost like 4.5%, 5%. So anyway, we have no choice but to rec

alibrate, relook at it. And we are doing it in a manner it will always help the shareholders.

As I said, my whole goal is to make sure that your EPS is maximized, and we also climb the value chain by increasing the percentage of EBITDA. So these are the 2 definite focus for us and we'll make sure that everything in our commitment to make it happen. So that's what I can say.

S. K. Shashidhar : Just to add, Nirali, you see the fact -- the -- why we are calling it as non-core is because always, we have maintained that the heavy engineering vertical as what we are serving is predominantly a staffing business. And with respect to automotive, all of us know, it is undergoing some macro challenges and specific issues. While we definitely are talking about a recalibration of these businesses, we are agnostic to service s or customers .

And what we are actually offering to customers, we are agnostic to which domain they belong to, as long as they fit into our offerings in our core -- 3 core domains. For example, in our ESAI domain, we'll horizontally serve a range of clients and markets, which may also include aerospace, defence and our legacy domains of heavy engineering, automotive, energy, space, medical, etc.

Our singular focus and objective will be that all our businesses and customers should serve to be margin accretive and should not dilute the margins of our core verticals. So that's the message we are trying to do. It is not that we are completely going away, as long as it fits into our core, I would say, verticals, especially where in terms of heavy engineering, automotive and all of that, when it -- if it fits into an ESAI business, which is high margin, that's where we are going to look -- focus on, not the predominant staffing business.

Dr. Sampath Ravinarayanan: Just to add, see, on 1 point, see, as you said, ESAI is sector -agnostic. We are, for example, the world's leader in SDVs (Software Defined Vehicle) and new generation automotive. Now we call it as technology. Tesla calls itself as a technology company, not as an automotive company. So given that, we are serving Aptiv. Aptiv is one of the largest radars and SDV companies. So they are our customers, will continue to be our customer but they are our customers in ESAI group.

Just -- so is Apple, so is Amazon. We are probably -- proudly can say that we are the -- one of the few Indian companies who can have Axon, Apple, Amazon and Aptiv as our customers as of today. So that is what I can say. So, ESAI will be sector agnostic. Some of this non-core will be put in here so that we can deliver a higher value to the customers.

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Nirali Gopani: Right. And there is this investment that we have announced in the presentation, which we call Strategic Investment 1 and 2, what kind of investments will this need and how do we plan to fund them?

Dr. Sampath Ravinarayanan: See, the 1 and 2 probably will take about INR150 crores to INR200 crores. We are -- probably peg it around INR180 crores, let us say. Some of them is building and facilities and creating new equipment's, etc. Mostly the money will be consumed for the radar hangars and integration facilities, testing facilities for radars, etc. And similarly, electronic high -end manufacturing for defence components, components assemblies and testing and so on.

So, these are the facility cost and this includes buildings and customized buildings, etc. So, as you say that -- as you see that this is a new facility of about 220,000 square feet which is 180,000 square feet will come in the Aero Land and about 40,000 square feet in Electronic City. So, this is something like 2x or 3x bigger than what we have currently. So, this facility -- this number 1 and number 2 put together is 180.

And we are having a few options of how to fund it. Probably in another 2 -3 months, we'll have

1 call where

in - we'll brief you sometimes and how we are going to do this. Currently, it's all under consideration and planning, we are exploring various possibilities, but we have a plan to fund this. This first, 180. The third is a fairly huge project, which is DAC, which will -- address it separately. We are coming with the strategy.

But basically, that will be addressed in the Q1 of FY '26. So that will be separate investment 3.

For 1 and 2, your answer is -- question is approximately INR180 crores.

S. K. Shashidhar : So essentially, just to add to Dr. SRN, you see this facility of 180,000 square feet also is coming up in a company -owned land parcel of around 2.3 acres, which is being codeveloped. So that means we are not investing any money in terms of building. It's actually being kind of, I would say, put in by the, actually joint developer. Our contribution is the land value.

And essentially, we are going to be leasing the entire facility once the 180,000 square feet gets built. The investment as what Dr. SRN is talking about is in terms of building an integrated manufacturing facility, the interiors and all of that with respect to the core verticals as what is going to operate from there.

Nirali Gopani: Right. Because given you are also planning inorganic acquisitions, so the total capex number will be quite large, right, over the next 2, 3 years, the total investment?

Dr. Sampath Ravinarayanan: No. We are not planning anything right now on inorganic acquisitions as of now, okay? Our focus is only these 2 things. -- we have a different strategy for ESAI. Again, we'll come back to you. It's not inorganic acquisitions but there will be certain requirements there also. So currently, we'll say that, safely you can assume for FY '26, we will probably peg our requirement around 280 -- sorry, INR180 for this 1 and 2.

And we are not looking at any inorganic acquisition unless something exotic comes in our way in FY '26. Okay.

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Nirali Gopani: Right. And my final question. The business that we have classified as non-core. So if we decide to exit, let's say, add -solution or the energy business, given the situation today, how confident are we of getting some buyers on that side?

Dr. Sampath Ravinarayanan: So, one is, add -solution, we are not exiting. We are recalibrating. We are making it as a thermal management company. They have very good capabilities and it will be part of our ESAI group, seamlessly integrated.. In the other energy, EPCOGEN, etc, etc, in fact, we have not even thought about exiting but we have 2 major buyers lined up already. They came and approached us on their own. --So, there is no dearth of buyers, but we are very sure is that an option we want to pursue. Okay?

So these things we are evaluating but there is no dearth of buyers at this situation and so on. But in any case, we are not giving it up. We are just making sure that they are strengthened. Even if we are going to exit that, it should be in our terms. We should be in a position of strength then while we exit. That's what we think.

Moderator: We have the next question line of Deepak Poddar from Sapphire Capital.

Deepak Poddar: Sir, now going through the presentation, have laid out our strategy road map, right? So we are talking about growth of more than 50% in our core business, right? So that 50%, I mean plus is what we are targeting to a 60%, 70% is also what we might look at, right, going ahead?

Dr. Sampath Ravinarayanan: Yes. Some areas, yes.

Deepak Poddar: Come again, sir?

Dr. Sampath Ravinarayanan: Some verticals, yes. Yes, we are looking at -- see, the 3 verticals for when we say, we are at the core to grow at around 50%, then 55% to 60% at defence, 50% to 55% at ESAI and 45% to 50% at aerospace.

Deepak Poddar: So, on an average, it will be 50%, 55%, right?

Dr. Sampath Ravinarayanan:

On average, it will be more than 50%. I'm only talking about EBITDA. Okay. I'm only talking about EBITDA, not on the EBITDA of the whole company. We will only through core we'll exceed in the next year. Okay.

Deepak Poddar: So, this growth that we're talking about is on the EBITDA, not on the revenue?

Dr. Sampath Ravinarayanan: Not on the revenue. EBITDA growth, it will be -- see, I'll just put it this way. If it is, X going for FY '25 EBITDA, we will be 1.4x EBITDA in 2026. That is what I meant ..

Deepak Poddar: FY' 26. and this we are specifically talking about on the core domain, right?

Dr. Sampath Ravinarayanan: Non-core also. I'm talking about the whole. Let us say, the total EBITDA of the company is X as of FY '25. Then you can safely assume will be 1.5x by FY '26. And this entire 1.5x may come from the core domain. That's what I mean ...

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Deepak Poddar: Yes. Yes. Fair enough. Because that's what's happening currently. So what we are talking about, let me just reiterate, whatever total EBITDA we have, we are looking at 1.5 -- 50%, 55% growth in total EBITDA in FY '26, that also factor in the improvement in EBITDA margin you're talking about, I mean 300 basis point improvement you're talking about, right, in next year?

Dr. Sampath Ravinarayanan: That's also -- so the 2 parameters I'm trying -- we are trying to control is the value -- absolute value of EBITDA, which will be 1.5x the FY '25 figures. And the points, that is the percentage of EBITDA, which is going to be at least 300 bps higher than this FY '25. these are the 2 parameters that will decide what the revenue is going to be.

Deepak Poddar : That is going to decide what the revenue, that's...

Dr. Sampath Ravinarayanan : We're not going to be worried about revenue. These two parameters we will pick automatically the revenue will get picked.

Deepak Poddar : Correct. And one can take this as a CAGR as well, I mean, going into FY '27, a similar kind of growth is what one can envisage given the tailwind you are seeing in this core sector?

Dr. Sampath Ravinarayanan : See FY '27 will also be dependent on how fast what we are going to do with our investment 1, 2 and 3. We have FY '27, FY '28, FY '29 growth. We want a phenomenal growth.

That will mostly depend on what are we -- a lot of things are to tally depending upon how the DAC is going to come in, what are the things we are going to do in the investments, etc.

Of course, on a normal way, it will have a similar, if not, I don't know about the 50% growth, but it will have a similar kind of growth. In fact, we are looking at almost similar -- internally, we are looking at a good growth, extremely good growth.

Deepak Poddar : As I have 50%, 55% that we are targeting this year as well, I mean, FY '26?

Dr. Sampath Ravinarayanan : I, see, we have our numbers in mind, but it will be closer to that. But as I said, because FY '26 what are the efforts we are putting in terms of investment, in terms of the setting of the -

- see, if -- I will tell you, put it this way. In FY '26, it's a taxiing mode, '27 is going to be our takeoff and '28 will be cruising and going on and so on. So basically, this is how we are going to plan and what is going to be -- a lot of dependencies are there, but we have a great plan to overcome all these things. And definitely, we will give a formidable number for '27 onwards.

Deepak Poddar: Fair enough. I think that would be from my side. I think all the very best to you. Thank you so much.

Moderator: Thank you. We have the next question from the line of Aman from Astute Investment Management. Please go ahead.

Aman : Just a couple of (42:00) questions on defense side. So, we were expecting some orders on the counter drone side, some big orders. And we were expecting say by next year, we might do like maybe INR200 crores, INR300 crores in counter

drone. So, is it on track?

Dr. Sampath Ravinarayanan : I'll leave this to Mr. Babu. Sharadhi Babu is going to answer. Our President of Defense.

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Sharadhi Babu: Thanks for the question. Right now, yes. As you know, we have already delivered the first anti-drone system that has gone into the army. And we are expecting on the repeat order and also certain upgrades on the same. And already, we are participating in many RFPs. As you know, there are several RFPs that have come in and we are in the good pole position to participate and win certain -- some of these RFPs and we are in a very strong position on the counter drone systems.

And we are demonstrating and showcasing all our product portfolio in the air shows. I strongly urge all of you to come and then view the product portfolio in both drone and counter drone domains. We have very, very strong new product portfolio and also very attractive things for the future.

Aman : Sure, sir. On the Offset business, if you can talk about how is that scaling and what kind of growth do we expect in the next 2 years, 3 years? Can it become like INR 200 crores, INR300 crores business for us in the next 2 years?

Sharadhi Babu: In the Offset business, certainly, there is a very strong growth happening. As we know, already the Ministry of Defense is working out on placing certain new orders on marine rafale and also certain other naval projects. So AXISCADES has been part of the same. It has been the prime offset partner to these global -- specific global OEMs in the last 10 years.

And certainly this relationship is very strong and it will continue in the future. And certainly, we expect the order of magnitude to be probably what you've mentioned, probably more than that.

Aman : And on the LCA/Sukhoi upgrade, sir, could you give some update because I believe we were supposed to get orders after the 33rd plane and so on. So is it expected, say next two quarters, maybe we'll start getting that orders for upgrade on LCA side and Sukhoi also, if you can talk about it?

Sharadhi Babu: Yes. As we mentioned, we're already on the course of delivering for the LCA Mark 1A is going

on. And also, the Sukhoi upgrades also FY '26, there are certain numbers, which probably you will know from the market. Yes, they are on track and then our production is also on track.

Aman : So, can this combined Sukhoi and Tejas be like a INR 100 crore s business for us in FY '26 o r do you expect it to be bigger than that?

Sharadhi Babu: Combined between Sukhoi and LCA, it will be more or less, yes, you're right because we are working on it . Further, it also depends on the exact number of Sukhois that are getting upgraded.

So the number what they have announced is same as we will meet the same numbers.

Aman : And the big scale up will be in FY '27?

Moderator: Sorry to interrupt you, Mr. Aman, request you to kindly come back.

Sharadhi Babu: There will be further scaling up in the FY '27. You're right.

Aman: Sure. I will have more question, but I will get back in the queue.

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Moderator: Thank you. We have the next question from the line of Koushik Mohan from Ashika Group. Please go ahead.

Koushik Mohan : Congratulations for the new team. Sir, I just wanted to understand on one basic thing. With the new team, what is our vision for the longer term and how are we immediately looking for the next coming year?

Dr. Sampath Ravinarayanan : Thanks, Mr. Koushik. So basically, first is, we are happy to announce a formidable team, not only the leadership team, but as you would see that world -class advisory team. So, we are looking at -- actually the mandate or the request from the investors that to me is that I should exponentially grow the company.

It should be a very well -known, very re

spectable company with a good, formidable growth, . So

we need all the support we require. So the team is in place, almost the core team is in place. Each one has their job cut and very simple that they have to grow as big or as faster than anybody else.

So, in defense, we are pretty confident of things happening. Aerospace, it's on track with Alfonso is a big name and he is there, and we are also getting our new President who is also a well -known name. I'm talking about big name in the whole world. So these people are very -- extremely well known. And in fact, one good advantage is both Alfonso and the new President of Aerospace they are very complementary.

For example, the new person who is coming is well known in US also even Alfonso has a lot of things going on in the US. So, they will bring additional geographically and also in the different parts of the value chain, will help us climb in the value chain. Regarding ESAI, we are -- as you know that around 20% of our core is coming from ESAI, around 40%, 40%.

So, our immediate target is to bring ESAI in par with aerospace and defense. So almost like 2 years from now, we want to see that it is all 33%, 33%, 33% , So given that ESAI is the one we are trying to sort of focus more and trying to do that. We have some kind of a strategy. Basically, we will probably announce it a little later but just give you a hint. We are trying to create a fund -- a DeepTech fund.

And we are trying to sort of incubate several companies. Instead of going and buying companies, we're trying to develop on certain technologies we require for aerospace, defense and our own, the growth areas that we are planning right now. Maybe in another 2 months, we'll be almost ready in a position. Again, this -- it's in a very preliminary process. I don't want to announce it at this stage. Don't take it as an announcement. It is a loud thinking.

But that is the only way we are planning to grow the ESAI very quickly. We'll create a good DeepTech fund and start investing into certain niche technologies. That's a plan we are at present having and that will be probably take a shape in another 2 months , 3 months' time. So probably when we enter Q -- that is FY '26 we'll have all this arrangement, at least template ready for that. And through which worldwide, we will be taking up certain incubating or taking seed funding or certain funding into interesting areas in AI and ESAI basically. That's what is our plan. So in

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this team, we are put in place, keeping all this in mind, next 5 -year plan, who all can help, who all can support, who all can ensure and backup, if somebody fails who is a backup like that.

So, we are creating a very formidable team that can like create a redundancy, create a foolproof kind of team set up and that's what we are planning at this stage. As I said, this is the overall. We have a ambitious plan, I would say for the next 5 years. So hopefully, as I said if you ask me, we should become the top three in India in every category we are operating, and we should be a significant player in the world.

We would be well known in the world. So these are our ambitions. Hopefully, we should get

somewhere there. That's what it is. Thanks, Koushik. Is there anything else?

Koushik Mohan : Congrats, sir. I have one other question. Sir, what can be our sustainable margins. When we look at our peers and then when we look at ourselves, I can understand till date though, it's a different story, but from today, what can be our sustainable margins going forward for the next 5 years that we are aiming at?

Dr. Sampath Ravinarayanan : Koushik, if you look at the Page 6 of our investor presentation, you'll see defense is the robust at 21 -point something. ESAI is also -- sorry, aerospace is the 21 -point -something. And defense -- ESAI is also at 21.6%. Both are

very healthy, but defense was 14.6% this year

because of mostly things were in prototype development stage and things like anti -drone were very new. So we had to do a lot of trial and error, etc.

Now that they are all shaped up very well, defense will have a higher margin. If you just ignore the noncore and take only core and the plug -in that we are just crossed that learning curve and to prototype phase it should be technically at least 18.7% average, but we have plans as the product matures and as more products coming in and so on.

And one thing, we are not going to increase any manpower. It can be reduced. Our total headcount is going to be the same or much less. So given that we have only one way, we can go only up. So, we don't know how much we can go up in terms of EBITDA margins, but we are trying to do everything to make it better.

So almost most of our cost structure is finalized, except for some sales team, etc. So, we need to see and any new additions will be at the cost of the total headcount will remain the same absolutely or less. That's what. So, we are planning to do everything possible to get a robust EBITDA. And you can see that in the Page 6, whatever you see in the left -hand side, is our not only the aspiration, but that's also what we are doing currently. So, we'll try to sort of maintain it and grow on that.

Koushik Mohan : Got it. And if you correct me...

Moderator: We have the next question from the line of Rupesh Tatiya from Intelsense Capital. Please go ahead.

Rupesh Tatiya : Yes. Sir, my first question is, on Mistral side, I wanted to understand our contribution to missile programs. I think in the past you have mentioned, I think, Pinaka on the presentation and I also, AXISCADES Technologies Limited

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I think you mentioned Astra missiles on our presentation. So what are the components that we supply to these two missiles. And what kind of revenue or per missile contribution, what is our per missile contribution for these two programs?

Sharadhi Babu: Yes, we are contributing to the missile program. And we have been part of the Akash program and also, we are supplying the telemetry for Akash. The exact values per program per missile, I would like to right now keep it within us. Okay. Both are part of these programs.

And, I would like to update you that we will be part of the upcoming missile programs also.

We're looking at 2 more -- 2 large programs which are coming up. Okay. So that also we'll update you in the forthcoming days.

Rupesh Tatiya : Yes. But sir, Pinaka, I mean there's a large order out for at least INR 10,000 crore's order for Pinaka missiles is out. So I just wanted to understand, do we contribute to the program?

Sharadhi Babu : Pinaka, yes, we have contributed in the past and Akash yes, we are right now currently, we are part of the program.

Rupesh Tatiya : Okay. And then, sir, second question is Ashwini radar, I think we were expecting some order.

Bharat Electronics was declared L1 and I think we were expected to receive an order. So can you maybe give some update on that?

Sharadhi Babu : Yes. We are part of the Ashwini radar program. We are supplying 3 different subsystems to this radar. And already, the order is placed on BEL and we are part of the BEL ecosystem and we have our order book for FY '26. There is -- Ashwini is part of our order book.

Rupesh Tatiya : Okay. And how about our contribution to QRSAM, LRSAM and then this XRSAM, sir?

Dr. Sampath Ravinarayanan : These 3 programs, as I said, QRSAM, LRSAM, XRSAM, combined now they are the more focus. As mentioned earlier, there is a new program, which is kind of superseding all these programs. And have -- so this programs, we are very much part of it and we have very good value in this. And so we are looking at certain good value in each of this new program, which is almost like superseding all these 3 programs

we've talked about

Rupesh Tatiya : So when can we expect some...

Moderator: Sorry to interrupt Mr. Rupesh, request to can you come back in the queue for follow -up question?

Rupesh Tatiya : Okay.

Moderator: We have the next question from the line of Shweta from Arihant Capital.

Shweta: So my question is regarding GCC facility. Will this facilities also support civilian application of

UAV technologies? Or if you can share how much percentage of revenue growth we will expect from this facility once it's fully operational?

Dr. Sampath Ravinarayanan : Babu, you want to take this question because we are looking at UAV, we are looking at for all the homeland security as well as for defense at this point of time. And our -- most of AXISCADES Technologies Limited

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the activities will take place in our Electronic City, because being an UAV or drone in -- near airport is going to be very challenging.

So, we are keeping it under Electronic City. And this will definitely help our growth, and we may expand somewhere around there. And here, the DAC facility will take care of lot of other things. UAV may not be one of the items, but a lot of other things will be there. As I said, I will be circulating a detailed -- not circulating, I'll put it on a nice video. We are preparing for the air show. We are explaining what we are going to do and then send you a link quickly.

Shweta: So, you have -- my second question is regarding the chip to product services. You have spoken about it. So, are there any partnership or project in the pipeline for this vertical?

Dr. Sampath Ravinarayanan : Yes. As you know, we are working with all the 4 at least major chip manufacturers, Texas Instruments, NVIDIA, NXP and Qualcomm, so we are working in partnership with them.

We are trying to get into a new partnership with ST and other companies. But these 4, we have a very good relationship.

We are working in partnership with them. And they refer the customers to us. So we have all these 3, especially all of them are world top -- among the top 10 and so we are already working with them in partnership.

Shweta: So, the partnership is being finalized or it's in process?

Dr. Sampath Ravinarayanan : We are already working with them. Not finalized, we are working with them already. We are almost -- working with them already.

Moderator: We have the next question from the line of Nirvana Laha from Badrinath Holdings.

Nirvana Laha : Congrats on the clarity of communication and your presentation, sets the strategic tone very well. My question is regarding Q3 FY '25. Can you call out the production defense revenue and which programs contributed max to it, this quarter? And also what is our current defense order book?

Dr. Sampath Ravinarayanan : Babu?

Sharadhi Babu : Yes, the defense programs that are going on right now contributed belongs to multiple programs. It includes the Audra, which is the medium power radar program. And also, it has our direction - finding system also is being deployed across multiple programs. And also we have the LCA and Sukhoi upgrades, which are going on. We have contribution to that.

And also, there are many other communication systems and also, we are part of the airborne early warning program and which is the AAAU and the RPU programs. So, these are the ones which mainly contributed to our Q3 revenue in the defense programs. And also, as I mentioned to you, our antirone systems, out of 100 systems, we have delivered 75. That also part of our Q3 program.

Nirvana Laha : Okay. Sir. And what is the number for this quarter in terms of production revenues from defense and what is the order book, the outstanding order book for defense?

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Dr. Sampath Ravinarayanan : See, you can assume that 6x is the order book -- our -- from quarter n

umbers, you can

say, you can derive 4x is our yearly number. And our order book is approximately because it all depends on the AO and acceptance of necessity. It will be approximately -- we have visibility for about 4x of the value on each year's value. In other words, our Q3 value into you can safely multiply 16x, will be our order book.

S. K. Shashidhar : Just to talk about Q3 in terms of defense. The total defense revenues for Q3 was INR 92 crores, of which the prototype revenues, which is what the forthcoming orders was around INR 40-odd crores. The balance of it was production revenues.

Nirvana Laha : Got it. And sir, when you're saying 16x, so this INR 50 crore s production number, so 16x INR50 crores, so INR 800 crores is the visibility, right? Am I reading it right?

S. K. Shashidhar : Both productions, you have to combine the production and prototype when you say 16x. Production, continuously, you can safely assume 9x 16x. Okay?

Nirvana Laha : Last question from my side, sir, what is the expectation of revenues from counter drone system in FY '26? And in which quarter are we expecting to land a new order? And on ESAI side, sir, you were very bullish on drone controllers. So any update on that? That's all from my side.

Sharadhi Babu : On the counter drone systems, as you know, the immediate one we are looking at is the repeat order and also the certain upgrades that are required to be done on our 100 systems which have

been delivered. And there are several RFPs, almost more than about 10 RFPs that we have already responded and then we are in a very, very strong and pole position on many of them. And so each of them you see these upgrades and this thing will be appearing in immediate subsequent quarters. And certain -- the RFPs, which are in progress, the delivery is expected to happen in Q3 and Q4. So you will see the counter drone systems spread across the entire financial year.

Nirvana Laha : Sir, on the drone controller?

Sharadhi Babu : And the antidrone controller is already -- now we have certain designated -- the customers, okay, for which it is being supplied. So you will see those numbers also over the next quarters.

Sampath Ravinarayanan : Currently, our drone controllers are deployed by Axon. They are evaluating it. This is a very high-end customer, almost like that first responder drones, et c. Once we have the complete evaluation is completed, we have to get the NATO certification, et c., for global sales. So we are in the process of doing that. We are hoping to get very good numbers in terms of drones.

Moderator: Due to interest of time, we will now take the last question from the line of Mr. Sanjay Shah from Pranishta

Sanjay Shah: Just, a lot of things were discussed during the course of this call and you gave a very articulate observations and expectations on what you expect in each of your businesses over the next couple of years. Just in the interest of new investors, would it be all right if were to ask you to just give us your vision over the next 4 years to 5 years? Where do you expect the company to AXISCADES Technologies Limited

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be in terms of size? And what kind of investments would be required to achieve that, if it's okay for you to do so?

Dr. Sampath Ravinarayanan : Basically, if you ask me, my personal this thing is, we want to -- in 5 years from now or 2029, we should be -- at least we -- I want to be, I don't know whether it's appropriate to say, it should be \$1 billion in revenue and it should have at least 35% EBITDA. This is my vision. Don't take it, don't hold me responsible for that because I have to take permissions -- I don't know whether I can tell that.

But if you ask me, that's what I would like. And we are basically, the investments we are trying to make, that -- if this comes the way I'm thinking that the Devanahalli Atma Nirbhar center, it's a huge investme

nt. And it is the shaping up the way it comes and possibly it is something very achievable because the aerospace and defense.

Similarly, in ESAI, as I said, the plans we are making, if it is going to -- it's not going to be a difficult thing. So we are -- see, this is our wish, it's ambition. And certainly, I can say that if I put it in a nonfinancial way, we just want to be top 3.

We don't want to be in less than that in any activities we are doing, whether it's the aerospace or defense or ESAI, we should be among the top 3 in India, in terms of revenue, in terms of EBITDA, in terms of percentage of EBITDA, whatever measures you are talking about, right?

So that is what we are up to. That is going to be something we will be chasing. Okay?

Sanjay Shah: No, that's brilliant. Sorry, what did you say the kind of investments that you would require to make to possibly -- I mean, I know it seems more like a wish list or some kind of...

Dr. Sampath Ravinarayanan : As I mentioned earlier, the first 2 parts is INR 180 crores. The third part is huge, very big. So we are going to start up circulate what we are going to do is a dry run with our customers during air show and see how many people are interested, how many people are taking and that will help us recalibrating our vision.

And post that, it's going to be February, whole February we are going to see how it is accepted by our customer, received by our customer. Based on that, we'll come with a number and we will present it to you. In fact, the next Q4 call, investor call, I will definitely give you the number with certain support from the customer.

So we are going to circulate it among the customers who are coming to Aero India to do a dry run. So I will not be able to give the numbers but it is huge. It's -- investment required is pretty high. So -- but we are planning already how to make it happen. Okay.

Moderator: Thank you. That was the last question. I would now like to hand it over to the management for closing comments.

Dr. Sampath Ravinarayanan : Sangeeta?

Sangeeta Tripathi : Yes. Thank you to our esteemed leaders and participants for your time and interest in our company. We greatly appreciate the engaging sessions and the insightful questions. Should you AXISCADES Technologies Limited

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have any further questions or need any additional clarification, please feel free to connect with us. You may now disconnect the call. Thank you.

Dr. Sampath Ravinarayanan : Okay. Thank you all.

Moderator: On behalf of AXISCADES Technologies Limited, that concludes the conference. Thank you all for joining us and you may now disconnect your lines.

Call: Jun 2025

AXISCADES Technologies Limited
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June 03, 2025

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BSE Scrip Code: 532395 NSE Symbol: AXISCADES

Dear Sir/Madam,
Sub: Transcript of the Earnings Conference Call with the Investor(s)/Analyst(s)
Further to our intimation dated May 27, 2025, please find enclosed the transcript of the Earnings Conference Call with the Investor(s)/Analyst(s) which is hosted on the website of the Company at www.axiscades.com
We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Yours truly,
For AXISCADES Technologies Limited

Sonal Dudani
Company Secretary & Compliance Officer

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"AXISCADES Technologies Limited Q4 FY '25
Earnings Conference Call"

May 27, 2025

MANAGEMENT : DR. SAMPATH RAVINARAYANAN – CHAIRMAN ,
AXISCADES TECHNOLOGIES LIMITED
MR. ALFONSO MARTINEZ – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER , AXISCADES
TECHNOLOGIES LIMITED
MR. SHASHIDHAR S. K. – CHIEF FINANCIAL OFFICER ,
AXISCADES TECHNOLOGIES LIMITED
MR. ANURAG SHARMA – PRESIDENT (ESAI & CHIEF
EXECUTIVE OFFICER), ADD-SOLUTION , AXISCADES
TECHNOLOGIES LIMITED
MR. SHARADHI BABU – PRESIDENT (DEFENSE),
AXISCADES TECHNOLOGIES LIMITED
MR. D. MURALI KRISHNAN – CHIEF OPERATING OFFICER ,
AXISCADES TECHNOLOGIES LIMITED
MS. SANGEETA TRIPATHI – HEAD (INVESTOR RELATIONS),
AXISCADES TECHNOLOGIES LIMITED
MODERATOR : MR. SUMEET KHAITAN – MUFG INTIME

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Moderator : Ladies and gentlemen , good day and welcome to the Q 4 and FY '25 Earnings Conference Call of AXISCADES Technologies Limited hosted by MUFG Intime .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Sangeeta Tripathi. Thank you , and over to you, ma'am.

Sangeeta Tripathi: Thank you, moderator. Good evening, everyone. And welcome to the Q4 FY '25 and the full year FY '25 Results Conference call of AXISCADES Technologies Limited .

I am joined today by our leadership team to provide a brief overview of the business performance and financial results, along with our strategy ahead. We have with us today , Dr. Sampath Ravinarayanan – our Chairman; Mr. Alfonso Martinez – our Managing Director and CEO; D. Murali Krishnan – our Chief Operating Officer; Mr. Shashidhar S. K. – our CFO ; Mr. Anurag Sharma – our President (ESAI) , and CEO – add-solution, along with Mr. Sharadhi Babu – our President of Defense.

Before we begin, please note that this call may contain forward -looking statements based on Company 's current expectations, beliefs and opinions. These statements involve risks and uncertainties, and the actual results may differ materially.

Now I hand over the call to our CFO – Mr. Shashidhar S. K. Over to you, sir.

Shashidhar S. K.: Thank you, Sangeeta. Good evening , everyone . And I am delighted to welcome you all to this Earnings Call for Q4 FY '25 and the full -year FY '25.

I hope you all had an opportunity to review our press release and the investor presentation which are available under the Investor section of our website. And the same are accessible in the BSE and NSE websites too.

To begin with, despite the challenging macroeconomic scenario in certain of our non -core verticals, we are delighted to report that we have closed the Financial Year FY '25 with a significant milestone of crossing Rs. 1,000 crores in consolidated revenue. While we are recalibrating our automotive, energy and heavy engineering verticals, our growth was led by our focus verticals of Aerospace, Defense and ESAI.

The full year revenue for FY 2025 was at Rs. 1,031 crores , recording a growth of 7.9% over the previous year in Rupee terms and 5.7% in constant Dollar terms. While the reported EBITDA for the year is at Rs. 142 crores, a growth of 7% over the previous year , the adjusted EBITDA came at Rs. 156 crores, a growth of 17% over the previous year, adjusting for non -recurring and
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one-time expenses incurred in Q3 and Q4. Our PAT grew by 2.25 x over the previous year at Rs. 75.26 crores, as against Rs. 33.41 crores in FY '24, leading to a diluted EPS doubling from Rs. 7.74 to Rs. 17.22.

The Company since Q3 of FY '25, under the guidance of our Chairman , has embarked on major business transformation initiatives to turbocharge the business and achieve non -linear product -led growth, both in revenue and margins, in each of our core verticals, namely aerospace, defense and ESAI.

The Company is also evaluating and recalibrating its non -core businesses of heavy engineering, energy and automotive , which are till date negatively impacted by macro factors and are growth and margin dilutive to the enterprise , as has been elaborated in our investor presentation.

The Company is deploying resources and costs for this transformation , which is expected to be stabilized by Q2 of FY '26. These costs and investments are critical to ensure enterprise readiness to progressively achieve

our aspirational target of achieving \$1 billion revenue by 2030.

Coming back to our business performance in FY '25:

Our core domains grew by 12% from Rs. 671 crores to Rs. 749 crores driven by aerospace , which grew by 13% to Rs. 322 crores and defense , which grew by 16% to Rs. 303 crores , with production revenues from defense growing by 19% to Rs. 198 crores.

Our non -core businesses of heavy engineering, automotive and energy together constituted Rs. 282 crores in revenue , a 3% de -growth over previous year . Automotive and heavy engineering together d e-grew by 7% to Rs. 238 crores and energy vertical at Rs. 43 crores grew by 30% on a small base .

The core verticals continue to record healthy EBITDA margins at 19.1% , and is being diluted to 13.8% at an enterprise level due to negative margins in the non -core businesses. The reported EBITDA margin is at 13.8% for the year, which is the same as in previous year, despite the fact

that the company incurred one time a non-recurring cost of around Rs. 14 crores in Q3 and Q4, mainly in senior leadership settlements, legal costs and one time consulting for our automotive business. Adjusting for this, the EBITDA margin for the year is at 15%.

Considering only our core businesses of aerospace, defense and ESAI, our EBITDA margins are at a healthy average of 19.1%, with aerospace coming in at 21.2%, ESAI at 23.9% and defense at 15%. Of the defense revenues of Rs. 303 crores, if you only take defense production revenues, which was at Rs. 198 crores, the EBITDA is actually at 22%. So, the prototype revenues of defense at about Rs. 105 crores were very marginal and slightly negative from the point of view of EBITDA.

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We intend to improve our EBITDA margins by about 300 bps each year. We focus on non-linear product-driven growth in core verticals and realignment of non-core verticals. As stated, our core verticals are already yielding EBITDA margins of 19%. With effective execution of product-led strategy, by FY '28, the Company aims to invert its current revenue mix of 80% service revenue and 20% product revenue, which will be the key driver for non-linear margin-led growth, with the aim and objective of achieving an average of 24% EBITDA in the next 2 to 3 years.

With respect to business performance in Q4 of FY '25, the Company's revenue was at Rs. 268 crores, growing by 4.8% year-on-year and declining by about 2.4% quarter-on-quarter as the execution of some of the defense programs moved to the right. The Company's reported EBITDA was at Rs. 37 crores at 14% margin and adjusted EBITDA was at Rs. 45 crores at 16.8% margin.

The Company has been able to significantly reduce its finance cost from Rs. 56 crores to Rs. 32 crores with repayment of borrowings from QIP proceeds. The Company's net debt is just at about Rs. 15 odd crores excluding lease liabilities with gross debt standing at Rs. 189 crores and cash, bank and liquid investments at Rs. 174 crores. The Company has a healthy balance sheet with shareholders' equities standing at INR 656 crores as against INR 592 crores in the previous year. To conclude, we are highly enthusiastic and committed on our path ahead. Our focus on scalable, product-led growth underpinned by significant investments in infrastructure and leadership positions us for sustained long-term growth. This strategy will enable us to unlock substantial value for our investors and stakeholders.

I now invite our CEO, Mr. Alfonso Martinez, to provide his views.

Alfonso Martinez: Thank you, Shashidhar. And good afternoon, everybody. I am really happy and pleased to participate in this call, this being my 1st Quarter Presentation as a Group CEO. And complementing Shashi's presentation and speech, I would like to highlight the transformation of the Company that we are currently driving.

This transformation is going into three axes as mentioned in the presentation.

- First is people. I am very pleased to announce that now our new management team is in place. We have all the presidents in place. We have veterans of the industry in a leadership position for the last 30 years. And this is already starting to boost our relationships with our clients. An amount of progress is being done in that aspect. This will lead, no doubt, to an impressive growth. We are also starting to train our existing sales force into a new way of selling, a new way of engaging with the clients.
- The second axis of the transformation is moving from the traditional services to products and solutions. This is key for the margin expansion that we are forecasting.

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- And third, the investments in key assets with very high return. And this is already, as we will discuss later in the presentation of our Chief Operating Officer, leading to a new area.

As a golden rule for next year, I would like to say we have three key objectives:

1. A minimum growth of EBITDA of 50% excluding ESO P cost. That's the very, very first target.
2. The profit after taxes will increase proportionally.
3. We want to increase the quality of our revenues. With that, at least 300 basis points of EBITDA percentage improvement. This will lead to all the future

But for this year, these are the three parameters that we are targeting. And as a golden rule, we will achieve.

Now, I would like to lead my presidents to present you the different verticals. Unfortunately, Mohanakrishnan, our new President for Aerospace, is not present. He is in a very important

client meeting today, and I will take his part.

Starting by aerospace, I will say that our target for Fiscal Year '26 is at least 35% growth in revenues. That will change the path of growth of the previous years. Deepening engineering expertise, now empowered with artificial intelligence, moving from traditional service to really disruptive solutions. Some of our services are already ongoing this transformation with spectacular results.

Also, we are building manufacturing and supply chain solutions. This action is particularly driven by Mohanakrishnan who comes with a strong background in these areas of manufacturing and supply chain.

Our current Airbus engagement, our number one client in aerospace, we as a strategic supplier are long-term settled with that. We are about \$40 million of yearly revenues and this is a long-term establish. We are also discussing to expand this partnership from these areas into new fields. And also forging new partnerships with the OEMs on Tier -1s of aviation. As you can know, India has become the center of gravity of commercial aviation. And that's a very, very important point in our strategy.

With that, I would let the word to Sharadhi Babu in defense. He will explain you the keys of this vertical. Please, Sharadhi Babu .

Sharadhi Babu: Thank you, Alfonso. Good evening, everyone. This is Sharadhi Babu – President of Defense at AXISCADES . And as you heard, we have created a very strong base for defense business with a stellar performance at Rs. 303 crores. And we continue our focus on defense production and AXISCADES Technologies Limited

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also very specific focus on new product development, especially in the areas of radar, electronic warfare, missile systems and unmanned warfare systems.

And right now we are on a very strong growth path. And we expect the growth to be at a rate of about 75% moving forward and also a similar focus on the bottom line also. And our order books are now reaching about Rs. 1,800 crores. And we hope this emergency procurement also will actually have some success for us. And then going forward we are looking at a very , very strong defense growth.

And also, we a

re having a very strong practice going on at the OEMs. And there are many programs coming up at the OEM level. Overall, we are looking at addressing the entire DRDO and also the MOD practice and also the OEM programs.

And with that, I would like to hand over the session to Mr. Anurag Sharma, who is the Head of our Electronics, Semiconductors and Artificial Intelligence. Thank you.

Anurag Sharma: Hi. Good evening , everyone. I am Anurag Sharma. I am President of ESAI, which is basically Electronic s, Semiconductor and Artificial Intelligence wing of AXISCADES .

Now I would like to tell you that why three? What is the combination of these three ? So, this is the combination of electronic semiconductor and artificial intelligence is the one which is churning out the fastest and most innovative products across the globe. And this is the space where we already belong. And we have a very robust pipeline i n terms of the order book. We are close to Rs. 600 crores plus of order books with us. We are doing a growth of 60%, more than 60%.

And speaking more specifically on the products, we have a lot of focus on products. Products are not new to us. We have been doing products, but now we are offering complete system level products. And for that we have taken a new initiative. We have started a product development center in Fremont in California, where we have multiple products which are being conceptualized, developed, tested, and then manufactured across the globe.

We also have started a lot of sales reinforcement in Europe with our headquarters being in Germany. And we are trying to set up a product sales ecosystem across various channels, resellers. And so the idea is that both our products and solutions shall reach to maximum clients. We also have our Company add-solution in Germany, where we are doing a lot of wiring harness development and also specific products like micro data center and also solutions like thermal management. So , all these initiatives are with a view to increase our presence in this sector across the globe. And increase our revenues.

So, with that, I would like to give the mic to my colleague and COO, Mr. Murali Krishnan .

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D. Murali Krishnan: Thank you, Anurag. Good afternoon, ladies and gentlemen. This is Murali Krishnan , Chief Operating Officer of AXISCADES .

We have seen a vision in our Chairman's statement which is there in our investment presentation.

We have a vision to become \$1 billion Company in 2030. We call this as Power 930. As a COO,

I take responsibility to carry out this vision. This vision is also coming up with a high EBITDA of 24% , and this vision is going to be driven by flipping our product versus services revenue . From today , at a level of 20% products , we are going to move to a 80% product and solutions - based organization .

So, in order to enable this, I would do three things. First, enable the organization to deliver the AOP with the right processes, with the right resources. Two, transform the organization for the future. And three, provide world -class facilities and resources to take up our Power 930 vision. This infrastructure is going to come up in two places. One is called as DA C, Devanahalli Atmanirbhar Complex at Bangalore which is a 20 acre facility . This is going to come up in 3 phases . Phase -1 is going to handle radar and electronic warfare solution, development, manufacturing, testing , and maintenance .

Phase -2 is for missile complex , missile MRO as well as missile manufacturing , while missile MRO would happen at Bangalore . We also are planning to set up another facility at Hyderabad to establish our presence in missile manufacturing.

Phase -3 would come up with MRO, speed shop and supply chain facilities for aerospace and defense customers. We want to construct this facility in 3 years' time . First Phase -

will come up

in this financial year itself. This facility of Phase -1 would cost Rs. 250 crores. And the first Phase -1A of it would cost Rs. 120 crores , which would be mostly through internal funding.

We are also looking for a strategic partnership for the infrastructure development, which is through a Company called AAIPPL, Axis Aerospace Infrastructure Private Limited .

With this, I request our Chairman to say the concluding remarks on our speeches. Over to you , sir.

Sampath Ravinarayanan: Thank you, Murali. My colleagues have covered all the aspects. I have set the goal for the Company , brought in the team of capable leaderships, the leadership team who can deliver the goal.

However, I have tasked myself with the following :

1. To create a robust silo or funnel that leads to a pipeline and wins to achieve the Power 930 . So, I have tasked myself with creating that silo, contacts, everything that leads

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to this goal, which has to be done in the next two years so that we can deliver on the third, fourth, and fifth year the goals, while the AOP keeps going on.

2. As Murali mentioned, ensure our DAC and MAC projects are completed on time . For that we need resources and funds . So, my job is to organize that without any dilution.

So, the land is owned by a Company , one of our group companies as you would have known called AAIPPL, Axis Aerospace Infrastructure Private Limited. We are trying to leverage or bring some strategic partnership into that. And actually this is one of the options. As Murali also mentioned that 1A, we are splitting the whole approach into three phases. 1A we are pretty much covered. So , rest of the things we have to organize. So , we have time to organize.

3. To Forge long-term partnerships and relationships to achieve this. Hope to get the more for the work as well as for the completion of DAC and MAC projects. So , this will also have sustainable growth and achieve the 930 in a sustainable way.

So, with this , we are ready to take the questions . So, I will hand it over to Sangeeta who can just organize the questions. Thank you. Thank you all.

Sangeeta Tripathi: We can start with the Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Koushik Mohan from Ashika Group . Please proceed.

Koushik Mohan: Hi, sir, thanks for the opportunity and great set of results . Can I just understand this onetime cost on the P&L that we have it on more clarity basis?

Shashidhar S. K.: So, Koushik, thank you for the question. See, essentially as what I explained in my speech, we went on a complete transformation initiative from Q3 onwards. And one of the major parts of this is kind of complete overhaul of the leadership team. And essentially, the major cost with respect to the Rs. 14 crores which I mentioned pertains to, you know, it not only was in India, it was also across globally, where we had to do a kind of , I would say, do a voluntary separation for our leadership including our previous CEO and various other leadership positions across the globe.

So that and also we had to incur certain , I would say, onetime legal costs in the course of a few exits so to say. And then we also took a specific consulting from Zinnov with respect to our automotive business , which , I would say, especially for our Add Solutions in Germany. All of this amounted to Rs. 14 crores, which, in a way, are non -recurring in nature, which will not repeat next year.

Koushik Mohan: And sir, the second thing, currently in this quarter, we have achieved almost around 16.8%

EBITDA margin. And we are talking about a target of Power 930, where we are talking about a 24% EBITDA margin. So, what are the key levers which will play out in this specific margin
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increase? And how is that planned towards achieving that? And also, can you relate this with the 80-20 rule that we are talking about products as well as the solutions?

Shashidhar S. K.: Before I hand it over to Alfonso and Murali to kind of, I would say, detail on this, I would like to say that while our kind of a blended EBITDA is at 13.8%, you would observe that the three of my core businesses where the future growth is going to come are already at a 19% EBITDA. If you look at aerospace, that's at 22%. And if you look at ESAI, that's also at about 23% plus. And if you look at only the defense production, that's already at 22%.

So, the approach is to take it from here and drive it towards the product-led approach. And I will ask Alfonso to kind of, I would say, and also to Murali, if they want to delineate on how these entire drivers are going to work out.

Alfonso Martinez: Yes, exactly. As Shashi said, it is mainly driven by our focus. Our focus in aerospace, defense and ES AI will bring this margin improvement. If you see, we are running there around 20% in combination this year. But specifically also defense is only at 15% and we will expect for next year, for Fiscal Year '26, an expansion of that EBITDA margin very clearly. So, it's a combination of keeping improving the balance between core and non-core and of course also increasing the quality of our revenues. And we are very, very much secure on that. I don't know if you want to complement Murali or more or less this is?

D. Murali Krishnan: Thanks, Alfonso. So, I think you are right. So, once we focus on products and increase the share of our products, the EBITDA margins are improving or going to improve. Also the uniqueness of the product. So, if we are the only supplier and if our products are innovative and unique, the margins are going to be higher. That is the way we want to go forward. 80-20 is the way where we will increase our EBITDA. So, Chairman may please add if you want to have any comments on this.

Sampath Ravinarayanan: No, I am fine. As we said that this is the goal we have set. As Shashi explained, we are already at 19.2% in core verticals. And defense is also around it, if you take only the defense product solutions without taking out the one-time development cost, it is at more than 20%. So, we should be fine if we keep the focus. And that's what we are planning to do.

Koushik Mohan: Thanks for this, sir. I will come back in the queue.

Moderator: The next question is from the line of Jatin Jadhav from Sahasrar Capital. Please proceed.

Jatin Jadhav: First of all, thank you so much for this opportunity and congratulations on a great set of numbers. I have two questions. One is, sir, can you again briefly explain me the Phase -1, Phase -2, and Phase -3 in brief? And sir, my second question was regarding Phase -2, if I heard it correctly, you were trying to build a facility for missiles, MRO, and manufacturing. I wanted to understand what kind of missiles are we targeting to manufacture for the defense clients and what kind of
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MRO facilities are we trying to build over here for existing missile systems or probably future missile systems.

Sampat Ravinarayanan: I will take these questions. Basically, Phase -1 is meant for all the electronics, strategic electronics that will cover normal electronics also. So, that also includes radar, electronics warfare, strategic electronics and ESAI electronics. So, that should cover pretty much our strategic electronic group and ESAI group. So, that will have manufacturing facility and high-level test facility including anechoic chamber etc., which there are very rare availability in India. And it will also have large hangers for radar maintenance, radar assembly, etc. So, that means radars are widely used. For example, I am just giving

an example. Some of the AWACS use large radars that can come in and then test it. This will have wide hangers to test all these things. This is Phase -1A. So, this will cover radar, electronic warfare, and all the other strategic electronics and normal electronics, manufacturing, testing, assembly and so on. And so the Phase -2 we talked about is missile. Missile has two parts. Missile, we maintain the launches. When we say missile maintenance, there are two parts. Launches and missile transportable test benches where the missile can be assembled, the four components of missile can be assembled at the war zone or wherever it is. So, these are some of the ecosystems we are building and also we are building the ground systems. That part may happen in Bangalore. But the main missile part, when we say missile manufacture, this is more like an assembly. Some parts we are planning to manufacture including airframe, including rocket motors, and even the munitions for missile at some point of time, warheads. And then the nose cone, the front part.

And of course, missile electronics, the onboard computing, etc .

So, the whole integration will happen in Hyderabad. We are targeting to manufacture more, we are focusing on smaller missiles, which is more into air to surface and so on. I don't want to reveal too much, but this will be the focus on the missile side.

And third is, MRO, speed shop and manufacturing will be focused on dual use. That will be mostly for both aerospace and defense. There are many aircraft. For example, Boeing Aircraft are used for Boeing 737 is used in defense as well as air. Airbus is used both in that . So, there are cases where there are a lot of dual use aircraft and helicopters . So, we will be doing maintenance of the parts, both avionics and engine parts and some parts of airframe and manufacturing and supply chain for this. This will be Phase -3.

So, except the missile -related activities, missile assembly, everything will be in Bangalore, which will be Devanahalli Atmanirbhar Complex (DAC) . Missile Atmanirbhar Complex , that will be in Hyderabad. That will come up in a 6-acre facility which we are yet to buy. We are in negotiation with the Telangana government or talking to the Telangana government. Here , already we have acquired the land, and we are starting up the work. We are in the plan approval stage at this stage.

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Jatin Jadhav: I will get back into the queue .

Moderator: The next question is from the line of Karthi from Suyash Advisors. Please proceed.

Karthi: Good afternoon. Thanks for the opportunity. Sir, I just wanted to understand the visibility for the revenue growth guidance that you have given 35% for aero, 60% for Defense and 75% for ESAI . I hope I got those numbers correct. Just wanted to understand how much of this is contingent upon maybe order wins or whatever or customer approvals to go ahead ? And how much of this is, shall we say , routine ? Some clarity on that could help.

Shashidhar S. K.: So, Alfonso, would you want to talk about aerospace first followed by Sharadhi Babu on defense and then, of course, Anurag, who will explain about ESAI .

Alfonso Martinez: On aerospace, we have a base of revenues that is secure with our current customers. Luckily, both customers are in good shape and the revenues that we make this year is nearly secure for next year, plus some expansions . So, that's securing a part of the growth in aerospace.

Also, the rest is coming from the pipeline of opportunities that we have now. It's a pipeline we started to build basically when I joined, and then we are now waiting the pipeline. And with the secure revenues plus the waited pipeline, we are nearly 90% secure of the revenue increase. We are starting the year and there is always some deals to be won along the year. And I hope that we are putting a

lot of hope in the Paris Air Show in which we will participate. We may have an announcement of some important deals that will come in the aerospace side .

So, basically, it is an estimation that we are pretty much secure and we are very confident on getting this 35% growth of revenues in aerospace. So, maybe, Babu, you can complement on the defense side.

Karthi: One quick question. How much would be the two customers ' contribution?

Alfonso Martinez: The two initial , the two current customers ?

Karthi: Yes.

Alfonso Martinez: That's nearly a similar revenue to this figure . So, if it is a 35% increase, you can make the math very easily. In the current customers, we are expanding about 10%, basically , that is coming from the pipeline from the pipeline with new customers . When I say new customers in airbus , that is very big . Airbus is a full ecosystem you know . We have one current customer in aerospace. Airbus is a very big group and we are expanding into new areas as well .

Karthi: I heard you.

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Sharadhi Babu: Thanks, Alfonso. Covering the defense part, the defense growth is coming from much of our defense production where , as you know, we are part of the LCA, Sukhoi, and also the AWACS program. And also our both radar and DW are going on multiple platforms. So, production is from all these programs. And also, we have MOD programs. We are implementing a large land systems defense program in the coming year. And also, we are the OEMs. This thing has opened up with various activities happening and the new procurement from Defense has triggered a lot of OEM programs . So, the much of activity is also happening on the global OEM programs . So, it is spread across all these three areas.

Sampath Ravinarayanan: Babu, I just want to clarify. The question was a little wrong, casted wrong, that defense is 75% and ESAI is 60% growth . Just reiterate that. That's all. Thank you.

Sharadhi Babu: And also the counter -drone systems where we are in the forefront and we have already supplied

100 systems to the defense . So, we are expecting repeat orders and also the new programs. The counter -drone is the most wanted system across the defense now. And then we are leading this entire program supply of these counter -drone systems to the Indian defense .

Karthi: So, if I may clarify, what would be production revenue in FY '2 6? We did 190 roughly in FY '25.

Sharadhi Babu: Production revenue is...

Shashidhar S. K.: This year FY '2 5 was around Rs. 196 crores. We are talking about probably doubling it in FY '26.

Moderator: The next question is from the line of Nishid Shah from Ambika Fincap Consultants Private Limited. Please proceed.

Dhruv: Hi, this is Dhruv. Congratulations on a good set of numbers. I have just one clarification on the defense side. The deal we announced on the test bench, is there any revenues included in the growth, which we are seeing , 75%?

Sampat Ravinar ayanan : Which deal you are talking about?

Dhruv: The MBDA deal which we announced in January for the test bench, have we included any revenues from that, sir?

Sampath Ravinarayanan: Babu, can you answer this?

Sharadhi Babu: Yes, we have revenues in that program in FY '2 6.

Dhruv: That's it.

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Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital. Please proceed.

Deepak Poddar: Sir, just wanted to check, I mean , our Rs. 9,000 crores kind of a target in next 5 to 6 years basically . So, that kind of equates to about 40 %-45% kind of a CAGR over next 5-6 years . So, just wanted to understand do you expect this growth to be evenly phased over the years or do you expect it to be front ended , back ended ? I mean , what sort of thought process you have on that?

Sampat Ravinarayanan : I will take this q

uestion. This year one, let us call this one T0 beginning this right now. This will be a normal year. The AOP will be met as the COO mentioned. We are looking at a 50% EBITDA growth and proportional PAT growth this year and infrastructure at least 60% should be ready.

So, there could be some traction other than the AOP figure something towards the Power 930 will come next year. But the 3rd, 4th and 5th year, I think we will ramp up faster because by that time most of the DAC will be completed, MAC will be completed. All the 3rd Phase will be almost on . So, all the lines of revenue streams will be ready . So, I think , see, it's still a vision . But I would say that it's very much possible to achieve this .

Deepak Poddar: And this year we are targeting 35% growth at the Company level.

Sampat Ravinarayanan : This year , see, we are not looking at revenue per se. The revenue will be 35% , I guess. But I am saying profit after adjusting to EBITDA because we have a huge cost on ESOPs , after adjusting our EBITDA still can be around 50% growth from the current level , and PAT will be proportional and EBITDA margin will be at least at 17% average . So, you can do the math what should be the revenue and what should be the cost.

Deepak Poddar: And what is the FY '2 6 ESOP cost we are expecting?

Sampat Ravinarayanan : Around Rs. 50 crores to Rs. 60 crores.

Deepak Poddar: Around Rs. 50 crores to Rs. 60 crores.

Sampat Ravinarayanan : Yes.

Deepak Poddar: And what is the tax rate? I mean, this tax rate, we have seen some scalability.

Shashidhar S. K.: Yes, so we have now moved to the new tax regime. Of course, as you know, we have global operations and each of the , I would say, our global operations have a different tax rate. But in India, we have moved to the new tax regime at 25.82% .

Deepak Poddar: So, 26% is effective tax rate we can expect at the Company level.

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Shashidhar S. K.: Yes.

Deepak Poddar: And what was the one time provisioning c ost in 4th Quarter ?

Moderator: Sorry to interrupt , Mr. Deepak.

Deepak Poddar: It's just the last question.

Moderator: I request you to join the queue.

Shashidhar S. K.: One time provisioning, I didn't get you.

Deepak Poddar: One time cost in 4th Quarter .

Shashidhar S. K.: Are you talking about non -recurring cost?

Deepak Poddar: Just one time cost in 4th Quarter. Out of this Rs. 14 crores , what was the cost in 4th Quarter ?

Shashidhar S. K.: The 4th Quarter was around Rs. 9 crores .

Deepak Poddar: Rs. 9 crores .

Shashidhar S. K.: Rs. 7.5 crores. Let me correct myself.

Deepak Poddar: Rs. 7.5 crores.

Shashidhar S. K.: Yes.

Deepak Poddar: That's it from me. All the very best.

Moderator: The next question is from the line of Aastha from Pkeday Advisors . Please proceed.

Aastha: Thank you for giving me the opportunity to ask the question. Sir, first, I want to ask you, we saw the slowest growth in this year in FY '2 5 compared to the last 3-4 years. What was the reason?

I mean, what happened? We saw 13% growth in aerospace, which was again slower than compared to previous years. And sir, in the similar line, I want to ask you, what was the revenue growth in automotive segment?

Shashidhar S. K.: No, t he automotive segment, talking about the revenue growth as such, you are right, the core businesses is where the actual growth happened. And most of the, I would say, management bandwidth as well as, I would say, our efforts were getting into ensuring that we reset the non - core verticals and we were exposed to the macro factors, especially in automotive.

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Just to give an example, the acquisition which we did of ADD Solutions in Germany, I would say, Volkswagen was the main customer, which, you know, there was a huge de -growth there . So, we d

id not achieve the objective. That was the issue there.

And also, with respect to the acquisition which we did in energy of Epcogen is yet to hit critical mass. As a result of which, the non -core verticals kind of, I would say, impacted the overall growth in terms of the business. And as to the automotive vertical, the total automotive revenue was Rs. 90 crores as against Rs. 104 crores , which we recorded in FY '2 4.

Aastha: Sir, but even aerospace grew only by 13% , whereas if I see from FY '2 2 to '24, it has grown pretty well.

Shashidhar S. K.: Yes, so because , I would say , we had some new programs which we started implementing.

Sampath Ravinarayanan: No, no, Shashi, that is post-COVID that is went up. Okay. That is clear because there is a complete lot of orders were held back as a result of ...

Shashidhar S. K.: Yes, so just to elaborate on what Dr. SRN just now stated, if you look at the period from FY '2 3, if you look at FY '2 2, which was the period of COVID, the revenue dropped by 50% . So, when the growth came back, it came back with a vengeance . So, that kind of stabilized in FY '2 4 and onwards .

Aastha: So, sir, going forward, should I expect 13 % to 15% growth as my aerospace growth?

Shashidhar S. K.: I think Alfonso has clarified that.

Sampath Ravinarayanan: Shashi, I will take the question. Madam, this year we are expecting as our CEO, on behalf of Mohan said, 35%. If I can give the figures approximately, we did about 300, around \$38 million in aerospace. We are targeting about \$51 million this year, approximately. Okay, so we can expect and we are looking at a similar or better growth next year because we will be adding products and solutions to this.

Aastha: Sir, my next question would be , is it possible to share...

Moderator: Sorry to interrupt, Ms. Aastha. Could I request you to return to the question queue as there are several participants waiting for their turn

Aastha: Sure.

Moderator: The next question is from the line of Nirvana Laha from Badrinath Holdings. Please proceed.

Nirvana Laha: My question is regarding the ESAI segment. So, if I look at the revenues this year, they were flat. We are guiding for, I think, 60% growth in EBITDA next year. So, can you please elaborate

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on what programs or what clients will help us drive this? Some details on where we can understand what tangible programs or clients will help move this will be very helpful .

Anurag Sharma: Yes, of course. This is Anurag Sharma here. So, you see that w e are basically also doing a revision in our strategy where we are moving towards product -driven growth. And in that context, we have introduced some new products also in this year. And that is why we are very much confident of this growth which I spoke ab out.

So, we already were doing a certain type of products for our OEM clients in the semiconductor segment and we were doing high -end electronic design and the PCBAs. But now we are doing our own system level product , which directly go into the market . So, this is something which is a renewed strategy and very effective one and that gives us the confidence to move forward.

Nirvana Laha: Sir, just a follow-up on that. So, 60% EBITDA growth, do you already, and I think we reported 24% EBITDA margins this year. So, the EBITDA growth, how much of that will be driven by top-line growth and how much will be driven by further EBITDA expansion, if you already have some plans around that?

D. Murli Krishnan : So, you are talking about ESAI, or you are talking about the Company ?

Nirvana Laha: No, ESAI. ESAI is Rs. 125 crore revenue, I believe, with Rs. 30 crore EBITDA. So, 60% EBITDA growth that we are targeting. What will be the split between the revenue growth in ESAI and further EBITDA margin expansion?

D. Murli Krishnan : This is mostly coming from the revenue growth. So,

o, we are going to substantially increase the revenue.

Shashidhar S. K.: See, we have added a lot of new logos. Earlier there used to be 2-3 logos which were kind of focused with respect to the entire ESAI revenues. Now we are adding quite a lot of new logos, especially in the U.S. region, which is going to kind of, I would say, take this forward.

Alfonso Martinez: Yes, if I may complement, the revenues flow in ESAI in the previous year has been delivery-led. It's basically the sales done many years ago, and we have continued. And what we have done now is really boosting the sales and the relationships with the clients, together with a new product strategy. So, the continuity of the current revenue streams is there, but on top of that we are adding new OEMs, new clients, etc., a new product range that has not been done in the Company for the last years. This is a new era now.

Sampat Ravinarayanan : We have traditionally had only two silicon manufacturers with us, which have brought in 90% of the revenues. Now we are looking about three or four more silicon manufacturers to work with. Number two, we have taken a strong China plus One strategy and a Tariff plus One strategy. So, that means that we are going wherever there was a replacement activities are required. That has boosted our order book. The entire 60% we can say is almost 90% of this AXISCADES Technologies Limited

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covered with already an order book right now. It's a good question of execution. There is a robust pipeline. And customer base, we have some marquee customers. So, basically these three things give us confidence. And EBITDA growth is proportional. There won't be bps growth. There is no basic point growth. The EBITDA will remain almost the same percentage. But it will be a result of revenue growth. Revenue growth will be there. Also there is a small element of ESAI everything is being still under --.

Moderator: The next question is from the line of Dhaval Jain from Sequent Investments. Please proceed.

Dhaval Jain: Sir, I just want you to understand the contribution from our core business going forward because right now what I see is out of the total contribution that we have in aerospace is 31%. Defense is around 29% and ESAI is around 12%. So, moving forward, how is this mix going to change? Is it going to be evenly split or is defense going to be more contributing to the core domain?

Sampath Ravinarayanan: Let me answer this question. Ravinarayanan here. So, this is around, we are expecting at 2028, see, leave the non-core aside, we are looking at 40% in defense, some about 30% in ESAI and 30% in aerospace. That's the mix we are expecting at this point of time with the visibility among the core activities.

Dhaval Jain: Also one more aspect of it I might have missed out on. So, I just wanted to know about the CAPEX that we are doing for the three phases that we are going to put in. So, I see that we are going to put around Rs. 250 crores in Phase -1, the Phase -1A contributing Rs. 120 crores. So, can I have the understanding of how you are going to fund the Phase -2 and Phase -3? And what will be the total CAPEX overall?

Sampath Ravinarayanan: I am giving my brief this thing. Phase -1A, in Phase -1, we have divided it as Phase -1A and Phase

- 1B. Phase -1A pretty much is That is Rs. 120 crores. That we are already allocated Rs. 45 crores from our internal accruals, and we would be allocating more money to this internally. This won't be almost requiring external funding, which our main focus is going to be on strategic partnerships for the development of the whole thing. That's what it is.

Dhaval Jain: We don't currently have the entire CAPEX that, I mean, the entire amount of what we are planning or is it going to come later stage?

Shashidhar S. K.: See, as Dr. SRN explained, what we have on the radar, and which is under development where

the plan is at an approval stage is Phase -1A where the CAPEX including the building as well as the equipment is going to be anywhere between Rs. 100 crores to Rs. 120 crores. Of which most of it, our objective is that most of it should be through internal accruals.

As I have already mentioned, the Company is sitting on cash reserves. At the same time, the generation of EBITDA in FY '26 is also going to support that. So, that is how Phase -1A is going to be funded. And onwards, basically as what Dr. SRN was explaining, we are working on

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partnerships where there can be a contribution from the partner who we negotiate with, the OEM, which will take this entire CAPEX forward.

Moderator: The next question is from the line of Rucheeta Kadge from I -Wealth Management . Please proceed .

Rucheeta Kadge: Very good evening. So, sir, my question was essentially on the CAPEX part only. So, on Phase - 1 that we are talking about, so Phase -A, I understood . Could you please reiterate like on Phase - B, what would that be? And by when do you expect the A and the B to come? And how much revenue can each at the peak capacity contribute?

Sampath Ravinarayanan: It's already work started , somewhat the planning approval etc. We hope to complete the Phase - 1A by December this year and move in by January 15th at the latest . So, Phase -1A is on track.

Phase -1B as we conclude will have a certain level of tool room machine shops. We call it as speed manufacturing shop , and some kind of activities for supply chain and inspection equipments. And so this will come in that more towards aerospace to take care of some of the aerospace activities , more on to the one -time development, one -time manufacturing of aerospace parts. Just to explain to you, around 90% of the OEM spent, that is, you know, Airbus Boeing and their ecosystem, spent their whole entire money with the book ...

Shashidhar S. K.: Yes, I think you can take the question.

D. Murali Krishnan: Yes. So, as SRN sir explained, so there is Phase -1, which is about one year away . So, we are able to complete that and then we will move and start the operations next year. And Phase -2 and 3, which are for missiles as well as for the MRO and speed shop, that will come in the subsequent year.

Rucheeta Kadge: And about the Phase -1, if you could tell that what is the kind of peak revenue that we can expect in the Phase -1?

D. Murali Krishnan: So, this will be a part of our upcoming AOP and Phase -1A is more related to radar.

Shashidhar S. K.: Just to add to what Murali said, we are expecting a healthy kind of an asset turnover here. At least by 2 x to 2.5 x is what we can expect.

Rucheeta Kadge: And how fast can we ramp this up?

Alfonso Martinez: Revenues will start as soon as the facilities are ready. And our plan is beginning of next year, that will be ready. You know, sometimes today supply chain of equipment and so on is difficult to predict. But we are very confident that beginning of next year, and we have some client discussions also . So, revenues will start flowing early as soon as the facilities are ready.

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The pipeline is very big. And we are more or less securing the contracts in parallel to the investment in Phase -1A. So, that will boost specifically Fiscal Year '27. It's very difficult. These facilities are going to be ready at the end of this year, so the impact will be in the subsequent years. The return on capital expenses is very high in everything we are planning. This is for Phase -1, basically.

Next phases are depending on the customer negotiations and the client partnerships that we are closing in this year. As long as we will be announcing the partnerships, the investments will be also putting into note of the community.

Rucheeta Kadge: And t

his ESOP cost, what was that for FY '25 ?

Shashidhar S. K.: The ESOP cost for FY '25 was kind of marginal. It was less than Rs. 5 crores, let me say.

Rucheeta Kadge: And then, just to follow up on this.

Moderator: We are sorry to interrupt, Ms. Rucheeta. We are so sorry, but there are a lot of participants waiting for their turn. Could you please return to the question queue?

Rucheeta Kadge: Not an issue. Yes.

Moderator: The next question is from the line of Aman Vij from Astute Investment Management . Please proceed.

Aman Vij: Good afternoon, sir. My question is on the defense side. So, could you give some more clarity that till last quarter or maybe one, two quarters back, we were talking about 30% kind of production growth, but what has changed in last one, two quarters that we are not talking about 100% growth in our production revenue ? And then if you can talk about some of the interesting programs which is coming up, which is helping in this. Is this the NETRA program? And if you can give any update and also on Counter -Drone and CG Drone POD update, if you can give on these three programs. These are the questions I have.

Sharadhi Babu : Mainly the defense program, the production is coming from, as I mentioned in one of the previous answers , there is a ramp up in production . We are actually significantly contributing towards the production of the LCA , the Su-30 upgrades and also in the AWACS , and also we

are having the direction finding system is going on multiple platforms . So, much of the production is happening in this direction . And also, there is an expedited delivery. In fact, we have the orders. It is the execution which is actually more where we are focusing and enhancing it. And also, with the culmination of the new orders from the OEMs like the Marine Rafale and others are also expanding our OEM footprint.

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So, as you know, we are already working with many global OEMs , and there the expansion is happening on an accelerated mode. And in the MOD, number one, we are implementing a land system project and also we are expecting this emergency procurement to lead to certain quick supply of systems where we are expecting this emergency procurement and also maybe there will be one more iteration also will actually contribute to our enhanced revenues.

Aman Vij: Clarification on the emergency procurement part. What kind of contribution do you think can come from that? Sorry, this is Su 30 and AWACS . So, these programs were supposed to come in FY '27. So, is it getting preponed or when you are talking about so many programs, all of them are coming in FY '26 itself ?

Sharadhi Babu : There are some systems already the production is going on and then deliveries are going on. Some of them are actually coming up in this year and some quantities are next year. And also the emergency procurement , there are ten lines of items the Indian MOD has embarked upon acquiring in a quick succession , and we have already fielded our equipment in four categories , and then at least we have very , very high confidence that we should be able to win one of them , and also the same will also repeat in a very quick succession down the line.

Aman Vij: Sorry, again. What is the order we are expecting from EP, emergency procurement, in the next 1-2 years?

Sharadhi Babu : No, we will not be able to disclose the values, but we are hoping for a sure win.

Moderator: The next question is from the line of Pankaj Parab from Molecule Ventures. Please proceed.

Pankaj Parab: So, my first question would be on the recent traction in the Anti -drone system. So, what kind of new opportunities that we are seeing and are we developing any new system except for the existing system in anti-drone?

Sharadhi Babu: Yes, we are actually expanding our anti -drone systems offerings. We are in the counter -drone systems. We are already in the man -portable counter -drone systems. And now we are offering the hand -held systems also. And also we have worked on the vehicle mounted and we have offered the vehicle mounted systems also. And going forward, we are actually creating our own internal portfolio of long -range and programmable jammers and future add -ons to integrate our own radars .

And so we will be offering a full suite of counter -drone systems including all the sensors and the kill options, both the soft sensors and soft kill, hard sensors and hard kill options. All of them will be part of our offerings . So, it's a pretty interesting portfolio of products and also very good pipeline coming up. And already we are in the forefront of counter -drone systems in the Indian context and also we are expanding globally also.

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Pankaj Parab: And sir, can you please elaborate some of the order in the counter -drone system in FY '26 that may be converted into revenue?

Sharadhi Babu: The values I will not be able to disclose. But I am sure counter -drone systems will be part of our revenues.

Pankaj Parab: So, we can safely assume that the amount of the revenue will be substantially higher than FY '25. I guess so.

Sharadhi Babu: Yes.

Pankaj Parab: Yes. Please continue.

Alfonso Martinez: Yes, to complement what Mr. Babu said, it is not only the products that we are developing, it's also the recent success that we have last year in counter -drone systems here in India, has driven the attention of some international companies that are looking us as our main partner to develop . So, this will accelerate because as you can imagine developing our own products takes some time. But what is going on is that now we are about to announce very soon a very good partnership on these systems with the leaders companies.

As you know I come from Europe and there we are experiencing a lot on drones and what we are doing is partnerships with companies that are combat proven systems. And that's why we are putting a lot of bets on this counter -drone and even drone system . So, this is where we are super confident.

I am sorry, this is defense. We cannot disclose the opportunities we are dealing with and the

conversations we are having with the international OEMs and also the Ministry of Defense here in India. But we are super confident on a big boost on these revenues.

Pankaj Parab: And sir, my next question is on ESAI segment . So, we have a good jump in the quarterly revenue for this quarter in the E SAI segment. And sir, you also mentioned Rs. 600 crore order book. And so can you just elaborate what is a portion of the chip to product division that we are trying to develop? And how we are progressing there? Any new product addition in the pipeline or anything on that , sir?

D. Murali Krishnan : So, for ESA, there are multiple products in pipeline starting from millimeter wave radar, drone controller, as well as other radar systems such as through wall radar and ground penetration radar.

Pankaj Parab: And sir, does this contain in our order book of Rs. 600 crore ?

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Moderator: Hello, sorry to interrupt , Mr. Pankaj. Due to call time constraints, we will have to take this as the last question. Thank you. Ladies and gentlemen, in the interest of time, this will be the last question. And we will now hand the conference over to the management for closing comments.

Sangeeta Tripathi: Thank you , everyone. Thanks to all our esteemed leaders and participants for your time and interest in our Company . We appreciate this engaging session and the insightful questions .

Should you have any further questions or need any additional clarification , please feel free to connect with us . Thank you .

Shashidhar S. K.: Thank you , everyon

e .

D. Murali Krishnan : Thank you.

Moderator: On behalf of AXISCADES Technologies Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

AXISCADES Technologies Limited
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August 18, 2025

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BSE Scrip Code: 532395 NSE Symbol: AXISCADES

Dear Sir/Madam,
Sub: Transcript of the Earnings Conference Call with the Investor(s)/Analyst(s)
Further to our intimation dated August 08, 2025, please find enclosed the transcript of the Earnings Conference Call with the Investor(s)/Analyst(s) which is hosted on the website of the Company at www.axiscades.com
We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Yours truly,
For AXISCADES Technologies Limited

Sonal Dudani
Company Secretary & Compliance Officer

"AXISCADES Technologies Limited Q1 FY'26
Earnings Conference Call"

August 08, 2025

MANAGEMENT : DR. SAMPATH RAVINARAYANAN – CHAIRMAN
MR. ALFONSO MARTINEZ – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. KP MOHANAKRISHNAN – DEPUTY CHIEF EXECUTIVE
OFFICER & PRESIDENT (AEROSPACE)
MR. D. MURALI KRISHNAN – CHIEF OPERATING OFFICER
MR. SHASHIDHAR S. K. – CHIEF FINANCIAL OFFICER
MR. ANURAG SHARMA – PRESIDENT (ESAI) & CHIEF
EXECUTIVE OFFICER (ADD-SOLUTION)
MR. SHARADHI BABU – PRESIDENT (DEFENSE)
MS. SANGEETA TRIPATHI – HEAD (INVESTOR RELATIONS)

AXISCADES Technologies Limited
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Moderator: Ladies and gentlemen, good day and welcome to the AXISCADES Technologies Limited Q1 FY26 Earnings Conference Call .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Sangeeta Tripathi. Thank you and over to you ma'am.

Sangeeta Tripathi : Thank you moderator. Good evening, everyone and welcome to the Q1 FY26 Results Conference Call of AXISCADES Technologies Limited.

I am joined today by our “ Leadership Team to Provide a Brief Overview of the Business Performance and the Financial Results. ”

We have with us today Dr. Sampath Ravi narayanan -- our Chairman , Mr. Alfonso Martin ez -- our Managing Director and CEO, Mr. KP M ohan akrishnan -- our Deputy CEO & President (Aerospace), Mr. D Mur ali Krishnan -- our Chief Operating Officer , Mr. S hashidhar SK – our Chief Financial Officer , Mr. Anurag Sharma – our President (ESAI) & CEO (Add -Solution s), Mr. Shar adhi Babu – our President (Defense).

Before we begin, please note that this call may contain forward -looking statements based on company's current expectations, beliefs and opinions. These statements involve risk s and uncertainties and the actual results may differ materially.

Now, I hand over the call to our Chairman , sir, Dr. SRN. Over to you, sir.

Dr. S Ravinarayanan: Thank you, Sangeeta. Thank you, everyone. It has now been nearly six months since I resumed the role of chairman of your esteemed company , and during this period, we have embarked on a series of strategic initiatives.

I will “ Highlight Three Major Initiatives ” we have taken up. One, we have set up a target of over 40% year-on-year growth and we are all set for that. We have an order book of Rs. 1,260 crores for this financial year FY26 and Rs. 1,827 crores for the next financial year , that is FY27, the forecast visibility plus order book totaling to Rs. 3,087 crores. So, we are in a comfortable position to achieve a 40%-plus growth. Of course, everything has to be converted in delivery, but we are confident of that. There are not major dependencies at this stage for FY26 and ' 27, so we are confident of that grow th. Please note that this is on the core areas only, that is defense, aerospace and E SAI. So , we will definitely register a growth of more than 40% in these areas, especially in EBITDA, PAT as well as in the revenue. The next major initiative we have taken is “ Power 930, ” which is reaching Rs. 9,000 crores, that is \$1 billion in the year 2030. So, for that, we are building a robust pipeline, also matching

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infrastructure. So, this all should be ready. Pipeline looks very, very good at this point of time. We have time to convert and a lot of things are infrastructure -dependent, so we are building up the world-class infrastructure to be ready in time for us to grow. If this happens in 2028, ' 29 and ' 30, we will have a much greater growth for these three years. So, we are kind of at this point of time, the visibility is very, very good , and we hope to be on track on this.

The third thing is, as you would have noticed, that we have signed some good global partnerships, two of them, which is MBDA for missile activities and then Indra for radar-related activities. T his not only gives us annuity revenue and visibility, but also gives us a technological edge to become a front runner in missile and radar systems.

And we are also in the process of forging more such partnerships, so to stabilize our revenue and growth.

So, these partnerships are across all the three dom

ains, not only confined to defense, but also to ESA I and aerospace.

So, with this, I will hand over to our “ CFO, Mr. S hashidhar, to Summarize our Investor Presentation and to the Next Steps .” Thank you very much.

Shashidhar SK : Good evening, everyone a nd thank you, Dr. S RN. A warm welcome to all of you for joining us today for the Q1 FY26 Earnings Call .

I trust you had the opportunity to review our earnings press release and the investor presentation, both of which are available on our website, as well as on the BSE and NSE platforms.

Despite Q1 being a traditionally lean quarter, we are pleased to report a healthy performance for Q1 FY26, marked by double -digit growth in our core businesses, steady progress in our transformation roadmap, and clear visibility of growth and profitability in the coming quarters.

So, now I will walk you through some “ Key Financial Metrics for Q1 FY26. ” Our consolidated revenue for the quarter is at Rs. 244 crores, up by about 9% year -on-year. The reported EBITDA for the quarter is Rs. 34 crores, up 9% year -on-year, compared to Rs.31 crores in Q1 FY25, with an EBITDA margin at 14% in both these quarters. The EBITDA growth year -on-year is at 86% when we normalized previous year EBITDA to Rs. 18 crores by adjusting the one -time write -back of ESOP provision of INR12.9 crores. As such, the normalized EBITDA margins have also witnessed healthy momentum year -on-year, expanding from 8.2% in Q1 FY25 to 14% in Q1 FY26.

Our consolidated profit after tax for the quarter is up 25% year -on-year, from Rs. 17 crores in Q1 FY25 to Rs.21 crores in Q1 FY26.

With significant order book in defense back-ended for execution in H2, the revenue and profitability metrics will accelerate in H2 '26, with ramp -up in defense revenues and margin expansion.

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Our core d omains in Q1 grew by 17% year -on-year from Rs. 156 crores to Rs. 182 crores, driven by ESAI, which is Electronics, Semiconductors and Artificial Intelligence, which grew by 34%, defense,

which grew by 23%, and aerospace, which grew by 8% year -on-year.

The core segment normalized EBITDA grew by 61% year -on-year, from INR21 crores to INR34 crores. Consequently, the margins of the core business have also witnessed improvement from 13.5% to 18.6%. Our core vertical saw significant order intake during the quarter, as has been announced from time-to -time, and we expect that this momentum will build further in H2 FY26, supported by enhanced procurement from Indian Defense and global OEMs.

Our non-core verticals, which is Heavy Engineering, Automotive and Energy, declined 9% year -on-year, largely due to continued macro pressures in the automotive sector and timing-related order shift in energy. We are currently recalibrating this business and improving the mix and cost optimization efforts in non -core, which has resulted in marginal turnaround and profitability in Q1. We are engaged with a strategic advisor in these optimization s and restructuring efforts, which is currently underway.

In summary, all the core verticals in the aggregate continue to record healthy EBITDA margins at 18.6%, which is being diluted to 14% at an enterprise level on account of lower margins from the non-core business.

Additionally, we are progressing well on infrastructure and facility development that supports our product -led non -linear growth strategy over the next five years.

As has been guided by our CEO in the investor presentation, our objective is to grow by 40% CAGR in revenue, as Dr. SRN said, in core verticals only, leading up to an EBITDA margin of around 19.5% in the three fiscal years up to FY28. This is fully backed by confirmed order book forecast and visibility. The current year FY26 guidance is around 25% growth in revenue, including core and non-core and 300 bps improvement in EBITDA over the previous year, driven by our core verticals.

To conclude, a robust and growing order book in all the three core verticals, our strategic collaborations and global partnerships are steadily laying the groundwork for our stated aspiration of reaching a billion -dollar revenue by 2030.

Thank you for your continued trust and support. We now open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and -answer session. We take the first question from the line of Balasubramanian from Arihant Capital Markets Limited. Please proceed.

Balasubramanian: Thank you so much for the opportunity. So, I just want to understand defense and aerospace side. I think mostly we are targeting 75% kind of revenue and how we are exposed to budget cuts or delays in Indian defense procurement and SU 30 upgrades or LRDE projects ? Could you please break down
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the Rs.1,800 crores order book by program size like SU 30 upgrades, counter drone and you can share also delivery timelines ? And thirdly, I mean it is more interesting . AI-empowered engineering side and like what kind of efficiency gains like we can expect in terms of reduced design cycles, whether it is justified for premium pricing or market share gains ?

Dr. S Ravinarayanan: Thank you. I want to tell you about the order book. It is combined of all the three activities. Currently, we have order book and forecast visibility of about Rs. 540 crores in defense and about Rs. 210 crores in ESI and Rs.450 crores in aerospace approximately , which should add up and defense alone is about Rs.540 crores. This also comprises of OEM activities as well as three groups actually DRDO, PSU which is some of the programs we are talking about MOD, which is including all the anti-drone and those kind of systems and then the OEM engagements like MBDA, Indra , etc. Combination of all the three. So, there is no dependency, there is no delay in the programs we are participating, and we have a long -term visibility on all these things. We work across the platform. For example, we are across the platforms because for example, our products like the Direction Finder is there almost in every major platform. So, we have no dependencies on this for this year as well as next year. So, next is using of AI. Probably we are working on various activities in this for the defense AI combination.

We are also working with some foreign collaboration for establishing that especially in our anti -drone and related activities and so on. Please note that overall it is not only defense, we are talking about all the three segments at this point of time. Is there anything I missed out Mr. Balasubramanian ?

Balasubramanian: Sir, this AI and Powered Engineering strategy side, is there any measure of efficiency?

Dr. S Ravinarayanan: We are working on that. I will be able to highlight more next quarter. We may find something very interesting in the next one or two months and we will be in a position to explain further by next quarter. Give us some time and even Government of India is focused on certain activities related to that and so we are working on that at this stage.

Balasubramanian: Okay, sir. So, on that the tier 1 provides a stability business. I just want to understand what are the tangible progress we have taken diversifying it into other OEMs and tier 1 s and is there any tariff impacts on that global levels because US have imposed various tariff rates to various countries and how we are having advantage compared to other countries?

Dr. S Ravinarayanan: First question, Mohan will answer. Before that, I will answer the last question and then hand it over to Mohan. One is the tariff impact . We do not have much because 27 % of the revenues comes from US and out of which mainly major from ESI and currently other revenues are booked in US itself, US Inc. We are also safeguarding other revenues. We are trying to book eve

anything in US so that

there is no India dependency or US dependency. So, that will be taken care of. And over to you, Mohan. Please explain to him what are the steps you are taking to kind of backup Airbus and the other OEMs and so on, what are the initiatives you have taken?

KP Mohan akrishnan: Thanks, S RN. Good evening, Mr. Balasubramanian. On your question on additional customers, I have joined this AXISCADES in the month of April and immediately we started looking at expanding AXISCADES Technologies Limited

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into new customers. We got few wins, companies like tier 1s like Mubia, we have started engagement with Boeing. All these things we would see the results coming in the Q3 and Q4 and we have also done some small wins with Indian tier ones as well. So, the idea is to see that we bring in more and more customers so that we have the revenues get distributed and we have a risk mitigation as well on this.

Balasubramanian: Okay, sir. So, my last question regarding is attrition side, it rose to 19% in this quarter and as we are moving to defense and aerospace going forward, what are the steps we have taken for talent retention and what are the training and upskilling programs we have taken, especially for critical defense and aerospace roles?

Dr. S Ravinarayanan: Murali, can you answer this?

D Murali krishnan: Yes. So, yes, attrition control is an important factor for us and we are working on various employee experience and employee engagement initiatives to ensure that our employees are retained. On top of that, we are also taking significant upskilling programs for our core domains. This includes aerospace design activities, concession, repair and manufacturing engineering. We are also collaborating with various external parties and agencies to reskill and retrain our employees so that our core domains can be strengthened.

Balasubramanian: Thank you, sir.

Dr. S Ravinarayanan: Okay.

Moderator: The next question is from the line of Varun Kulkarni from In Cred Asset Management. Please proceed.

Varun Kulkarni: Hi, good evening, sir. Thank you for the opportunity. Just a couple of questions. So, the first one would be, I see that we are going to commission new facilities which would contribute 30% and 50% of the total revenues in FY27 and FY28. So, how are we planning to fund this CAPEX? Would it be in the form of a joint venture or are we going to dilute any equity or raise debt? And if it is in the form of a joint venture, have we found any partner as of now? That would be question #1. Second question would be, why is the first quarter generally lower? And what is the timeline of the contracts? How is that decided? And what would the revenue flow look like once the order is awarded? And what will be the payment cycle in defense? Yes, thank you.

Dr. S Ravinarayanan: First question is, the facilities are developed by a downstream company called (AAIPL), AXISCADES Aerospace Infrastructure Private Limited, which in turn is owned by ACAT. So, we are trying to raise money, or we are trying to get strategic partnership at AAIPL level. In fact, we have some oral commitment in two tranches, probably the first small portion we will receive in the month of probably in Q2 itself, or beginning of Q3, and by Q4, we will probably receive a major portion. These are all from strategic partners who would also participate in this. And this is secured

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and currently there is no plan of either borrowing money or diluting anything at the listed company level. That is #1. #2, in the defense side, the payment cycle is always hovering around 180- days, somewhere around starting from 90 days to goes up to bigger portion of liquidity damages, everything is there, performance guarantees. So, approximately you can safely assume it will be a 120-day payment cycle. And there is a visibility on all these pro

grams what we talked about in the next two,

this thing, we have a program where it is confirmed everything. So, there is no risk in those things.

And, of course, 2027 FY, we need some additional working capital requirement to meet this, that we will have to organize at that point of time. So, otherwise, we do not see any major issue in this growth, and we are covered in almost all the things. 30%? Yes, you are right in 2027. Our facility will be ready. One portion will be ready by Diwali itself. Around October '28, we plan to move. And phase 1A of our DAC also will be ready by March. So, hopefully, this should take care of 2027 requirements. '28, of course, the rest of the facility has to be ready and we have 18 months' time, I hope everything will be ready by then.

Shashidhar SK: To answer your question as to why the Q1 is always traditionally a lean quarter, that is majorly because of the fact that the defense revenues, which constitute a significant portion of 30%- plus...

in fact, more so in this year, is kind of, I would say, aggregated towards Q3 and Q4. It starts from Q2 and onwards, and it extends up to Q3 and Q4. And what you see predominantly in Q1 are the engineering services revenue, which is of aerospace, ESAI and other verticals.

Moderator: We take the next question from the line of Saurabh Sadhwani from Sahasr Capital. Please proceed.

Saurabh Sadhwani: Hello! This is my question I think to Anurag. So, what led to the growth in ESAI? One thing. And the second one, the win that we announced, what are we doing with Apple?

Anurag Sharma: Okay. Good evening, everyone. So, yes, it is an excellent question that what has led to this kind of

growth. So, we have embarked on a new relationship and engagement with two hyperscalers, which is Amazon and Apple. And as you know that the semiconductor market is moving towards chip manufacturing, which is application-oriented and use-oriented, that is where our opportunity arises, that is where we are looking for design, development, and even with Apple. So, I hope this answers your question. To answer your question as to what led to the growth in ESAI revenues in Q1, essentially, our business with Texas Instruments, as compared to last year, has started growing significantly, which is kind of expressed in the revenue growth in ESAI.

Saurabh Sadhwani: Okay. Okay. Just one follow up on the Apple side. Are you trying to build ASICs for them now ... Apple and Amazon both?

Dr. S Ravinarayanan: No, no, basically, I just do not want to dwell too much into this, but in the case of the first customer you are talking about the phone company, we are not working directly on the apps or the chips, we are working on the support activities, we are trying to create certain boards for them to do the test and evaluation of their product. And in case of the second company, which is delivery and that is a marketplace company, we are working mostly their product side, like Kindle and Alexa and those

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kinds of things. Again, we are helping them create the product and test the products. We are setting up a world-class acoustic lab for them, the second company, as part of our infrastructure. That also may be ready by this October, November. Once if it is ready, with God's grace, we will be in a position to take care of most of their product requirements in the time to come. In the first company, we are going to work with their local partner in India, who is their manufacturing partner very closely and provide all the support activities and boards for them, the manufacturing partner. This partner is not a traditional couple of guys whom you know, there is a third one, which is coming up. So, this partner, we are going to work along with the phone company. So, this is two boards. And what led to our growth is our dependency on Qualcomm and Texas Instruments, we broke

and we are working

towards the AI chip manufacturers and we are establishing a very strong relationship with two of them, especially the upcoming AI chip companies and these things are looking up good. Also, we are looking at major applications in ADAS and SDV areas. We had last week some major wins, last couple of weeks have been extremely good and we won especially in the areas of ADAS, SDV and transportation-related activities in the ESAI. So, this looks good at this point of time outlook, not only this year, next year looks good, and we are again working with one more hyperscaler started. So, probably we will be able to highlight it in the next call.

Saurabh Sadhwani: Thank you, sir.

Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital. Please proceed.

Deepak Poddar: Yes, thank you very much for this opportunity. So, just first up, wanted to understand on your core business. I mean, we are looking at 40% CAGR over the next three years. So, what sort of margins aspiration we can have over the next three years? I mean, I think first quarter we were at about 18.6% EBITDA margin. So, how should one look at as your scale picks up?

Dr. S Ravinarayanan: Currently, the ESAI margins are very good and currently the ESAI margins are at 22, 23% and followed by defense margin, which is at 19% plus, followed by aerospace margin, which is at 16%. But aerospace margin this time is quite less. Q2 also may maintain because of a lot of holidays and so on. There is a lot of improvement in these three areas. We may end up anywhere between 19.2% to 19.7% or 19.8% this year. And the years to come, it will be between 20% to 21% in the core sector. Yes, it will be averaging between 20%. This year, it will be around 19%-plus something. Next year onwards, it will be between 20% and 21%.

Deepak Poddar: And in terms of our outlook that we have shared on our Power 930 Plan, so, if this year we grew at about 25%, so we will reach around Rs. 1,300 crores kind of a top line at a consol level. I mean, to reach Rs.9,000 crores in the next four years, we will require at least 60% CAGR growth rate. I mean, is that something, I mean, are we too optimistic on that or is it something that is doable for us?

Dr. S Ravinarayanan: No, no, not at all. We are not throwing any numbers or not dreaming or anything, because we are very systematic about it ... we are very serious about it. This year and next year, we are working without any infrastructure or without any major change. Please understand that we are almost

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investing about \$200 million, about Rs. 1,500 crores in infrastructure before the beginning of '27. So, that should lead us to a tremendous jump growth of nearly about, I would say, more than 70%, which will compensate for ... let us put it this way, first two years about 40%, 45% growth on core areas and non-core we would have got an answer for non-core definitely by beginning of next year. So, the average growth will be about 45% next year. And then there will be a steeper growth fueled by the infrastructure and the facilities and new customer acquisitions. We are pretty much planned it out and there is no hypothetical issue in this and we are firmly confident about it.

Deepak Poddar: Fair enough. Just one last thing. What was the ESOP cost in this quarter? It was Rs. 12.9 crores, right?

Shashidhar SK: No, it was around Rs. 3 crores, because at the moment, there is only the chairman who is bestowed with the grant. The rest of the plan is in the works and it will start showing up from Q2 onwards.

Deepak Poddar: And so FY26 entire year, we are targeting what, Rs. 50 to 60 crores of ESOP cost?

Shashidhar SK: Maybe slightly lower than that is what at the moment we are looking at, yes.

Deepak Poddar: So, Rs.40-50 crores in that range?

Shashidhar SK: Yes, that is right.

Deepak Poddar: O

kay. And when we say 300 basis point s improvement in margins, so we exclude this ESOP cost, right?

Shashidhar SK: We actually have factored this ESOP cost in this. It is the net improvement in terms of EBITDA margins.

Deepak Poddar: I mean, after factoring in ESOP cost, we are expecting 300 basis point s improvement in margins?

Shashidhar SK: Correct.

Deepak Poddar: Okay. Because I think last year, we were at 14%. First quarter also, we were at similar 14% rate EBITDA margin.

Shashidhar SK: In fact, the real impact , I would say, the turboing of the revenue and margins will start happening from end of Q2 and Q3 onwards.

Deepak Poddar: That is pretty clear. Okay. That would be it from my side. All the best to you. Thank you so much.

Moderator: The next question is from the line of Harshit, from Elara Securities

Harshit Kapadia : Yes. Hello. Hi. This is Harshit Kapadia. I am calling from Elara Securities. Thanks for giving me an opportunity. I just have two questions. One thing . There is a recent defense acquisition approval, AXISCADES Technologies Limited

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which came for Rs. 67,000 crores. Would you be able to share which of the areas Axicades is involved in those particular eight to nine platforms which have been disclosed? And secondly, I have a question related to BrahMos. I will just first get the first question answered.

Dr. S Ravinarayanan: Sunil, can you answer this question? Yesterday, the DAC approval, is there any activities in which we are involved in?

Sunil: Yes. So, we are involved in the mountain radar. In that, the distal beam forming and the signal blocking systems will be from us.

Harshit Kapadia: Okay. Okay. What about BrahMos missile? I think there was also a big order for BrahMos missiles of close to Rs. 11,000 crores and we are supplying wiring harness. So, are we part of that or we are not part of it?

Sunil : Can you just repeat the question, please?

Harshit Kapadia: Yes. In the Rs. 67,000 crore s order, they also mentioned BrahMos missile was also part of that procurement deal. So, are we not supplying wiring harness for the BrahMos missile or for that particular project, we are not participating?

Dr. S Ravinarayanan: Murali, can you answer this?

D Murali krishnan : Yes. BrahMos wiring harness is an ongoing order for us and we will be qualifying into production soon , and the later part of deliveries, we will definitely be a part of it. Apart from wiring harness, we are also working on critical electronic systems for BrahMos.

Harshit Kapadia: Okay. But still we are not right now part of it, but we will be part of it probably in FY27 and ' 28, is that what -

Dr. S Ravinarayanan: No, no. Let me just give a clarity. BrahMos has got 71 wire harnesses. We are already selected in the major one. So, within six months when we complete this, we should be part of it and going forward ...

even in the beginning of FY27 onwards. So, by the time this project matures or starts, we will be

ready for that. And remaining also, I think we have a shot at that, which is not yet finalized. And so,

we will have a major this thing in that and also onboard computers and strategic electronic units. And also, we are in the process of major development with reference to that. And which I cannot disclose

at this stage probably, but we will inform you in Q2. So, we have a sizable share in these things.

Harshit Kapadia: Okay. Fair enough, sir. Wishing you all the best, sir. Thanks a lot.

Dr. S Ravinarayanan: Thank you.

Moderator: We take the next question from the line of Vijay Sarathy from Subh kam Ventures. Please proceed.

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Vijay Sarathy: Thanks for this opportunity, sir. So, you laid out your plan for the next five years. I just want to understand that most of these growth comes with a lot of being a core system supplier integrator and not just being a component pla

yer. Understand that you also do some subsystem activity. How do

you think we will progress from the next three years to the next five years? For instance, Project Kusha , we are doing digital beaming format unit. But when it comes to further moving up the scale in terms of revenue, do we really see ourselves moving up the platform level or how is it likely to be? Some insights on that will help.

Dr. S Ravinarayanan: We do not want to single out a particular project. But basically, one hand, we have our own modules, which is going into subsystems, which goes into every major product, like direction finder, direct RF, as you said, the exciter receiver, digital beam formi ng unit. These are all our standard products

offering goes irrespective of who wins. Secondly, if you look at BrahMos and Kusha, for example, we are already setting up competencies in major platforms such as rocket motors , seekers, and then

the onboard computers and electronics, these three, except warhead, we are concentrating on everything. So, this is on the missile side. And similarly, on the radar side, we are attempting for full radar in many cases. And also, we are looking at foreign OEMs for radar maintenance, radar support, integration, etc. , And our facility, once it happens, will be among the largest for the radar. And with Indra, with collaboration, we are also making products to start with . We are trying to do the TACAN antenna probably at some point of time, this is going to be for exports and for total system also . We are not merely the system integrator, we make our own subsystems, we integrate, and we develop it from the ground. So, we have a plan for all these things at this point of time.

Vijay Sarathy: So, would you qualify yourself to be a tier one player in the next three to four years , is that understanding right ?

Dr. S Ravinarayanan: Yes, of course. When we say we are looking at, for example, I am hypothetically saying Kusha , it will have about four tier ones, one who takes care of the electronics and radar, one who takes care of the complete missile integration, one who takes care of the ground systems, and one for the other propulsion and other things. Basically, we should be in a position to attempt all these things, any one of this or something like that, maybe once the facility is ready. And yes, we should be ready by that time in every case. That is what is our focus.

Moderator: The next question is from the line of Ruchita from iWealth . Please proceed.

Ruchita : Hello, sir. A very good evening. So, my question was mainly on the order book side. So, sorry if I am repeating it again. So, if you could just give me the bifurcation of how much is the defense order book and the other components of the order book?

Dr. S Ravinarayanan: So, basically, the defense we have already mentioned, it is Rs. 540 crores approximately, comprises of DRDO, PSU orders and OEM orders, and a small portion in the counter drone systems and of course, the tank trailer order which we received. So, put together, tank trailer order itself is Rs. 200 crores depending upon how much we can deliver . We are hoping to deliver about 20 systems a month

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hopefully. And if we are able to deliver that 20 systems a month ... we have calculated like that , and so, then there is a counter drone order. And for defense comprises of these four, five major activities, everything is confirmed and we need to sort of look at this. So, is it counter drone, that is the only thing, it could be Rs. 540 crores , it could be Rs. 600 crores , depends on how much we can deliver , the rest will be passed on to the next financial year.

Ruchita: So, this Rs. 540 crores is just for this year, right , deliverable?

Dr. S Ravinarayanan: Yes, this year deliverable -

Ruchita: As of today, what is our closing order book total? For like last quarter, we had said that our defense

order book is around Rs. 1,000 crore s, right? Just trying to understand on that.

Dr. S Ravinarayanan: Yes, this year and next year, we are looking at somewhere around close to about Rs. 1,500 crores defense order book.

Ruchita: Which you have already booked, like these orders have already come?

Dr. S Ravinarayanan: Already booked and secured. Okay.

Ruchita: Okay, okay. And they are supposed to be delivered in the next two years ?

Dr. S Ravinarayanan: One thing I wanted to tell you . This also has offset order in the form of OEM contracts and this is also based on the M oUs and agreements we have signed or partnerships we have signed. And so, this also includes that. Okay. So, because these are all the services, these are all like recurring agreements, they are recurring happenings. So, the quantities and all, I am just giving an average value, basically a pessimistic value on this.

Ruchita: Okay, okay. And sir, this quarter, our aerospace revenue has grown by just 6%, right , and our full year guidance on a steeper side. So, what gives us the confidence that we will be able to deliver this kind of growth for the full year?

Dr. S Ravinarayanan: Mohan, can you answer this?

KP Mohan akrishnan: Yes, sir. See, we have an order book of about Rs. 450 crores. And as was stated by our chairman, the first and the second quarter are usually lean, contributing about 35% of our overall sale. The remaining sale happens during the last two quarters. And this has been the tradition as well. Hence, we are confident of meeting our numbers.

Moderator: We take the next question from the line of Mahek Talati from Agility Advisors. Please proceed.

Mahek Talati : So, thank you so much for the opportunity and congratulations on decent set of numbers. So, just wanted to understand, there have been news about HAL providing letter of intent to the Israeli

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company for Tejas Mk1 for the 31st airplane as well. So, how do you think will this impact us in the future as this is one of the major opportunities? And apart from the rare components, what is company providing for Tejas , and what is the estimated value that company derives from one aircraft?

Dr. S Ravinarayanan: I will answer the first question, and I will ask my colleague, Sunil , to answer the next one. First question is the Israeli company you mentioned, and ELTA and you mentioned that Tejas this thing. We are aware of that. In next investor call, I will be able to give you a much better and good news regarding that. Okay? I do not want to talk anything about this at this stage. But next quarter, very

soon we will give some kind of very positive news on that. With that, I will give you the details of what we add value to Tejas. I will give it to Sunil, who is our delivery head of defense.

Sunil: Yes. Sunil here. So, for each LCA we will be having around Rs. 12 crores to 13 crores per aircraft as of now. And we are also looking at a few more systems in the LCA Mch 1A which could add a couple of more crores.

Mahek Talati: So, how many new components are we planning here?

Sunil: Okay. So, we are looking at a couple of things in this. We are already in the EW and the ERP of the radar and the mission computer and the smart multifunction display. These add up to around Rs. 12 crores and then we are looking at a few more components in the LCA.

Mahek Talati: Okay. Understood. And next, so promoter has been consistently selling shares for some time. So, when we have such a great opportunity for growing, what is the reason behind the selling, if you could please highlight that.

Moderator: We take the next question from the line of Rohan Mehta from Ficom family office. Please proceed.

Rohan Mehta: Hello, sir. Thank you so much for the opportunity. So, given the strong growth guidance across defence, aerospace and ESAI, I am interested to know

when do you think precisely the execution is

going to pick up in the core segment, and do you expect Q2 to be on the similar lines as of Q1 as well, or do you expect certain improvements? And secondly, if orders are already in hand and no new facility needed to meet the FY26 target, why is execution largely being pushed to H2? So, if you could just spend some time explaining that, is it only specific to defence or what is exactly going on?

Dr. S Ravinarayanan: Let me answer this question. Number one is Q2, we are expecting a fairly good improvement. Though Q2 is a bad quarter for aerospace, because as you know, Airbus is from Europe, Europe is closed for about a month's time and basically it is totally at the services, this thing. So, we almost lose about one-third in the process, but still we are trying to make up. So, Q2 because with the most of the foreign companies are on holidays and so on, there is always a sluggishness in Q2. And so, that is the reason that overall Q1 and Q2 does not. Q1 is just the starting of the year and there is a sluggishness, Q2 because of the holiday season. But despite that, we are planning to put forth a strong result in the Q2 compared to Q1. Definitely, that will be there. I do not want to give any guidelines, AXISCADES Technologies Limited

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but there will be a major improvement in Q2 definitely. And next question, yes, there is no dependency on facility per se, but there is a dependency on manpower and there are also customer-readiness. Basically, if you look at it, see, the defence, once the product is ready, customer has to come, accept it, they have to do some trials. The cycle is more better in the Q3 and Q4 defence. It is not in our hands. Even if we get the product ready, the customer should come, inspect, approve, take, then allow us to ship. So, that is what is happening in the products and systems. So, that is causing a little bit of delay. Even if I get the product ready today, it will probably take about three months for us to get the final approval. So, this is where everything is getting pushed to a little this thing, and also manpower. So, manpower, because of the aggressive growth we are having, some of the activities we need to have the right people in place, there is a lack of, I would say, one of the things we are seeing is that our efficiency and productivity in certain cases or certain types of orders are lower. So, we are trying to build this up. So, there are execution issues and delivery issues because of these things. But Q3, Q4, because we are in the line for customer approvals and so on. Defence is the main case. In the case of foreign OEMs, this is because of again unavailability during July and August. Thank you.

Rohan Mehta: And my last question is, could you provide me what is your average interest rate on your outstanding debt as of today?

Shashidhar SK: So, the weighted average is about 9.5% in terms of our working capital debt, which is around Rs. 48 crores, and then we have a long-term debt of around Rs. 101 crores with an alternate investment fund. Of course, we also use PCSP facility and all of that. So, we can say that the average, I would say finance cost is around 8%, 8.5%.

Rohan Mehta: Got it. Thank you.

Moderator: We take the next question from the line of Akshay from XponentTribe. Please proceed.

Akshay: Thank you for the opportunity, sir. I have a few questions, and I will kind of run them through. So, firstly, for the aerospace business, it has been touched upon a couple of times, but just to be sure, what are the specific areas which will ramp up for us to get to Rs. 450-odd crores revenue that we have guided for FY26? So, Airbus is a business that is at least in the past a steady growth business, but not a non-linear one. So, can you touch upon which areas will add to that nonlinearity? That is first. Second, you have spoken about tooling in the a

nalyst day and then in the presentation as well

on the aerospace side. Can you help us understand what kind of tooling are we going to be doing in the aerospace side -- is it something similar to what Unimech does? And when do we start doing that work? So, that is on aerospace. On defence, on the MBDA side, have we already sent a sample test bench to them, is it approved or qualified, and when do we start seeing commercial supplies? Then on the Indra side, sir, TACAN antenna is what we are going to be making, right? So, again, where

are we on the development? When do we start selling would be good to know? So, yes, these are the four questions I have.

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Dr. S Ravinarayanan: I will give the third and fourth question, Sharadhi Babu will answer the first and second question. Mohan will answer. Let me start with Sharadhi Babu.

Sharadhi Babu: Regarding the defense growth, we are already a partner to MBDA. We are the center of excellence for test benches. And recently we have enhanced our relationship. So, we have an ongoing test bench program already with MBDA. And right now, this year, we have enhanced the overall volume of test benches from MBDA. That is already in progress and it is going on. And regarding Indra, first is we will have a very short cycle of a prototype. After that, we are going for production. So, you will see the production orders either second half of this year or probably by next year, we will have the production going on.

Dr. S Ravinarayanan: Mohan, can you cover the aero answers?

KP Mohan akkrishnan: Yes, sure. So, on your first question on aerospace business, see, for this year, we are having an order book of Rs. 450 crores, which I mentioned some time back. And most of these orders are from our existing customers, predominantly from Airbus, Bombardier and other things. So, this year, we are not talking about non-linear growth. This year is from our existing set of customers which we will execute from the current set of offerings that we are doing. That is #1. #2 is on tooling which you had asked. Our plan for tooling is basically for the flying parts and the non-flying parts. The flying parts in the sense that all components and assemblies, toolings, that is what we are looking at. Non-flying parts is all GSE, GHE is all the kind of tools that we are looking at. So, for toolings, we have started some work as we mentioned sometime back in one of our investor presentation. We are slowly going and the results are likely to come somewhere in the Q3, Q4 and in the next financial year for us. We have one small order from some of the Indian tier ones and which probably would help us win more orders with the international customers as we set up our own facilities. I hope I have answered your question.

Akshay: Sure. We have spoken about (EHWT) in our presentation. What is the value of the homing receiver in EHWT and how many EHWTs are going to be procured?

Dr. S Ravinarayanan: So, as part of EHWT, we have the homing receiver which will come to around 1.5 crores per Torpedo. So, we are looking at around 20 per year, I mean a total of around 100 numbers in the next five years.

Akshay: Hundred numbers in the next five years? Okay. And when will it start?

Dr. S Ravinarayanan: So, we have already started the first of production and we will be delivering the first unit probably by November, December of this year.

Akshay: Sure. That is very helpful. Thank you so much.

Moderator: We take the next question from the line of Rupesh Tatyia from Shree Rama Managers PMS. Please proceed.

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Rupesh Tatyia: Sir, congratulations for the fantastic set of numbers. I have two questions. One on the OEM business and one on the KUSHA business. So, KUSHA business, how many radars, how many digital beam forming units are there in this long-range battle management radar because you have given the total

production quantity of 75, and my understanding is five squadrons at least I think are in the works in the beginning, so that 75 number looks a little bit of a steep line, so, if you can just give that number. And then I think in the past we have said that we will do Rs. 5 crores per KUSHA missile IFF, on-board computer, rocket metal casing. So, if you can just tell whether the prototypes are approved or prototypes are under testing, have we got the order, are we single source supplier for this Rs. 5 crores component supply. So, this is on KUSHA. And then on the OEM business, sir, this generic test benches that we are making for MBDA, has the prototype been made, has the sample been sent to MBDA, when will it be qualified, when can we see first supply? And then the similar question for the TACAN antenna from Indra. So, these are my one question on OEM and one question on KUSHA.

Dr. S Ravinarayanan: Rupesh, the second question has already been answered. I think you are not listening. Both are same. The test bench that the previous person has asked. So, Mr. Sharadhi Babu has already answered. Let me give some highlight on KUSHA and Sunil also will answer further. KUSHA, the acceptance of necessity is for 474 batteries. That means 474 systems into four numbers like 1976 or something like that, that is number of missiles. So, radar take that. It is totally about 474 numbers, radar part. So, that is for that numbers wise. So, that is the basis and rest of the things and where we are eyeing is, of course, all the major components. I cannot dwell too much into what we are going, because it really ... So, I will ask Sunil to explain about this one particular product. But other than that, we are very confident of having a major value in KUSHA. But currently, because it is going little behind schedule, so, we will discuss that further in the next meeting. But Sunil, can you answer on the other than numbers?

Sunil: Hi, Rupesh. The DBF, we have received the order now and we will be delivering it by around March this financial year. And once the trials are completed, and then the production will start for this. So,

right now, we have an order book for five numbers initially.

Rupesh Tatya: Okay. Okay. But 75 will be done in two, three years?

Sunil : It will take four to five years.

Rupesh Tatya: So, my question is on this maritime patrol radar. So, I think my understanding is Dornier 228 upgrade, DRDO, I think has missed the bus. Then I think it is not present in any of the other LUH. I think it is present in one ALH Mark 3 in Indian Navy and Coast Guard. So, where are we on this maritime patrol radar? And then, when can we see the order? Which platform will it be? If some clarity you can give on that ?

Dr. S Ravinarayanan: On maritime patrol radar, I do not think we have given a projection, right?

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Rupesh Tatya: We are not involved in that program?

Dr. S Ravinarayanan: No.

Rupesh Tatya: Thank you for answering my question.

Moderator: We take the next question from the line of Varun Kulkarni from In Cred AMC. Please proceed.

Varun Kulkarni: Yes, sir. Most of my questions have been answered. Just one small touch up if I may. What will we be exactly manufacturing in the aerospace segment going forward or would we be focused on being a technology provider since we are classified as a tier 2 and tier 3 in the value chain? It is a very basic question, but would like some clarification nonetheless . Thank you.

Dr. S Ravinarayanan: Mohan?

KP Mohan akkrishnan: So, for this question, see, what we are trying to do is we are trying to leverage our engineering expertise and then take it up to the next level for manufacturing. So, for example, in tooling, we are already a tool design experts. We have been doing tool design for many years. So, we are gradua

ting

into tool manufacturing so that will give us an end -to-end solution to our customer, #1. #2, we are also addressing another specific problem today because of ramp -ups and other things. Many of them are unable to deliver to the final assembly line. And we have an opportunity with the spares, companies where they are not getting products from the same supply chain. So, we want to address that requirement, wherein we will make specific components to those. They can call it as a speed shop, or it can be called as space requirement, addressing the space requirements. And then there are other opportunities that we are working, which are very early stage, like passenger -to-fleet conversion opportunities and various other things, which probably we will address it probably in Q3 or something when the opportunity gets more mature. So, this is what we have planned. And then the last one is on the MRO, component repair and testing. And all these opportunities, when you look at it, the missionaries and the capability that is required are one and the same. So, as a result, we will be able to manage our assets very efficiently and be able to give a very competitive solution to our customers. I hope I have answered your question.

Varun Kulkarni: Yes, for sure. That is it from my side. Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we take that as the last question and would now like to hand the closing remarks to the management. Over to you.

Sangeeta Tripathi: Thank you, everyone , and thank you to all our esteemed readers and participants for your time and interest in our company. We appreciate this engaging session and insightful questions. I hope we were able to answer all your questions. Should you have any further questions or need any additional clarification, please feel free to connect with us. Thank you and have a good day.

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Moderator: On behalf of AXISCADES Technologies Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Phirozee Jeejeebhoy Tower, Dalal Street Bandra – Kurla Complex, Bandra(E),
Mumbai 400 001 Mumbai 400 051
BSE Scrip Code: 532395 NSE Symbol: AXISCADES

Dear Sir/Madam,
Sub: Transcript of the Earnings Conference Call with the Investor(s)/Analyst(s)
Further to our intimation dated November 13, 2025, please find enclosed the transcript of the Earnings Conference Call with the Investor(s)/Analyst(s) which is hosted on the website of the Company at www.axiscades.com
We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Yours truly,
For AXISCADES Technologies Limited

Sonal Dudani
Company Secretary & Compliance Officer

Encl: A/a

"AXISCADES Technologies Limited
Q2 & H1 FY26 Earnings Conference Call"

November 13, 2025

M
ANAGEMENT : DR. SAMPATH RAVINARAYANAN – FOUNDER , CHAIRMAN &
MANAGING DIRECTOR , AXISCADES TECHNOLOGIES LIMITED
MR. SHASHIDHAR SK – CHIEF FINANCIAL OFFICER ,
AXISCADES TECHNOLOGIES LIMITED
MR. SHARADHI BABU – PRESIDENT , DEFENSE , AXISCADES
TECHNOLOGIES LIMITED
MR. SUNIL – AXISCADES TECHNOLOGIES LIMITED

MODERATOR : MR. SUMEET KHAITAN – MUFG INTIME

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November 13, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q2 & H1 FY26 Earnings Conference Call of AXISCADES Technologies Limited hosted by MUFG Intime .
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the

conference call, please signal an operator by pressing “*” then “0” on your touchtone phone.
I now hand the conference over to Mr. Sum eet Khaitan from MUFG Intime . Thank you and over to you.

Sum eet Khaitan : Good afternoon , everyone. I welcome you all to the earnings conference call to discuss Q2 & H1 FY26 Results of AXISCADES Technologies L imited.

To discuss the results, we have from the Management , Dr. Sampath Ravi narayanan, Founder, Chairman and Managing Director ; Mr. Shashidhar SK, Chief Financial Officer, along with the senior management team of AXISCADES Technologies.

They will take you through the results and the business performance after which we will proceed for Q&A session.

Before we proceed with the call, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For more details, kindly refer to the investor presentation and other filings that can be found on the company's website. With this, I now hand over the call to our Chairman – Dr. SRN Sir. Thank you and over to you, Sir.

Dr. S. Ravinarayanan: Thank you. Dear shareholders, welcome to the earnings call of Q2 H1FY26. It has been three quarters since I had the privilege of resuming my role as Chairman of your esteemed company. As you are all aware of, during this period, I have launched our Power930 initiative, setting an ambitious revenue target of Rs.9,000 crores by 2030. To achieve this vision, we have taken up the following initiatives : We are aiming for a robust year -on-year growth of 40% in our core business areas for F Y26 and F Y27, with further acceleration of over 70% growth projected for F Y28, F Y29, and F Y30 once our infrastructure is fully in place.

I am glad to inform you that we are on track to achieve about 45% growth in our core domains this financial year, F Y26, and same 45% growth in our overall EBITDA. We have forecast visibility to achieve similar numbers for F Y2027.

Also, we are building a pipeline and silo to replenish the pipeline that can help us to achieve 70% growth for F Y28, F Y29, and F Y30.

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We are focusing on non-linear growth, moving from services to solutions. For this year, F Y26, we have set a goal of improving per capita EBITDA by 30%, and we are glad to inform that we are on track in H1 to achieve this.

As informed to you in every earnings call in the last few occasions, we are investing in various world-class infrastructure and facilities. First, our Devana halli Aeroland facility of about 165,000 square feet for electronic semiconductors, artificial intelligence, and test systems is now ready, and a portion of this is already operational. Work has started in ambitious 3 million square feet Devana halli Atmanirbhar Complex, which once completed, will be among India's best private sector for radar, unmanned warfare, and offset fulfillment facility.

To grow at this pace, we set ourselves and tap into the growing demand for proven cutting-edge solutions. We need to forge strategic alliances with global majors and technology leaders.

We have signed with various foreign OEMs and technology leaders over the last two quarters, which you are well informed about this.

We are proactively reviewing our business portfolio and strategizing on areas that show stagnation, negative growth, or limited intrinsic value. To ensure that we remain focused and agile, we have engaged a strategic advisor and a

re making consistent progress in sharpening our business priorities, the result of which will be known by the end of this quarter or Q4.

We assure you that we are firmly on track to deliver long -term, sustainable, accelerated growth that gives all of you the best value on your investment.

I wish to express my sincere gratitude for your ongoing trust and support as we undertake this transformative journey together. I am confident that together, we will build a future defined by enduring growth, operational excellence, and lasting success. Thank you.

Shashidhar SK : Thank you, Dr. SRN. This is Sh ashidhar here, and the Group CFO of AXISCADES Technologies Limited, and I thank you for joining us today for the Q2 & H1 FY26 earnings call, and I appreciate your continued trust and engagement as we share our progress and outlook.

We are pleased to report that AXISCADES has delivered another quarter of robust growth and operational excellence. For Q2 FY26, our consolidated revenue is at Rs.299 crores, marking a 13% year-on-year increase and a strong 22.7% sequential growth.

EBITDA for the quarter is at an all -time high of Rs.47 crores, up 41.5% year -on-year, with EBITDA margins expanding to 15.7%.

Profit after tax stood at Rs.23 crores, reflecting an 89% year -on-year increase.

For the first half of FY26, revenue grew to Rs.543 crores, up 11.2% year -on-year.

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EBITDA for H1 was at Rs.81 crores, a 25.7% increase, with margins improving to 14.9%.

PAT for H1 is at Rs. 44 crores, up 51.6% over last year.

These results underscore the strength of our core domains, which is aerospace, defense, and ESAI ,

which contributed to 75% of H1 revenues and delivered EBITDA margins of 19%.

The company continues to recalibrate its other verticals to make the margin -accretive.

The non-annualized diluted EPS for H1 FY26 stood at Rs.10.21, a 53% increase over the previous year.

Our transformation journey continues in right earnest. The Power930 initiative led by our chairman is guiding our ambition to reach a billion- dollar revenue by 2030. We are targeting, as Dr. SRN explained, over 40% annual growth in our core businesses for FY26 and FY27, with further acceleration as new facilities become operational.

Our shift from a service-centric to solutions - and products -driven model is already visible in our improved revenue mix and margin expansion.

The significant investments which Dr. SRN explained will be funded through internal accruals, strategic investments by our partners, and some amount of bridge funding by the bank. With a consolidated net worth of Rs. 700 crores and a net debt of around Rs.50 crores, the company is in a comfortable position to sustain debt for its expansion.

Our operational discipline and portfolio optimization are driving sustainable profitability.

Defense revenues grew by 37% year -on-year in Q2 and 31% in H1.

Aerospace revenues grew by 16% in Q2 and 12% in H1. And E SAI continues to scale with new engagements in the semiconductor and AI -driven solutions.

We have secured major wins in DRDO, DPSU, and global OEM projects, and our order book provides strong visibility for the second half of the year.

Looking ahead, we remain confident in achieving our FY26 guidance, both in terms of revenue and profitability, supported by a robust order book, strategic alliances, and continued focus on operational excellence.

Our leadership team is committed to delivering long -term value for all stakeholders as we advance towards our Power930 vision.

Thank you, and we now open the floor for questions.

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Moderator: Thank you very much. We will now begin the question-and -answer session. First question is from the line of Bala subramanian from Ar iham Capital. Please go ahead.

Balasubramanian: Good afternoon, sir. Thank you so much for the opportunity. C

ongratulations for a good set of

numbers. Sir, my first question is, we have been signing a lot of M oUs, and what kind of opportunities and when we can expect materialistic order inflows from those M oUs, and what kind of order visibility is linked to global partnerships like MBDA, IN DRA, and EEA? This is my first question, sir.

Sharadhi Babu: I am Sharadh i Babu, Head of Defense here. We have signed up with the OEMs. With MBDA, we already have a decade-old relationship. We are expanding our relationship in missiles. We are on both ground systems, and also we are proposing to manufacture some missiles in India. We also have a relationship with IN DRA, which is already materialized. We are a center of excellence for production of certain systems, including antennas and a Iso, in future, we will be taking up radars and active production systems, and w e also expanded our counter -drone product portfolio with a relationship with a French company for hard- kill options. All this, including also the drone, we are introducing specialized drones in the Indian market. All these relationships are going to really have a very strong revenue growth in the coming year.

Balasubramanian: Okay, sir. Sir, my second question for our new facilities in Ae roland and DA C. How much funding is coming from the strategic partners for these new facilities?

Shashidhar SK: So, essentially, we are still in discussion with our strategic partners ...by strategic partners, we mean the major OEM customers we are talking to, and that is still in the works , at this juncture, we are unable to commit a particular number on this particular initiative.

Balasubramanian: Okay, sir. Sir, I think we are qualifying into critical subsystems for BrahMos and Kusha. What is the estimated total addressable market over the next five to seven years for the components you are supplying, e xample, TPF, exciter , receiver, on -board computer, seekers, and what kind of anticipated peak annual revenue contributions expected from these projects from FY27 onwards?

Dr. S. Ravinarayanan: Let me answer. Basically, you know the numbers. For example, BrahMos will be 150 systems a year , Kusha is going to be nearly 1,996 or 476 x4. So, we are looking at capturing at least 10 % to 15 % in a missile by providing various subsystems for the next five years. We cannot get into details at this stage, but that is our target and goal. We are pretty much on track for now .

Balasubramanian: Okay, sir. My next question, the defense payment cycle is nearly 120-days. Given the expected ramp - up in th at revenue, additional working capital may be needed from FY27 onwards. What is the maximum required incremental working capital for FY26 and FY27, and what is the strategy to fund this requirement without increasing interest cost? I think our finance cost is nearly 8% to 9.5 % kind of range. To get some clarity on that ?

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Shashidhar SK: Yes, I would say with our defense revenues increase, there will be a requirement for incremental

working capital. But the fact of the matter is that we should be able to fund it. Our working capital utilization is not to the extent of, I would say, what has been sanctioned. So, we should be able to fund the additional working capital from our internal accruals and cash generation.

Balasubramanian: Okay, sir. My last question is on the non-core segment side. I think it is not doing good. What is the time-bound plan, maybe next two or three quarters for either divestments or restructuring of these assets? What is the expected one-time financial impact versus the ongoing margin accretions from this exclusion?

Shashidhar SK: So, essentially, as Dr. SRN explained, we are trying to recalibrate these verticals, and it is already showing good progress in terms of the positive margins which are accruing in these three verticals.

What is the second question?

on?

Balasubramanian: Sir, whether we are planning for divestments or restructuring of these assets?

Shashidhar SK: That plan is on the table, but I would say, we are still some way away in terms of, I would say, divulging the details.

Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: So, just first up on ESOP cost, so, any ESOP cost that we have incurred this quarter?

Shashidhar SK: Yes, we have incurred an ESOP cost in this quarter. It is not a very significant amount; it is a small amount of around Rs.2.5 crores or so.

Deepak Poddar: And entire year, what sort of ESOP cost we are looking at for this year and next year?

Shashidhar SK: You see, we are planning for some additional grants during the course of the financial year. And we expect that it would not be more than Rs. 15 to 20 crores for the year.

Deepak Poddar: Okay, understood. And on the big expansion that we are planning, so what is the total CAPEX that we are incurring in there?

Shashidhar SK: The expansion is in various phases, and what is planned for the current financial year is the phase-I would be about Rs.150 to Rs. 180 crores, and over the next three years for the DAC land, the aerospace and defense cluster, the plan is to invest close to about Rs. 1,100 to Rs. 1,200 crores.

Deepak Poddar: And this phase-I, this Rs. 150 to Rs.180 crores will be incurred in FY26 itself?

Shashidhar SK: There will be a spillover to FY27 also, but the total planned CAPEX for the current financial year is around Rs.150-odd crores.

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Deepak Poddar: Okay, understood. And so how should one look at your debt profile?

Shashidhar SK: Our gross debt currently is around Rs. 163-odd crores and of course, the net debt is just around Rs. 50-odd crores. So, we are looking at some kind of a bridge finance pending the strategic investments which I talked about. In this financial year would not be more than Rs.50-odd crores.

Deepak Poddar: No, so by FY26 end, you would have additional Rs. 50 crores, that is it?

Shashidhar SK: That is right.

Deepak Poddar: What about the next year, by FY27, where you see your debt level?

Shashidhar SK: That is where we are looking at, as I said, the one plan is to divest some of our non-yielding, non-profitable assets, which will generate sufficient cash, plus, of course, the internal accruals and the cash generation from the operation, and of course, the strategic investments we are talking about. That would kind of get clarity I would say by the end of the current financial year.

Deepak Poddar: Okay, okay, okay, okay. But is there any, I mean, bifurcation, I mean, whatever, let us say, working capital plus your this CAPEX, so Rs.1,100 crores plus your working capital, so maximum, how much debt beyond which you will not go? So, some sense on that would be very helpful.

Dr. S. Ravinarayanan: We do not want to go for debt. If at all we go with the bridge basis. We have means to fund this. At this stage, I am not able to share. Definitely, one is what Shashi, our CFO mentioned, that certain non-strategic, non-assets with no intrinsic value by divesting them. That is one definite possibility and it is a near option, and the other one is bringing funds from the strategic investors. We have a good interest in that from various foreign OEMs and other people who have an interest in similar things we have. But what we want to do is currently create that, because it is a very brand new concept in India and in the defense aerospace world. So, we are trying to create a scalable model, with this Rs.150 crores the phase-I will create a scalable model so that people can see and believe. Then we want to take that investment. So, probably, we will do it in the Q1 of next year. Until then, we will spend. We want to minimize any debts or keep it as

low as possible. Even if you do, it will be a bridge fund, not more than that.

Moderator: Thank you. The next question is from the line of Koushik Mohan from Ashika Group. Please go ahead.

Koushik Mohan: Congrats for the good set of numbers. So, I just wanted to understand on the taxes part on the bookkeeping side and also on the funding side. So, if we are going for the disinvestment of the non-performing core assets, so what kind of value that will be unlocked over there and how the investments look into the current businesses that we have?

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Shashidhar SK: You see, this is still on the drawing table. At this juncture, we do not want to talk about specific numbers in terms of how much cash we are going to generate out of this. And so we want to park it for the time being.

Koushik Mohan: Okay. And on the taxation part?

Shashidhar SK: You see, your question is why the tax rate is higher is what you are trying to -

Koushik Mohan: Yes, yes. Why is the tax rate higher?

Shashidhar SK: Essentially because of the fact that one of our entities, which as you know, ADD Solutions is recording a loss, as a result of which the PAT kind of gets drawn down and it gives a feeling that the tax rate is higher. But the average tax rate which we can expect over the entire year should be not more than 25 %-26%.

Koushik Mohan: Got it, got it. Currently, we have a revenue in the H1 is Rs. 543 crores and in the run rate, it looks like Rs.1,100 crores. So, can we expect these numbers to be on the clear path, like Rs. 1,100 crores to Rs.1,200 crores on the top line?

Shashidhar SK: So, as Dr. SRN explained in his introductory remarks, we are looking at a 40%- plus kind of a growth in our core vertical, which will take you to the number as what we just now mentioned.

Koushik Mohan: Perfect. Perfect. I will get back in the queue. Thanks for that.

Moderator: The next question is from the line of Pankaj Parab from Molecule Ventures. Please go ahead.

Pankaj Parab: Hi, sir. Congratulations on a great set of numbers. So, my first question is on our ES AI segment. So, for this quarter, the numbers look pretty slowed down in ES AI segment. So, just would like to know how good is the trajectory for the next two quarters and how would we align to our 40% growth kind of target? And my second question is on our hyperscalers that we have two partners, hyperscalers, and how was the business going with them and what is the revenue potential for the H2 and next financial year from hyperscalers?

Dr. S. Ravinarayanan: Yes, there is a slowdown on ES AI because now we are firmly moving into manufacturing -based. So, we are setting up the EMS facility. The way we have to grow is only because until now we are doing only the design and giving to third-parties to manufacture, we are not involved in manufacturing.

Now, we are in the process of taking the whole box build. So, our A eroland facility will cater to that.

So, it will take a little more time. The facility is almost ready. The equipment will come in a month's time. After that, these two hyperscalers will come. We are setting one world -class acoustic lab for one hyperscaler and a world -class flex board facility for another one. So, both will be ready by almost like it will take up to March, not only to get ready, to get certified. They have introduced their existing partners for that and we have to buy them. The process is going on. So, there is a little bit of slow. I do not expect any improvement in the Q3 and Q4 on ES AI. There will be the similar growth, but it

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will be made up for other segments, because we want to be firmly on track. As far as projection is concerned, hyperscaler -I will have an exponential growth next year. So, this year we are doing \$2 million with them. Next year it will be around maybe \$ 6 or \$ 7 million

next year, hopefully if the

facility is ready. The other hyperscaler, we are doing about nearly \$0.5 million to \$1 million, so that will double, perhaps, because that will go slightly slower than that. But overall, it looks pretty good next year. But currently we will have a growth, but not in the same pace as defense and aero.

Pankaj Parab: Okay. Understood, sir. And my next question is on the CAPEX side. So, as you just mentioned, there is a Rs. 150 crores plan for the phase -I. I guess that is for the Bangalore facility, and phase -II will be entirely Rs.1,200 crores for another facility. So, combining what could be the revenue potential looking to the full capacity utilization? And I just want a clarity that we are any trying to equity side fundraising for the CAPEX or not? That is it.

Dr. S. Ravinarayanan: So, sir, I will just give a breakup. We have three facilities coming up, though one facility I am not talking about Hyderabad, because it is not up to Q2, because it was sanctioned day before yesterday.

So, we are also building the Missile Atmanirbhar Complex in Hyderabad, very prestigious missile facility. And that will also be parallelly taken up. That will incur some additional funds. So, overall, it will take about three years. And this phase -I, after that, there is a phase-II and then there is a phase-III.

So, it will be done in three phases. First phase will be about Rs. 150 crores and second phase will be about Rs.450 crores and the remaining will be done in the third phase. And the overall fund, let us

assume it is about Rs. 1,500 crores spread over three years, including Hyderabad. We have not mentioned it because it has happened in the Q3. And so overall, as to answer, we are planning to

grow at 45% this year and next year, which will take us to a revenue of something like somewhere. And from there, all the growth should be supported only by the facilities. So, that means if we have

to reach about a billion dollar, Rs.9,000 crores, that delta revenue, whatever the additional revenue should only come from this, which you can do your math. We have to reach current level plus 45%, plus 45%, and then whatever growth 70 %, 70%, 70% should come only from that. That is the estimate, and this should pay back in those years.

Pankaj Parab: Understood. Is there any equity fundraising plan as of now?

Shashidhar SK: Nothing at the moment. As I said, the strategic investment, which we are talking about, once it gets clear, we need to decide on the entity into which the capital will come, which most probably will be the SPV, which holds the land as far as Bangalore is concerned. So, in the listed entity, there is no plan for any equity dilution.

Moderator: The next question is from the line of Jeevan Patwa from Sahasr Capital Private Limited. Please go ahead.

Jeevan Patwa: Yes, sir. This is Jeevan Patwa from Sahasr Capital. Congratulations, sir, for a great set of numbers. Only one question. The timeline of this missile complex in Hyderabad and this Devana halli Atmanirbhar complex, so are we on track for the timelines?

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Dr. S. Ravinarayanan: So, thank you. Devana halli Atmanirbhar complex, we did the ground-breaking ceremony. We are supposed to complete the first phase by September of next year. We are on track. That first phase will consist of radar manufacturing, assembly and support system and also antenna manufacturing. This will most likely cater to the Indian defense as well as companies like INDRA. So, that is our focus. And we already have orders for that and as well as facility will be fully ready, we are hoping. The next phase will be complete aerospace field shops and aerospace-related facilities supply chain management. That should be ready by somewhere around next year, December. So, that will also be mostly on track. For missile facility in Hyderabad, it is going to be back

led by very good orders, we

hope. And we are already discussing and that is the reason we went ahead in Hyderabad. And it will have a strategic partnership, definitely. And we are starting it immediately, probably complete by March. That will be our third priority. It will be get completed by March 2027. That is the plan.

Jeevan Patwa: Perfect. Perfect, sir. Thanks a lot.

Moderator: The next question is from the line of Vijay Sarathy from Subhram Ventures. Please go ahead.

Vijay Sarathy: Thank you for the opportunity, sir. Congratulations to you and your team for a wonderful quarter. I just had one question. So, there was a recent announcement about the MoU with Cilas to do counter unmanned aerial systems. Typically, that will get mounted to UAS, but has some amount of integration to your existing products. So, qualitatively or quantitatively, could you help us understand what is the opportunity size and how this technology fares well against the existing technology that today we have sir? Thank you.

Dr. S. Ravinarayanan: Thank you, Mr. Sarathy. See, Cilas is somewhat a very innovative hard-kill, laser -kill, which is by far the most superior product. It is tested in Ukraine war and NATO and other things. We were privileged to receive the technology and support and part of the whole thing. And we are designing the whole system to be integrated with Indian armed forces for handling the hard-kill. There is no proper hard-kill option available at this stage. We are doing jamming and soft-kill so far. Hard-kill using laser and energy weapons has never been... not in a big way in India. So, this would be very much needed. There is a lot of interest, a lot of requirements, a lot of excitement about this.

Vijay Sarathy: Okay. From education purposes, so there are other companies that are also involved in hard-kills today, they have also been showcasing and testing. How different is ours going to be in terms of –

Dr. S. Ravinarayanan: So, I think we should separately discuss the technology and that.

Vijay Sarathy: Okay. Okay. Sure. And the other question is, on the defense, we had a very good performance also apart from other segments at 22% already. Now, we are yet to get the new capacity coming on board and really have the leverage. So, do we expect defense business margins to say more than 25% in the next...

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Management: The other companies, there are various hard-kill options, but there are very few companies working on the laser-based hard-kill option, and we are in the forefront of leading this technology and also integrating this system. So, ours is already a proven system with RF sensing and RF kill-options. So, adding this along with some more active sensors and also this hard-kill option, it is going to be quite a formidable product, and we are sure compared to the competition, we are well ahead.

Dr. S. Ravinarayanan: In terms of range and energy produced, which is much superior range, and the range and the whole energy produced, then the weight. These are the major criteria payload. So, this is far, far superior, probably the best product in the world. No math, that even government knows this very well. So, I do not want to divulge into details. I will be very happy to explain and present to you when you can meet us in person.

Vijay Sarathy: Okay. Sure. Okay, sir. And one more question, sir, on the defense segment, we had 22% margins today, and we are yet to really get the new facility and really develop our operations. Given that, do we expect the current 22% to scale up to 25%, 26%-odd in the next three years or probably when we reach the Rs. 9,000 crores mark, is it right to look at it that way with respect to defense margin? Thank you.

Dr. S. Ravinarayanan: Can you just explain again?

Vijay Sarathy: No, our defense margin in this quarter was 22% and it is only a start for

us.

Dr. S. Ravinarayanan: No, no, it will remain the same. I do not think that margins of defense can improve, I do not believe anywhere because defense is getting very competitive, there is a lot of competition, most of them go on bids. And there is no way I think with Indian defense, we can increase the margin. Only way we can do this is OEM. OEM engagement can increase our margin. As you know, that we are working

with three -pronged efforts and OEM, OEM, there is a margin possibility. But I would not commit to anything more than 22%. 22% is pretty high, as far as I am concerned, in my 40 years of my experience, it is pretty high and I would be lucky to maintain that for next four years.

Vijay Sarathy: Okay. Sure, sir. Okay. Thanks a lot. All the best, sir.

Moderator: The next question is from the line of Nirvana Laha from Badrinath Holdings. Please go ahead.

Nirvana Laha: Hi, thanks for the opportunity, sir. There are a few questions about your existing program. So, first, on the emergency procurement, sir, is there any visibility of the quantity and POs of drones, counter drones, or BrahMos missiles, anything you can comment on?

Management: Yes, on the emergency procurement, we were the first organization to receive the orders on the man - portable counter -drone systems. So, we already actually received the order and we are actually working on the delivery of that. And there are also more trials going on. So, we expect to receive AXISCADES Technologies Limited

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further orders. And also, it includes both man-portable and hand-held versions of our counter -drone system, we have got the orders.

Nirvana Laha: Okay. Sir, any comment on possible numbers that you are expecting here?

Management: No numbers, sir, I will not be able to disclose, but there are many trials going on, so we are very confident of having more success.

Dr. S. Ravinarayanan: Our idea is to be one of the top three players in this, because the market seems to be very good, there are also many, many players now come up. So, we want to be among the top three consistently, especially on man -portable, vehicle -mounted, and then hand-held. In this segment, we want to have a leadership. Technically, we are very, very strong. In market segment, our idea is to capture about 20% to 30 % of this market and that is what I can say at this stage.

Nirvana Laha: Okay, sir. Great, great to know that. Sir, next question is on BrahMos Seeker. Sir, where are we in the process of winning the orders, and like, when can we expect orders here?

Dr. S. Ravinarayanan: Sir, let us give a little bit of technical output to you. BrahMos had a seeker from Russian ADA. The government is looking for an indigenous seeker, and then the seeker is based on Zimble, slightly old technology, which can be easily identified by any means. Okay. So, already two companies are supplying that. The government is, meanwhile, trying to look at a new type, ESA -based radar. So, they asked another two companies to develop that, which we and one more company are developing it. And we hope that we will have a successful trial before March. If we qualify by March, we will start getting orders from ESA as early as next year. So, that will be very good, and we are confident of qualifying.

Nirvana Laha: Okay. Got it. So, sir, what kind of numbers would seeker be in for BrahMos?

Dr. S. Ravinarayanan: I do not want to comment on that. See, there are BrahMos currently 100 numbers, and they are ramping up to 150, and for seeker what is the value. So, it is almost like at least 30% of the cost of missile. So, it is a good number. So, we are looking at it. And we do not know, it will be shared in three ways, two ways or whatever.

Nirvana Laha: Okay. Right, sir. Sure. Anything on the MBDA test benches, when can we see the supply, and if we will see any supplies from H2 itself?

Management:

MBDA test benches is an ongoing program. So, we have expanded, as I mentioned, so we are delivering more number of test benches, as you know, we want to achieve to about 10 benches per year, which is well on the way right now, we already started off with the program and it is continuously expanding.

Dr. S. Ravinarayanan: And here, it is an ongoing method, we probably will be supplying to the global ...

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Management: And also we will be part of the global supply chain, so we will be handling all the global requirements from here.

Nirvana Laha: Sure, sir. Right now, how many are we doing? You are saying we scale up to 10. And right now –

Management: By this financial year, we will be completing three benches and every year, anywhere from five to 10 will be delivered.

Nirvana Laha: Okay, okay. All right. Any updates on the development and commercialization of TACAN antenna, anything you can share on that?

Dr. S. Ravinarayanan: We will give a good news in about two weeks time, sir.

Nirvana Laha: Okay, okay.

Dr. S. Ravinarayanan: Development is completed, approved by the customer. We are expecting the production order. So, if things go well, by God's grace, we should be able to tell you by another two to three weeks, maximum one month.

Nirvana Laha: Great. Thank you so much. All the best, sir.

Moderator: The next question is from the line of Mayur Parkeria from Wealth Managers India Private Limited.

Please go ahead.

Mayur Parkeria: Good evening, sir, and wish you all the best and the entire team at AXISCADES for a phenomenal execution. Sir, I had a couple of questions. One is, in the initial answers, you mentioned about the divestment of the non -core. We understand that it takes time and it is a segment, it is a business part.

But do you think we would be firmly in place by the end of this financial year it should be done and dusted, is that a fair outlook to have as far as the timeline is concerned?

Dr. S. Ravinarayanan: Yes, sir. It is a very fair assessment. It is very much on track. We start to assume that. So, we are also expecting that to conclude by this financial year in March.

Mayur Parkeria: Okay. Sir, secondly, from the revenue perspective, we have a fair allocation to the US. Any kind of opportunity or challenges in terms of what is going on, do we face currently or is expected, how do we see the situation?

Dr. S. Ravinarayanan: One, sir, we are not people-dependent in US. Though we have 120 people or 140 people in US, approximately 120 people are in non-core with Caterpillar and we do not think that is a threat and out of it, only 34 are in H1. So, that is not posing any issue. They are already in existing H1, others are American citizens and this thing, and remaining are with E5. E5, the hyperscalers want every operation to be shifted to India. They are themselves diluting the interest in US and bringing every

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work to India. So, we are very safe, sir. With all our anchor customers, Texas Instruments, Qualcomm and the two hyperscalers and others, most of them are India-key now. So, it is fine.

Mayur Parkeria: Right, right. Sir, finally, pardon me if this question is not very right, it is my lack of understanding, but just to try and understand a little bit more. Sir, globally, every country and even the large developed economies are trying to increase their spending on defense, especially from the European side, and across the globe now, there is an increased requirement for defense. So, from a defense perspective, we are dealing in three strategies. We understand. There is a partnership model, there are DRDOs and the things like that. From a global supply while our partners will be benefited and they will supply from our perspective, are there anything in pipeline or is

that understanding right,

and is there opportunity very large enough, which we think will come in that 930 plan or that will be outside of it or how are we pursuing or we will remain from a partnership model, if you can add some clarity on that? Sorry, it is my lack of understanding on that side.

Dr. S. Ravinarayanan: No, sir. For example, take both of the places we are talking is where along with OEM, the first requirement is to meet the Indian needs. Second is to do some kind of export. Okay? So, it is beyond India. Certain crucial technologies come from them, but this unmanned thing is a great leveler, there is a lot of chance for exports. People are asking for exports because we are all new, we are all in the same page as far as unmanned warfare is concerned. There is a lot of chances of exports and we are also looking at very seriously to expand. We are discussing, so it is going to work either way, but primary focus, more than 60% will come from Indian-based programs and catering to the offset and so on. Second level in that OEM engagement is old products, sending it across as a cost arbitration. The third one is our own product -getting exports, especially in the unmanned area. I feel by the last another two, three years from now, we will be a net exporter. That is what I think.

Moderator: The next question is from the line of Harshit from Elara Securities. Please go ahead.

Harshit: Yes, hi. Thanks for the opportunity and congratulations for the set of numbers. I just wanted to check on the defense side, what are the key areas that you guys are concentrating on let us say by next three years, which will be your top three revenue categories within the defense segment?

Dr. S. Ravinarayanan: As widely informed again and again, we are working on three major areas. Number one is missiles. We are trying to do end-to-end starting from our focus there on one side, rocket motor and rocket motor filling with all this completely pyro and a various propulsion and so on. That is very important for us. Second thing is the seeker. This forms about 50% of the value of the missile, and also the onboard electronics and those kind of things, that is the launcher and launcher systems, and then final assembly. So, this is going to be our major focus and I believe about 40% of revenues in future our defense will come in that. This is the segment which is much required being missile being consumable, we feel there is a great deal of demand and also there is a great deal of demand for

exports. So, this is the area we are working. This requires a strong electronics presence including seekers, IR seekers, RF seekers and onboard computers and so on and then strong mechanical engineering. So, we are working on it and our Hyderabad facility was geared up for that and we are

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also for giving partnerships in this. This is number one. Number two is radars and antenna which we already have a very strong but we have never done a full-scale large radars and maintenance. So, that is what we are focusing on. There is a huge requirement for radar integration, maintenance, support and so on. And incidentally we are not looking at more at India but we are looking at foreign OEMs where radar is fitted in every major thing like AWACS, fighter aircraft etc. So, we are looking at long-term support for the OEMs and work with them. So, our Devana halli facility will cater to that. Hyderabad facility will cater to the number one item which is behind. Number two will be catered by our facility. This also I am looking at around 30% to 35% of our revenue comes from this. Then the other third is unmanned. In the unmanned, we have counter-drone system and also we are looking at three areas in unmanned, that is counter-drone system, then laser kill and arm munitions. These are the three things that is coming and so on. We are working on

n that. There is a lot of synergy between

this and the first two, because when we do arm munitions it is similar to making a missile. So, there is a lot of synergy we can learn from the radars and about jamming and everything is interlinked. So, we look at the other things. So, the fourth one is ground system which is very small. It is going to be our test equipments, masks and whatever we are talking about like our tank trailers and we are probably looking at large that kind of systems. So, these are the three end of segments we are going to work with. So, 30%-40% the second one then remaining in the third and fourth 10% in the ground system. Hope it answers you.

Harshit: Thanks for giving a longish answer and great in details, but within all the three segments most of the relations are through partnership or we are also doing indigenization in all the three categories through our R&D, if you can also share some details on that?

Dr. S. Ravinarayanan: The missile has both. For India we have to do indigenization. They do not accept the foreign content or foreign this thing. So, we will be doing indigenous development. And so for India who own missile Kusha, BrahMos we have to do it within India whereas foreign businesses like there are many designs available so we have to take technology from abroad and do that. So, it is both. Similarly for radar and then third it is purely indigenous in this thing where we will be indigenous not up to the last this thing because we will be taking best-of-breed solutions around the world and mostly integrate them right software, etc., in the unmanned system and some of them we will be making and the ground systems are purely indigenous. So, if you look at it 50% -60% will be based on R&D and the indigenous development, 40% will be with the foreign technology build-to-print those kind of things.

Harshit: Understood. So, thanks for the detailed answer again. And just lastly sir you had also shared at your analyst meet, there was a pipeline of close to Rs. 12,000 crores of order; one was confirmed order and the other was something that you expect to probably get into more confirmation order. So, there are six months passed since we last met. How much of the Rs. 12,000 crores order which you were expected to get into confirmed order has been converted according to you? I hope sir I was able to explain my question.

Dr. S. Ravinarayanan: Yes, I got it. It is a part of our power 930 program. So, we are always constantly working on three levels -- one is on the confirmed order, one is on the pipeline and another is on a silo. So, our goal is

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to convert about 60% of pipeline into confirmed and keep replenishing the pipeline. We are always doing that. Currently, what all I can say is we are very comfortable to achieve the numbers for FY27 and the mentioned growth rate. We are absolutely comfortable and we have strong visibility for '28, '29 and '30, we have strong base. I do not want to commit to any numbers at this stage, but you can be rest assured we are on track with the numbers as far as lot of these things. So, we are working towards that, we are building all these partnerships and all only for that and we are converting, we have a fair amount of success rate in that and we are working on that, so we are on track sir.

Moderator: The next question is from the line of Rohan Mehta from Ficom Family Office. Please go ahead.

Rohan Mehta: Hello, sir. Thank you so much for the opportunity. So, in the last quarter the management had indicated that generally the defense execution that typically picks up from the end of Q2 onwards with the bulk of the execution expected in Q3 and Q4, but we have noted that Q2 itself has seen a good pickup in execution. So, does that mean Q3 and Q4 would be much better as earlier expected and why would that be the case?

Dr. S

. Ravinarayanan: Sir, one is we do not want to put ourselves pressure on Q4 and we have excellent productivity this quarter we can say. So, that is one reason also. One of the reasons is we are in the process of shifting to the new facility. So, there will be a lot of disturbance and we feel that Q4 may be affected due to this disturbance. So, because of that we try to force extra time to do work on Q2 and also on Q3. Q3 will also be I believe as good as Q2. Q4 will not be bad at all, but Q4 will be a filler quarter rather than the accelerated quarter. We would like to be more relaxed on Q4 so that we want to fulfill our commitment of 45% growth, delta will be done by Q4. What I would assure you is we will have a 45% growth on the core segment and overall EBITDA will be 45% growth will be there. Both will be achieved, but we think we will want to accelerate more slightly we are pushing ourselves to foresee the disturbances because it may probably two to three weeks will be lost when moving from our facilities in the city to Aero land and so on. So, that is what is happening now.

Rohan Mehta: Okay. Right sir. Got it. Thank you for the clarification and last question.

Moderator: The next question is from the line of Pujan Shah from Molecule Ventures. Please go ahead.

Pujan Shah: Yes. Thanks for the opportunity sir. The first question pertains to the QRS AM segment. So, right now it is getting a bit delayed and one of our key manufacturers has been saying that they are confident on receiving orders in March '26. So, just wanted to understand your part of view that how much contribution we have been expecting from QRS AM segment in FY27 and have we have counted our revenue from QRS AM in FY26 or we have already been expecting to get all our revenue material contribution from QRS AM in FY27?

Sunil: So, QRS AM we are expecting around seven systems in the next two months, but this will not contribute to FY26, it will be for FY27, and the production orders are expected by March.

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Dr. S. Ravinarayanan: So, no impact on FY26.

Sunil: Yes.

Pujan Shah: But any quantum or you can quantify in terms of number what would be contribution from this program in FY27?

Dr. S. Ravinarayanan: Sir it is very , very limited sir in our total scheme of things , it will be very small for QRS AM. Even if it is delayed , we have a backup plan , so we have a sufficient buffer in for FY27 to meet our revenue and EBITDA goal sir.

Moderator: The next question is from the line of Jatin Jadhav from Sahasra r Capital Limited. Please go ahead.

Jatin Jadhav: Hi, this is Jatin Jadhav. Thank you for the opportunity again. Great set of numbers. So, my question was regarding the collaboration we did with the company, the Cilas laser product. So, what kind of output can we expect on the target let us say joules in centimeter cube to its maximum range if you can share for the product we are designing with them for the Indian Army?

Dr. S. Ravinarayanan: Sir, we cannot get into that , we do not have the current data clearly , but I would be very, very happy to receive you in our office any moment. Please come. We will give a presentation and I am very happy if there is any in- depth question here but we will go through that and what we are building, etc., we will explain to you and either anyway so I would definitely be happy to receive you and go through a complete.

Jatin Jadhav: Thank you so much for the invitation. The second question was essentially a follow up to this one only, because there is a company in US who is basically focused on high power directed energy weapons and they have developed a system Epirus Leonidas is the system's name. My question was why are not we or India focusing on that , is it a technology which is not yet battle tested or as a professional do you not see any merit in that technology because we

shifted to a laser -based what do

you call the technology a hard-kill option ?

Shardhi Babu- Now this high energy based the thing still the technology is not fully ready and it is bulky and the range achieved versus the power that they are using , the range is less whereas the power being used is very high. So, these are not matching the end user requirement so that is the reason why laser is very important .

Dr. S. Ravinarayanan: And we are typically mounting it and we are mounting it on a small jeep and kind of vehicle 4x4 vehicles . So, we need to be very optimal about the size and real estate available is less , weight carrying capacity is less and terrain is very bad . So, it is optimized for Indian condition. For India I think the most suitable option is laser and that too the Cilas kind of solution is the best.

Moderator: The next question is from the line of Rupesh Tatiya from Long Equity Partners. Please go ahead.

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Rupesh Tatiya: Hello, sir, congratulations on fantastic result . I have so many questions . Let us see how many I can do. First question sir is on Mistral. So, once this EMS facility comes online let us say by March ' 26 can we expect let us say \$8-10 million of revenue in FY27? And then the second part to the Mistral question is I think how is the drone controller business with the US drone leader is going, can that business also become like a \$5 million in one , two years?

Dr. S. Ravinarayanan: The answer is yes , definitely , there is a possibility . Your numbers are fairly is what we are also expecting . And first question , yes, and once the facility is ready we can expect that kind of number .

And to the second question there is a little bit of slowness or the way the space is going on the drone controller it is rather slower , so we may not expect that kind of numbers , but one thing we are trying to do is integrating with software , etc., and make the value more. So, we hope that will happen . But otherwise overall prospects are very good. To answer your first question , yes, to your second question is no .

Rupesh Tatiya: Second question is Sir, Shashi, aerospace segment margins compressed I think from Q1 to Q2 and also I think these are historically low margin number ; I think margin have always been 17 % , 18% 20%. So, any particular reason you point out and this is like a one -off and margins will revert to 17 % , 18%.

Shashidhar SK : Q2 is usually a period where the activity slows down mainly because of the you know summer break in Europe , so that is the reason why it has impacted the EBITDA margins and this will come back in Q3 and onwards .

Dr. S. Ravinarayanan: We are looking at an average 18.5% in aerospace, that will continue to be there , my overall year -on-year it will be average about 18 .5%-plus , it would not go down but it will remain the same.

Rupesh Tatiya: When can we see the order for LLTR , Ashwini ? It looks like negotiations with Bharat Electronics it is taking quite a while .

Dr. S. Ravinarayanan: Sunil , you want to answer , LLTR ?

Sunil: So, LLTR , we are awaiting the negotiation with BEL actually .

Rupesh Tatiya: Any timeline, Sunil ?

Sunil: We are expecting it in a couple of months time, by Jan we should have the order .

Rupesh Tatiya: I have a lot more. Maybe I will reach out offline .

Dr. S. Ravinarayanan: Sure.

Moderator: Ladies and gentlemen , due to time constraint that was the last question for today. I now hand the conference over to the management for closing comments .

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Shashidhar SK: Thank you, everyone for this great participation. We look forward to continue to interact with you. Please do reach out for any queries which you may have either by e-mail or connecting with us . Thank you for your continued support .

Moderator: Thank you . On behalf of AXISCADES Technologies Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: Feb 2026

February 14, 2026

The Manager

Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, C -1, Block G

Bandra Kurla Complex, Bandra (E)

Mumbai - 400051

NSE Symbol : AXISCADES The Manager

Listing Department

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai - 400 001

BSE Scrip code: 532395

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call with the Investor(s)/Analyst(s)

Further to our intimation dated February 10, 2026, please find enclosed the transcript of the Earnings Conference Call with the Investor(s)/Analyst(s) which is hosted on the website of the Company at www.axiscades.com.

We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Yours truly,

For AXISCADES Technologies Limited

Sonal Dudani

Company Secretary & Compliance Officer

Encl: A/a

AXISCADES Technologies Limited

(formerly AXISCADES Engineering Technologies Limited)

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“AXISCADES Technologies Limited

Q3 & 9 Months FY26 Earnings Conference Call ”

February 10, 2026

MANAGEMENT : DR. SAMPATH RAVINARAYANAN – FOUNDER –
CHAIRMAN AND MANAGING DIRECTOR – AXISCADES
TECHNOLOGIES LIMITED

MR. SHASHIDHAR S K – CHIEF FINANCIAL OFFICER –
AXISCADES TECHNOLOGIES LIMITED

MR. ALFONSO MARTINEZ – HEAD OF INTERNATIONAL
BUSINESS AND GLOBAL OPERATIONS – AXISCADES
TECHNOLOGIES LIMITED

MR. SHARADHI CHANDRA BABU – PRESIDENT –
DEFENCE – AXISCADES TECHNOLOGIES LIMITED

MODERATOR : MR. SUMEET KHAITAN – MUFG INTIME

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9 Months FY '26 Earnings Conference Call of AXISCADES Technologies Limited hosted by MUFG Intime. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity

for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sumeet Khaitan from MUFG Intime. Thank you, and over to you, sir.

Sumeet Khaitan : Yes. Good evening, everyone. I welcome you all to the earnings conference call to discuss Q3 and 9 months FY '26 results of AXISCADES Technologies Limited. To discuss the results, we have from the management, Dr. Sampath Ravinarayanan - Founder, Chairman and Managing Director; Mr. Shashidhar S K - Chief Financial Officer, along with the senior management team of AXISCADES Technologies.

They will take you through the results and the business performance, after which, we will proceed for Q&A session. Before we proceed with the call, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For more details, kindly refer to the investor presentation and other filings that can be found on the company's website. With this, I now hand over the call to the management for their opening remarks. Thank you, and over to you, sir.

Sampath Ravinarayanan: Yes. Welcome. This is Ravinarayanan here. So first, I thank all the investors who joined and welcome. As we conclude the third quarter, I'm happy to inform you that we are firmly on track to complete the FY '26 as planned, as projected and we have also laid the foundation very clearly for FY '27. I'm confident of achieving the results.

Basically, it boils down to EPS growth of nearly 40% to 50% each year. And we would achieve in FY '26 and we'll definitely achieve the same in FY '27. So we are on track for that with enough forecast visibility, everything. So we are fine with that. So overall, long-term vision, Power930, INR9,000 crores by 2030. We are piling up the pipeline at this stage.

A lot of things are being converted. We are working on some large partnerships and deals as we speak. And again, I believe we will be on track for the same. Of course, all dependencies include the facilities, some inorganic activities, acquisitions, etcetra, to gain strength and add new activities to us and especially in manufacturing. So that will happen.

And as -- another thing, another major goal for us is to -- as you know, that we are moving from services to manufacturing and product solutions, et cetera. So for that also, very, very firmly we'll accelerate that process. We are trying to move faster than expected on that issue. So we hope that we'll have a significant percentage. This year, it will -- so far, it is 39% on products and solutions and 61% on the services.

We will flip the same percentage by next year, by '27. So then -- now the facilities are operational, especially Aero Land, which has a fairly -- very, very good electronic

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manufacturing. Then certain labs are already operational. And we are able to attract some good customer base, especially from hyperscalers and large companies out of U.S. and Europe.

So that's happening quite well. DAL is kind of functionally ready. And then DAC, our ambitious project, Devanahalli Atmanirbhar Complex, is getting ready. The radar portion -- the complete radar hangars will be ready by -- in another -- by Q3, it should be completely ready. We are looking at large integration of radars and maintenance of radars in

that facility, looking forward to that.

And again, we have to handle the inorganic growth, organic tracking and also to focus on the growth areas and meet the Power930 and also have investor relationships. We have brought in Mukund. Mukund is with me now, Mukund Santhanam. He comes with three decades of experience and from IIT Madras, IIM Ahmedabad, has a very good combination of technology and finance. So he will be assisting or helping us to achieve the results, etcetera. And overall, we are on track. I just wanted to reassure. I will let Shashi, our CFO, to discuss with you on details of our performance and what's going forward. Thank you.

Shashidhar S K: Thank you, Chairman, and good evening, everyone. Thank you for joining us today for the Q3 and 9 month FY '26 earnings call of AXISCADES Technologies Limited. It's our privilege to present another quarter of strong operational execution and financial performance. Q3 FY '26 has been a landmark quarter for us with revenue rising to INR343 crores, reflecting a 25% year-on-year growth and 14.8% sequential growth.

EBITDA for the quarter stood at INR63 crores, marking a 55% year-on-year increase and delivering our highest ever quarterly EBITDA margin of 18.3%, an expansion of 360 basis points year-on-year. Reported PAT for the quarter grew 87% year-on-year to INR28 crores at 8% PAT margin.

Adjusted PAT after removing the impact of Labour Code charge of INR7.82 crores is at INR35 crores at 10.3% PAT margin, underlining the strength of our improving mix and operational discipline. Our growth domains, aerospace, defense and ESAI, constituting 78% of our total

revenue, continue to demonstrate significant momentum, growing at 36% year -on-year, supported by accelerated program ramp -ups, robust order inflows and healthy customer demand. These businesses remain central to our long -term value creation agenda and continue to reinforce our margin profile. Now talking about the 9 months performance. For the 9 months of FY '26, revenue grew 16.2% year -on-year to INR886 crores, while EBITDA reached INR144 crores, surpassed the entire FY '25 EBITDA within 9 months. Reported PAT is at INR72 crores with adjusted PAT after removing the Labour Code impact at INR79.5 crores, which again PAT of INR75 crores . EBITDA margin is...

Moderator: Sorry to interrupt, sir. Your voice is breaking, sir, while speaking. Sir, we are not able to hear you as your voice is breaking, sir.

Shashidhar S K: So are you able to hear me now?

Moderator: Yes, sir. Yes, sir, loud and clear for now.

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Shashidhar S K: Yes. For the -- I will talk about the 9 months performance now. For the 9 months of FY '26, revenue grew 16.2% year -on-year to INR886 crores, while EBITDA reached INR144 crores, surpassing the entire FY '25 EBITDA within 9 months. Reported PAT is at INR72 crores with adjusted PAT after removing the Labour Code impact is at INR79.5 crores, which again exceeded the full year FY '25 PAT of INR75 crores.

EBITDA margins improved to 16.2% from 13.8%, a 240 basis points uplift year -on-year, demonstrating our continued focus on portfolio optimization, delivery productivity and cost discipline. EBITDA margins for the three growth domains were at 21.4% as against 18.7% in the same period of previous year, an improvement of 270 basis points.

Our annualized revenue per employee at INR0.54 crores improved 38% over INR3.39 crores, which was in the previous year. Our other verticals of heavy engineering, automotive and energy with a combined revenue of INR194 crores for 9 months and constituting 22% of revenue continues to be impacted by macroeconomic and customer -specific headwinds and is in the process of being recalibrated.

The diluted EPS for 9 months, which is not annualized, was at INR16.73, which grew by 65% from INR10.13 in the same period of previous

year. Our balance sheet remains robust with a net worth of INR730 crores and a net debt of just about INR67-odd crores as on December 31. This quarter further solidified our transition towards a solutions and product -led business model under the Power930 vision.

The ratio of product versus service revenues pivoted to 39:61 as against 33:67 in the same period of previous year. Our new infrastructure, the fully operational Devanahalli Aero Land facility and the progressing Devanahalli Atmanirbhar Complex is already acting as a growth multiplier, enabling advanced manufacturing systems integration and new product development for global OEMs.

We are encouraged by deal wins in Q3, growing global customer engagement and a healthy order pipeline, which strengthens our visibility for Q4 and beyond. As we enter the final quarter of FY '26, our financial foundation is stronger, our revenue mix continues to improve and we are building a more resilient and globally competitive AXISCADES capable of delivering long -term value for all the stakeholders. Thank you, and we now open the floor for questions.

Moderator: Thank you very much. We will now begin the question and answer session. We take the first question from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Sir, my first question, I'm looking at this geographic revenue side. U.S. has grown more than 50% year -on-year and APAC is more than 30% year -on-year, while Canada and Europe are like -- it's like flat range. Could you please explain despite having tariffs with U.S., how like we have executed and how are the customers accepting that tariff levels and how we are managing what is the arrangement between -- with us and customers?

Sampath Ravinarayanan : We are not impacted by tariffs per se in the activities we do. So we are not...

Balasubramanian: Hello?

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Sampath Ravinarayanan : Hello?

Shashidhar S K : Are you able to hear now?

Balasubramanian: Yes, sir. Yes.

Shashidhar S K : There is a background noise.

Sampath Ravinarayanan : There is a background noise. Somebody has to mute to -- and we are not impacted by the tariff as it is. We are -- Europe is very steady for us. There is a growth, a lot of growth happening in Europe. But U.S. also is doing quite well at this stage. Overall, the percentage will remain the

same. We do n't see any major shift. Overall, Europe will remain very strong for us, continue to remain very strong for us.

We hope that we maintain that 1/3 U.S., 1/3 Europe and one-third of India. That ratio will kind of more or less continue . And so that is what -- so there won't be any impact. And with the European Union FTA, we are hoping Europe can do better. It's going to be slightly better. And with our strong presence in Europe and because we are traditionally having a very, very strong presence in Europe, Europe will continue to be a very stronghold for us.

And U.S., because fuel led by new hyperscaler orders and a lot of things happening in ESAI -- as you know that ESAI 100% of revenues come from U.S. There is a lot of traction on ESAI currently, and we are getting a lot of momentum with the new facility. So U.S. will continue to grow on ESAI segment. Europe will continue to grow on aerospace and defence segment. That's all I want to tell.

Balasubramanian: Okay, sir. Sir, on the defence side, nearly 40 percentage of revenue share is there. I'm looking at the data. Gross margin is nearly 43.5% and EBITDA margin 26.2% and EBIT margin 25.6%. But if you look at some of the defence competitors are anywhere 35% to 40% kind of range. Just want to understand how do you look at defence margins? And our depreciation level also nearly INR10 million in this quarter. We are doing massive capacity expansion on the defence side. How do you look at depreciation and capex side over next 2 to 3

years side?

Shashidhar S K : Yes. So essentially, with respect to your question on gross margins -- and of course, it depends on the quality of the programs what we are executing. In some quarters, of course, it will be a - the programs of what we execute may be much more accretive in terms of margins. And, of course, in terms of the capex, it is still work in progress and -- there's a lot of background noise. So with respect to capex, the capex cycle will continue for whole of FY '26 and the better part of FY '27 and FY '28. And the depreciation, I would say, will, of course, be as per the, I would say, the company law rates what is there.

Balasubramanian: Sir, actually, I'm trying to understand whether we can able to reach 35% kind of margins?

Moderator: Sorry to interrupt Mr. Balasubramanian.

Shashidhar S K : You're talking about the [inaudible 0:15:00]

Balasubramanian: Defence Margins ?

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Sampath Ravinarayanan : Basically, we are looking at -- see, we are not going to be anything different from the rest of the industry because we are working on the same programs, almost similar programs as our competition, because we are sometimes winning against our competition. So all of us are in the same page as far as margins are concerned.

Our overheads are also not that different at this stage. So what we are looking at is that because -- the margins may look slightly in the lower side because a lot of R&D work is going on in defence , a lot of new programs or new wins are happening, which requires initial investment or initial timing.

So as the program matures, the margins will keep on increasing. So definitely, there is no difference between one company to the other because we are all winning in a competitive way. And so, I think it's fair to expect in and around 30%, plus/minus 5%, as far as EBITDA is concerned on mature programs and proportional operating margins. So currently, most of our wins are from the new programs. And so initially, there will be a little bit of impact. But as we progress, then the margins will keep on increasing. That's what I mean.

Balasubramanian: Okay, sir. Sir, my last question.

Moderator: Sorry to interrupt, Mr. Balasubramanian: I would request you to join back the queue as there are several participants waiting for their turn. We take the next question from the line of Jatin Jadhav from Sahasr Capital .

Jatin Jadhav : First of all, sir, congratulations on such an amazing set of numbers. My first question is on the lines of, sir, where are we based on the development of the seeker for the different types of missiles which we were trying to address? And just a follow -up on that question. What kind of seeker are we building? Is it an RF seeker or an infrared image recognition seeker? So that's the first question, sir ?

Sampath Ravinarayanan : Sir, we are developing the RF seeker for bigger missiles, including for BrahMos and Kusha, etcetera. And we had a very successful trial last week. And so, it has been kind of -- and RF side has been done and proven and customer demo has been -- all the RF functionalities have been completed on 4th of February. So now what is remaining is the mechanical housing, total integration improving.

We hope that one level, it will be done by March. And then it will go through the trials and certifications. So that may take another 3 months' time. If everything goes well, by God's grace, we will be qualified. Ours will be the first seeker to qualify in everything, every aspect, and the new type of seeker.

So we hope to complete the whole process by Q2 basically. And this is for BrahMos, and a similar seeker will be available for Kushi. And BrahMos will be floating a new RFP by Q2. By that time, we have to be ready. And that new RFP is for the next future generation of seekers, and we should be ready by that time.

me.

Jatin Jadhav : Got it, sir. Sir, my second question was on the recent update you mentioned regarding the mission computer for the LCA Mark 1. First of all, amazing work done. So I wanted to
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understand. Let's say, if we can apply this mission computer on any platform -- is it platform agnostic? Of course, certain changes will be required. And the follow-up was, the software which is used by the mission computer is also developed by us and deployed?

Sharadhi Babu : Sir, the mission computer algorithm is provided by the defence labs, whereas the display process, the basic software and AI algorithm is provided by us. Technically, it can be used for other platform also, sir.

Sampath Ravinarayanan : And so it's platform agnostic. Currently, this is going to be in all the Tejas systems. And the same thing is applicable to Sukhoi and every other platform also. So we will be hopefully the first choice partners, and continue as far as LCA is concerned.

Moderator: We take the next question from the line of Nirali Gopani from Unique PMS.

Nirali Gopani : Congratulations on a good set of results. Sir, my question is on the guidance that we give out. So we still maintain the 40% growth in the core business in '26, '27 and followed by 70% in FY '28, right?

Sampath Ravinarayanan : Absolutely, absolutely. No change. '26, we are all set. We are one quarter away, but we are expecting a very, very good result followed by Q3. So we will stick to that core increase of 40 - plus percent. And similarly, '27, we have reviewed today also again the entire order book, execution details, etcetera.

We are firmly on track again on the core increase of 40% plus. So we are very much committed to that, and we are on track. As far as '28 is concerned, a lot of dependency on the facilities, but we are having a 3-pronged approach. Of course, current business has to grow in a similar pattern. Then inorganic, we are looking at a few acquisitions immediately. And then we are also looking at facility-based growth. So it is -- we are very -- and we are backed by a good pipeline. And I'm very confident about that also, '28 also. But currently, let us focus on '27. We are very firmly on that, okay? I can assure you about it, okay

Nirali Gopani : Sir, just the question because, sir, when you say EPS growth of 40%, 50% and when the core business is growing at such a rate, the bottom line should grow ideally much faster, right, because this is a higher-margin business. Am I missing out on something or are we seeing any pressure on margins in any of the segment, core business?

Sampath Ravinarayanan : No, the margins have -- the overall percentage has come down because of the noncore activities. If you look at it, our core, we have increased the percentage point by nearly 270 points. Last year -- right now, it is averaging at 21.4%. And because of our noncore and other activities and -- so that is pulling down. Even in core, our services are lower margin. Solutions products and all these things are at 25%, 26% margin, whereas services is at 18.5% margin.

Nirali Gopani : No, sir. Sorry to interrupt, but my question was on your EPS statement that you have mentioned in the presentation, where you say that EPS will grow at 40%, 50%. Because in the first 9 months only the EPS has grown much faster than that. And if you grow the core business at this rate,
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then the bottom line growth should be much faster than 40% - 50% that you have mentioned. And hence, the question?

Shashidhar S K : See, the 50% is the minimum conservative number which we are talking about. As you would have seen, the 9 months have grown by 65%. So essentially, the ratio downwards of EBITDA is not -- is about -- at the moment, it's about -- just about -- no. One second.
Sam

Sampath Ravinarayanan : See, I will tell you, currently, we have our PAT -- our EBITDA is going to be fairly good for this year. And our PAT we are expecting to close -- whatever ratio I'm giving it will be that and that will be a good number basically, because we have -- based on -- because today, the Labour Act -- this thing, because that has reduced very sharply.

So we have made some provisions and some ESOP provisions we are making for the company. So overall, with all the growth, there is no pressure on the margin per se. But extraordinary this thing, like expenditures such as ESOP and employee costs. And then especially in the labor this thing. This will probably make us correct to around 45% growth on EPS. Okay. Shashi, you

want to add anything?

Shashidhar S K : Yes. So basically, as I said, from EBITDA line to the PBT line, it's about 7%, 8%, is what we have. And so essentially, the conversion will be much, much higher as compared to the conservative number which we are putting out.

Nirali Gopani : Perfect. And just one last clarification. So in the aerospace.

Moderator: I would request you to join back the queue. We take the next question from the line of Kaushik Mohan from Ashika Group.

Kaushik Mohan: Great set of numbers. Sir, I just wanted to understand the clarity on the -- I'll just continue on the same last question. Can you give me understanding on the EPS? Because last quarter -- so last year, we did around INR17.63 on the EPS, and this year, we are targeting around 40, 50 percentage?

But when we look at exactly Q3, Q3 we did around INR6.52 and Q1 we did around INR5.42 and INR4.88 in Q1. So almost around last year the EPS is already achieved. So if the growth is considered, then it have to come around INR25 to INR26. Is my understanding very clear on this part?

Sampath Ravinarayanan : Absolutely. You are on target. We are looking at the same numbers. Around INR25, INR26 EPS, we're looking at it. Okay.

Kaushik Mohan: Okay. Perfect. And also, sir, on the next year front -- so in one of the meetings -- in the recent Bangalore meetings, you also mentioned that we'll be having a very good attraction on the top line as well as on the EBITDA level. So what will be on the EBITDA level growth that we can expect from this year to next year?

Sampath Ravinarayanan : This year to next year, again, we are targeting conservatively about 45% growth in EBITDA and minimum -- that is a bare minimum growth, and we are on target for that. It could be more. But

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in and around -- I'm just giving a band of 40% to 50%. But currently, we are well on track for the same.

We are looking at -- I don't want to give numbers, but you can compute that basically. We are on track basically. Next year also, we are looking at a number, EPS number -- you know we have got this thing. So you said 25. You keep 45% on the top of 25. So approximately, we will be able to reach that easily.

Kaushik Mohan: Then we'll do that

Sampath Ravinarayanan : Yes, I'm very confident and we are working towards it. In fact, that's our primary number we are targeting. So we are back working our EBITDA, PAT and all the revenue numbers and order books, everything based on optimizing the whole thing. That's all. That will be done for next year.

Moderator: We take the next question from the line of Rujuta Tamhankar Arete Securities.

Rujuta Tamhankar: So how much is the current order book? And can you give clarity on the composition of the same?

Shashidhar S K : You're talking about the order book, right, order book?

Rujuta Tamhankar: Yes, order book?

Sampath Ravinarayanan : We are -- our forecast visibility, I would say -- because we are all program based, so we don't call that as an order book because it depends on the number of items they are going to order. For example -- so if we are qualified, either we are the

first vendor or second vendor in most of the programs. So I'll call it as a forecast visibility.

Based on that, we have currently around INR 3,300 - INR3,400 crores as our forecast visibility at this stage, and we have enough numbers to close for next year comfortably as we planned.

And the -- as far as pipeline is concerned, we have a very robust pipeline. So we are comfortable.

And basically, in terms of growth areas, it will continue to be defence as a number one growth area for us and followed by ESAI. And aerospace, we will be moving more towards the manufacturing for the next year. So the growth will be good, robust. But overall, we'll be able to manage the growth we are talking about. So it will be defence first, ESAI next and the aerospace. That's how I see that.

Rujuta Tamhankar: Okay. And what sort of programs are you looking for to be part of in the future in defense space, especially?

Sampath Ravinarayanan : See, we are -- as we -- we don't want to call it as programs as we have a 3-pronged approach. We are a very different company in defence compared to our competitors. We are the only company -- we work on three activities. One is on the DRDO PSU side, which is program based, and MOD, which is bid based. And then there is OEM based, which is not program based, it's offset based. So we are working on all the three .

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And our main focus is on the -- OEM offset base is going to be our main focus area for growth, main driver for growth in the future. And of course, DRDO is stable. Currently, most of our revenue comes from DRDO, BEL, that public sector things and item number one. But we were -- we are also looking at -- we have got some interesting bids going on, RFPs going on with Government of India. And hopefully, we should win some of this.

And basically, in all the three, we have a very good chance, as I said. And in DRDO, we are basing ESAI for the growth. It is assured because it's all long term. We have 5-year visibility in most of the programs. So we are firmly on track. So other two -- yes, we are negotiating on item number three. And item number two, we need to see. Some of the bids are going to be known by Q1, Q2 of next year, okay?

Moderator: We take the next question from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar : Sir, just wanted to understand. First, you mentioned about very robust pipeline. Can you quantify it, what's the pipeline we are looking at in terms of order? And what's your current order book?

Sampath Ravinarayanan : Current order book, I mentioned in last question. So you can take it from there and current.

Deepak Poddar : INR3,500 crores -- INR3,400 crores.

Sampath Ravinarayanan : Yes, approximately. Yes. So pipeline-wise, we are looking at around -- nearly -- Mukund, what is that?

Mukund Santhanam : INR14,000 crores.

Sampath Ravinarayanan : Our CGO confirms it is around INR14,000 crores as of today, the pipeline. And this improves the bids we have submitted and the contract relationships we are signing, especially with foreign OEMs. Long-term visibility of -- all these things we are discussing. Put together, qualify the pipeline, which is being vetted and so on. And I want to -- again, don't take it as a guidance or anything. This is a pipeline. There is a fair chance of converting this. But currently, we are very confident about this pipeline. And this is over a period of next 4 years.

Deepak Poddar : And the general conversion ratio, I mean, what's the conversion ratio?

Sampath Ravinarayanan : As I said, OEMs, it has a pretty high conversion ratios because they are all like relationship based. And as the discussion closes, we will 100% convert them. Government -- in DRDO, the conversion rate will be 50% because there will always be one strong competition, because there are two winners. There will be

about 4 bidders in DRDO. So we are 50% conversion ratio. In

MOD, it is a roll of the dice. It could go anywhere. But we are working on some interesting programs that we are qualified. Overall, I can say a good chance of 50%, 60% conversion ratio, overall.

Deepak Poddar : Overall. Okay. And on the margin front, so what's the differential we see between product solution versus service margins as we, I mean, embark on a journey towards 80% kind of product solution? And do we aspire -- I mean, any aspiration we have over the medium term, I mean, next 5, 6 years, to reach any aspirational EBITDA margins that we might have?

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Sampath Ravinarayanan : See, basically, we see a degrowth in services. Services keeps on declining in terms of margin. And we struggle to get 18.5% EBITDA this year for the core services. And noncore, it is very poor. Services margin are going down. Products and solutions margins are increasing, and they are hitting at 30%, 25% and above.

So faster we move from services to products and solutions, we are better off. As far as your question is concerned, target next year will be about 20%. This year we'll be closing at 17% average, but next year, it will be 20%. That is what we are aiming at, 20% margin. The following year will be much better.

Deepak Poddar : 20% margin, does that include your other income as well?

Shashidhar S K : No, it doesn't include the -- EBITDA does not include other income.

Deepak Poddar : Okay. And so, I was trying to understand more on the aspirational part. I mean, next 4, 5 years, do we have aspiration to reach 25% or something on those?

Sampath Ravinarayanan : Yes, yes, of course, of course. Once we flip the 80%, 20%, you make the math. Average products and solutions are at 25% at this stage. It is growing also. The margins in the products and solutions area are increasing. There is a -- definitely, there is a good margin available in the products as compared to services.

So aspirational, yes, we are at -- we are looking at them. We want to be among the top margin companies in the country. So we are looking at 25%. If -- I'll call it as aspirational here. But not as a -- to achieve that, we should have a -- we should completely move to products and solutions. Okay.

Deepak Poddar : Understood. And any ESOP cost we had in this quarter?

Moderator: Sorry to interrupt, Mr. Deepak.

Deepak Poddar : It's just like a data point, I mean. I am done.

Shashidhar S K : Yes, yes. So the current P&L includes an ESOP cost of around INR5 crores. Of course, this is

going to go up in the coming year because there's a lot more outlay which is being planned for ESOP.

Deepak Poddar : So INR5 crores in the third quarter or overall like?

Shashidhar S K : No, no, for all the 9 months of the current financial year. So operator, there's a lot of disturbance in the background. Can we ask everybody to mute, please?

Moderator: All right, sir.

Deepak Poddar : And what was this number for third quarter?

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Shashidhar S K : No, no. We take a charge of around INR2-odd crores every quarter. As I said, we are currently finalizing an ESOP plan for the senior leadership, and that's going to get enhanced from next financial year, which we will kind of stay -- talk about in the first quarter of next year.

Deepak Poddar : Okay. It will get enhanced in FY '27. So what's the ESOP cost you're looking for FY '27?

Shashidhar S K : See, as I said, the ESOP list is still being finalized. We do not want to kind of comment on that. So we will kind of, I would say, have a clarity on this in the next financial year Q1.

Moderator: The next question is from the line of Dhruv Shah from Ambika Fincap.

Dhruv Shah : Congratulations, sir, on a very good set of numbers. I just have one question, sir. I

n last three

weeks, we have done two press release on order wins on ESAI. Can we just quantify the scope?

Because right now, the order wins is around \$1.5 million to \$2 million. But what is the scope eventually after 3 to 4 years down the line? Because I'm assuming this is just a pilot?

Manikandan C : Yes, this is the pilot. We are going to scale up for the products and that's where our new facilities we are going to use. All our U.S. customers, apart from design we are also going to deliver the box build. So there we are expecting the large order pipeline from them.

Sampath Ravinarayanan : Last week, one of the world's leading company came -- visited us, inspected the facility. So we are expecting -- this is a pilot. So we are increasing, multi-fold increasing the -- once the facility is accepted, certified, etcetera. Last week, the trials and inspection went very well.

Manikandan C : All our leading ESAI customers, they have shown much interest. There are -- a number of customer visit have been planned in February and March.

Dhruv Shah : And sir, all these orders are?

Sampath Ravinarayanan : So these two pilots.

Dhruv Shah : Sorry, sir. Go ahead.

Sampath Ravinarayanan : Yes. These two particular customers, we are engaging in a bigger way. And I also had a meeting with one of the customers, one of the hyperscalers in U.S. last week, who showed interest in diversifying and engaging with more activities with us. And the facility has come out well. And apart from the acoustic lab, we are asked to set up the home -- kind of home automation kind of thing with multiple sensors such as my millimetre of radar, sensor fusion.

A large lab that can test multiple sensors for elderly living and home automation for a hyperscaler who is doing one of the companies, which they now bought, which is more into the home and hospital or -- in the sense they make sensors for that. So basically, I had a meeting. So it looks multiple way.

As you know, the other guy who is a phone manufacturer and they visited. And we are looking -- like a bigger engagement with all these things. We can't quantify, but it will be -- as I said, this -- whatever we got could be a tip of the iceberg and it could be much bigger in the coming days. So -- but I just want to keep you informed. By the time we finish all this pilot and everything, it will take about 6 months to 1 year. Don't expect something great happening in FY

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'27. Maybe the order book will be there. But '28 onwards, the facility will start giving much more revenue.

Dhruv Shah : But sir, this would be more like a CDMO contract, right? So the margins will not be what we are doing right now at 24%. It will be much lower, right?

Sampath Ravinarayanan : No, no, it's higher. For example, I'll tell you. Because in the testing, we are also making the flex ports, and this particular one customer we are talking about has to change his device every year. So we have to make this device and give it to all the OEMs every -- all their manufacturers every year. So it is year-on-year change.

So it's recurring. Plus, the margins are very, very good, as good as the defence margins or even more in certain cases. So we are looking at a fairly decent margins. Competition is not much. And we are okay with this thing. In ESAI and defence, we'll have similar margins. So far, we are at 25%, 26%. In fact, ESAI is slightly higher than defense as far as we are concerned. So we are at 26%, 26.5% in ESAI EBITDA, and 25% in defence at this stage. But we hope to improve that at the coming -- as we progress.

Moderator: We take the next question from the line of Pujan Shah from Molecule Ventures.

Pujan Shah : My first question pertains to the defence segment. So we were quite bullish on the segment called QRSM from our customers and we were expecting in Q4 that order will be able

to inflow.

So are we on track? So what are you hearing from your key customers? Is it on time, on track?

Or it is now a bit delayed? Can you just give a sense about that?

Sharadhi Babu : Sir, QRSM we are expecting any time our order to be closed, sir. We are -- certainly, any time should know.

Pujan Shah : Got it.

Sharadhi Babu : Maybe two weeks at best.

Management : Within two weeks. So it's not our timing, sir.

Pujan Shah : And understanding the hyper -- hello?

Sampath Ravinarayanan : Please go ahead.

Pujan Shah : Understanding the hyperscalers, so we understand that right now the amount is too small. But just wanted to understand the context. Like in how many years it would be able to scale up from 1 million to, let's suppose, to get a certain amount of comfortable size we have been expecting from hyperscalers? So I understand ESAI might be a -- understand the long-time cycle and the order got overdue. But just wanted to understand your projections on hyperscaler and how we will evolve with this?

Sampath Ravinarayanan : Basically, we are talking about currently two customers. You might have guessed. Okay. And the one which can grow up very well is -- because they are shifting all their manufacturing to India, where India is becoming one of their largest consumers. So there are multiple

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manufacturing lines coming up. And what we are doing is important. Every station of the product -- we are providing the test kits in every station, which is to be changed every year.

So currently, we are doing for one or two items for 1 line. So basically, imagine that it goes into most of the lines and around the world. So the numbers look good, and -- but we need to prove a lot of things to do that. If I -- we can go from current level to 100x or 50x if we go do it right.

I don't want to speculate, but at the same time, it is -- it can go up. How big it is up to our capability and our this thing.

Competition is less, maybe two or three, maybe 1 more person in India and around maximum 3, 4 around the world. So we need to see how we are doing. As far as other person is concerned, I believe we are going to be the exclusive person for labs. One lab, we are already getting ready. Another lab -- the growth will be slower, but still we will have good numbers there, basically.

Again, we can say 10x, 20x are possible in that.

Pujan Shah : Got it, sir. And just a bookkeeping question. Can you just give us a split between the product and service business for defence?

Sampath Ravinarayanan : Currently, defence is almost totally into products and solutions. We have reduced the services. Service is very less currently in defense. Currently, our services are only a very little portion in ESAI and almost aerospace -- full aerospace. But as we said, defence is almost totally converted into products and solutions.

Moderator: We take the next question from the line of Rohan Mehta from Ficom Family Office.

Rohan Mehta : So could you give me an update on the potential divestment of the noncore business? And are we on track for a resolution by March end?

Sampath Ravinarayanan : Yes, very much on track, absolutely. And I don't want to this thing, but I hope the timing will be maintained. We are very much on track, okay? Definitely by next investor call, we should be able to share all the details.

Moderator: We take the next question from the line of Mayur Parkeria from Wealth Managers India Private Limited.

Mayur Parkeria : Congratulations to the entire team for continuously delivering quarter -after-quarter and sticking to the directional where we are going in terms of narrative, in terms of numbers and in terms of capabilities and our execution. So great, sir. Yes, great execution. Sir, I just had 2 questions. One is -- one of our slides talk about the headcount breakup. And in that, is the industria

I breakup of

around 30% is what we say is the engineering side? Is that -- because the core is 60% and support is 9%?

Sampath Ravinarayanan : 30% is the noncore as we projected. We have roughly around -- yes, noncore. This will be part of the divestment.

Mayur Parkeria : I understand. So sir, if we understand -- we have been looking for over now 3, 4 quarters. That number has actually started to already gradually scale down substantially it looks like. Is it --

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will it be -- because even 1 year before the numbers and now also -- while the core may have remained rising and we may be adding people, but on the noncore side, the numbers have already started to come down? Is it efficiency driven or we have started to scale down there?

Sampath Ravinarayanan : See, we are not filling the attritions for sure. And anyway, we are kind of because we are in the -- as I said, we are in the phase of doing this hiring in this thing. So we are not -- we are going a little clear on the manpower, not adding anything at this stage. So anyway, as I said, we'll give you a clearer picture by the next investor call, which would have been over by that time. It's a very important goal for us internally so that we start the next year on a very good note. That's what it is. It's very important personally for me. This I kept it as my target for this particular financial year. So hopefully, we should be able to do that, okay?

Mayur Parkeria : Right, sir. Wish you all the best for that. Sir, last question on the capex side. Sir, for the benefit of all of us, it's slightly -- because it's very difficult to understand because the segments are defence and aerospace and what we are doing at even ESAI. So on the new facility, if you can help us understand the scale and the capabilities which Axis is building over the next 12 months to 18 months so that we can fully understand what we are trying to do in the various segments in terms of radar or missile or in terms of aero -- so just to reiterate maybe, just...

Sampath Ravinarayanan : Yes. I got your point. See, we are doing three facilities, as you know, DAL, which is Devanahalli Aero Land, then DAC, which is Devanahalli Atmanirbhar Complex, then there is MAC, Missile Atmanirbhar Complex. In this last one, Missile Atmanirbhar Complex, 8 acres we got the land. We are building the facility. It will be tailored for all missile electronics and missile integration. Electronics means all the foreign OEM electronics we are trying to build. This will include seekers, onboard electronics, then data links for the missiles, et cetera. And we are going to do it in collaboration with some world majors. And also we'll do for indigenous missiles. We are working on certain programs. And this will be a complete facility.

This will be in two parts. One will cater only to foreign OEMs only for India. It will have fairly good capabilities for missile integration, mostly -- completely for missile electronics, okay? And it will be a cold assembly facility without the rocket motor or final ammunition, et cetera. It will be doing the final cold assembly for the missiles. If it is integrated -- it will take about 2 years' time, but it will be one of the finest facilities outside the public sector once it is ready. It's very unique. And that is what we are trying to do in Hyderabad. So that is...

Mayur Parkeria : The finest and largest?

Sampath Ravinarayanan : I would say both. So far, at this point of time, as we speak, definitely in the segment we are operating. We'll be the this thing. We'll be addressing all the aircraft-based missiles and so on. So I think we are on a good target about that. Okay. And air-to-surface, air-to-air kind of missiles, basically. That will be our main focus on the Hyderabad facility. And as far as Bangalore is concerned, it is for about two to three activities,

mainly radar.

We want to have one of the best radar facilities. Again, this is on a 3-pronged approach. One is to build our own large radar, integration for large radars. So this is both airborne as well as

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ground radars, to build it. So we are probably building arguably one of the biggest radar facility in India in the terms of height and capacity, etcetera.

So it can go up to 60 feet or whatever it is with all the necessary hangars, et cetera. This will also cater to the maintenance of the radars, because India has a lot of radars which is very old, 30 years, 40 years, 50 years. So we are looking at eyeing the retrofitting and maintenance of all the old radars and so on. That is another second thing.

And third is performance-based logistics and support for foreign OEMs, foreign radars. So that is also there. So this specific facility mostly catering to the radar. And the other part will be aerospace manufacturing, mostly into tooling and certain parts and final inspection, supply chain management, etcetera. That is on the second part of the DAC facility. So it will have radar, it will have aerospace.

Third one is simulators. And mostly for the aircraft simulators, we are trying to work with the world leaders like Indra, where we are trying to get mostly for the defense aircraft simulators. So those simulators will be manufactured and they will be supported in India. As you know, we have already done a very successful implementation of drone simulator, and it has been running very successfully in Air Force.

And possibly, we will get probably a repeat order and more simulators are expected. So that will be -- these are the 3 activities we will -- core activities we'll be taking up in the Devanahalli facility. As far as DAL is concerned, it's purely for ESAI, mostly for ESAI, and certain system integration activities, where we are building acoustic lab, we are building the laser lab, we are building IR, infrared.

Somebody asked about infrared seekers. So we are not only building for infrared seekers, but also we are looking at infrared countermeasures basically. So it will be a laser, IR, acoustics and then mm Wave radar kind of small sensor fusion. All these things will be covered. This is targeting at ESAI and certain level of defense activities.

So with this, we will probably arguably have in private sector the most comprehensive R&D and support and manufacturing facility for these items in India. That's our goal. We should be definitely the first choice outside public sector for all these products. That's our goal, and we hope to achieve that in the next 12 to 24 months.

Moderator: We take the next question from the line of Jatin Jadhav from Sahasrar Capital.

Jatin Jadhav : Most of my questions have been answered. But sir, regarding the missile facility you mentioned, it's very interesting that -- you mentioned that you will be catering to all types of missiles which are used on the aircraft. So just for a further understanding, what kind of work will we be doing on these missiles? Will we be upgrading them, testing them, maintaining them? Could you throw a little bit more light on that, please?

Sampath Ravinarayanan : See, testing it's going to be done in Bangalore only. We are looking at -- as you know, government is very keen that all the future missiles to be made in India. Now they are mandating AXISCADES Technologies Limited

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effective from 2025, '26, post Operation Sindoor the missiles have to be made in India, most of the missiles.

So they are going to reduce the dependency of foreign imports. Even if it is foreign aircraft, the armaments slowly have to be made in India. So we are looking at -- first of all, as you know, that -- just I'm giving you an example of a number of foreign aircraft. You will be knowing

there

are 128 Jaguars. There are nearly about 36 plus 29 Rafales and about 50 . Mirages And there are going to be 287 Mistral. It is going to be light combat helicopters which is going to be there made by HAL. All of them are requiring missiles at this stage and all of them are planning to use foreign missiles at this stage, or are already using. And so -- Sukhoi, of course. And these foreign missiles will be slowly replaced by Indian missiles of the same type, same type. Maybe same OEM will supply to those things, but completely made in India.

So that's the plan. Government of India has an ambitious plan, and we are trying to be part of it. That's what we can say. At this stage, we are doing everything in our this thing to get a small piece of action in this. That's the whole theory about this MAC . So I would say that -- and it is not about maintenance. It will be -- the upgrades and data links, those kind of things will be there.

Missile maintenance per se will be done in Bangalore, maintenance, test equipment, et cetera, will be done. But this will be more of new missiles or -- as you know, missile shelf life is about 10 years and the maximum 6 to 10 years. So they keep on replenishing the missiles. So that's what we are targeting.

Jatin Jadhav : Got it, sir. My last question was on the mission computer, sir. Let's say...

Moderator: Sorry to interrupt, Mr. Jatin. I would request you to join back in the queue as there are several participants waiting for their turn. We take the next question from the line of Jai Chauhan from Trinetra Asset Managers.

Jai Chauhan : I just had a few questions. On the Q1 FY '26 call, management guided that FY '26 core domain order book itself is around INR1,260 crores with no major dependencies on execution. And as we have 9 months FY '26 and we have executed about INR690 crores, implying roughly INR570 crores still pending. I just wanted a clarification on how much of this remaining INR570 crores is scheduled for execution in Q4 FY '26? And which major defence aerospace and ESAI programs constitute this remaining FY '26 executable order book?

Sampath Ravinarayanan : We are -- finally, the numbers we are going to execute out of this INR1,260 crores, we will end up executing remaining about INR300 crores right now, because the remaining INR200 crores facility dependence is there. So we are pushing it to the next year. But this is more than enough to meet our target numbers, as you know.

Probably we'll cross INR1,000 crores in core, if I do this, approximately more than INR1,050 crores, that is our target, which is -- compared to last year's INR750 crores, it will still be 40 - plus percent increase. So we are carrying forward the left out to the next year. So that's what your this thing is.

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As far as ESAI, the majority of this is defence . And aerospace will be completing almost most of the order book this year. And ESAI is the one which we are pushing for the next year also because the facilities are yet to be fully functional and certified. So to answer you, out of

INR1,260 crores, we are moving around INR200 crores to the FY '27 and keeping that INR10 - approximately INR1,060 crores to be completed this year. So that is compared to last year INR750 crores. That will be a 40% plus increase in the core activities.

Jai Chauhan : Got it, sir. And which major programs constitute this remaining order book for defence and...

Sampath Ravinarayanan : We have answered many times this whole thing. So I just want to go back -- as we are in almost all the major programs today, both in aircraft and missiles. We have started in that. And of course, as I said, we have a 3 -pronged approach. We are not only program dependent. We're also doing some of the MOD work and we are also looking at foreign OEMs.

Jai Chauhan : Understand. And also you guided for appr

oximately INR1,800 crores order book and visibility

for FY '27 in core domains. I just wanted to understand the source of this visibility. Like specifically, is it fair to assume that large part of FY '27 visibility is OEM led and long -term programs because I think as per my understanding, MOD and the PSU orders are more lumpy and you don't have long -term visibility for the same, right?

Sampath Ravinarayanan : Yes, you're right. And as far as next year is concerned, again, our target is about 40%, 45% growth in the core area. So we are looking at completion of -- now we discussed about the current core INR1,050 crores or something like that. So you add about 40% to that. That's what we want to execute in the next year as far as core is concerned. We are on target for that.

And that should be -- anything else will be again facility dependent and transfer over the following year. And that will be covered in our initial projections we gave on INR3,000 -and-odd crores. So we are on track for that. And as far as breakup is concerned, in the defence side, so it will be -- now we will -- the foreign OEMs will start kicking in a big way in the next -- or for the next financial year, much more than this year, and programs will continue.

A lot of programs are maturing. And we are expecting a couple of wins in the next 1 month and going forward for the next fiscal. And very interesting wins we are having in the next 1 month, almost in the signing stage. And so, we are looking at about INR400 crores of doing that in the next 1 month and going forward for the program side.

And MOD, we cannot predict anything. It is, again, as I said, roll of the dice. But we are working on -- between you and us, we are working with the world's largest AI company or one of the most prestigious AI company for bidding some of the AI -based complete drone management systems and -- whatever you call it as. So that is one thing which is upcoming in a big way, unmanned account.

So can you explain, Babu, about this? And this is something which we are focusing as far as MOD is concerned. I don't want to reveal much, but we are working with the number one company in the world and we have a partnership with them. So hopefully, if that materializes, the paradigm shift will be there in our whole area, because these each orders are big, multi -thousand crore s orders. So I don't want to put this as an excitement or anything. We have to keep
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our fingers crossed. But defence is more focused towards it. Babu, can you just throw some light on what exactly are the types of programs?

Sharadhi Babu : This is an unmanned combat system. So we will be -- we are working with the biggest OEM to implement the autopilot and also to entirely have the mission planning system and also the combat facilities onboard the aircraft. So this is a large program, one of the largest programs. So we are actively participating in this. And also, there are many more on similar lines, both with the automated autopilot and also with the new emissions enabled on this. These are all our activities.

Sampath Ravinarayanan : These are the first time AI -- so that is going to be our big focus, AI driven and all the intelligent combat systems, unmanned intelligent combat systems. That is the focus, and we are surely -- we have a very good partnership. And so -- but as I said, see, these are all like -- you can treat the chances of 10% or something like that. I don't want to give too much of excitement because these orders are very, very big.

And as I said, the role of the AI is harder. But we have one thing going for us is the partnership we have, probably the best in the world, okay? And more than best, it's the most proven in the world, okay? And we have a partnership with a U.S. company which is proven, battle proven, and probably -- arguably the leader in

the combat systems, okay, unmanned. Okay. So I just

don't want to -- so this is our road map going future as far as MOD is concerned.

OEM is fine, that's going to be very good. And as far as programs are concerned, it's happening, it's all happening. And as we said -- Mani is next to me, is our President. He's confirming that he is expecting about INR400 crores in the next 1 month, new orders for new program. So that's it. Thank you.

Jai Chauhan : Understood, sir. And sir, one last question. In the Q2 Concall

Moderator: Sorry to interrupt, Mr. Jai Chauhan.

Jai Chauhan : Just one last question. Just an update. So basically, management mentioned that the TACAN development for Indra was completed and customer approved, the production order expected shortly. And I just wanted to understand the current status of that, the TACAN.

Sampath Ravinarayanan : I am passing it on to our Global President, Alfonso Martinez, who is handling Indra.

Alfonso Martinez : Yes, exactly. Well, we signed an MOU in Indra to be the preferred partner in India programs. TACAN, it's already almost finished the deal. We are closing the paperwork now, and we will announce very soon. It's in partnership between Indra and Centum and us, and the agreement is full now.

We will give some details in the coming days. This is -- but just I want to mention that this is just the first of a very big pipeline of joint opportunities between Indra and AXISCADES. This is in line with the Spain Indra -- Spain -India relationships that are flourishing. Next week, President of Spain is visiting Modi, strengthening ties on the defence program. And Indra is the AXISCADES Technologies Limited

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leading defense company in my country, it comes to be. So the relationship is excellent. This is the first project, and we have a huge pipeline of opportunities with them.

Sampath Ravinarayanan : Okay. Does it answer your question?

Jai Chauhan : Understood, sir. But I think you mentioned that the development was complete. What led to this deferment?

Alfonso Martinez : No, the development is undergoing now. We are doing -- it is in the development and research. And the program -- I cannot give you more details on the program. They are confidential. But the initial phase now is development. We are taking not only the role for manufacturing, we are the developers of part of the TACAN system and in very close cooperation and very good partnership with Indra.

Jai Chauhan: Got it. That's it from my side.

Shashidhar SK : Yes. With this, we come to the end of the earnings call for the Q3 and 9 months of the current financial year. We thank all the participants, our investors and other stakeholders who are on the call. Any queries which you may have, you may please direct us -- direct the queries at our Investor Relations person and we will answer that.

Sampath Ravinarayanan : And I will also invite all of you to come to Bangalore, visit our facilities. We'll have one -on-one open house any time you want. Please let us know. We'll be very, very happy to host you and answer the question. Thank you.

Shashidhar SK : Thank you.

Moderator: Thank you. On behalf of AXISCADES Technologies Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2026

June 04, 2026
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BSE Scrip code: 532395
D

Dear Sir/Madam,
Sub: Transcript of the Earnings Webinar - Q4 & FY26
Further to our intimation dated May 30, 2026, please find enclosed the transcript of the Earnings Webinar - Q4 & FY26, which is hosted on the website of the Company at <https://www.axiscades.com/investor-relation/>
We request you to kindly take the above on record as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Yours truly,
For AXISCADES Technologies Limited
Sonal Dudani
Company Secretary & Compliance Officer
Encl: A/a

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Transcript: AXISCADES Technologies Limited
Q4 & FY26 Earnings Webinar
30th May 2026, 4:00PM
Hosted by AXISCADES Technologies Limited
Webinar Execution: ElevEase. (by Dickenson)
Contact: axiscades@dickensonworld.com

AXISCAD ES Technologies Limited Q4 & FY26 Earnings Transcript
Ms. Shankhini Saha: Ladies and gentlemen, good afternoon. Welcome to AXISCADES Technologies Limited's Q4 and FY26 earnings webinar produced by Elev Ease. I am Shankhini, Director of Investor Relations from Dickinson IR, advisors to AXISCADES, and I will be moderating our call today. Please note that this conference is being recorded and that some statements in this call may be forward-looking, based on current expectations and subject to risks that could cause results to differ materially. You can download the AXISCADES investor presentation and press release from the links in the chat, the company website, or the NSE. I will now hand the conference over to Mr. Mukund Santhanam, Chief Growth Officer and Head of IR, to begin with opening remarks. Take it away, Mukund.

Mr. Mukund Santhanam: Thank you, Shankhini. Thanks, everyone, for joining us today. I hope all of you have had the opportunity to review our results, our investor presentation, and the press release filed with the exchanges. FY26 has been a very eventful and important year for AXISCADES. It has been a year in which we delivered full-year growth, but more importantly, it has also been a year of strategic transition. We have taken decisive steps to sharpen the portfolio, to strengthen our focus on our core areas of aerospace, defense, space, deep tech, electronics, and AI, and to build the foundation for the next phase of growth under the Power 930 roadmap.

At the same time, we recognize that you will have questions regarding our latest quarterly results and the bridge into FY27. The management team will address these areas directly today. Our object is to be transparent on the quarter, to be clear on the bridge into next year, and to be disciplined in explaining how we are approaching execution in FY27. On the call today, we have Dr. Sampath Ravinarayanan, Founder, Chairman, and Managing Director of AXISCADES; Mr. Shashidhar S.K., Group CFO; and other members of the senior leadership team across key business areas of aerospace, defense, and electronics, as well as leaders across finance, operations, and strategy.

The structure of the call will be as follows: I will now first hand over to Dr. Ravinarayanan for opening remarks on the strategic direction of the company and the transformation underway.

After that, Shashi will take us through the financial performance, the Q4 bridge, and key balance sheet, income, and cash flow points.

After that, we will open the floor for questions. During the Q&A, I will moderate the answer flow and route questions to relevant members of the management team.

As you can imagine, some of the areas that we work in, particularly defense programs, are extremely commercially and program sensitive; therefore, certain customer-specific matters or live strategic initiatives will be answered at the appropriate level of disclosure. With that, I now invite Dr. Ravinarayanan to share his opening remarks. Dr. Ravinarayanan, over to you.

Dr. Sampath Ravinarayanan: Thank you, Mukund. Good evening and thank you for joining us today. Let me begin with a direct and honest assessment. In FY26, we did everything we set out to do, except two things which got deferred - not cancelled, but deferred. First, a portion of our revenue shifted due to global supply chain disruptions. That revenue is not lost; the orders are intact and the products are getting ready. We will deliver them after our customers confirm their acceptance plots and conduct inspection; this is a matter of scheduling, not demand. Second, phase two of our disinvestment, which is central to our restructuring plan, has delayed a bit. It will happen soon; the strategic rationale is unchanged, the process is active, and it remains a priority for H1 FY27.

Everything else - every capacity investment, every design win, every new initiative, and every customer relationship - happened as planned. I want that to be absolutely clear before we go any further. FY26 has been the most consequential year in the 20-year history of AXISCADES, not because of one quarter's numbers, but because of what we built. We did not have a bad year; we had a building year. There is a fundamental difference. We set out on PAR 930 with a clear, non-negotiable target of 9,000 crores of revenue by FY2030. Delivering that demands deliberate, significant, and disruptive shifts across the company, and every one of those shifts was initiated in FY26.

Earlier this week, we signed the divestment of Phase 1 of our engineering services business - heavy engineering, energy, and automotive. This is only the beginning; further restructuring is underway and planned for H1 FY27. We are not shrinking; we are sharpening. Every rupee of

revenue we remove from engineering services gets reinvested into businesses with structurally higher margins, longer life cycles, and stronger strategic moats. Our Devanahalli campuses and our Missile Atmanirbhar Complex (MAC) in Hyderabad will become operational through FY27, and we have initiated expansion beyond them. Together, they give us a far larger and more capable manufacturing, testing, and MRO footprint. We are also in advanced stages of finalizing an aerospace manufacturing acquisition that will jumpstart high-value manufacturing activities

in Q3 of FY27. To fill this capacity, FY26 was our strongest year yet for building relationships with global OEMs, and we carry a powerful pipeline into FY27.

We have initiated the creation of Xida Inc. Xida Inc. is an American-led, Silicon Valley - headquartered deep tech and AI company. It is a subsidiary of AXISCADES but designed from day one to think, operate, and scale like a U.S. technology company. It features American leadership, American speed, and American ambition, with Indian and Vietnamese engineering depth as a competitive advantage. Xida is designed to be a hardware electronics-driven AI company operating inside the "Golden Triangle" of data centres, generative AI, and physical AI. This Golden Triangle is what the whole world is investing into. It is American-led, autonomously run, and strengthened by two acquisitions we are evaluating. Our existing ES AI business is not a

new company; all our existing ES AI business and the AI team will move into Xida, giving it immediate revenue, customers, and credibility.

We have established a Space Division. Our Space Situation

Awareness initiative with Aldoria

is underway, and we are evaluating strategic partnerships for space-related manufacturing, especially space bus and space payload manufacturing, at our Devanahalli campus. We have already started building infrastructure for the same. What emerges from these shifts is not incremental improvement; it is a transformation - sharper in focus, higher in margin and value,

global in reach, and scalable in foundation. AXISCADES is operating at the cutting edge of the domains that matter most to India and the world: defense, aerospace, space, and deep tech.

The company is built not on ambition alone, but on the foundation we laid brick by brick in FY26. To every shareholder, customer, employee, and partner, I want to reiterate this: we built the runway in FY26; FY27 is the take-off. Before I complete my speech, I want to set one frame of reference that is essential to understanding where AXISCADES stands today. FY26 and FY27 are not two separate chapters; they are two acts of the same story. Think of Bahubali : Part 1

ended with a question that only Part 2 could answer. Think of Dhurandhar : the first part built a position so intricate that only a sequel could reveal what it all meant. In both cases, judging the first part in isolation would

miss the entire point. That is exactly where we are; FY26 and FY27, viewed together, will provide the answers.

I am here today to lay out the full picture. There is a famous saying attributed to Benjamin Graham, the father of value investing: "In the short run, the market is a voting machine. In the long run, it is a weighing machine". I would urge every investor in this room to weigh what we

have built, not vote on one quarter. Like every great two-part story, the second act will make the first one worth it. I ask you to stay with the full story. The best of AXISCADES is not behind us; it is directly ahead. Thank you for all your support. Over to you, Shashi.

Ms. Shankhini Saha: Hi Shashi, we can start with your opening remarks.

Mr. Shashidhar S.K.: Yeah, sorry, I was on mute. Thank you, Dr. Ravinarayanan. Good evening, everyone. Dr. Ravinarayanan gave a very apt description of taking FY26 and FY27 together. Let me start on that note and say that FY26 was a strong operating year and a demanding transition year. We had three quarters of very strong, exceptional performance, and Q4 may be an outlier in terms of how we ended the year.

Talking about the full year, revenue grew 12.4%, EBITDA grew 24.6%, and EBITDA margin expanded 150 basis points to 15.3%. The reported PAT did not reflect that operating progress. I will explain the bridge in three parts: a material Q4 revenue recognition deferment, one-time transaction and exceptional items linked to the portfolio restructuring, and a tax base that is not comparable with FY25. Then I will explain why FY27 starts from a different operating base, with a cleaner portfolio, stronger core domain mix, and tighter focus on cash, working capital, and execution.

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At the full-year level, the operating results are unambiguous. Revenue was at 1,159 crores (12.4% growth year-on-year), and EBITDA was at 178 crores (24.6% growth year-on-year) with margins at 15.3%, which is 150 bps more than last year. PBT before exceptional items was 125 crores (36.5% growth year-on-year), and PBT after exceptional items was 114 crores (29.8% growth year-on-year). Normalized PAT came at 83 crores (27.6% growth) versus normalized FY25 PAT of 65 crores. The reported PAT at 72 crores showed a 4.3% degrowth year-on-year, which we will explain. For Q4 specifically, reported revenue was 273 crores, EBITDA was 34 crores, pre-exceptional PBT was 14 crores, and PAT was at 0.4 crores.

Before we move into questions, I want to directly bridge the difference between the underlying operating performance and the reported PAT outcome. At the operating level, revenue, full-year EBITDA, EBIT, and

pre-exceptional PBT all grew. However, reported PAT did not reflect the trajectory because three items affected the quarter and the year-end reported number. First, the Q4 revenue recognition shift of 142 crores, which carried an EBITDA impact of more than 40 crores. Second, portfolio restructuring and exceptional impacts linked to the strategic divestment process. Third, a non-comparable tax base versus FY25. We had earlier worked with an EBITDA expectation of around 215 crores and a PAT expectation of around 110 crores. The shortfall against that expectation is explained by these bridge items. Importantly, the revenue recognition movement is a scheduling issue, the restructuring impact is linked to a deliberate portfolio action, and the tax comparison is affected by the FY25 base. The reported PAT number should be read with this bridge rather than as a reflection of the underlying operating direction. Regarding Factor 1 - the Q4 revenue deferment of 142 crores - the issue was timing and execution, not demand erosion. The underlying contract values remain intact, and customer relationships remain unaffected. The revenue has moved into FY27 visibility, with recognition expected across Q1 and Q2, subject to delivery, inspection, customer acceptance, and applicable criteria. To break down that 142 crores:

- 45 crores: A defense manufacturing program. Supply chain disruption to a critical input material affected production timelines on land systems ordered for the Ministry of Defense.

Defense. This constraint has since been resolved.

D

Defense. This constraint has since been resolved.

- 84 crores: Pertinent to our strategic electronics program. A monopolistic hardware supplier redirected output to war-related priority programs, impacting production. Those materials have since been secured.

- 12.6 crores: An aerospace and defense contract where deferment arose directly from the divestment transaction transition.

The broader learning is clear: as AXISCADES moves from an engineering-led model to manufacturing-linked execution, we need stronger supply chain buffers, acceptance slot planning, and program management discipline. These are being built into the FY27 cadence. Regarding Factor 2 - exceptional items of 11.17 crores - on May 26th, 2026, AXISCADES signed definitive agreements to divest the heavy engineering, energy, and automotive practice to

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Akkodis for USD \$30.63 million in cash pre-tax. The transaction is expected to close in Q2 FY27. This portfolio sharpening releases capital and bandwidth for our core priorities. The transaction entailed restructuring costs of 9.8 crores and a fair value adjustment of 7.98 crores on the divested business, pertaining to Epcogen, which was sold at less than book value. These are

portfolio reset costs and not recurring. On closure, the divestment is expected to result in an extraordinary gain of approximately 175 crores, translating to 41 rupees per share EPS. The costs recognized in FY26 were one-time to unlock this larger value.

Regarding the tax charge, FY26 was 42 crores against 12 crores in FY25. FY25 included a one-time reversal of 10.01 crores from a favourable order; FY26 reflects a normalized position. The average rate is higher at 36% as profits in some overseas entities carry higher rates and we could not recognize deferred tax assets in a loss-making German entity.

Regarding the balance sheet, closing receivables were 411 crores with a DSO of 130 days. Since March, we have collected 154.5 crores, bringing the DSO down to 81 days. Negative operating cash flow was driven entirely by 100 crores of land systems WIP, classified under "other assets". This is contracted with the MoD, with 20 units ready for dispatch, 25 at assembly stage, and 85 in production. Invoicing is scheduled for H1 FY27. When these deliver, 120 to 140 crores of cash will be released. Gross borrowings increased by 87 crores to 276 crores for project-specific working capital for land systems; this retires as invoices

are issued.

Regarding domain mix, the core domains of aerospace, defense, and ES AI generated 904 crores in revenue (78% of consolidated revenue):

- Aerospace: 388 crores revenue (21% growth) with 17.3% EBITDA margin.
- Defense: 379 crores revenue (25% growth) with 22.9% EBITDA margin.
- ESAI: 136 crores revenue (9% growth) with 26.1% EBITDA margin.

FY27 is structurally different; the 142 crores of deferred revenue enters FY27 as hard orders in the dispatch queue. Consolidated FY27 revenue is trending towards 1,377 crores (52% growth on the retained business base). This includes 927 crores in orders currently under execution (including the 142 crores from Q4), 285 crores in assured forecast visibility from design wins, and 165 crores of acquisition-linked visibility. Thank you.

Ms. Shankhini Saha: Thanks, Shashi. We will now start with questions. Our first question is from Nikhil Chandak.

Nikhil Chandak: Thank you. I have one question regarding your FY2030 vision of billion-dollar revenues. From 900 crores to 9,000 crores is a 10x jump in the next 4 years. Is this still organically achievable?

Dr. Sampath Ravinarayanan: When we move from design-based revenue to manufacturing, it is automatically a 10x to 20x jump. If I convert all design wins to manufacturing, it is very high value. We are sticking to the 9,000-crore target; this is a foundational year. For example, ES AI

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used to take only design work; today we are insisting on design-cum-manufacturing. Gearing up as a manufacturing partner automatically ensures a 10x scale-up. The real momentum will start happening this year as our infrastructure in Devanahalli and Hyderabad ad becomes ready.

Rohan Mehta: Adjusting for the deferment, normalized EBITDA margins are around 17-18%. In Q3, you indicated a potential 300 bps margin improvement; are we moving towards the 20% mark for FY27? And can you quantify the order book and pipeline post-FY27?

Mr. Shashidhar S.K.: The non-core verticals were margin-dilutive. What remains are the core verticals where the average EBITDA is already at 20% plus, and we aim for a 150 to 200 bps improvement year-on-year.

Dr. Sampath Ravinarayanan: We are building a strong pipeline in defense, focusing on very large programs like swarm drones and CLRTS. We are shortlisted for most of these. On the ES AI side, we are positioning ourselves as a US company with operations in Silicon Valley, Vietnam, and India. We recently got a \$3.5 million order from Qualcomm. In aerospace, we are acquiring companies to jumpstart manufacturing.

Mayur Parkeria: Regarding the sale of the engineering division, will the business transfer immediately, or will we run it until June 2027? And is the PAT target for FY30 underscoring the total potential?

Mr. Shashidhar S.K.: It is structured as a slump sale to the Akkodis entity in India. We will transfer people and contracts and handhold them for one year to grow synergies. There is a guaranteed portion of \$23.4 million and an earnout of another \$7.4 million based on FY27 targets.

Dr. Sampath Ravinarayanan: Regarding PAT, we require only 7,200 crores of revenue to achieve our goal at a 25% plus EBITDA margin. We are keeping both the 9,000-crore revenue and the PAT target as our goals.

Jatin Raghuwanshi: How is the expansion funded beyond the Akkodis cash, given the negative cash flow? And is there still no equity dilution?

Dr. Sampath Ravinarayanan: Phase 2 of the disinvestment is coming very soon and will fund us totally for DAC, DAL, MAC, and our acquisitions. We are planning to acquire four companies once this is through. OEM relationships are strong, although government policy shifts towards "Make in India" have required us to change our proposals. Everything is subject to government approval, and we are on track.

Mr. Mukund Santhanam: We have no plans for equity dilution or incremental long-term debt.

Suman Gupta: What is the end product and

and TAM for space and hyperscalers?

Dr. Sampath Ravinarayanan: Xida (formerly ES AI) is involved in data centres and test

equipment for hyperscalers and semiconductor giants. We see a 10x revenue possibility here. In

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space, we are focusing on space bus, space payloads, and synthetic aperture radar. India has 50–60 active satellites, while Elon Musk is launching 350 per year; there is a huge global demand for space bus. We are partnering with the best in the world.

Disha: To reach 9,000 crores by FY30, wouldn't that require a 90% CAGR from FY28? And would a 30% EBITDA mean the PAT could be higher than guided?

Dr. Sampath Ravinarayanan: We expect margins to saturate around 25 -27%. Regarding revenue, think of it like this: an architect charges 3%, while the builder charges 97%. By taking on serial production, revenue scales up automatically. Acquisitions help us "buy time" - roughly two to three years - to acquire certificates and manufacturing skills.

Gaurav Shukla: Any plan for ESOPs?

Dr. Sampath Ravinarayanan: We have 3.8 million shares kept for ESOPs. We plan to align the provisioning with the 175 -crore extraordinary income from the divestment. By Q2, we should be able to award the entire pool as the restructuring will reduce our headcount to roughly 1,200 people.

Bala Subramanyam: What is the total Capex program?

Dr. Sampath Ravinarayanan: DAC is 1,200 crores, MAC is 300 crores, and DAL is 120 crores (of which 100 crores is already spent). Acquisitions will cost roughly 600 crores. The total investment plan is between 2,100 to 2,250 crores, which will be totally self-funded through the restructuring phases.

Closing Remarks

Mr. Mukund Santhanam: Thank you for engaging with us. Our focus for next year is disciplined execution - converting backlog, improving working capital, and bringing capacity online. We will keep you updated through consistent disclosures and plan to host an open day at our new facilities.

Dr. Sampath Ravinarayanan: I sincerely request every participant to visit us. Seeing is believing. We will allocate slots from the last week of June and first week of July. Our aim is to ensure you have no ambiguity on our path. You have to see the groundwork to understand. Thank you.

Ms. Shankhini Saha: Thank you to the entire AXISCADES team and all participants. For follow-up questions, please write to us at the address provided in the investor deck. Have a good evening.